

Management of Hospitality and Sales

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Y. Shachmurove

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Preface

In today's fast-paced business landscape, the hospitality industry plays a crucial role in providing exceptional customer experiences and generating revenue. From luxurious hotels and resorts to restaurants, event venues, and travel services, this sector encompasses a wide range of businesses dedicated to serving and satisfying customers.

At the heart of this industry lies the art and science of sales management, which focuses on driving sales, building customer relationships, and maximizing profitability. Sales professionals in the hospitality field possess the skills to attract guests, secure bookings, and create memorable experiences that keep customers coming back for more.

In this book, we embark on a journey exploring the key concepts and principles of hospitality and sales management. We delve into the strategies and techniques employed by industry leaders to deliver exceptional customer service, achieve sales targets, and stay ahead in a competitive market. Whether you are an aspiring professional in this field, a seasoned sales executive, or someone interested in understanding the inner workings of the hospitality industry, this guide serves as a valuable resource.

Throughout this exploration, we will examine various facets of hospitality and sales management. We will delve into the importance of understanding customer needs and preferences, developing effective sales strategies, leveraging technology and digital platforms, and nurturing long-term relationships with clients. We will also explore the significance of leadership, teamwork, and innovation in driving success in the hospitality and sales domain.

Let us dive into exciting world of hospitality and sales management, where customer satisfaction and revenue generation go hand in hand. I hope that this book equip its readers with the knowledge and skill to excel in this vibrant industry.

Author

Development of Hospitality Industry

PROCESS IN HOSPITALITY INDUSTRY

The first aim of this study was to assess Melbourne and international students' detailed perceptions of the cooperative education placements on international level. Although the expectations from placements' social climate by students of the four international institutions was similar overall, their expectations varied across specific social climate dimensions. These findings indicate detailed information about students' expectations of their cooperative education placements in industry.

Unlike the various findings of the studies reviewed earlier, the results of this study indicate specific areas of differences in perceptions. Some differences in scores, notably in the involvement, peer cohesion, task orientation, work pressure, and control dimensions were evident between the Melbourne and The Hague students, and in the Autonomy between Melbourne and Strathclyde students than in other dimensions. Previous studies, although less detailed, point to similar conclusions. Knutson (1989) and Charles (1992) for example, found that hospitality and tourism students are concerned with the issues associated with working in these industries, such as lack of challenge and lack of management involvement.

It is safe to suggest, therefore, following Pavesic and Brymer (1990) and Sarabakhsh *et al.* (1989), that students' expectations of industry may affect their actual perception of the industry after their graduation. This in turn can affect their work satisfaction and successful professional development.

The second aim of this study was to find out if the Melbourne students' expectations differed from those of students from the other participating institutions. Melbourne students expected higher involvement, greater peer cohesion, more task orientation, more work pressure and greater control when compared with The Hague students. They also expected less autonomy on the job as compared with the Strathclyde students. However, in general, as can be observed the Melbourne students' expectations did not differ much from other students, with the exception of the The Hague students' expectations. This could be attributed to a few factors.

First, the The Hague students' scores could be a reflection of the different perception of the social climate of the work environment of their placements due to the different organizational socialisation processes as pointed out by Dean (1983). For example, different supportive work settings that help promote students' independence can socialise them in learning their new occupational roles on many different levels. Although the four samples were matched on the course curriculum content and the timing of the cooperative education experience, there could be some differences in curriculum delivery especially in student orientation and preparation before placements occurred. Secondly, there could be cultural differences between the English speaking students and native language speaking students.

The values attached to organizational socialisation in general could differ. Third, the assumption that the The Hague students were fluent in English and therefore would have no problem in understanding the questionnaire could be wrong. This should be verified with translation and back translation of the WES to the Dutch language.

The third aim of this study was to find out which aspects of the work environment of the hospitality organizations need to be addressed in preparing students for work experience. The differences in the work environment dimensions (involvement, peer cohesion, autonomy, task orientation, work pressure, control) highlight the need for both educational institutions and industry management internationally to address the following issues:

- Improving managerial support may include an increase in communication between cooperative education placement officers and supervisors responsible for students during their placements. Development of clear policies which could guide students before placements and monitoring of these policies during placements could eventuate in more student involvement in each organization's functioning and greater cohesion between students and staff.
- Reducing excessive work demands and time pressure. The hospitality industry is very labour-intensive and is perceived as demanding. Students could be briefed on the specific demands. Their placements would perhaps consist of progressively more demanding tasks, beginning with the tasks that are realistically attainable by students during the early stages of their placements.

- Altering managerial control mechanisms such as rules and procedures during student placements. Managerial control mechanisms need to be applied with a greater degree of flexibility. Greater student participation in decision-making, especially in utilising their enthusiastic approaches to problem solving learned during the academic year may result in students having more positive perceptions of supervisory control.

Despite the similarities and differences between students' expectations at the international level, the question arises if these expectations will be met while the students are on their placements, or are students' expectations unrealistic? If they are not met then, as evidence by Barron and Maxwell (1993), West and Jameson (1990) and Purcell and Quinn (1995) suggests, the students may still be discouraged from entering their chosen professions after graduation. Therefore, the cooperative education experience may be a crucial factor for students in making this decision. In short, the findings just described show that students' expectations from cooperative education placements can be assessed in detail by measuring their expectations from the social climate of their industrial placements' work environment. As Purcell and Quinn (1995) noted, the students returned from placements "...to their course more mature, with considerable insight into the industry; but this insight often crystallised in disillusion and a desire to use their experience and education to find employment in another sector of the economy" (p. 16). The assessment of the students' expectations, therefore, may help in predicting their subsequent career orientation in hospitality industries and elsewhere.

While the results of the present study point to many differences and similarities between international samples, they can not be generalised beyond the samples studied. The samples were drawn from four institutions, and although they incorporated four similar courses of study, the research needs replication with varied populations and institutions. For example, data comparisons should be done based on the USA samples, since there is also close cooperation between the USA institutions and the Victoria University of Technology. Although international cross-sectional research is complex, costly and difficult to execute, this study suggests some directions for meaningful exploration of the role of students' own perception of cooperative education. As Linke (1988) pointed out "...there is no ideal structure and very little evaluative information exists to indicate clearly the practical advantages and limitations between alternative approaches with respect to the multiple outcomes expected of students, employers and staff" (p. 30).

Therefore, further longitudinal and cross-sectional research is required to assess and compare the perceptions of the work environment of various academic institutions and employers in industry. Also, there is a need not only to compare various student populations to one another over time, but also to find out if those students who stayed with the chosen industry after graduation were also the same students whose cooperative education expectations were met by subsequent experience in industry.

COUNTER-ARGUMENTS TO THE NEED FOR DEREGULATION IN HOSPITALITY INDUSTRY

Despite the arguments advanced by proponents of deregulation, other commentators have argued that the centralised system was able to deliver labour market flexibility. For example, Callus *et al.* (1991) in a comprehensive study of over 2,000 Australian workplaces noted that only 6 per cent of workplace managers viewed awards as a constraint in pursuing efficiency changes and that only 14 per cent indicated changes could not be undertaken because of unions. Morehead *et al.* (1997) in an equally comprehensive study had a similar finding. They established that 9 per cent of private workplaces with 20 or more employees stated they were prevented from making changes because of awards and/or agreements. In addition, they found that managers in 17 per cent of private workplaces stated they could not undertake changes because of employees, trade unions or union delegates. Rimmer (1991) raised objections to the assumption of wage and procedural inflexibility of the centralised system by noting there was scope for enterprise bargaining under the centralised system and that these provisions have been extensively used. As well, Rimmer (1998) and Hawke (1998) point out that awards were often augmented through informal enterprise and individual bargaining at the enterprise level. With regard to numerical flexibility, the Industrial Relations Reform Act 1993 (Cth) extended the constraints on unfair dismissal and requirements relating to information, consultation and severance pay to apply to non-award employees. This meant that it was not awards that were inhibiting flexibility but rather legislation applying to all employees.

The Workplace Relations and Other Amendments Act 1996 (Cth) which was intended to further deregulate the system through the introduction of individual contracts, known as Australian Workplace Agreements, will retain a number of standards in relation to unfair dismissal and severance pay clauses, although rights to consultation and information may be removed. Work time and functional flexibility have been increasingly facilitated by many changes to the relevant provisions incorporated into awards since the 1980s. For example, there are now numerous awards which no longer specify premium payments for work during non-standard hours. The increased numbers of casual and part-time employees have also resulted in increased work time flexibility.

The Need for Empirical Research

Lack of empirical support for the supposed benefits of increased flexibility fostered through deregulation and numerous criticisms of the post-Fordist paradigm have not prevented the promotion of enterprise bargaining amongst policy makers in Australia.

A major reason may be that enterprise bargaining is consistent with a neo-classical economic approach. The neo-classical economics agenda with its reliance on market forces, adopted by the federal and state governments since the 1980s, strongly supports the pursuit of increased labour market flexibility through deregulation.

Given this debate about the need for deregulation in the pursuit of flexibility, the aim of this research was to determine whether deregulation was necessary for the attainment of flexibility. A sector of the tourism and hospitality industries was chosen for this study since the proponents of deregulation have argued that service industries are particularly concerned with the attainment of labour flexibility. Flexible work arrangements which reflect long trading hours (up to 24-hour-a-day service) are said to be necessary to ensure a competitive business environment (Commonwealth Department of Tourism and Department of Industrial Relations, 1992).

Other characteristics of the hospitality sector, including fluctuations in demand, the existence of penalty rates, weekend work and work outside of “normal” hours, simultaneous production and consumption of service and labour intensity, ensure the pursuit of flexibility is a high priority for enterprises.

The Registered Clubs Sector

This study focuses on one sector of the hospitality industry, the registered clubs sector of NSW. Registered clubs in NSW which operate under the Registered Clubs Act 1976 NSW, have an unusual ownership structure and business goals.

Registered clubs are unusual since they are non-profit organizations formed by groups of people who share a common interest and who have come together to pursue or promote that interest.

Another unusual characteristic of registered clubs is that they are governed by a board of directors who are responsible for the formulation of policy and for ensuring that these policies are carried out by the management. The manager/secretary, also known as the chief executive officer, is the person responsible for the day to day running of the registered club and its staff.

Directors are not expected to be involved in the daily operations of the registered club nor its staff. Trade unions and industrial tribunals have been keen to ensure employees only deal with one person to avoid confusion and to maintain clear lines of communication (Registered Clubs Association of NSW, 1990). The manager/secretary is regarded by the industrial tribunal and trade unions as the employer. Registered clubs cover a vast array of interests including sporting, social, community and ethnic interests. In Australia, registered clubs are major social outlets for people and in a number of cases, provide significant funds for community projects. The majority of funds are raised through the provision of gaming facilities.

In addition, clubs also serve food and beverages and in many cases entertainment is also provided to patrons. The types of employment in clubs, which includes management, bar, kitchen and clerical staff, reflect the range of services offered by clubs. The development of the registered club industry has proceeded differently in the various Australian states and territories. NSW was, and still is, clearly the most developed state with regard to registered clubs in Australia. In NSW, there are over 1,500 clubs (40.5

per cent of all clubs in Australia), generating a turnover of over \$20 billion annually and employing over 63,000 people (67.3 per cent of all employment in Australian clubs) (ABS, 1994).

Labour Market Characteristics

There are a number of awards covering both club management and employees within registered clubs. These awards are indicative of the broad range of occupations involved in registered clubs. In NSW, for example, the awards that apply to various managers and employees within the registered clubs include the club managers' and club secretaries' (state) award, the club managers' and club secretaries' superannuation (state) award, the club employees' (state) award, and the musicians' (live performance) (state) award. Casual employment is a major component of the workforce in this sector. Approximately 56 per cent of staff in registered clubs were employed on a casual basis in 1996. A further 5 per cent were employed on a part-time basis (Buultjens, 1996a). This sector has had increasing competitive pressures placed upon it by the regulatory changes in Queensland and Victoria.

In the early 1990s, clubs in Victoria and Queensland were, for the first time, allowed to introduce gaming machines onto their premises. Many NSW registered clubs, particularly in border regions, found it increasingly difficult to remain profitable with this increased competition from interstate clubs. As a consequence, a number of NSW registered clubs which profited from the patronage of customers from Victoria and Queensland have undergone a substantial reduction in income.

Another important impact on the registered clubs sector in NSW has come from the deregulation which has taken place in the hospitality industry as a whole. In most states, hotels have been allowed to operate on Sundays and introduce gaming machines. This has resulted in registered clubs losing some of their competitive advantage. In a further loss to competitive advantage, in November 1996, the NSW Government gave notice of its intention to introduce legislation which would allow hotels to introduce the same type of gaming machines as those used on registered clubs' premises. These changes to the competitive environment in which registered clubs are operating, and the particular needs of the hospitality sector in general, should ensure that labour market flexibility is an important consideration to registered clubs in NSW.

THE HOTEL INDUSTRY

The Hotel Industry comprises a major part of the Tourism industry. Historically viewed as an industry providing a luxury service valuable to the economy only as a foreign exchange earner, the industry today contributes directly to employment (directly employing around 0.15 million people), and indirectly facilitates tourism and commerce. Prior to the 1980s, the Indian hotel industry was a slow-growing industry, consisting

primarily of relatively static, single-hotel companies. However, the Asiad, held in New Delhi in 1982, and the subsequent partial liberalization of the Indian economy generated tourism interest in India, with significant benefits accruing to the hotel and tourism sector, in terms of improved demand patterns.

Growth in demand for hotels was particularly high during the early 1990s following the initiatives taken to liberalize the Indian economy in FY1991, as per the recommendations of the International Monetary Fund (IMF). The euphoria of the early 1990s prompted major chains, new entrants and international chains to chalk out ambitious capacity additions, especially in the metropolitan cities.

However, most of these efforts were directed towards the business travellers and foreign clientele. In recent years, the hotels sector has grown at a faster rate than GDP. As a result, the share of hotels and restaurants in GDP at current prices has increased from 1.2 per cent in FY2000 to 1.5 per cent in FY2005. In constant (1999-2000) prices, the GDP from hotels and restaurants has increased from ₹222.65 billion in FY2000 to ₹335.49 billion in FY2005. As a result, the share of hotels and restaurants in total GDP at constant prices has increased from 1.24 per cent in FY2000 to 1.40 per cent in FY2005.

STRUCTURE OF THE INDUSTRY

Hotels in India are broadly classified into 7 categories (five star deluxe, five-star, four star, three star, two star, one-star and heritage hotels) by the Ministry of Tourism, Government of India, based on the general features and facilities offered. The ratings are reviewed every five years. As of December 2005.

Premium and Luxury Segment

This segment comprises the high-end 5-star deluxe and 5-star hotels, which mainly cater to the business and upmarket foreign leisure travellers and offer a high quality and range of services. The segment accounted for 29 per cent of the total hotel rooms in the country in December 2005.

Mid-Market Segment

This segment comprises 3 and 4 star hotels, which cater to the average foreign and domestic leisure traveller. This segment also caters to the middle level business travellers since it offers most of the essential services of luxury hotels without the high costs since the tax component of this segment is lower compared with the premium segment.

Budget Segment

These comprise 1 and 2 star hotels referred to as 'Budget Hotels'. These categories do not offer as many facilities as the other segments but provide inexpensive accommodation to the highly price-conscious segment of the domestic and foreign leisure travellers.

Heritage Hotels

In the past four decades, certain architecturally distinctive properties such as palaces and forts, built prior to 1950, have been converted into hotels. The Ministry of Tourism has classified these hotels as heritage hotels.

Others

At any point in time, applications for classification are usually pending with the Ministry of Tourism because of which such properties remain unclassified. The number of hotel rooms pending classification has declined from historical 15-20per cent to 5per cent of the total rooms available in the recent past.

KEY CONSUMER SEGMENTS

The market for the hotel industry can be divided into the following key consumer segments based on purpose of visit:

The Business Traveller

The Business Traveller is a businessman or a corporate executive travelling for business purposes.

This segment includes corporates, both domestic and foreign, who open offices in the hotel premises during start-ups, corporate executives who make extended stay either for long duration projects or while waiting for permanent accommodation (primarily expatriates) and convention arrivals.

While the senior executives usually stay in 5 star hotels, the middle level executives, who are much larger in number, stay in the budget hotels. This segment offers better realizations, as they demand relatively smaller discounts on room rents (about 10per cent-15per cent), use more of facilities such as PCs, fax multi-media, conference halls. Also, the Food and Beverage (F&B) revenues are better as they usually eat in the hotel itself due to their busy schedules.

The Leisure Traveller

The Leisure Traveller could either be a foreigner or a domestic traveller whose primary purpose of visit is holiday and site seeing. Among non-business foreign tourists the primary motivation for visiting India is largely cultural attraction followed by conferences and conventions, tourist attractions like beaches, wild life, hill resorts etc.

Usually, leisure travellers are part of a package run by a tour operator. The margins offered by leisure travellers tend to be lower because of two reasons. Firstly, they seek higher discounts and also provide less F&B revenues as they usually eat out. The business offered by this segment is highly seasonal and tends to peak in the September to March period.

Airline Cabin Crew

Airline Cabin Crew forms another important segment because of the repetitive and guaranteed nature of the business that they provide. Usually, these are a part of an annual contract whereby, in return for a fixed rate, a certain number of rooms are provided on demand for cabin crews. With discount rates in the range of 40per cent and 50per cent, this represents a low-yield segment for hotels in general.

PROSPECT OF HOTEL INDUSTRY

For people who think this is the industry for them, they really think about their personality and be sure they can thrive (and survive) in the atmosphere. It truly is different from anything else. It is critical that they work for a hotel while they are still in school, preferably in a few different hotels, and departments, so they can get a feel for it and know where they would be the happiest and most successful. The growth in the services sector of the worldwide economy has been phenomenal in the last 25 years. In the United States, services currently account for more than 75 percent of the gross domestic product (GDP), which is a popular measure of an economy's productivity. Similarly, on an international scale, services continue to account for an ever-increasing percentage of economic activity. Most new jobs are created in the service sector, and the growth in the hospitality and tourism industry is a major contributor. Until the mid-1980s, the emphasis within the marketing community was on products. Now services have surpassed products and have taken on a more important role in marketing. Services, such as those offered by providers in the hospitality and tourism industry, have developed marketing strategies and practices that are unique. It has been established that the strategies, tactics, and practices that have been used successfully for product marketers do not always work successfully for those who market services. With the distinct differences between products and services in mind, the field of services marketing has evolved.

SERVICES DEFINED

Unlike products, which are tangible, services are usually intangible. A service is not a physical good; rather, it is the performance of an act or a deed. This performance often requires consumers to be present during the production or delivery of the service. Service industries, including hospitality and tourism, are actually selling consumers an experience. Services have been defined to "include all economic activities whose output is not a physical product or construction, is generally consumed at the time it is produced, and provides added value in forms (such as convenience, amusement, timeliness, comfort or health) that are essentially intangible concerns of its first purchaser."¹ Service employees such as front desk agents, housekeepers, hostesses, wait staff, car rental agents, flight attendants, and travel agents are responsible for creating positive

experiences for customers. These frontline employees are critical to the success of service firms and play boundary-spanning roles because of their direct contact with customers. These roles are important because customers' perceptions of service firms are formed as a result of their dealings with the boundary-spanning employees. Several reasons underlie the remarkable growth in services.

The numerous reasons for this growth:

Changing patterns of government regulation: The reduction in government regulation has spurred the growth of services. In recent years, there has been a very noticeable shift towards the government taking a much less active role in the regulation of business activities. The most noteworthy of these shifts have been in the airline, trucking, telecommunication, and electrical generation and distribution industries. All of these industries have seen significant changes, as the barriers to entry have been removed and regulations governing such marketing elements as price have also been relaxed or entirely removed.

Relaxation of professional association restrictions on marketing: A new element of competition has been introduced into professions such as law and medicine as more of the practitioners in these areas advertise their services. Bans or restrictions on promotion have been largely removed. Within the hospitality and tourism industry, standards have also changed. We have seen an increase in advertising focusing on direct comparisons, or attacks, on competitors' products and services. This type of advertising strategy creates, or sustains, the perception of superiority in the mind of the consumer in favour of the brand being advertised.

Privatization of some public and nonprofit services: The term privatization was first used in Great Britain when the government adopted the policy of returning national industries from government to private ownership. This transformation has resulted in a greater emphasis on cost containment and a clearer focus on customers' needs. Later, in Central and Eastern Europe, following the fall of communism, we witnessed a continuing transformation from planned or government-run economies to market-driven economies fueled by private companies. Many of these countries' governments have released the control of airlines and travel agencies to private firms.

Technological innovation: Technology continues to alter the way firms do business and interact with consumers. In all types of businesses, consumers take a more active role in the service delivery process. For example, airlines, in an effort to reduce labour costs and increase speed of service to customers, have aggressively promoted self-check-in, both at the ticket counter and through their Web sites prior to arrival at the airport. Customers print boarding passes, receipts, and other documents without intervention by an airline employee. Express checkout for hotel guests has been in place for many years, but hotel chains continue to experiment with ways to enhance the service, thereby reducing labour costs and/or increasing the customers' perceived value.

In other settings, touch-screen computers collect feedback from guests, in much the same manner that comment cards have been used previously. The ease with which a company can maintain and access a database has permitted the development of sophisticated reservation systems and has led to more sophisticated frequent traveler Programmes. The use of more sophisticated reservations and property management systems has allowed hospitality and tourism firms to improve the level of service provided to guests. Guest history data serve as another example of how a hospitality organization can use technology to gain a competitive advantage. If a hotel guest requests a specific type of pillow, staff can record this preference within the individual's guest history file. When this guest checks into another hotel operated by the chain, the items that were previously requested can be waiting, without the guest even having to request them.

Growth in service chains and franchise networks: Much of the growth in service firms, including the hospitality industry, has been the direct result of franchising efforts by some of the major companies. Franchising represents a contractual arrangement whereby one firm (the franchisor) licenses a number of other firms (the franchisees) to use the franchisor's name and business practices. Notable lodging organizations such as Choice Hotels International and Marriott International, as well as food service firms such as McDonald's, Burger King, Taco Bell, and Wendy's, have all used franchising as a major vehicle for growth. The continued growth of the hospitality industry by means of franchising has put additional stress on independent owners and operators. In fact, each year the percentage of hospitality and tourism operations that are independently operated decreases.

Internationalization and globalization: Increasing shareholder value often remains directly associated with increasing company sales and profits, and globalization is one means of achieving this. As more and more of the prime locations are developed domestically, companies look internationally for expansion opportunities. This has been particularly true for fast-food franchisors: a significant proportion of their expansion during the last few years has occurred outside of their traditional domestic markets.

Pressures to improve productivity: In many industries within the service economy, competition stays very intense. This factor, when combined with the pressure from investors for higher returns on capital, has resulted in pressure to increase productivity and reduce costs. In many cases, managers seek to reduce labour costs by running leaner operations or using technology to replace humans for some tasks. An example of this was when Delta Airlines encouraged passengers to check in via the Internet, thereby reducing the number of passengers who wanted to check in at the airport. They offered an incentive of 1,000 extra frequent-flyer miles to any passenger who used this service. While increasing productivity and profits remains a highly desirable goal, it must not be done at the expense of long-term customer satisfaction. Without long-term satisfaction, future profitability may exist in jeopardy.

The service quality movement: With the advent of consumerism, the public's perception is that service quality has declined. In response, successful firms are using the customer's perception of quality to set performance standards, rather than relying solely on operationally defined standards for service quality. They often conduct extensive research to determine the key elements that impact the customer's perception of service quality. When Ritz-Carlton won the Malcolm Baldrige National Quality Award, this was tangible evidence that paying careful attention to customers' service expectations can have a dramatic impact on the firm.

Expansion of leasing and rental businesses: The expansion of businesses that lease equipment and personnel to firms has been a contributing factor in the growth of the service sector. More and more firms are looking to outsource some elements of their operation, and they often start with elements that are not part of the firm's core product or business. For example, most hotels that host meetings and conventions have outsourced the servicing of the audiovisual needs of groups to a company that specializes in that type of business. The company in turn leases the audiovisual equipment to groups that are holding meetings in the hotel. The company is able to provide more up-to-date and specialized equipment to groups than the hotel might if it provided the service itself. The hotel does not have to maintain an inventory of equipment, and therefore capital costs are reduced.

Manufacturers as service providers: Some of the firms that traditionally manufactured and distributed tangible products have found it profitable to provide services as well. For example, most automobile manufacturers have consumer credit agencies to facilitate the leasing and purchasing of automobiles. In the hospitality industry, PepsiCo decided to enter the restaurant industry and distribute its products through acquisitions such as Taco Bell and KFC, but the company later reconsidered this strategy and sold these brands to Yum! Brands, Inc. In the computer industry, firms such as IBM and Hewlett-Packard provide services in addition to hardware and software. In most cases, the profit margins on services are higher than on products, contributing significantly to the bottom line of the firm.

Pressures on public and nonprofit organizations to find new income sources: All organizations are under pressure to increase sales, which often becomes difficult within the traditional products that a firm sells. There are many reasons for this, but increasing competition and mature industries are often contributing factors. In an effort to find new sources of income, firms often seek new services that will generate new net sales, without cannibalizing sales of existing products. For example, a limousine company might expand its city tour business in addition to the other services offered.

Hiring and promotion of innovative managers: In the past, managers in the service industries often spent their entire careers within a single industry, or perhaps even with the same firm. This situation no longer reintroduction to services marketing mains the same, especially at the corporate level of management. Firms often hire individuals

from other industries to provide a fresh perspective and fresh ideas. The results can become dramatic. One such individual is Steven Bollenback, president and CEO of Hilton Hotels. Prior to his very positive impact on Hilton Hotels, he had engineered innovative financing at both Marriott International and Trump Hotels and Resorts.

ORGANIZATIONAL DEVELOPMENT AND LEARNING

Organizational learning is an area of knowledge within organizational theory that studies models and theories about the way an organization learns and adapts. In Organizational development (OD), learning is a characteristic of an adaptive organization, *i.e.*, an organization that is able to sense changes in signals from its environment (both internal and external) and adapt accordingly. OD specialists endeavor to assist their clients to learn from experience and incorporate the learning as feedback into the planning process.

Several models have been proposed that facilitate understanding of organizational learning:

- Argyris and Schon (1978) distinguish between single-loop and double-loop learning, related to Gregory Bateson's concepts of first and second order learning. In single-loop learning, individuals, groups or organizations modify their actions according to the difference between expected and obtained outcomes. In double-loop learning, the entities (individuals, groups or organization) question the values, assumptions and policies that led to the actions in the first place; if they are able to view and modify those, then second-order or double-loop learning has taken place. Double loop learning is the learning about single-loop learning.
- March and Olson attempt to link up individual and organizational learning. In their model, individual beliefs lead to individual action, which in turn may lead to an organizational action and a response from the environment which may induce improved individual beliefs and the cycle then repeats over and over. Learning occurs as better beliefs produce better actions.
- Kim, as well, in an article titled "The link between individual and organizational learning", integrates Argyris, March and Olson and another model by Kofman into a single comprehensive model; further, he analyzes all the possible breakdowns in the information flows in the model, leading to failures in organizational learning; for instance, what happens if an individual action is rejected by the organization for political or other reasons and therefore no organizational action takes place?
- Nonaka and Takeuchi developed a four stage spiral model of organizational learning. They started by differentiating Polanyi's concept of "tacit knowledge" from "explicit knowledge" and describe a process of alternating between the

two. Tacit knowledge is personal, context specific, subjective knowledge, whereas explicit knowledge is codified, systematic, formal, and easy to communicate. The tacit knowledge of key personnel within the organization can be made explicit, codified in manuals, and incorporated into new products and processes. This process they called “externalization”. The reverse process (from explicit to implicit) they call “internalization” because it involves employees internalizing an organization’s formal rules, procedures, and other forms of explicit knowledge. They also use the term “socialization” to denote the sharing of tacit knowledge, and the term “combination” to denote the dissemination of codified knowledge. According to this model, knowledge creation and organizational learning take a path of socialization, externalization, combination, internalization, socialization, externalization, combination... etc. in an infinite spiral.

- Nick Bontis empirically tested a model of organizational learning that encompassed both stocks and flows of knowledge across three levels of analysis: individual, team and organization. Results showed a negative and statistically significant relationship between the misalignment of stocks and flows and organizational performance.
- Flood discusses the concept of organizational learning with Peter Senge and the origins of the theory from Argyris and Schon. The author aims to “re-think” Senge’s *The Fifth Discipline* through systems theory. Where Senge’s work has been critiqued as a sort of an organizational guru’s self-help book, the author illustrates how advanced the concepts are by integrating them with key theorists such as Bertalanffy. Conceptualizing organizational learning in terms of structure, process, meaning, ideology and knowledge, theory development with the philosophy of science would further the discussion of how the theorists have been influenced by twentieth-century advances from the classical assumptions of science.

The work in Organizational Learning can be distinguished from the work on a related concept, the learning organization. This later body of work, in general, uses the theoretical findings of organizational learning (and other research in organizational development, system theory, and cognitive science) in order to prescribe specific recommendations about how to create organizations that continuously and effectively learn. This practical approach was championed by Peter Senge in his book *The Fifth Discipline*.

Diffusion of innovations theory explores how and why people adopt new ideas, practices and products. It may be seen as a subset of the anthropological concept of diffusion and can help to explain how ideas are spread by individuals, social networks and organizations. The world seems to be changing faster and faster—from the technologies available to us, to the increasingly global scope of our interactions. Moreover, the problems facing us as a global community seem to be growing ever

more complex and serious. How do we navigate such change and address these problems—not only in our work lives but also in our families, communities, and schools? We believe that organizations—groups of people who come together to accomplish a purpose—hold an important key to these questions. The field of organizational learning explores ways to design organizations so that they fulfill their function effectively, encourage people to reach their full potential, and, at the same time, help the world to be a better place.

This field is rooted in a set of powerful principles, values, and disciplines. As Peter Senge wrote in his seminal book *The Fifth Discipline: The Art and Practice of the Learning Organization*, an organization is learning when it can bring about the future it most desires. In the business community, learning is much more than just a way to create the future you want; in today's fast-paced, highly competitive work world, it may actually give your organization the edge it needs to survive—and thereby keep fulfilling its purpose.

Organizational learning focused originally on the practice of five core disciplines, or capacities, of which systems thinking forms the cornerstone:

- Systems thinking
- Team learning
- Shared vision
- Mental models
- Personal mastery

Let's take a closer look at these disciplines:

Systems thinking is the art of seeing the world in terms of wholes, and the practice of focusing on the relationships among the parts of a system. By looking at reality through a systems thinking “lens,” you can work with a system—rather than against it—to create enduring solutions to stubborn problems in every arena of your life. Practicing this discipline involves learning to recognize “signature” systemic behaviours all around you, and familiarizing yourself with some special terminology and some powerful tools unique to this field.

Team learning is what happens when a group of people working on something together experiences that rare feeling of synergy and productiveness that happens when you're “in the groove.” When a team is truly learning, the group as a whole becomes much more than just the sum of its parts. Practicing this discipline involves startlingly different kinds of conversations and a remarkable degree of honesty and mutual respect—all of which you can learn to do through familiarizing yourself with specific tools from this field.

Shared vision emerges when everyone in an organization understands what the organization is trying to do, is genuinely committed to achieving that vision, and clearly grasps how his or her role in the organization can contribute to making the vision real. Practicing this discipline involves knowing how all the parts of the organization work

together and being clear about how your own personal goals align with those of your organization. Mental models are the deep beliefs and assumptions we hold about how the world works. These models shape the decisions we make in life, the actions we take in response to events, and the ways in which we interpret others' behaviour. Practicing this discipline involves surfacing and testing your deepest assumptions and beliefs, and helping others do the same. Again, there are specific tools available from this field that can help you with this practice.

Personal mastery is the art of identifying what mark you want to leave on the world during your lifetime. That is, what's your unique purpose in life, and how do you want to go about fulfilling that purpose? Practicing this discipline involves some honest exploration of your own life experiences and desires and a willingness to take some risks. These five disciplines were originally outlined in 1990 in *The Fifth Discipline* and are core to many organizational learning efforts. We also believe there are many other disciplines that support and expand on the above five, including:

Corporate culture is that intangible "something" that influences the environments in which we work every day. Technically, culture is an anthropological concept. But in the field of organizational learning, it refers to the policies, beliefs, activities, and rituals that determine an organization's "personality." A company's culture can support or hinder learning, encourage or stifle creativity, and so on. Fortunately, we can shape our organizations' culture through careful attention to how we do things and treat one another in the workplace.

Corporate social responsibility addresses the question of how the business community fits into the larger social picture. Specifically, what responsibility do organizations have beyond just their own industries and arenas of competition? How do the actions of a particular organization or industry affect neighbourhoods, the public sector, educational institutions, and families? It's tempting to compartmentalize these dimensions of human life, but of course they all influence each other. The discipline of corporate social responsibility focuses specifically on these interconnections and ways in which businesses can make the larger social world a better place for everyone.

Dialogue focuses on new communication forms that strengthen a group's collective intelligence. This discipline offers several intriguing tools and techniques that may seem strange to you at first but that, with practice, will transform the way you talk with others, stimulating questions and insights that we often miss through traditional forms of conversation.

Leadership in the field of organizational learning takes on a particular focus. Specifically, the discipline of leadership explores how managers—and leaders at every level in an organization—can unleash the full potential of each and every employee in the organization. Often this involves moving away from more traditional command-and-control management structures and towards more fluid, self-organizing leadership. This discipline is truly redefining the role of management for businesspeople everywhere.

Sustainability, as a discipline, entails being thoughtful stewards of the natural resources on which our organizations depend. After all, if we use those resources without regard to their limits, we may deplete them permanently—and our organizations can't survive that. Sustainable management practices help us design organizations that respect and balance human needs with the natural cycles and limitations of our planet.

Work/life balance is another area receiving increasing attention in the organizational learning field. More and more, people are seeking to design their work so that they have room for the other important dimensions of their lives—family, community, self-development, and so on. At the same time, the boundaries between work and home life have blurred in recent decades. The discipline of work/life balance seeks to explore the ramifications of these changes and address the question of how to set priorities and find meaning in both our work and non-work lives.

Because everything really is structurally connected (systems thinking again!), an organization committed to true learning practices all of the above disciplines in some form, rather than tackling them in isolation. After all, they each reinforce one another, and when they come into alignment, the organization truly soars! And as we move into the 21st century, we'll no doubt see new disciplines emerge in this dynamic field.

CHANGE MANAGEMENT

Change management can take many forms and include many change environments. The most common usage to the term refers to organizational change management. Organizational change management is the process of developing a planned approach to change in an organization. Typically the objective is to maximize the collective benefits for all people involved in the change and minimize the risk of failure of implementing the change. The discipline of change management deals primarily with the human aspect of change, and is therefore related to pure and industrial psychology. Many technical disciplines (for example Information technology) have developed similar approaches to formally control the process of making changes to environments.

Change management can be either 'reactive', in which case management is responding to changes in the macroenvironment (that is, the source of the change is external), or proactive, in which case management is initiating the change in order to achieve a desired goal (that is, the source of the change is internal). Change management can be conducted on a continuous basis, on a regular schedule (such as an annual review), or when deemed necessary on a programme-by-programme basis.

Change management can be approached from a number of angles and applied to numerous organizational processes. Its most common uses are in information technology management, strategic management, and process management. To be effective, change management should be multi-disciplinary, touching all aspects of the organization. However, at its core, implementing new procedures, technologies, and overcoming

resistance to change are fundamentally human resource management issues. Attitudes towards change result from a complex interplay of emotions and [cognitive] processes. Because of this complexity everyone reacts to change differently. On the positive side, change is seen as akin to opportunity, rejuvenation, progress, innovation, and growth. But just as legitimately, change can also be seen as akin to instability, upheaval, unpredictability, threat, and disorientation. Whether employees perceive change with fear, anxiety and demoralization, or with excitement and confidence, or somewhere in between, depends partially on the individual's psychological makeup, partially on management's actions, and partially on the specific nature of the change.

An early model of change developed by Kurt Lewin (1951) described change as a three-stage process. The first stage he called "unfreezing". It involved overcoming inertia and dismantling the existing "mind set". Defence mechanisms have to be bypassed. In the second stage the change occurs. This is typically a period of confusion. We are aware that the old ways are being challenged but we do not have a clear picture to replace them with yet. The third and final stage he called "refreezing". The new mind set is crystallizing and one's comfort level is returning to previous levels.

An individual's attitude towards a change tends to evolve as they become more familiar with it. The stages a person goes through can consist of: apprehension, denial, anger, resentment, depression, cognitive dissonance, compliance, acceptance, and internalization. This emotional framework is a derivative of work by Elizabeth Kubler-Ross in her book "On Death and Dying" which dealt with the phases people experience when faced with the loss of family member or friend. Many employees, however, may not experience these phases, as their attitude towards change is heavily dependent on their view of the current state. When employees have a negative view of the current state they may anticipate and embrace change early in the process.

The ADKAR model developed by Jeff Hiatt (1998, 2006] for individual change management presents five building blocks that an individual must obtain to realize change successfully. These include awareness, desire, knowledge, ability and reinforcement. It is management's job to create an environment in which people can go through these stages as quickly as possible, including:

- Building awareness of why the change is needed
- Creating desire to support and participate in the change
- Developing knowledge of how to change
- Fostering ability to implement new skills and behaviours
- Providing reinforcements to sustain the change

Organizations are ruled by laws of complexity (The systemic/complexity principle) Emerging evidence from systems thinking and complexity science indicates that large systems show a different behaviour from their single parts. System theory talks about organizations as "non-trivial machines" (like the human body, etc.), whose behaviour cannot be predicted or calculated by a computer. These new sciences are applied to

organizational development and change, for example in Appreciative Enquiry, Open Space Technology, Systemic Constellations, etc. We are living in a field which is a whole (The quantum principle) Most of our day-to-day assumptions are still based on classical Newtonian mechanics, which usually are applied to working with organizations. For example, most people would assume that if A is true, B is false. There is a growing number of thinkers who relate change in organizations to Quantum Mechanics, which teaches us that if A is true, B is equally true - just another side of the coin -, and that A could not exist without B. Observers (or consultants, or leaders) are always part of a field, which they influence but by which they are influenced themselves instantly. Some examples for the application of Quantum Mechanics to Change Management: - Process Oriented Psychology by Arnold Mindell, talks about the field in which each human relationship exists. Its application field, Worldwork, intends to transform systems by shifting roles that people unconsciously hold in a system. - Dialogue (by David Bohm) is a new form of communication in large groups which is based on the suspension of assumptions, thus letting the common knowledge of 'container' emerge. - Appreciative Enquiry, one of the most frequently applied approaches to organizational change, is partly based on the assumption that change in a system is instantaneously.

Below are several well known concepts in which the Change Management practice is rooted. There is some overlapping in these concepts and its practice, the tools derived from these ideas are often used interchangeably.

- Process Oriented Psychology
- Theme Centred Interaction
- Transactional Analysis
- Systems Thinking/ Family Therapy
- Neurolinguistic Programming
- Communication Theory
- Whole Systems Change
- Total Quality Management
- ADKAR (a model used in Change management that connects organizational change management to individual change management).
- Change Management Excellence: Putting NLP to Work

The Formula for Change was developed by Richard Beckhard and David Gleicher and is sometimes referred to as Gleicher's Formula. The Formula illustrates that the combination of organisational dissatisfaction, vision for the future and the possibility of immediate, tactical action must be stronger than the resistance within the organisation in order for meaningful change to occur.

Management's first responsibility is to detect trends in the macroenvironment so as to be able to identify changes and initiate programmes. It is also important to estimate what impact a change will likely have on employee behaviour patterns, work processes, technological requirements, and motivation. Management must assess what employee

reactions will be and craft a change programme that will provide support as workers go through the process of accepting change. The programme must then be implemented, disseminated throughout the organization, monitored for effectiveness, and adjusted where necessary.

Proper management of change to industrial facilities and processes is recognized as critical to safety, since complex processes can be very sensitive to even small changes. In the US, OSHA has regulations that govern how changes are to be made and documented. The main requirement is that a thorough review of a proposed change be performed by a multi-disciplinary team to ensure that as many possible viewpoints are used as possible to minimize the chances of missing a hazard. Change management in this context is referred to as Management of Change. Management of change is just one component of Process Safety Management. There were several large industrial accidents in the 60s and 70s that could be seen as the impetus for this regulation. As other examples, poor change management most likely played a part in the plane crash that killed John Denver, and was questioned in modifications to the fishing vessel in the book *The Perfect Storm* that may have made the ship less stable.

BEING A HOSPITALITY PROFESSIONAL

The hospitality industry can offer a promising future for IT professionals wanting to make an exciting career. In recent years, the scope of IT professionals in this industry has been on the upswing. International brands are coming to India bringing along state-of-the-art technologies, which other local brands will need to match up to. This has begun to open up new avenues for the IT professional to implement, learn and to develop. The accelerated infusion of computerised systems and sub-system transactions sweeping the hospitality industry has spurred IT professionals to look at the industry as a potential workplace. The challenge to integrate computer interface and the need to accelerate upgradation of technology usage so as to lower costs has added allure to this industry.

Just six years ago, all the IT professionals wanted to do was set base within the IT industry. But today the non-IT companies, including hotels, are proving to be equally lucrative. Jobs that are being targeted are in the areas of database management and administration, security and technical support. In fact, the hospitality industry holds sway over other industries as well. It is one sector which cannot choose to outsource simply because of the security aspect and a dedicated in-house team is considered to be better equipped to solve problems.

The worth of IT professionals is well recognised by the industry and an IT job is as important in hotels as in any other industry. No hotel can run without IT support these days. Moreover, the hotel industry offers unique challenges that make it more attractive to the IT professionals.

EDP DOMAIN

The basic responsibility of the EDP or IT department in a hotel is to maintain all the computer systems, cater to troubleshooting of all hotel management software such as Fidelio, Point of Sale (POS) management system, Materials Management System (MMS), BOSS, etc, over and above managing the hotel's web site. From the guests' point of view, IT should solve any frustrating computer-related problems.

Information management plays a very important role in hotels on a daily basis for successful management requirements of internal and external customers. With automation coming to the fore, there are packages used to support the needs of a unit or a group. This package may either be customised or taken off the shelf. To oversee the smooth functioning of the software package being used, most hotels have an EDP department where the manager is required to enhance the usability of the package. But this can be a remote requirement since in most cases the package bought by the unit comes with an after-sales service option.

Indeed, the management laps up any form of automation, which may support the hotel's cause to generate customer satisfaction and retention. IT requires constant upgradation and bringing in new advancements which involves the finance department at every step. Moreover, IT being in the know-how of valuable and confidential information related to finance, it is the finance department in many hotels that oversees the IT department.

The Right Man

The industry considers certain qualities as necessary for becoming a successful head of the hotel industry. These include job knowledge in becoming a successful IT head, knowledge in setting up networks, experience with various software packages (Micros, Fidelio), familiarity with different types of servers, switches, routers, etc. One should be in a position to work under pressure and meet timelines. The IT professional must be up-to-date and aware of new technologies introduced in the market. Other than this, he must be an effective listener, a team player and a quick learner.

An IT professional can grow in the hotel industry starting as an executive and moving up to become head of the department. There are various growth positions, but it calls for total dedication and continual improvement. When selecting candidates, hotels generally look for persons with good personality traits - the ability to communicate, educational qualification to match the post and experience.

Other than the candidates' qualifications and personality traits, we also look for resourcefulness, his ability to keep abreast with new developments with in-depth knowledge of the technicalities and the ability to solve problems not just over the phone but attend to the needs personally. The aspirant should have good management skills and be a team player.

Growth Potential

This is one industry that makes an effort to constantly utilise its funds for upgradation and introduction of new technologies. Every IT professional wants to be associated with and learn about new technologies. The hotel industry gives such IT professionals a chance to broaden their horizons thus making it an attractive option. One's growth is determined by one's capability and willingness to work. The pay is very rewarding. One's remuneration does not stop at the monthly pay package - there are hosts of incentives given while on the job. Over and above this, performance-based benefits and schemes provided make working for the hospitality industry that much more rewarding.

MANAGEMENT STYLE IN THE HOSPITALITY INDUSTRY

It is widely accepted that managers' approach to employment relations, often referred to as management style, is the result of choices that are influenced by certain constraints. The nature of the product and labour markets, organizational status and structure, including size of workplace, and culture are chief among the factors thought to place constraints on managers. Managers, as much as workers and customers, are never truly free agents. We have already noted how economic, technical, social, legal and political factors external to the workplace provide boundaries that may constrain managers' behaviour and actions. We also discussed how managers' personal frame of reference will inform the choices they make about the strategies, policies and practices they pursue, and why power relationships are integral to this process. Of particular note here is the virtual absence of trade unions to act as a countervailing force to counteract managerial power. The HI sustains a mere 2 per cent trade union density.

Managers must be able to exercise choice otherwise we would not be able to account for variations in management style among similar types of firm. In seeking to control events managers may be constrained by their own rational thinking of what is good and bad, failing to recognize that opposites are often very closely related and may even coexist simultaneously. The right to manage is so deeply ingrained into behaviour and thinking that it may dominate over their tacit acceptance of a more pluralist ethos. Hence 'a constant underlying pressure within management both to resist any extension of joint regulation and to restore unilateral regulation wherever and whenever circumstances allow'. HRM is often seen as unitarist and a reassertion of managerial prerogative, especially the 'hard' version, even though the 'soft' variant contains some positive attributes.

While we can debate the extent to which particular constraints affect the choices that particular managers make in particular circumstances, this approach still implies a rationality that does not account for pragmatism, opportunism and reacting to events.

This approach is beginning to emerge as an alternative. That said, we take as a universal truth that all HI employers place high priority on seeking to control labour costs. As we shall argue this is achieved predominantly through ‘low road’ practices that may be both intentional and/or the result of pragmatism or opportunism. This approach is so successful that managers have no incentive to take the ‘high road’. Organizations that focus on quality in the service encounter exceptionally approach the management of employment by the ‘high road’ using more sophisticated and developmental HRM practices, but not necessarily in respect of the workforce as a whole.

CONSTRAINTS AND CHOICES

To cope with market uncertainties managers can opt for the external regulation of employment matters, choose to develop their own internal responses, or use a combination of both. Grimshaw et al. (2001) argue that internal and external market pressures mutually interact to shape employment strategy, generating a wide range of possibilities for different workforce groups. The weakening of national regulatory and collective bodies in the UK, and the accompanying widening of scope for managerial prerogative, has made managing an even more uncertain process.

Marchington and Parker (1990) suggest that stable product markets will encourage the development of ‘high road’ practices based on partnership, job security, systematic recruitment, selection, training and development, two-way communications and formal procedures. Turbulent market conditions, which affect large parts of the HI, militate against long-term policies, even in larger companies. They will drive ‘low road’ practices based on hire and fire, ad hoc recruitment, selection, training and development, low pay, one-way communication, if any, from management, and lack of procedures, reinforcing a culture of macho management.

If the economic climate deteriorates firms may be forced to change route towards ‘low road’ practices, graphically illustrated by the case of British Airways (BA). Keenoy (1997) identifies a wide-ranging programme of ‘soft’ measures, including improvements to communications and leadership, while maintaining a ‘hard’ approach to headcount. In respect of cabin crew, Boyd (2001) argues that ‘soft’ HRM in the form of a sanctimonious mission and policy statement may have provided a smoke screen for short-term, cost-reducing HRM leading to work intensification.

Case study research has identified a more complex pattern of highly firm specific policy solutions in response to a variety of different internal and external pressures. Contradictory outcomes emerge as new policies capitalize on changing external conditions at the expense of organizational demands. New policies may be unsustainable where on aggregate they fail to develop workforce skills or fulfill career expectations. Considerable emphasis on recruitment and training in hotels, which is symptomatic of labour flux, militates against uptake of new HRM initiatives of a longer-term nature.

Organization status and structure, including size of workplace will also serve to constrain the extent to which managers can exercise choice. Not all managers own and control their own business, and in larger hotel companies, restaurant and public house chains, and contract catering firms, managers are themselves also workers reporting to a more senior manager. Managers' choices are constrained by organizational policies, as well as by the actions of other managers and subordinates. Management is necessarily a messy business. Achieving organizational goals through people is a complex and political process, political in the sense that it involves choosing how to reconcile differences among colleagues of different status and power who may be senior managers, peers or subordinate workers. Some large HI organizations comprise many small workplaces, so we cannot necessarily generalize their management style to singlesite workplaces.

Owner managers of small firms have more freedom to make rules on the 'hoof', as there are no precedents or constraints from any higher authority. Surplus labour supply of amply skilled labour, and the simple division of labour are conducive to an ad hoc management style within the economic determinism approach of externalization. As Riley et al. (2000) note, productivity is largely a matter of matching supply to demand in the short term, because of the almost instantaneous impact of customer trends on labour supply. This dynamic instability based on stochastic demand creates and continually reinforces a short-term perspective where small unit structure creates a style of management that is good at improvising. Reliance on a plentiful supply of unskilled labour from the labour market and hire and fire serve to enhance managerial power. The manager may be aware of the constraint of unfair dismissal legislation. By making a simple risk assessment, the manager will calculate that a fired worker will probably not bother to make a claim, if eligible, because alternative work is easily secured (and a replacement easily obtained). If the worker does proceed to employment tribunal, at worst there will be a cheap out-of-court settlement, because of the worker's low pay and short service.

Culture can be considered on three levels - organizational, national and occupational - with some crossover between the first two in the case of MNCs. Two American Case study 3.1 Workplace structure in the Australian hotel industry

Hotels may appear to be structured bureaucracies under the control of a general manager, but are essentially organic structures within which departmental managers have considerable autonomy and responsibility. Each department is a unique entity controlled by a manager skilled in that work who hires and fires, and determines the categories of labour to be used, the tasks to be performed and the timing of work.

The autonomy and responsibility invested in departmental managers encourages an informal management style and a system of rule-making that shapes the pattern of labour use (initial engagements tend to be casual), and encourages the growth of informal work practices between manager and worker designed to engender loyalty and

commitment. Departmentalization and labour flexibility forms part of the hierarchy of control, shifting transaction costs (of uncertainty) to the worker, protecting the hotel from unfair dismissal litigation, and using behaviour and discipline to determine permanent employment status.

Weak and low-status HRM within hotels militates against participation in new HRM practices, such as multi-skilling, because managers fear other departments may poach good staff. This acts as a barrier to strong internal labour markets, so the external market becomes a significant mechanism for the allocation of skill.

MNCs, McDonald's and Disney, have been hailed as 'influential models of excellence in the development of particular organisational cultures or systems of production and job design with their respective implications for management and the conduct of employee relations'. International chains display more sophisticated HRM, *e.g.* in Greece. Larger units and those owned by foreign chains appear to veer towards the 'best practice' models of HRM.

Organizational culture encapsulates 'the way we do things around here'. Culture and values underpin the organization's identity and core purpose and new initiatives in employment relations and HRM may entail programmes of culture change, especially where there is a conscious shift towards a service quality (SQ) culture. Redman and Mathews (1998) argue that the traditional dichotomy between the 'high road' and the 'low road' has been increasingly challenged by effective quality management systems resulting in both improved quality and reduced costs. This reflects a new approach to corporate management. 'Organisational culture is rooted in the future and change' whereas work-based culture is rooted in the here and now. Occupational culture may be more readily identifiable within skilled occupations such as chefs, and may create adversity in the employment relationship where professional values conflict with commercial values. Employment relations systems reflect the society in which they operate.

Case study: Effects of Institutional Change on Large Hotels in New Zealand

A major change in the law in 1991 was designed to shift employment relations from a highly regulated environment to a minimalist and market led regime. In spite of the opportunity presented for firms to innovate on the basis of high commitment work practices, there was neither any evidence of a complete displacement of the traditional pattern of collective relations nor any indication of HRM practices designed to secure workforce commitment. Rather, any changes made to improve communications did not diminish the level of managerial control typical of the industry.

People in different countries approach work in different ways. Interestingly many of the countries discussed in this book (Australia, Canada, Britain, New Zealand and the US) display 'Anglo' characteristics - a belief in equality, acceptance of uncertainty, emphasis on personal initiative and achievement, and the right to a private life. Money

and material standards are important. By contrast European countries, largely in relation to geographical location, fall into four groups and are more diverse. Approaches that may work well in one country do not necessarily transplant well to other countries. Local managers may resist the incursion of expatriate managers who are socialized in a different culture. The application of western practices to transitional economies such as Bulgaria, and Russia may be difficult to achieve, particularly in Slovakia where there are few MNCs. Differences in national institutional arrangements and the extent to which employment systems rely on detailed regulation and labour codes contribute to national cultural differences. Changes to national institutions have not necessarily impacted upon employment relations practices.

Models and Maps

Models and maps of employment relations have developed from the constraints and choices approach in an attempt to depict variations in the management style of employment relations.

A useful start point is Purcell and Sisson's (1983) five ideal types of industrial relations management:

- Traditionalists are hostile to trade unions, exploit their workforce and believe in management's right to manage.
- Sophisticated paternalist/human relations embodies strong management, but with concern for employees' welfare. Unions are kept at bay by giving employees good pay and terms of employment.
- Sophisticated moderns accept trade unions as a positive force, and there is strong emphasis on developing and maintaining informal and formal procedures for resolving disputes. There are two types of sophisticated moderns. 'Consulters' accept unions but also deploy techniques designed to enhance individual commitment. 'Constitutionalists' place more emphasis on collective agreements.
- Standard moderns take a pragmatic approach to industrial relations with recognized trade unions, with line managers taking the lead.

In reviewing management styles we have discounted any model that embraces trade unions and a collective approach because, to all intents and purposes, these are not relevant to the HI in Britain. Indeed Streeck's (1987) system of industrial governance without trade unions bears a remarkable resemblance to the way in which many HI managers have traditionally 'done business'. The managerial line of command and authority is the only institution necessary to maintain control in highly uncertain market conditions, hence the perceived legitimacy of a unitarist form of employment relations. While we do not include the McDonaldisation model here, we can note that managers often display a management style derived from an individualist and unitarist approach. HRM is dealt with separately. Of course models and maps are not absolute constructs, as Kessler and Purcell note:

- Style is a preferred way of managing employees that may be amended in practice.
- Firms may have no real style, being essentially opportunistic in reaction to events, and cannot be depicted.
- Styles may differ in relation to different groups, notably managers, highly skilled workers and peripheral workers.

We can add a fourth point - management styles may be gendered. Rutherford's (2001) study of male and female managers in an airline confirms differences in their approach to management. Men tend to follow a more command and control style with a distancing of personal self, while women are more communicative and caring, with more emphasis on people skills such as listening rather than mere performance of the task. That said the business function is the most important determinant of management style.

The locus of management style for employment relations in the HI is best identified as falling somewhere within the models and maps of non-union relations. All authors, with the exception of Scase (1995), attribute directly or implicitly their particular approach as applicable to the HI. We should note that Lucas's (1996a) and Sisson's (1993) approaches were based on WIRS3.

Approaches to non-union employment relations

'Traditional' cost-minimization/no collectivism (Kessler and Purcell, 1995)

- Labour is a cost and factor of production
- Employee subordination part of the natural order
- Fear of union interference '!' opposition or kept at arm's length
- Low pay and no job security
- Little or no training

'Fraternal autocracy'

- High financial rewards to obtain short-term commitment from skilled workers
- Owner-managers work alongside employees
- Managerial prerogative conditioned by weak market position of most employees who are unskilled
- Low pay, poor working conditions
- Non-union

'Bleak house'

- Unorganized conflict (high labour turnover and accidents)
- No grievance and health and safety procedures
- No communications and employee involvement
- No consultative committees
- Lack of employment security, including temporary contracts
- High rate of dismissals

'Black hole'

- No HRM or industrial relations
- Small privately owned organizations

- Pragmatic and authoritarian cost-cutting approaches
- Low-skill, short-service marginal workers
- Low pay and insecure conditions of employment
- Little employee involvement
- ‘Unbridled individualism’
- High degree of managerial prerogative in the absence of organized labour
- Employers regard workers as a commodity to be controlled and constrained
- Low pay
- High employee quit rates, sickness, absence, injury, and use of grievance procedure
- High use of disciplinary sanctions and dismissal
- More limited opportunity for employees to challenge management
- Little consultation, especially on health and safety, or employee involvement
- ‘Determined opportunism’
- High degree of managerial prerogative in the absence of organized labour
- Workforce structuring includes high reliance on so-called casuals with no contract
- Majority of workforce (‘peripheral’ unskilled) are subject to more ‘hard’ form of HRM
- Not constrained in dismissing workers, failing to comply with many minimum legal requirements, or observing the law in spirit
- Extreme instance of ‘retaining control/cost-control’ management

Doherty (2002) argues that the way in which the state of employment management in the HI is perceived depends on how it is benchmarked, either as industrial relations/personnel management or HRM. She suggests that the measure of HRM may invite more positive conclusions, especially in larger organizations and workplaces.

There may be some truth in this where the issue of service quality has been embraced, predicated on a redefinition of organizational purpose and a programme of culture change that embraces a clear strategy for long-term success and competitive advantage. Here there is some considerable interest in HRM within hotel and restaurant chains cite the case of a luxury hotel in New Zealand where a distinct set of HRM practices introduced in support of the strategic decision towards quality enhancement demonstrated very positive outcomes against key performance indicators, especially overall guest satisfaction and financial performance. Indeed Hoque (1999a) asserts that hotels are more interested in HRM than manufacturing firms. Conversely do not find a clear relationship between business strategy and the approach to HRM in designer restaurants.

However, there are two problems with Doherty’s argument. All been developed explicitly as an alternative to the trade union/collective industrial relations paradigm. Second, her conclusion that HRM is about managerial control gained through indirect

and direct methods is not necessarily a good deal for the workers. Indeed one major piece of evidence she cites in support of this comes from research about management development, which suggests that managers may be the beneficiaries of ‘soft’ HRM, but not the workers, reaffirming that this variation of HRM is directed only at managers. Rather it infers a cost-minimization route for the majority, and is symptomatic of McDonaldisation where labour flexibility and work standardization militate against the development of strategic HRM systems and internal labour markets.

In discussing the role of HRM in the management of employment, we begin with an overview of key issues that encapsulate the way in which HRM has emerged and become established in mainstream thinking. Not everybody subscribes to a new HRM model and orthodoxy of ‘people management’, notably those maintaining the broadly personnel management tradition. Even then among both camps there is a considerable divergence of view as to what HRM (or personnel management) is and means, how it can be operationalized and its effects measured, and its relationship with corporate performance. As Woods (1999) suggests HR(M) is a paradox that has never really been mastered. We then turn in more detail to issues that have most relevance to the management of hospitality employment, notably to account for a psychological contract and service work.

UNDERSTANDING THE ROLE OF SMALL FIRMS IN THE HOSPITALITY INDUSTRY

There is no agreement in the literature about how “small firms” in the hospitality industry should be defined. Some commentators adopt quantitative criteria – notably numbers of employees – whereas others prefer qualitative approaches. Although the justifications for, and implications of, these diverging perspectives are important, since they have been discussed in detail elsewhere, it is unnecessary to repeat the arguments here. Of over-riding significance is the observation that whatever definition is adopted, the most commonly found hospitality enterprise is small. Yet, until recently, those engaged in hospitality management research had all but ignored small enterprises or, arguably, misunderstood their dynamics by treating them as scaled down versions of larger firms.

There is a growing consensus, however, that the size of firm and its sectoral context are likely to be important influences on the phenomenon being studied. As a consequence, more rigorous research is emerging relating to the management of such organizations and how they engage with the economy. Following an assessment of the sometimes conflicting evidence regarding the structure and related trends in the industry, this paper offers a critical review of what is currently understood about small hospitality firms. In addition, it concentrates particularly on the notion of entrepreneurship as evidenced in small firms.

The case is frequently made – from as early as Pickering *et al.* (1971) to, more latterly, Litteljohn (1993) and Mogendorff (1996) – that key sectors of the hospitality industry are becoming more concentrated. Moreover, it is suggested by some, notably Slattery (1994), that structural shifts in the UK economy have precipitated this development, at least as far as the hotel sector is concerned. In essence the argument is that smaller firms are being squeezed out of the market. To some extent, the evidence – represented by the growth of multiples, especially in the fast-food and accommodation sectors over recent decades – is incontrovertible.

However, the extent to which multiples have taken market share and will continue to grow at the expense of smaller operators is more questionable. As several commentators have pointed out (for example Morrison, 1998), many of the most widely cited statistics on the structure of the industry are partial in their coverage. Indeed, some go further, arguing that it is only since the creation of the DTI's *Statistical Bulletin* series some two years ago that it has become possible to gauge the structure of the industry with any degree of confidence. Thus, assertions about the demise of the small business sector must be treated with extreme caution.

This is particularly the case since some of the theoretical constructs that inform explanations and predictions of future structural change have also been sensibly challenged on the grounds of their crudeness. Peacock (1993) provides an alternative outlook in terms of the dynamics of the small business sector. He argues that standardisation – inherent in chain operations – stifles innovation. As a consequence, dynamic small firms might continue to thrive, even in prime locations. Given the low barriers to entry, and the highly segmented nature of demand, such an argument is not implausible. Certainly, recent survey evidence – which included a broad range of small tourism and hospitality firms – found that the majority of almost all the 1,400 firms sampled had experienced stability or growth in revenues, profits and employment during the 12 months prior to questioning and were optimistic about the future. In addition, comparison between the second and third *DTI Statistical Bulletin* suggests that in the case of hotels and restaurants, the proportion of employment and turnover accounted for by small firms has remained relatively constant. Clearly this is an issue which will require careful monitoring.

EUROPEAN UNION ACTIONS DURING 1994-1995 FOR PROMOTING HOSPITALITY INDUSTRY

In considering the actions taken by the European Union (EU), one can note 18 different cases with the potential to affect the hospitality and tourism industry. The first major concern for the industry is the imposition of VAT (value added tax) on tour and travel packages in March 1994. The impact of this action is likely to be a rise in the cost of holidays, as all trips sold will carry a 15 per cent common travel VAT rate. The European Tour Operators Association has requested European Members of Parliament to table

questions about future levels of VAT on travel packages, in the hope that the commission may look again at this regime. Within the same month, the European parliament concluded that it had failed in its attempt to gain wider political recognition for tourism. If entrance status had been secured, then many firms would have been entitled to industry grants.

The general feeling within tourism seems to be that insufficient political pressure was brought on the commission to bring tourism into the list of priorities for future programmes and funds. During April/May 1994 two relevant actions concerned with pre-payments of bookings made by telephone or letter were debated in the EU. This ban has been a matter of concern among hotel and tour operators in the UK. The background to this ban is the commission's preliminary aim of protecting consumers against fraudulent mail order.

In essence the aim of the directive was to provide guarantees for consumers, but its effect would have been to put small hotels and tour operators out of business. The proposals were stalled in the council and the Greek presidency drew up a compromise text which dropped the ban on pre-payments. A consensus was therefore agreed whereby services with reservations should be exempt from the article. Further actions were discussed that will effect the tourism industry. First, the commission proposed the details of cases where import duties are waived on the transportation of goods from one member state to another. This action is of great importance for cross-channel ferry operators, as well as airport retail shops.

Second, the commission drew up plans to help small businesses trading and operating across European borders. As the industry comprises many small businesses, this legislation may play a greater part in the success of these firms in the years to come. One of the most prominent actions undertaken by the EU during 1994, which will affect hotels, is the employment of third country nationals. The consensus here is that admitting third country nationals for employment purposes will from 1 January 1996 be 'the exception rather than the norm'. In future, admission of third country nationals for employment will only be allowed when vacancies cannot be filled by national and community manpower. This action will be of significance to hotels with its high level of temporary, seasonal and non-national workforce.

Finally, the commission published a guide to clarify the loans and grants available, which happened after reports in trade journals indicated that EC money was available for the industry. One of the most relevant EU actions in 1995 was the Commission's tourism action programme. Here the commission produced a proposal for the greater collection of statistical data, to be achieved by employing greater numbers of staff to do the work. Second, the commission issued a consultative document asking for comments from organizations involved in tourism, which could then be used to help generate new ideas. This document would also enable the commission to produce a list of all organizations in member states responsible for tourism.

Following previous work on small businesses in hospitality and tourism the commission produced a document on payment periods in commercial transactions. This recommendation is a response to calls for legislation enforcing prompt payment for goods and services between companies, as well as across borders. This should help those businesses that are having to wait long periods for payments from customers in other European countries.

Major Elements in Management of Tourism and Hospitality Industry Accommodations

Imagine that a certain holiday was one of the top ten best experiences of your life. Many factors would have contributed to this: the location, season, weather, service, cost, value, accommodations, activities and your state of mind; even who you traveled with or met. Perhaps, also, it was your expectations and the extent to which they were met or even exceeded. If any one factor fell short, your experience may still be memorable but it would not be the best that it could have been.

The recent surge in popularity of ecotourism has much to do with the search for a richer holiday experience by the guest. It also has much to do with the efforts of hospitality business people to differentiate their product in a world market that is awash with choices. By definition, ecotourism is connected directly to the natural and cultural environment of the destination. It enables the traveler to better appreciate a new environment, to experience a sense of adventure, to relax and perhaps to learn. This is life enrichment and sometimes it is escapism.

It is also good business when done, well. Every culture expresses itself and reveals its past through the creative actions of its people, which may be recreational as well as utilitarian. The activity of creating shelter is one of the most ancient of the human race's activities, it is therefore without any surprise that the built form of any culture reflects its deepest roots as well as its current direction. A tourism product that can sensitively recognise this, work within it or complement it, will guarantee unique product that is attractive to the travelling customer.

The resulting facilities will enhance the visitor experience and have the potential to define its success. The accommodations and facilities of an ecotourist operation set the tone for the guest experience. They are the structure that enables the business to prosper and guests to enjoy themselves. They are an integral part of the backdrop and stage set for the total combined experience. It is essential that the facilities are well considered in all respects and that they inform, and are informed by, the operations of the property, and are harmonious with the culture and natural landscape of their environment. The purpose of this lesson is to outline general concepts in the area of ecotourism accommodations, such as the practical issues associated with their development, and to illustrate these concepts with a case study from Daniel's Head, in Bermuda.

General Concepts on Ecotourism Accommodations

Building Type Opportunities. Ecotourism facilities are in a uniquely advantageous position since they are inherently more diverse than traditional hospitality products. A wide range of options is available when folding cultural activities with contemporary, vernacular or historical building forms (or variations of them) and applying them to the activities that are promoted in each facility. The design and construction of buildings, however, is not and should not be a casual decision. The need to decide how a new structure may be built for practical purposes, or how an existing structure can be renovated, is also an opportunity to communicate a message. This message can then be determined through the design and finish of this structure to support the goals and objectives of the operations and financial plan. A property that chooses to affix the label of being an ecotourism facility invariably conjures up the image of an alternative, rustic, low density or low impact facility.

This is understandable given the beginnings of ecotourism operations as tents, platforms, vernacular huts and similar lower density, less visible and relatively isolated facilities. This is also exciting in that the guest is able to have access, in comfort, to a lifestyle that would normally be unattainable without discomfort, risk or a time commitment they cannot afford. However, the ecotourism property is not necessarily restricted to this type. The 'eco' in ecotourism can be the 'back to nature,' 'get away from it all' or 'adventure' style of experience. It can also have a greater affiliation with the local culture and can be tied to the educational aspects of environmentally responsible living.

There is no reason why an ecotourism property cannot exist just as easily as a contemporary structure in a suburban or urban environment provided it is carefully located in a site or building of special affiliation to that culture through its vernacular architecture or iconographic status. It would, in addition, need to be accompanied by an operations programme of appropriate educational, cultural or environmentally focused activities. An exciting and memorable facility also has the option of being sited in renovated or newly built facilities. The former may be more challenging to adapt but could also be more economical.

In any event, existing buildings come with a history and a narrative of their past. It enriches a visitor's experience to be aware of and appreciate the events, the people and the modifications that have engaged their destination. It can be argued that the ecotourist is invariably an interested tourist. The facilities have to be presented intelligently, and they need to be available to provide the layers of interest that can enhance the vacation experience. If these can be made available at the guests' choosing then so much the better, for they will be able to relax and be stimulated when they wish. In all instances it is critical to avoid being casual in the process of choosing spatial allocations, materials and furnishings. These all have the ability to inform the guest on the culture and activities associated with the property. They can set a standard for comfort, or not, that can then

be coordinated with the rate structures and expectations of the guest. A traditional hotel invariably consists of one building with racked rooms above a ground floor assemblage of public spaces. A variation on this theme is a central facilities structure with individual accommodation units in the adjacent grounds. Motels and cottage colonies are polar opposites in the quality of this type of accommodation. The ecotourism product comes into its own most readily with this model of development. There is an inherent sense of an individual identity, and a small scale that appeals to the message of a quality vacation experience.

The field is, however, wide open in terms of considering the possible accommodation types. This is particularly applicable when the accommodation is the passport to access new experiences. Mountain huts for adventure tourists are without any central facilities and are way-points in a journey. A vehicle, like a boat or bus, may become the base for high-end luxury or communal living. Each contributes in its own way to providing a completely unique experience. A low impact tent may permit building approvals where a permanent structure would not normally be allowed. A mobile tent may permit a facility to have limited life span and be viable for a limited time measured in weeks or just a few years.

This could allow an operation to exist where land ownership or long-term commitments are not available. A lightly furnished room can set the tone for a sustainable lifestyle. This may be in keeping with a message on the limited nature of resources. Furnishings do not need to be cheap because they can evoke the quality of an austere oriental, simple living or high modern aesthetic but cast in the culture of the place in which the property is sited. Colour, as opposed to clutter, can also enrich both the interior and exterior. Architectural and design solutions may also be eschewed in favour of landscape options in which the materials and horticulture can define the atmosphere.

In the appropriate climate this has the added benefit of a constantly changing appearance. Small furnishings and fixtures, for example, can be something as simple as a mirror edged in sea glass. In this instance it can evoke childhood memories, can be made by local artisans, or on the property. It can demonstrate the recycling of materials (especially those that are discarded) and provides a unique accessory to a room's decor. It can also be made available for sale, thus providing additional revenue. The same could apply with wind chimes that have the added benefit of offering an additional (auditory) sensory experience.

Development Practicalities. The ideal of an ecotourism development concept is to marry a vision of the experience with environmental sustainability and the constraints of a successful business venture, in such a way that the enterprise can function pragmatically. A traditional hotel must equate the return on investment of an initial development or renovation with the cost of that investment. Land or property acquisition and development costs become the greatest initial expenses against, which future revenue must be equated. Theory holds that the greater the investment then the better the product

could be and the big-her the fee that can be charged. This becomes a more marginal proposition in developed markets where competition is greater and costs are higher. The ecotourism product can circumvent this by offering other advantages to the developer and different standards to the guest. The various development strategies that need to be taken into account to maximise the probability of product success. A useful question is 'How much does it really take for someone to be happy?' Less is sometimes more and a richness of experience can be offered in preference to opulence. Comfort cannot be compromised, but optimal comfort does not have to be bought by offering all modern conveniences.

DEMAND AND SUPPLY SCENARIO

INTERNATIONAL TOURIST TRAFFIC

The foreign tourist arrivals in India increased at CAGR of 5.5per cent from 2.29 million in 1996 to 3.92 million in 2005. Significantly, the bulk of international arrivals into India, both in 2004 and 2005, have been business travellers.

Main reason for this increase has been following fundamental factors:

- Development of infrastructure by the Government
- India's emergence as an outsourcing hub.
- India's growing recognition as an exciting place to visit ('The Readers Travel Awards 2006', conducted by Condé Nast Traveller has recently placed India at number four among the world's must-see countries, up from number nine in 2003) has helped boost its image as a leisure destination.
- India's strong GDP growth.
- Opening of sectors of the economy to private sector/foreign investment.
- Reforms in aviation sector which led to better connectivity with many countries (such as ASEAN) and created additional capacity on existing routes (for e.g. USA, Middle East). Also, introduction of low cost airlines also contributed to the demand. The increase in international flights, seat capacity and frequency into the country and the decision to allow private airlines like Jet Airways and Air Sahara to fly overseas has had a positive impact on tourist and business arrivals into India, by way of providing additional seats to key destinations.
- Strengthening of ties with the developed world.
- Success of "Incredible India" campaign and other tourism promotion measures.

SUPPLY SCENARIO

The estimates by HVS International, around 10,856 hotel rooms in Delhi, 9,318 rooms in Mumbai, 7,794 rooms in Bangalore and 7,408 rooms in Hyderabad are expected to be added by 2011.

MAJOR PLAYERS IN THE INDIAN HOTEL INDUSTRY

HOTEL CHAINS

They comprise major players including Indian Hotels Company Limited (the Taj Group) and associate companies, EIH Limited (the Oberoi Group), ITC Hotels Limited (the ITC Welcome Group), Indian Tourism Development Corporation (ITDC) and Hotel Corporation of India (HCI) (the latter two being under the Public Sector). Most of these chains had an established presence in one or more metro cities prior to the tourism boom of the 1980s. Subsequent to the tourism boom, these chains aggressively expanded their presence in other locations. The private players among the hotel chains are industry leaders and have well-established brand identities across the different industry segments.

Small Chains

They are companies that have come up after the tourism boom of the 1980s and 1990s. Due to lack of prior experience in the hotel industry, these players have preferred to opt for operating/management arrangements with international players of repute. Some of the companies in this category are Hotel Leela Venture (with Kempinski), Asian Hotels (Hyatt International Corporation), Bharat Hotels (formerly with Holiday Inn and Hilton and now with Intercontinental). As late entrants, most of these hotel companies have fewer properties, compared with the big chains. However most of these players have initiated expansion plans during the late 1990s.

Public Sector Chains

ITDC and HCI, boast of some of the best locations in major cities but are relative underperformers, as compared with their private sector counterparts.

International Hotel Chains

They are also looking at India as a major growth destination. These chains are establishing themselves in the Indian market by entering into joint ventures with Indian partners or by entering into management contracts or franchisee arrangements. Some of the players who have already entered or plan to enter the Indian market include Marriott, Starwood, Berggruen Hotels, Emaar MGF. Most of these chains have ambitious expansion plans especially with a strong focus on the budget segment and tier II cities.

Localized Hotel Companies

They are mainly comprise early entrants who have an established localized presence and who preferred not to expand during the tourism boom but focus on building and catering to a loyal customer base.

PROFILES OF SOME OF THE MAJOR PLAYERS IN THE HOTEL INDUSTRY

ITC/Sheraton Corporation

The Indian Hotels Company and its subsidiaries are collectively known as Taj Hotels Resorts and Palaces, recognised as one of Asia's largest and finest hotel company. Incorporated by the founder of the Tata Group, Jamsetji N Tata, the company opened its first property, The Taj Mahal Palace Hotel, Bombay, in 1903. The Taj, a symbol of Indian hospitality, completed its centenary year in 2003.

Taj Hotels Resorts and Palaces comprises 59 hotels at 40 locations across India with an additional 17 international hotels in the Maldives, Mauritius, Malaysia, United Kingdom, United States of America, Bhutan, Sri Lanka, Africa, the Middle East and Australia. The company has had a long-standing commitment to the continued development of the Indian tourism and hospitality industry. From the 1970s through the 1990s, the Taj played an important role in launching several of India's key tourist destinations. Working in tandem with the Indian government, the Taj developed resorts and retreats while the government developed roads and railways to India's hidden treasures.

ITC/Sheraton Corporation

Founded in 1957 by Capt. C.P. Krishnan Nair, the `4.5 billion Leela Group is engaged in the business of ready-made garments and luxury hotels and resorts. The Leela Kempinski, Mumbai and The Leela, Goa are two of the best hotels in India, and have also won considerable international acclaim. For this to have been achieved in 12 short years is nothing short of remarkable. Recently in 2001 Capt. Nair fulfilled his longstanding dream of constructing a palace hotel in the garden city of Bangalore.

The Leela Palace Kempinski, Bangalore is built in art deco style recreating the grandeur of The Mysore Maharajas Palace. It is set amidst 8 acres of landscaped garden and waterfalls. It is a palace with the heart of a modern hotel. Its 254 rooms are opulently furnished and are befitting royalty. The newest addition The Leela Kovalam is Kerala's largest resort, built on a rock face cradled between two wide sweeping beaches with a stunning view of the famous Kovalam coastline.

The Bharat Hotels Group

The Bharat Hotels group is a major player in India's tourism and hotel sector. It operates its hotels under 'THE GRAND' banner and its present portfolio of hotels incorporates FOURTEEN luxury hotels in the five-star deluxe segment. These include InterContinental 'The Grand' hotels in New Delhi, Mumbai, Goa and Srinagar and The Grand Ashok Bangalore, The Grand Laxmi Vilas Palace Udaipur and The Grand Temple View Khajuraho. Additionally, soon to open hotels in 2008-09 are – The Grand Great

Eastern Kolkata, The Grand Jaipur, The Grand Resort Bekal, The Grand Ahmedabad, The Grand Chandigarh, The Grand Noida and The Grand Fort Dubai. By 2009, the company plans to open hotels in Hyderabad, Amritsar and other key locations.

The EIH Ltd (The Oberoi Group)

Asian elegance is the key to running hotels, if you ask EIH (better known as The Oberoi Group). The company owns and operates about 20 luxury hotels, about 10 mid-range hotels, and two inland cruises; The Oberoi Group operates primarily in India, but also in Australia, Egypt, Indonesia, Mauritius, and Saudi Arabia. Most of the company's luxury properties bear the Oberoi banner. The company in 2004 joined forces with Hilton International to rebrand most of its mid-range hotels as Trident Hiltons (the former Oberoi Towers is now known as the Hilton Towers Mumbai). The Oberoi Group also operates luxury cruises of the Nile River and India's Kerala region.

India Tourism Development Corporation (ITDC)/The Ashok Group

India Tourism Development Corporation (ITDC) was established in 1966 as an autonomous public sector corporation, entrusted with the task of helping develop tourism infrastructure and promoting India as a tourist destination. The ITDC Ashok Group of hotel chains manages some of the best five star and luxury tour hotels in the Indian hospitality industry. The hotels run by the ITDC Ashok Group of hotel chains may be divided into different categories, these are elite hotels, comfort hotels and classic hotels. The ITDC Ashok Group of hotel chains manages 33 hotels in 26 different tourist destinations all over India.

The management of Ashoka Group believes in offering the best in the hospitality industry and the staff at each of the hotels run by the group is especially trained to be courteous and efficient. The Ashok Group of hotel chains boasts of running some of the best hotels in the Indian hotel industry. The hotels that are a part of the elite and classic category of the ITDC Ashok Group are the Ashok Hotel in New Delhi, the Kovalam Ashok Beach Resort in Kovalam, Kerala, the Agra Ashok in Agra, Hotel Jaipur Ashok in New Delhi and the Qutab Hotel in New Delhi. Most of the hotels managed by the ITDC Ashok Group have had the privilege of playing host to several international and national dignitaries.

The Hotel Corporation of India (HCI)

The Hotel Corporation of India Limited (HCI) is a public limited company wholly owned by Air India Limited and was incorporated on July 8, 1971 under the Companies Act, 1956 when Air India decided to enter the Hotel Industry in keeping with the then prevalent trend among world airlines. The objective was to offer to the passengers a better product, both at the International Airports and at other places of tourist interest, thereby also increasing tourism of India.

Jaypee Hotels Ltd.

Jaypee Hotels Limited primarily engages in the ownership and operation of hotels in India. The company owns three Five Star Deluxe Hotels, namely Jaypee Palace Hotel at Agra, and Jaypee Vasant Continental and Jaypee Siddharth Hotel at New Delhi. It also manages the operation of the hotels Jaypee Residency Manor at Mussoorie and Jaypee Green Resorts. In addition, Jaypee Hotels involves in construction operations. The company is headquartered in New Delhi, India. Jaypee Hotels Limited is a subsidiary of Jaiprakash Associates Limited.

Challenges of Internal Marketing and Hospitality Sales Management

NATURE AND SCOPE OF SALES MANAGEMENT

Sales management is a business discipline which is focused on the practical application of sales techniques and the management of a firm's sales operations. It is an important business function as net sales through the sale of products and services and resulting profit drive most commercial business. These are also typically the goals and performance indicators of sales management. Sales manager is the typical title of someone whose role is sales management. The role typically involves talent development and leadership.

Sales management facilitates the directions of activities and functions which are involved in the distribution of goods and services. According to Philip Kotler, "Marketing management is the analysis, planning implementation and control of programmes designed to bring about desired exchanges with target markets for the purpose of achieving organisational objectives.

It relies heavily on designing the organisations' offering in terms of the target markets needs and desires and using effective pricing, communication and distribution to inform, motivate and service the market." Sales or marketing management is concerned with the chalking out of a definite programme, after careful analysis and forecasting of the market situations and the ultimate execution of these plans to achieve the objectives of

the organisation. Further their sales plans to a greater extent rest upon the requirements and motives of the consumers in the market aimed at. To achieve this objective the organisation has to give heed to the right pricing, effective advertising and sales promotion, discerning distribution and stimulating the consumer's through the best services. To sum up, marketing management may be defined as the process of management of marketing programmes for accomplishing organisational goals and objectives. It involves planning, implementation and control of marketing programmes or campaigns.

IMPORTANCE OF SALES MANAGEMENT

Sales management has gained importance to meet increasing competition and the need for improved methods of distribution to reduce cost and to increase profits. Sales management today is the most important function in a commercial and business enterprise.

The following are the other factors showing importance of the sales management:

- Introduction of new products in the market.
- Increasing the production of existing products.
- Reducing cost of sales and distribution.
- Export market.
- Development in the means and communication of transportation within and outside the country.
- Rise in per capita income and demand for more goods by the consumers.

The Role of Sales Management

Although the role of sales management professionals is multidisciplinary, their primary responsibilities are:

- Setting goals for a sales-force;
- Planning, budgeting, and organizing a programme to achieve those goals;
- Implementing the programme; and
- Controlling and evaluating the results. Even when a sales force is already in place, the sales manager will likely view these responsibilities as an ongoing process necessary to adapt to both internal and external changes.

Goal Setting

To understand the role of sales managers in formulating goals, one must first comprehend their position within the organization. In fact, sales management is just one facet of a company's overall marketing strategy. A company's marketing programme is represented by its marketing mix, which encompasses strategies related to products, prices, promotion, and distribution. Objectives related to promotion are achieved through three supporting functions:

- Advertising, which includes direct mail, radio, television, and print advertisements, among other media;
- Sales promotion, such as contests and coupons; and
- Personal selling, which encompasses the sales force manager.

The overall goals of the sales force manager are essentially mandated by the marketing mix. The mix coordinates objectives between the major components of the mix within the context of internal constraints, such as available capital and production capacity. For example, the overall corporate marketing strategy may dictate that the sales force needs to increase its share of the market by five percent over two years. It is the job of the sales force manager, then, to figure out how to achieve that directive. The sales force manager, however, may also play an important role in developing the overall marketing mix strategies that determine his objectives. For example, he may be in the best position to determine the specific needs of customers and to discern the potential of new and existing markets.

One of the most critical duties of the sales manager is to accurately estimate the potential of the company's offerings. An important distinction exists between market potential and sales potential. The former is the total expected sales of a given product or service for the entire industry in a specific market over a stated period of time. Sales potential refers to the share of a market potential that an individual company can reasonably expect to achieve. According to Irwin, a sales forecast is an estimate of sales (in dollars or product units) that an individual firm expects to make during a specified time period, in a stated market, and under a proposed marketing plan.

Estimations of sales and market potential are often used to set major organizational objectives related to production, marketing, distribution, and other corporate functions, as well as to assist the sales manager in planning and implementing his overall sales strategy. Numerous sales forecasting tools and techniques, many of which are quite advanced, are available to help the sales manager determine potential and make forecasts. Major external factors influencing sales and market potential include: industry conditions, such as stage of maturity; market conditions and expectations; general business and economic conditions; and the regulatory environment.

Planning, Budgeting, and Organizing

After determining goals, the sales manager must develop a strategy to attain them. A very basic decision is whether to hire a sales force or to simply contract with representatives outside of the organization. The latter strategy eliminates costs associated with hiring, training, and supervising workers, and it takes advantage of sales channels that have already been established by the independent representatives. On the other hand, maintaining an internal sales force allows the manager to exert more control over the salespeople and to ensure that they are trained properly. Furthermore, establishing an internal sales force provides the opportunity to hire inexperienced representatives at

a very low cost. The type of sales force developed depends on the financial priorities and constraints of the organization. If a manager decides to hire salespeople, he needs to determine the size of the force. This determination typically entails a compromise between the number of people needed to adequately service all potential customers and the resources made available by the company. One technique sometimes used to determine size is the “work load” strategy, whereby the sum of existing and potential customers is multiplied by the ideal number of calls per customer. That sum is then multiplied by the preferred length of a sales call (in hours). Next, that figure is divided by the selling time available from one sales person. The final sum is theoretically the ideal sales force size. A second technique is the “incremental” strategy, which recognizes that the incremental increase in sales that results from each additional hire continually decreases. In other words sales people are gradually added until the cost of a new hire exceeds the benefit.

Other decisions facing a sales manager about hiring an internal sales force are what degree of experience to seek and how to balance quality and quantity. Basically, the manager can either “make” or “buy” his force. Young hires, or those whom the company “makes,” cost less over a long term and do not bring any bad sales habits with them that were learned in other companies.

On the other hand, the initial cost associated with experienced sales people is usually lower, and experienced employees can start producing results much more quickly. Furthermore, if the manager elects to hire only the most qualified people, budgetary constraints may force him to leave some territories only partially covered, resulting in customer dissatisfaction and lost sales.

After determining the composition of the sales force, the sales manager creates a budget, or a record of planned expenses that is (usually) prepared annually. The budget helps the manager decide how much money will be spent on personal selling and how that money will be allocated within the sales force. Major budgetary items include: sales force salaries, commissions, and bonuses; travel expenses; sales materials; training; clerical services; and office rent and utilities. Many budgets are prepared by simply reviewing the previous year’s budget and then making adjustments. A more advanced technique, however, is the percentage of sales method, which allocates funds based on a percentage of expected revenues. Typical percentages range from about two percent for heavy industries to as much as eight percent or more for consumer goods and computers.

After a sales force strategy has been devised and a budget has been adopted, the sales manager should ideally have the opportunity to organize, or structure, the sales force. In general, the hierarchy at larger organizations includes a national or international sales manager, regional managers, district managers, and finally the sales force. Smaller companies may omit the regional, and even the district, management levels. Still, a number of organizational considerations must be addressed.

For example:

- Should the force emphasize product, geographic, or customer specialization?
- How centralized will the management be?
- How many layers of management are necessary?

The trend during the 1980s and early 1990s was towards flatter organizations, which possess fewer levels of management, and decentralized decision-making, which empowers workers to make decisions within their area of expertise.

Implementing

After goal setting, planning, budgeting, and organizing, the sales force plan, budget, and structure must be implemented. Implementation entails activities related to staffing, designing territories, and allocating sales efforts. Staffing, the most significant of those three responsibilities, includes recruiting, training, compensating, and motivating sales people.

Before sales managers can recruit workers to fill the jobs, they must analyze each of the positions to be filled. This is often accomplished by sending an observer into the field. The observer records time spent talking to customers, traveling, attending meetings, and doing paperwork. The observer then reports the findings to the sales manager, who uses the information to draft a detailed job description. Also influencing the job description will be several factors, chiefly the characteristics of the people on which the person will be calling. It is usually important that salespeople possess characteristics similar to those of the buyer, such as age and education. The manager may seek candidates through advertising, college recruiting, company sources, and employment agencies.

Candidates are typically evaluated through personality tests, interviews, written applications, and background checks. Research has shown that the two most important personality traits that sales people can possess are empathy, which helps them relate to customers, and drive, which motivates them to satisfy personal needs for accomplishment. Other factors of import include maturity, appearance, communication skills, and technical knowledge related to the product or industry. Negative traits include fear of rejection, distaste for travel, self-consciousness, and interest in artistic or creative originality.

After recruiting a suitable sales force, the manager must determine how much and what type of training to provide. Most sales training emphasizes product, company, and industry knowledge. Only about 25 percent of the average company training programme, in fact, addresses personal selling techniques. Because of the high cost, many firms try to reduce the amount of training. The average cost of training a person to sell industrial products, for example, commonly exceeds \$30,000. Sales managers can achieve many benefits with competent training programmes, however. For instance, research indicates that training reduces employee turnover, thereby lowering the effective cost of hiring

new workers. Good training can also improve customer relations, increase employee morale, and boost sales. Common training methods include lectures, cases studies, role playing, demonstrations, on-the-job training, and self-study courses.

After the sales force is in place, the manager must devise a means of compensating individuals. The main conflict that must be addressed is that between personal and company goals. The manager wants to provide sufficient incentives for salespeople but also must meet the division's or department's goals, such as controlling costs, boosting market share, or increasing cash flow. The ideal system motivates sales people to achieve both personal and company goals. Good salespeople want to make money for themselves, however, a trait which often detracts from the firm's objectives. Most approaches to compensation utilize a combination of salary and commission or salary and bonus.

Although financial rewards are the primary means of motivating workers, most sales organizations employ other motivational techniques. Good sales managers recognize that sales people, by nature, have needs other than the basic physiological needs filled by money: they want to feel like they are part of winning team, that their jobs are secure, and that their efforts and contributions to the organization are recognized. Methods of meeting those needs include contests, vacations, and other performance based prizes in addition to self-improvement benefits such as tuition for graduate school. Another tool managers commonly use to stimulate their workers is quotas. Quotas, which can be set for factors such as the number of calls made per day, expenses consumed per month, or the number of new customers added annually, give salespeople a standard against which they can measure success.

In addition to recruiting, training, and motivating a sales force to achieve the sales manager's goals, managers at most organizations must decide how to designate sales territories and allocate the efforts of the sales team. Many organizations, such as real estate and insurance companies, do not use territories, however. Territories are geographic areas such as cities, counties, or countries assigned to individual salespeople. The advantage of establishing territories is that it improves coverage of the market, reduces wasteful overlap of sales efforts, and allows each salesperson to define personal responsibility and judge individual success.

Allocating people to different territories is an important sales management task. Typically, the top few territories produce a disproportionately high sales volume. This occurs because managers usually create smaller areas for trainees, medium-sized territories for more experienced team members, and larger areas for senior sellers. A drawback of that strategy, however, is that it becomes difficult to compare performance across territories.

An alternate approach is to divide regions by existing and potential base. A number of computer programmes exist to help sales managers effectively create territories according to their goals.

Controlling and Evaluating

After setting goals, creating a plan, and setting the programme into motion, the sales manager's responsibility becomes controlling and evaluating the programme. During this stage, the sales manager compares the original goals and objectives with the actual accomplishments of the sales force. The performance of each individual is compared with goals or quotas, looking at elements such as expenses, sales volume, customer satisfaction, and cash flow. A common model used to evaluate individual sales people considers four key measures: the number of sales calls, the number of days worked, total sales in dollars, and the number of orders collected. The equation below can help to identify a deficiency in any of these areas:

An important consideration for the sales manager is profitability. Indeed, simple sales figures may not reflect an accurate image of the performance of the overall sales force. The manager must dig deeper by analyzing expenses, price-cutting initiatives, and long-term contracts with customers that will impact future income. An in-depth analysis of these and related influences will help the manager to determine true performance based on profits. For use in future goal-setting and planning efforts, the manager may also evaluate sales trends by different factors, such as product line, volume, territory, and market. After the manager analyzes and evaluates the achievements of the sales force, that information is used to make corrections to the current strategy and sales programme. In other words, the sales manager returns to the initial goal-setting stage.

Environments and Strategies

The goals and plans adopted by the sales manager will be greatly influenced by the industry orientation, competitive position, and market strategy of the overall organization. It is the job of sales managers, or people employed in sales-management-related jobs, to ensure that their efforts coincide with those of upper-level management. The basic industry orientations are industrial goods, consumer durables, consumer nondurables, and services. Companies or divisions that manufacture industrial goods or sell highly technical services tend to be heavily dependent on personal selling as a marketing tool. Sales managers in those organizations characteristically focus on customer service and education, and employ and train a relatively high-level sales force. Sales managers that sell consumer durables will likely integrate the efforts of their sales force into related advertising and promotional initiatives. Sales management efforts related to consumer nondurables and consumer services will generally emphasize volume sales, a comparatively low-calibre sales force, and an emphasis on high-volume customers.

Michael Porter's well-received book *Competitive Strategy* lists three common market approaches that determine sales management strategies: low-cost supplier; differentiation; and niche. Companies that adopt a low-cost supplier strategy are usually characterized by a vigorous pursuit of efficiency and cost controls. A company that

manufactures nails and screws would likely take this approach. They profit by offering a better value than their competitors, accumulating market share, and focusing on high-volume and fast inventory turn-over.

Sales management efforts in this type of organization should generally stress the minimizing of expenses—by having sales people stay at budget hotels, for example—and appealing to customers on the basis of price. Sales people should be given an incentive to chase large, high-volume customers, and the sales force infrastructure should be designed to efficiently accommodate large order-taking activities. Companies that adhere to a differentiation strategy achieve market success by offering a unique product or service. They often rely on brand loyalty or a patent protection to insulate them from competitors and, thus, are able to achieve higher-than-average profit margins.

A firm that sells proprietary pharmaceuticals would likely use this method. Management initiatives in this type of environment would necessitate selling techniques that stressed benefits, rather than price. They might also entail a focus on high customer service, extensive prospecting for new buyers, and chasing customers that were minimally sensitive to price. In addition, sales managers would be more apt to seek high-calibre sellers and to spend more money on training.

Firms that pursue a niche market strategy succeed by targeting a very narrow segment of a market and then dominating that segment. The company is able to overcome competitors by aggressively protecting its niche and orienting every action and decision towards the service of its select group. A company that produced floor coverings only for extremely upscale commercial applications might select this approach. Sales managers in this type of organization would tend to emphasize extensive employee training or the hiring of industry experts. The overall sales programme would be centered around customer service and benefits other than price. In addition to the three primary market strategies, Raymond Miles and Charles Snow claim that most companies can be grouped into one of three classifications based on their product strategy: prospector, defender, and analyzer. Each of these product strategies influences the sales management role. For example, prospector companies seek to bring new products to the market. Sales management techniques, therefore, tend to emphasize sales volume growth and market penetration through aggressive prospecting. In addition, sales people may have to devote more time to educating their customers about new products.

Defender companies usually compete in more mature industries and offer established products. This type of firm is likely to practice a low-cost producer market strategy. The sales manager's primary objective is to maintain the existing customer base, primarily through customer service and by aggressively responding to efforts by competitors to steal market share. Finally, analyzer companies represent a mix of prospector and defender strategies. They strive to enter high-growth markets while still retaining their position in mature segments. Thus, sales management strategies must encompass elements used by both prospector and defender firms.

Regulation

Besides markets and industries, another chief environmental influence on the sales management process is government regulation. Indeed, selling activities at companies are regulated by a multitude of state and federal laws designed to protect consumers, foster competitive markets, and discourage unfair business practices. Chief among anti-trust provisions affecting sales managers is the Robinson-Patman Act, which prohibits companies from engaging in price or service discrimination. In other words, a firm cannot offer special incentives to large customers based solely on volume, because such practices tend to hurt smaller suppliers.

Companies can give discounts to buyers, but only if those incentives are based on savings gleaned from manufacturing and distribution processes. Similarly, the Sherman Act makes it illegal for a seller to force a buyer to purchase one product (or service) in order to get the opportunity to purchase another product, a practice referred to as a “tying agreement.” A long-distance telephone company, for instance, cannot necessarily require its customers to purchase its telephone equipment as a prerequisite to buying its long-distance service. The Sherman Act also regulates reciprocal dealing arrangements, whereby companies agree to buy products from each other. Reciprocal dealing is considered anticompetitive because large buyers and sellers tend to have an unfair advantage over their smaller competitors.

Also, several consumer protection regulations impact sales managers. The Fair Packaging and Labeling Act of 1966, for example, restricts deceptive labeling, and the Truth in Lending Act requires sellers to fully disclose all finance charges incorporated into consumer credit agreements. Cooling-off laws, which commonly exist at the state level, allow buyers to cancel contracts made with door-to-door sellers within a certain time frame. Additionally, the Federal Trade Commission (FTC) requires door-to-door sellers who work for companies engaged in interstate trade to clearly announce their purpose when calling on prospects.

INTERNAL MARKETING

Internal marketing is an ongoing process that occurs strictly within a company or organization whereby the functional process aligns, motivates and empowers employees at all management levels to consistently deliver a satisfying customer experience. Relationship marketing stresses what it calls internal marketing. This refers to using marketing techniques within the organization itself. It is claimed that many of the traditional marketing concepts can be used to determine what the needs of “internal customers” are. According to this theory, every employee, team, or department in the company is simultaneously a supplier and a customer of services and products.

An employee obtains a service at a point in the value chain and then provides a service to another employee further along the value chain. If internal marketing is

effective, every employee will both provide and receive exceptional service from and to other employees. It also helps employees understand the significance of their roles and how their roles relate to others'. If implemented well, it can also encourage every employee to see the process in terms of the customer's perception of value added, and the organization's strategic mission. Further it is claimed that an effective internal marketing Programme is a prerequisite for effective external marketing efforts.

Key concepts of internal marketing include:

- IM functioning as a continual internal 'upskilling' process.
- Alignment of the organization's purpose with employee behaviour.
- Employees internalizing the core values of the organization.
- Motivation, reframing and empowerment of employee attitude.
- Inside-out management approach.
- Retaining a positive customer experience throughout the business objectives

Internal marketing used to be such a simple thing: an occasional product training day, a product launch at the annual sales conference, and a few memos to staff. Today's internal marketer faces a sterner, and much more crucial, task – driving and even changing organisational culture to ensure a business both survives and thrives. The Australian Marketing Institute's May webinar, 'Internal marketing', presented two case studies of internal marketing success, one which saved an Australian icon from oblivion and another that brought discipline and focus to a fragmented, uncoordinated recruitment operation.

The AMI webinar series is conducted through the online technology of Premier Global Services, which sponsors these professional development events. Members can participate in webinars from their home or work computer from any location in the world via the Internet and a standard telephone voice line. The first presenter was Maree Howard, head of HR, product manufacturing, AMP Financial Services who told of how the company had recovered from a near-death experience that began in 2002. Its biggest business had breached its minimum regulatory solvency level, precipitating a public crisis that quickly cost the jobs of the CEO, most of the senior management, the chairman, most of the board, and 500 employees. "It was really quite a bewildering time for the employees," Howard said.

"AMP was still basking in the glow from the Olympics and they still thought everything was great. All the messages that had been given to them by senior management was that we were a company with a grand vision for global expansion. "The organisation had to change very quickly and the existing culture that we had just wasn't going to help the process. The new senior management team was passionate about tackling really deep-seated cultural issues." Howard said AMP quickly had to become a nimble and commercial organisation.

This started with job and cost cutting, and then moved into remaking the culture. "We got through this period largely thanks to our senior leaders displaying absolute passion and commitment and integrity for our company, and they took the rest of us

with them for the ride,” Howard said. AMP realised that its culture was not as performance focused as it needed to be, and that there were several strong internal beliefs that would inhibit the necessary changes. These were:

Inhibiting belief	Reframed belief
Big is safe	High performance is our only security
Low cost means low quality	Examples of where this is not so, such as Toyota
Low performance is tolerated	There are adverse consequences for low performance and higher performance gets higher rewards
Risk and control are boring	Risk management is about business survival and high performance
I need to be involved in	I trust those with the accountability everything

Howard said that the key message was “only high performance will give us security”. “That was a very confronting message for our employees,” she said. “What it was really talking about was that nobody owes us a living and that our heritage counts for very little on its own. “It also gave us a very measurable goal for our employees.

It allowed us to continually send a message to our staff that we need to raise the bar and that staying as we are, it’s just not an option. We were trying to align our high performers and challenge our low performers, to say ‘Is this still really the right place for you because this organisation is changing’.” AMP chose a ‘back to basics’ approach to communicate its cultural change. It eschewed the glossy brochures, coffee cups and abseiling-type options and instead relied on the passion and personal integrity of its senior leaders to transmit the messages, consistently and repeatedly. The message became ‘The AFS story’. “We used story telling as our platform for delivering our message,” Howard said. “It’s quite a personal message, and we made our leaders use their own personal credibility and put their own reputations on the line for the way they delivered the story. “Our leaders talk about what makes them get up and come to work each morning. Why they are staying with AMP. What do they see the future actually holding. The beauty of it was that it allowed the message to be personalised in a way from that leader and not as some glossy corporate message that was delivered without adequate content.”

Reinforcing the New Messages

The AFS Story was launched at “town hall sessions”, where the managing director talked about his belief in and passion for AMP and what could be achieved. Leaders in each part of the business supported and emphasised the core messages, making all employees think about how they could align with the new AMP. To reinforce the new cultural messages, AMP moved quickly to make changes to its structure, which was highly symbolic within AMP. “We moved our business to bring accountability closer to the individual, and not just held at a senior level,” Howard said. “We tried to engage everybody into the new vision for the business.”

AMP also reset the levers of its performance management systems. Misaligned benefits and handouts that sent the wrong messages were eliminated to get people

thinking the new way. “We wanted to send the message that high performers in AMP will receive higher awards,” Howard said. “We clearly focused on *how* people achieve the goals within their business line and their business strategy.” Howard said that one of the important lessons AMP learnt was that for messages to produce sustainable change, they had to be repeated continuously.

“We repeat them on a number of levels and using a number of mediums,” she said, from the managing director through to the local team leader. AMP has now moved its ‘burning platform’ from survival mode into ‘burning ambition’. “So the goals are clearly aspirational; we are still on the journey,” she said. “We have moved from ‘high performance is our only security’ to ‘high performance is our best shot at winning’. We are trying to move people’s mindsets around wanting to be part of a winning team, that AMP can actually be a winning team. Who is it that we aspire to be? What is it that AMP could be for Australia in the future?”

AMP conducted testing during the cultural change process to check that it was working, using direct staff polling via telephone contact. As the changes were realigning the staff to business results, financial indicators were also used a measure of success. “What our results tell us is that it does feel like quite a different place,” Howard said. “We have moved on very much from 2002. People are choosing to stay with AMP in a very hot employment market, and we’re finding that as people leave the business it’s not because of the way that we have moved the culture, it’s for other reasons.”

Howard said the key message from the AMP journey was to “create a burning platform. That’s always the most powerful driver of change, it just feels quite painful when you are going through it. Create really simple messages. And when you are in a time of crisis, I think the integrity and commitment of the leaders is the key way to deliver it”.

The Search for Best Practice

The marketing team identified and reviewed the best practices among units to ensure they were in line with brand integrity and DFR outcomes, with the aim of building standardised procedures and processes for the recruitment of new ADF personnel. The result was the *Regional Marketing Guide*, which was tested with Tasmanian units in 2003, modified, and rolled out Australia wide during 2004 through launch workshops.

The Regional Marketing Guide is a paper-based manual that contains target marketing information: unit-specific demographic information; planners; activity guides; proven marketing and recruitment activities with step-by-step guidelines, artwork and tools; a full suite of advertising artwork and collateral; and reporting functions and evaluation tools. “We were not talking about coming up with complex modelling or anything; we were just talking about standardising the simple approaches to local marketing, which

include activity guides and how to run an information session, and so on,” Crosbie said. The key part of the Regional Marketing Guide strategy was that it was not sent out to the units unsupported. A purpose-built call centre contacted every unit across Australia, once a fortnight, every fortnight – in the process discovering an additional 30-40 reserve units! The call centre has accumulated a huge amount of information about the reserve units and has ended up being a key source of Army Reserve information. The call centre staff check how each unit is going with its marketing and advertising, and keys the units into the ‘how to’ resources available in the Regional Marketing Guide. The guide is also complemented by a bi-monthly, hard-copy newsletter, as many of the units do not have access to good-quality technology and downloading large PDFs is not possible.

Evaluation Results were Positive

The marketing team conducted an evaluation of the Regional Marketing Guide strategy.

The outcomes showed that:

- At the launch workshops, 98% of participants believed the guide would meet their objectives.
- The guide was adopted by 100% of Army Reserve units.
- A satisfaction survey achieved a 100% rating for the guide as meeting unit requirements.
- The achievement of the DFR’s recruitment target rose from 66% to 90%.
- Relations between DFR and the reserve units improved considerably, as the units could see that DFR was adding to the value of their business.
- Awareness of national DFR marketing campaigns rose from 15% to 80%, as the units had media plans for across Australia and could see the creative that was being sent out nationally.
- There was more efficient allocation of budget and resources for marketing.
- There was more consistent brand execution at local levels.
- Units came to understand the importance of evaluating their campaigns, and to feel that they were actually part of a larger organisation.

RELATIONSHIP MARKETING

Relationship marketing is a form of marketing that evolved from direct response marketing in the 1960s and emerged in the 1980s, in which emphasis is placed on building longer term relationships with customers rather than on individual transactions. It involves understanding the customer’s needs as they go through their life cycles. It emphasizes providing a range of products or services to existing customers as they need them.

DEVELOPMENT OF RELATIONSHIP MARKETING

The origins of relationship marketing observes: “What is surprising is that researchers and businessmen have concentrated far more on how to attract customers to products and services than on how to retain customers”. The initial research was done by Leonard Berry at Texas A&M and Jag Sheth at Emory, both of whom were early users of the term “Relationship Marketing”, and by marketing theorist Theodore Levitt at Harvard who broadened the scope of marketing beyond individual transactions.

In practice, relationship marketing originated in industrial and B2B markets where long-term contracts have been quite common for many years. Academics like Barbara Bund Jackson at Harvard re-examined these industrial marketing practices and applied them to marketing proper. According to Leonard Berry, relationship marketing can be applied: when there are alternatives to choose from; when the customer makes the selection decision; and when there is an ongoing and periodic desire for the product or service.

Fornell and Wernerfelt used the term “defensive marketing” to describe attempts to reduce customer turnover and increase customer loyalty. This customer-retention approach was contrasted with “offensive marketing” which involved obtaining new customers and increasing customers’ purchase frequency. Defensive marketing focused on reducing or managing the dissatisfaction of your customers, while offensive marketing focused on “liberating” dissatisfied customers from your competition and generating new customers.

There are two components to defensive marketing: increasing customer satisfaction and increasing switching barriers.

Traditional marketing originated in the 1960s and 1970s as companies found it more difficult to sell consumer products. Its consumer market origins molded traditional marketing into a system suitable for selling relatively low-value products to masses of customers. Over the decades, attempts have been made to broaden the scope of marketing, relationship marketing being one of these attempts. Marketing has been greatly enriched by these contributions.

The practice of relationship marketing has been greatly facilitated by several generations of customer relationship management software that allow tracking and analysing of each customer’s preferences, activities, tastes, likes, dislikes, and complaints.

This a powerful tool in any company’s marketing strategy. For example, an automobile manufacturer maintaining a database of when and how repeat customers buy their products, the options they choose, the way they finance the purchase etc., is in a powerful position to custom target sales material. In return, the customer benefits from the company tracking service schedules and communicating directly on issues like product recalls.

Customer Retention

At the core of relationship marketing is the notion of customer retention. According to Gordon, relationship marketing involves the creation of new and mutual value between a supplier and individual customer. Novelty and mutuality deepen, extend and prolong relationships, creating yet more opportunities for customer and supplier to benefit one another.

Studies in several industries have shown that the cost of retaining an existing customer is only about 10% of the cost of acquiring a new customer so it can often make economic sense to pay more attention to existing customers.

It is claimed by Reichheld and Sasser that a 5% improvement in customer retention can cause an increase in profitability of between 25 and 85 per cent depending on the industry. However Carrol, P. and Reichheld, F. dispute these calculations, claiming they result from faulty cross-sectional analysis.

According to Buchanan and Gilles, the increased profitability associated with customer retention efforts occurs because:

- The cost of acquisition occur only at the beginning of a relationship, so the longer the relationship, the lower the amortized cost.
- Account maintenance costs decline as a percentage of total costs.
- Long-term customers tend to be less inclined to switch, and also tend to be less price sensitive. This can result in stable unit sales volume and increases in dollar-sales volume.
- Long-term customers may initiate free word of mouth promotions and referrals.
- Long-term customers are more likely to purchase ancillary products and high margin supplemental products.
- Customers that stay with you tend to be satisfied with the relationship and are less likely to switch to competitors, making it difficult for competitors to enter the market or gain market share.
- Regular customers tend to be less expensive to service because they are familiar with the process, require less “education”, and are consistent in their order placement.
- Increased customer retention and loyalty makes the employees’ jobs easier and more satisfying. In turn, happy employees feed back into better customer satisfaction in a virtuous circle.

Relationship marketers speak of the “relationship ladder of customer loyalty”. It groups types of customers according to their level of loyalty. The ladder’s first rung consists of “prospects”, that is, people that have not purchased yet but are likely to in the future. This is followed by the successive rungs of “customer”, “client”, “supporter”, “advocate”, and “partner”. The relationship marketer’s objective is to “help” customers get as high up the ladder as possible. This usually involves providing more personalized service and providing service quality that exceeds expectations at each step.

Customer retention efforts involve considerations such as the following:

1. Customer valuation - Gordon describes how to value customers and categorize them according to their financial and strategic value so that companies can decide where to invest for deeper relationships and which relationships need to be served differently or even terminated.
2. Customer retention measurement - Dawkins and Reichheld calculated a company's "customer retention rate". This is simply the percentage of customers at the beginning of the year that are still customers by the end of the year. In accordance with this statistic, an increase in retention rate from 80% to 90% is associated with a doubling of the average life of a customer relationship from 5 to 10 years. This ratio can be used to make comparisons between products, between market segments, and over time.
3. Determine reasons for defection - Look for the root causes, not mere symptoms. This involves probing for details when talking to former customers. Other techniques include the analysis of customers' complaints and competitive benchmarking.
4. Develop and implement a corrective plan - This could involve actions to improve employee practices, using benchmarking to determine best corrective practices, visible endorsement of top management, adjustments to the company's reward and recognition systems, and the use of "recovery teams" to eliminate the causes of defections.

A technique to calculate the value to a firm of a sustained customer relationship has been developed. This calculation is typically called customer lifetime value. Retention strategies also build barriers to customer switching. This can be done by product bundling, cross selling, cross promotions, loyalty Programmes, increasing switching costs, and integrating computer systems of multiple organizations. Many relationship marketers use a team-based approach. The rationale is that the more points of contact between the organization and customer, the stronger will be the bond, and the more secure the relationship.

The Broad Scope of Relationship Marketing

Relationship marketing has been strongly influenced by re-engineering. According to re-engineering theory, organizations should be structured according to complete tasks and processes rather than functions. That is, cross-functional teams should be responsible for a whole process, from beginning to end, rather than having the work go from one functional department to another. Traditional marketing is said to use the functional department approach.

This can be seen in the traditional four P's of the marketing mix. Pricing, product management, promotion, and placement are claimed to be functional silos that must be accessed by the marketer if she is going to perform her task. According to Gordon, the

marketing mix approach is too limited to provide a usable framework for assessing and developing customer relationships in many industries and should be replaced by an alternative model where the focus is on customers and relationships rather than markets and products. In contrast, relationship marketing is cross-functional marketing. It is organized around processes that involve all aspects of the organization.

In fact, some commentators prefer to call relationship marketing “relationship management” in recognition of the fact that it involves much more than that which is normally included in marketing. Martin Christopher, Adrian Payne, and David Ballantyne at the Cranfield Graduate school of Management claim that relationship marketing has the potential to forge a new synthesis between quality management, customer service management, and marketing. They see marketing and customer service as inseparable.

In spite of this broad scope, relationship marketing has not lost its core marketing orientation though. It involves the application of the marketing philosophy to all parts of the organization. Every employee is said to be a “part-time marketer”. The way Regis McKenna puts it: “Marketing is not a function, it is a way of doing business marketing has to be all pervasive, part of everyone’s job description, from the receptionist to the board of directors.” Because of this, it is claimed that relationship marketing is a more pure form of marketing than traditional marketing.

The Six Markets Model

Adrian Payne from Cranfield University goes further. He identifies six markets which he claims are central to relationship marketing. They are: internal markets, supplier markets, recruitment markets, referral markets, influence markets, and customer markets.

Referral marketing is developing and implementing a marketing plan to stimulate referrals. Although it may take months before you see the effect of referral marketing, this is often the most effective part of an overall marketing plan and the best use of resources.

Marketing to suppliers is aimed at ensuring a long-term conflict-free relationship in which all parties understand each other’s needs and exceed each other’s expectations. Such a strategy can reduce costs and improve quality. Influence markets involve a wide range of sub-markets including: government regulators, standards bodies, lobbyists, stockholders, bankers, venture capitalists, financial analysts, stockbrokers, consumer associations, environmental associations, and labour associations.

These activities are typically carried out by the public relations department, but relationship marketers feel that marketing to all six markets is the responsibility of everyone in the organization. At times Payne sub-divides customer markets into existing customers and potential customer, yielding seven rather than six markets. He claims that each market will require its own strategies and recommends separate marketing mixes for each of the seven.

When to Use Relationship Marketing

Relationship marketing and transactional marketing are not mutually exclusive and there is no need for a conflict between them. However, one approach may be more suitable in some situations than in others. Transactional marketing is most appropriate when marketing relatively low value consumer products, when the product is a commodity, when switching costs are low, when customers prefer single transactions to relationships, and when customer involvement in production is low.

When the reverse of all the is true, as in typical industrial and service markets, then relationship marketing can be more appropriate. Most firms should be blending the two approaches to match their portfolio of products and services. Virtually all products have a service component to them and this service component has been getting larger in recent decades.

Criticisms of Relationship Marketing

Internal marketing and the six markets model has been criticised as not really being marketing at all. At the core of marketing is the marketing philosophy of first determining what the market wants, then providing it. It is doubtful that this is what is occurring in influence markets, supplier markets, recruitment markets, or internal markets. What is occurring is closer to public relations, persuasion, and management. It appears to be marketing because it uses some marketing techniques, but it would more accurately be described as salesmanship.

Relationship theorists tend to compare themselves to traditional marketing. In doing so they frequently present traditional marketing in an unfavourable light. For example, Adrian Payne claims that traditional marketing concentrates on product features, has minimal interest in customer service, limited customer contact, and quality is primarily a concern of production. Although there may still be some marketers that think this way, these statements have not reflected marketing best practices for more than three decades.

THE ROLE OF THE EMPLOYEES IN INTERNAL SALES

As an Internal Sales Executive, you will be responsible for generating new business for hospitality. New business will be generated via outgoing telephone calls only, on the back of product evaluations, marketing campaigns and general sales enquiries.

MAIN DUTIES

- Call on opportunities generated from specific marketing campaigns, procured databases, reseller databases and incoming evaluations
- Make 60 dials, with 20 contacts per day

- Work with Channel Managers and their resellers in joint marketing campaigns, giving input into the creation of data lists, agreeing timescales/dates of campaigns and agreeing on a mechanism for feedback of information to the account manager and the reseller
- Accurately update in-house database information
- Support other sales teams on specific campaigns and ensure that accurate and complete information is passed to the appropriate account manager on time
- Conduct both specific and general awareness campaigns to promote hotel facilities and products within targeted markets, as directed by Manager, Marketing or Channel Partners
- Develop and maintain detailed knowledge of both hotels and competitor products and services

EMPLOYEE EMPOWERMENT

People are firm's most underutilized resource. In the new knowledge economy, independent entrepreneurship and initiative is needed throughout the ranks of the organization. Involvement in an organization is no longer a one-way street. In today's corporate environment a manager must work towards engaging organization forcefully enough to achieve its objectives. New knowledge-based enterprises are characterized by flat hierarchical structures and multi-skilled workforce. Managers assume more leadership and coaching tasks and work hard to provide employees with resources and working conditions they need to accomplish the goals they've agreed to. In brief, managers work for their staff, and not the reverse.

Empowerment is the oil that lubricates the exercise of learning. Talented and empowered human capital is becoming the prime ingredient of organizational success. A critical feature of successful teams, especially in knowledge-based enterprises, is that they are invested with a significant degree of empowerment, or decision-making authority. Equally important, employee empowerment changes the managers' mind-set and leaves them with more time to engage in broad-based thinking, visioning, and nurturing.

This intelligent and productive division of duties between visionary leaders, focusing on emerging opportunities, and empowered employees, running the business unit day to day provides for a well-managed enterprise with strong growth potential. Employee empowerment is a two sided coin. For employees to be empowered the management leadership must want and believe that employee empowerment makes good business sense and employees must act.

Let us be clear about one thing immediately, employee empowerment does not mean that management no longer has the responsibility to lead the organization and is not responsible for performance. If anything the opposite is true. Stronger leadership and

accountability is demanded in an organization that seeks to empower employees. This starts with the executive leadership, through all management levels and includes front line supervisors. It is only when the entire organization is willing to work as a team that the real benefits of employee empowerment are realised.

For an organization to practice and foster employee empowerment the management must trust and communicate with employees. Employee communication is one of the strongest signs of employee empowerment. Honest and repeated communication from elements of the strategic plan, key performance indicators, financial performance, down to daily decision making. If an organization has not be actively cultivating employee empowerment, it may take considerable time and effort before employees start to respond. Often the first efforts and communications are met with employee derision and mockery. Those who are only interested in trying the latest management fad will give up when met with this response. A good rule of thumb for communications to employees is to enumerate what management considers adequate and then multiple by a factor of ten.

When considering employee understanding and acceptance of decisions consider how long it takes for the management team to discuss and then make a decision. Allow several multiples of this time for employees to think about the issue. For management wanting employee empowerment the evidence will not come across the board with wide spread acceptance. A small number will accept the invitation to become more involved, say 3-5 per cent. The rest will be watching every move to see what happens. Every communication, decision and action by management will be viewed as either supporting a move to employee empowerment or not. Probably nothing demonstrates the commitment or lack of commitment to employee empowerment more than promotions and selection for leadership positions.

Employees know those that attempt to “shine up while dumping down”. For an organization to enjoy the returns from employee empowerment the leadership must diligently work to create the work environment where it is obvious to all that employee empowerment is desired, wanted and cultivated. Management’s responsibility is to create the environment for employee empowerment. When organizational leadership has started to take actions to encourage employee empowerment it is then up to the employees to decided if they wish to take advantage of the opportunity or not. It is not unusual for only a small minority to accept the challenge initially. Also it is very likely that some fraction will never respond. It is the large middle group that must be convinced to practice employee empowerment.

It is our conviction that most organizations have exactly the level of employee empowerment the management wants. This is demonstrated by the amount of communications, level of training provided employees, opportunities for personal growth, the solicitation and implementation of ideas, the recognition and reward system, promotion and advancement criteria, and uncountable little signals from management

that demonstrate whether employees are valued or not. When Six Sigma is deployed in an organization employees have numerous opportunities to demonstrate that they are empowered. Unless there is employee motivation to accept and act on the opportunities little will change. Employee empowerment is evidenced by working with a six sigma project team to understand the changes coming out of the project. Being a participant using improvements found by others is a form of empowerment. Employee can demonstrate empowerment by suggesting areas or processes that might be candidates for a six sigma project. Part of employee empowerment is the recognition by management that often people who most know of pressing needs for improvement are those who have to work in the process.

Employee empowerment can take the form of being asked to bring expert knowledge to six sigma projects. Even if not a full time member of the project team the fact that competence and first hand experience are valued and an employee is willing to help demonstrates a level of empowerment. The employee can volunteer to serve on a project team as a Green Belt. This usually means that the employee has some subject matter expertise in the process scoped for a project. By completing the Green Belt training the employees will learn the Fundamental Improvement tools and will learn how to use the Define Measure Analyse Improve and Control steps as part of problem solving. With this additional skill sets the empowerment of the employee is increased, they are able to work more effectively and efficiently in solving problems and providing potential solutions. Employees can make it know that they would like to become Black Belts. This form of employee empowerment assumes that the employee has the necessary skills and ability to complete the Black Belt training. Usually this means a college level education with comfort in mathematics and if not some statistical understanding a willingness to learn. One of the strongest signs from employees is when they take the lead to advance their skills and knowledge with education and training either provided by the organization or out side the organization. Management has the obligation to create the environment that fosters employee empowerment, employees have the duty to accept the opportunity and demonstrate they are willing and capable.

INTERNAL MERCHANDISING

Many marketing efforts that should be assigned to specific people for coordination sometimes fall between the cracks. The great majority of hotels have a basic problem that makes it difficult to be as successful as they could be. The problem is that many of the marketing responsibilities are ignored or not given the attention they require. It all starts with the definition of marketing. To understand the problem, we must look at the definition of marketing. Here's one definition: Marketing is the blending and controlled supervision of all efforts that affect the sale of your product. What are these efforts? There are a number of separate but related efforts that affect the sale of a hotel product.

- Research
- Public relations, including relations with the community, prospects, present customers and employees
- Product design
- Pricing
- Selling
- Yield/revenue management
- Media advertising
- Packaging
- Direct mail
- Planning/evaluation
- Internet marketing
- Internet merchandising

So what's the problem? When hotel general managers are asked as to who is responsible for their marketing, they often say, "We have a director of sales who handles that." Then later, when the directors of sales are asked to define their responsibilities, they usually include the following: all groups requiring sleeping rooms, plus corporate and government transient business. Going back to the list of marketing efforts, who then is handling such efforts as public relations, packaging, internal merchandising, pricing, Internet marketing, and food and beverage marketing? The conclusion is always the same. Many of the efforts that should be assigned to specific people for coordination have fallen between the cracks and are handled on a piecemeal basis as the need arises. Even in large hotels, where marketing staffs are larger and the responsibilities a little better defined, some efforts still fall between the cracks. For example, seldom does one find a hotel that has a well-thought-out annual plan for internal merchandising. If you ask what tent card will be featured in the sleeping rooms next month, you get lots of blank stares. Many hotels that are members of national brands leave it up to the brand to do all of the internal merchandising without thinking about how this medium can be used to promote local restaurants and packages that would benefit greatly from this simple marketing effort. As far as pricing is concerned, seldom does a marketing plan indicate that a specific package will go up in price by \$10 on a specific date. The reason usually is that no one person takes responsibility to give pricing the attention it deserves throughout the year, rather than just during the week that budgets are submitted for the coming year.

HOW TO PULL IT TOGETHER

What is needed is that close looks is taken at all of the responsibilities and establish a marketing committee chaired by your general manager to coordinate all of these activities? Spread the responsibilities throughout the hotel so several of your people will be responsible to the marketing committee for every aspect of the plan. This concept

involves getting more employees involved in the marketing of the hotel and encourages advance planning to replace the old “next Sunday is Mother’s Day and we have to get an ad in the paper by 2 this afternoon” concept of marketing, a practice that wastes money and drives us to complete frustration. Planning your marketing in an orderly fashion will build a positive team spirit that will motivate your people as never before.

Producing Effective Materials

Generally customers don’t want to read a lot of information before they find something interesting. Customers need to be inspired to ‘try and buy’. Use words that are descriptive and eye catching.

Describe the freshness of the product:

- Pure
- Real
- Hand picked each day
- Free range
- Natural
- Freshly squeezed
- Fresh

Describe the environment:

- Corn fed
- From our local market
- ‘Happy animals’
- A herd name
- Home grown

Describe the overall product:

- Local flavour
- Inventive use of ingredients
- Ask your supplier what words they would use!
- Traditional
- House speciality
- Chilled

SALES TECHNIQUES

Every retail store operates under the goal of overcoming the other competition in the market to create brand dominance and/or large profit. This is done by different sales techniques created and/or adopted by retailers. Techniques include hiring staff which are deemed attractive by the target demographic (Physical appearance, smell, sound and behaviour all attribute to a persons attractiveness). other techniques include store location, somewhere easily visible with lots of traffic (Traffic can be but not limited to pedestrians or vehicles). Also stores create custom interior design to suit the stores personality and the target market. Some of the largest retailers spend millions on a stores marketing technique to invite customers in to spend their time and money.. As consumers have grown from the days of wandering in and buying goods or services just for the face value to being informed on products and how they are made companies focus on the values of society such as being sustainable or being fair trade approved.

Conscious consumers are attracted by the stores morals of being righteous and thus creating a strong brand image that stands out from the competition. Adding value to goods or services such as a free gift or buy 1 get 1 free adds value to customers where as the store is gaining sales. A destination store is one that customers will initiate a trip specifically to visit, sometimes over a large area. These stores are often used to “anchor” a shopping mall or plaza, generating foot traffic, which is capitalized upon by smaller retailers.

CUSTOMER SERVICE

Customer service is the “sum of acts and elements that allow consumers to receive what they need or desire from your retail establishment.” It is important for a sales associate to greet the customer and make himself available to help the customer find whatever he needs. When a customer enters the store, it is important that the sales associate does everything in his power to make the customer feel welcomed, important, and make sure he leaves the store satisfied. Giving the customer full, undivided attention and helping him find what he is looking for will contribute to the customer’s satisfaction. For retail store owners, it is extremely important to train yourself and your staff to provide excellent customer service skills. By providing excellent customer service, you build a good relationship with the customer and eventually will attract more new customers and turn them into regular customers. Looking at long term perspectives, excellent customer skills give your retail business a good ongoing reputation and competitive advantage. Customer service is essential for several reasons. By exemplifying these valued qualities for a customer; companies utilize the experience the customer walks away with. Thus, setting the example for providing “great customer service.” An organization who trains their employees about properly servicing the customer will benefit more than those who do not. Customer service training entails about how properly servicing the customer will benefit corporations and businesses. This being said, it is important to establish a bond amongst customers-employees known as Customer relationship management.

WHAT IS OMNICHANNEL?

Defining Omnichannel and the Value of the Omniscient Customer Experience.

In marketing and technology you often know that something is still new when you can’t find one unanimous way to spell it. Ecommerce, eCommerce, e-commerce – remember those days? We now find Omni-channel, omnichannel and omni channel across the web, each attached to prestigious brand and pundit thinking. Instead of arguing about the correct spelling, we just see it as an indicator of something new and yet to be decided by the masses. By no means is the concept under-noted or fledgling. And, as with most things that are new, there are still developing ideas.

Omni comes from the word Omnis which can mean all or universal. This is in comparison to other categories out there, like “multichannel”, from the Latin word Multus, meaning multiple or many and from crosschannel, derived from the Latin word Crux, meaning to go across. The way that many are explaining omnichannel today is: ‘cross channel being done well’. Examples are often that the mobile app should match the responsive design of the web site which should thematically reflect the look and feel inside the store.

We’d argue that doing cross channel well with the user in mind, is not worthy (nor useful) enough to deserve a new category. Instead, we hold the belief that Omnichannel is something new and notable, even revolutionary, not just a marginal evolution of existing thinking.

Great, so now that we’ve stated that omnichannel is being used merely as a buzzword for crosschannel with finesse – what is omnichannel? Omnichannel is about true continuity of your experience. But what’s key is that it extends beyond a single brand’s universe. Being omniscient is perceiving and understanding all things. Not all things at Best Buy. Not all things at Target. Not all things at Gucci. Omni is perceiving all things. And the best way for a customer to perceive everything is to allow them to own their data and experience, then give them the ability to use it to guide creation and context of every future experience.

Think about it. Today our life is continuous, but our customer experience is anything but that. We learn and have memory of all the good and bad things in life. We strive to limit or eliminate the negative ones and increase the good. These patterns that we strive to replicate are our preferences. The ability to have a continuous experience across brands, across format and across devices that is completely bespoke – that is the promise of a new way of thinking and marketing that has been long unnoticed.

But wait you say, you can’t be suggesting that Burton’s help people buy shoes in Office. That would be counter to everything retailers try to do. The idea that retailers can stop people from shopping across brands or devices is mocked each time a bar code was scanned in a store to check competitors’ pricing. When brands think customer experience they need to think omni. Its not about yourcustomers or their customers, its about all customers.

With the rise of NFC and personal device use in store, brands need to awake to the idea that the days of closed data and 75% off for loyalty points from only shopping at their brand are changing quickly. If a brand wants to start thinking omnichannel, then they need to be open and involved in making the customer’s experience continuous and universal. Have doubts? Look at the role of social media and customer relationship. Remember those brands who have refused to evolve and engage and have a dialogue? Many of them aren’t with us today.

As much as the social media revolution has meant the two-way exchange in dialogue and interaction, omnichannel is the realization of social business. If the first phase in

the evolution of the customer relationship was messaging and media, the future is product research, selection and payment. With personal preference data that can be used universally on devices, brand can either jump at the opportunities made real by omnichannel or wait until their brand is the only one not integrated and playing nicely to allow consumers to be continuous.

The brands who can best interpret omnichannel data and understand all customers are the winners. There will be a new dimension of customer decision. As a final decision is being made to purchase, price, relationship, service and continuity will all be considered.

If you're thinking that matching the colors and content across devices is omnichannel, we would encourage you to reconsider. If you are ready to lead in the next phase of social business and get the most out of the promise that our new identity as customers is truly omniscient, then let's connect. This way of thinking is the future promise on which we founded CloudTags.

There are a few key tennets that to acknowledge in order for this idea to be made reality:

- In exploring and discovering products in your brand domain that data should be transferable for me to collect and use universally.
- In exchange for this data, the customer will give you access to other data they have collected that will far outweigh the value of the limited data in your brand universe.
- All experiences offline and online should allow an individual to identify themselves and present a brand with the opportunity to access my preferences.

THE DEFINITION OF MULTI-CHANNEL RETAILING

Multi-channel retailing is a marketing strategy that offers your customers a choice of ways to buy products. A true multi-channel strategy covers purchases from a store, purchases from a web site, telephone ordering, mail orders, interactive television, catalogue ordering and comparison shopping sites. The aim of a multi-channel retailing strategy is to maximize revenue and loyalty by offering your customers choice and convenience.

Experience

A successful multi-channel strategy offers your customers a consistent quality of experience, whichever channel they use. The customer's experience in buying a product influences her perception of your brand. You must ensure that all customer-facing staff in your contact centers, retail outlets, order processing departments and web site development understand and comply with your company's customer service standards. Policies such as returns and delivery charges should also be consistent across each channel.

Integrate

You can use the data available from multi-channel strategies to identify customer preferences and maximize lifetime revenue. The risk in a multi-channel strategy is that customers' information and profiles can become fragmented as they use a number of channels. In an integrated strategy, purchasing data is consolidated into a single database so you get a 360-degree view of your customer.

Research

An informative web site is a key element in a multi-channel retailing strategy. A high proportion of shoppers conduct their pre-purchase research on the Internet, although they may use other channels to make the final purchase. The definition of multi-channel retailing must therefore take account of each stage of the purchasing process.

Pricing

When you operate a multi-channel strategy, you have the option of charging the same price for a product across all channels, or offering your customers different prices, depending on their channel choice. Offering customers web site prices that are lower than store prices is common practice and reflects the lower overheads in web site operations. Your customers also have a choice between lower online prices and personal service in the store.

Reach

A multi-channel strategy gives you the ability to expand your business on a national or global scale without investing in further physical stores. An e-commerce web site can be designed to operate in multiple currencies and with local content to attract customers in many countries. You can also conduct business across multiple time zones with no restrictions on opening or closing times.

MULTICHANNEL RETAILING

Multichannel retailing or Omnichannel retailing is a business model that implies using of a variety of channels in a customer's shopping experience including research before a purchase. Such channels include retail stores, online stores, mobile stores, mobile app stores, telephone sales and any other method of transacting with a customer. Transacting includes browsing, buying, returning as well as pre-sale and after-sale service.

History

Up until the early 1990s, retail was either a physical brick and mortar store or catalogue sales where an order was placed by mailing it to the merchant or via telephone. Catalogue sales for an assortment of general goods started in the late 1800s when Sears and Roebuck

issued its first catalogue in 1896. Over 20 years later, L.L. Bean started its catalogue business in U.S.A. However sale by mail order dates back even further when British entrepreneur Pryce Pryce-Jones set up the first modern mail order in 1861, initially selling Welsh flannel. In the early 1990s, AOL, CompuServe and Prodigy experimented with selling through their proprietary online services. This was the start of sales channel expansion in a retail environment that had changed little in nearly a century. While general merchants (*e.g.* the corner store) had evolved to department stores and Big Box, electronic ordering was a whole new frontier. Internet transactions were taking place sporadically, but they weren't secure (*e.g.*, credit cards were passed in the open rather than being encrypted). This started to change in August 1994 when NetMarket processed an Internet sale where for the first time the credit card was encrypted. Shortly thereafter, Amazon.com was founded and eCommerce sales channel established itself. Mobile commerce arrived in 1997, and multichannel retailing really took off.

Outlook

Multichannel retailing is often said to be dictated by systems and processes when in fact it is the customer that dictates the route they take to transact. Systems and processes within retail simply facilitate the customer journey to transact and be served. This is no longer a linear process, but is now due to multiple channels a complicated path to purchase. Pioneers of multichannel retailing include L.L. Bean, Land's End, Macy's, Next PLC, John Lewis and Neiman Marcus, though specialist businesses such as ChannelGrabber have helped make the concept more successful. The pioneers of multichannel retail built their businesses from a customer-centric perspective and served the customer via many channels long before the term 'multichannel' was used. Multichannel retailing is about selling through a variety of sales channels, but these sales channels are generally independent of one another so they are not integrated; as a result, this rarely provides a consistent customer experience. Integrating the sales channels can be the next stage of retailing which is being as coined as omnichannel retailing (Latin "omnis" = "every/all"). Omnichannel retailing uses of all physical channels (offline) and digital channels (online) to offer a seamless and unified customer experience.

THE FOUR BENEFITS OF MULTI-CHANNEL RETAILING

Creating a successful multi-channel experience can seem intimidating to many retailers, who may wonder if the effort is worth it. They may not have a choice, however.

"Consumers are expecting this kind of integration already," said Ron Bowers, senior vice president of Frank Mayer and Associates, a Grafton, Wis.-based merchandising company. "They expect that if they order an item online, they can return it in the store, that kind of thing. It's up to retailers to make sure that expectation is met." But multi-channel retailing offers plenty of benefits to retailers, benefits that make investing in the strategy worthwhile.

Improved Customer Perception

“Channels are disintegrating for customers,” said Jeremy Gustafson, vice president at KSC Kreate, a digital commerce agency based in Hollywood, Fla. “People are watching television and using their tablet at the same time. They expect the same kind of integration with their shopping experience.”

Brands who don’t provide that kind of experience, he said, are likely to lose customers, especially as the digital generation gains even more buying power. Stores who do create a seamless experience that integrates all different forms of technology, however, can gain significant customer loyalty. Those brands are perceived as forward-thinking and responsive to customer’s needs — qualities that will keep customers coming back.

That improved perception offers another advantage, as well. In a world of big-box stores and online shopping, finding the best price is easier than ever for customers. A store that is perceived as responsive to customer needs and gives customers easy access to a variety of channels can differentiate itself in a crowded field. That allows the brand to compete on the experience offered, rather than just price. Customers might be willing to pay a little more for the convenience, and will come back repeatedly, and brands don’t have to slice their profits just to keep up.

Increased Sales

The primary driver for a retailer adopting any strategy is, of course, increasing profit, most frequently by increasing sales. Multi-channel retailing, by offering a variety of engagement points for the customer to make a purchase, increases the convenience and ease of sales, thus boosting profit. A customer who thinks about buying a pair of pants, for example, may not want to drive to the mall, park, walk to the store, find the pants and try them on. For that customer, she can go online at home and order the pants from the store’s web site. Another customer, however, might be in the store trying on the pants and decide she’d like them in a different colour. In that case, she can use an in-store kiosk to find the pants in the preferred colour, order them and have them delivered to her home. Still another customer can use her smartphone to take a picture of the pants, send it to a friend and discuss whether to purchase them or not. Having a variety of engagement points gives retailers more tools to make a sale.

Better Data Collection

Knowing the customer is a key tenant for successful retailing, and multi-channel engagement points provide more opportunities to gather information about customers.

There are two benefits to the data collection offered by multi-channel retail: First, the possibility for gathering more information exists, and the information can be used more effectively. “People usually are more comfortable entering information themselves, rather than giving it to a salesperson,” said Steve Deckert, marketing manager for Sweet Tooth, a Toronto-based provider of loyalty programmes to retailers. “So they are far

more likely to enter their e-mail address into a kiosk than give it to a cashier. At the same time, by having that information available across a variety of channels, the retailer has more opportunities to capture the information, and more of it.” If a retailer can track what a customer is purchasing, and where, more targeted marketing can be introduced. Someone who tends to browse online and then purchase in-store, for example, can be emailed an invitation to a private showing in a store, and the list of products to be shown can be sent before the event, increasing the likelihood of purchase. Not only is it more likely that the customer will provide important information, but if all the different channels are communicating, then the information only needs to be entered once. “If you’re going to ask someone for information about themselves, it needs to be available whenever they come to you,” said Verizon’s Bagel. “Otherwise, it feels intrusive and annoying to have to repeat the same information over and over again.”

Enhanced Productivity

Multi-channel retailing offers benefits for more than shoppers. Workers, too, can benefit from the use of new technology, by arming them with more information and increasing their efficiency. A tablet, for example, frees employees from the point-of-sale system, instead allowing them to carry the register with them. Employees can go directly to the aid of customers, helping them to find out what is in stock, what is available at other stores and when new products might be launching. The tablet also can contain information about the loyalty programme, so a frequent customer can be given VIP status. Then, when a purchase is ready to be made, the customer does not have to stand in line, but rather can simply continue talking to the salesperson and make her purchase via tablet.

Best Practices

While every type of channel has its own unique set of challenges, there are some strategies that are true across all engagement points.

Be consistent. Messaging across all channels should have the same look and feel; the customer should always know exactly what brand she is interacting with.

“Traditionally, retailers have approached each channel individually,” said Gustafson. “What is needed, though, is to create a single marketing message, and then figure out how to deploy it across all channels. The messaging doesn’t have to be identical, but it all needs to be clearly related.”

Provide a value-add. Make sure each engagement point offers something to the customer. An in-store kiosk that simply accesses the company’s web site, for example, is not bringing anything unique to the customer; instead, she can check the web site at home, on her own. The same is true of a tablet. If the salesperson with the tablet does not have access to more or better information than the customer can access via her own tablet or smartphone, the application will not bring much value to the transaction.

Security. There is a fine line between being helpful and being intrusive, and it's a line that is easily crossed. Customers are aware of security issues, and are wary of providing too much personal information.

"There has to be a clear connection between the information collected, how it's used and what value the customer receives from it," said Bagel. "Understand your brand strategy and what level of intimacy is appropriate. Depending on your clientele, privacy might not be as important — digital natives tend to be far less concerned with privacy than Baby Boomers, for example. But everyone wants to know that they will receive a benefit from giving you information."

Be committed. Multi-channel retailing requires an investment in time and money. There needs to be a clear strategy across all teams, and cooperation is critical to success.

"In order to have totally seamless solution, all stakeholders need to be involved, giving their insight and taking ownership and having support and understanding as to what is being done, why and how," said Bowers. "This is not a sometime commitment; this is a total marketing strategy for the retailer to invest in the future of the customer acquisition, retention process and loyalty programmes."

Business Process Management in Hospitality

The term Business Process Management (or BPM) refers to activities performed by businesses to optimize and adapt their processes. Although it can be said that organizations have always been using BPM, a new impetus based on the advent of software tools (business process management systems or BPMS) which allow for the direct execution of the business processes without a costly and time intensive development of the required software. In addition, these tools can also monitor the execution of the business processes, providing managers of an organization with the means to analyze their performance and make changes to the original processes in real-time. Using a BPMS the modified process can then be merged into the current business process atmosphere. Where Business Process Reengineering (popular in the 1990s) dealt with one-off changes to the organization, Business Process Management deals with the continuity and embedding of process orientation in the organization. Business Process Management has evolved as technology has caught up with management processes to the point that technology should no longer be the limiting factor in BPM. The activities which constitute business process management can be grouped into three categories: design, execution and monitoring.

PROCESS DESIGN

This encompasses either the design or capture of existing processes. In addition the processes may be simulated in order to test them. The software support for these activities

consists of graphical editors to document the processes and repositories to store the process models. An emphasis on getting the design of the process right will logically lead to better results as the flow on effect of problems at the design stage logically affects a large number of parts in an integrated system. Evolution of business processes requires a change to the process design to flow on into the live system. Integrating business process is also a current research area. Integration of software for process design to be used both for creating graphical representations of workflows and implementing and maintaining these workflows makes evolution of business processes less stressful, given that requirements are not as static as information systems.

PROCESS EXECUTION

The traditional way to achieve the automatic execution of processes is that an application is developed or purchased which executes the steps required. However, in practice, these applications only execute a portion of the overall process. Execution of a complete business process can also be achieved by using a patchwork of interfacing software with human intervention needed where applications are not able to automatically interface. In addition, certain process steps can only be accomplished with human intervention (for example, deciding on a major credit application). Due to the complexity that this approach engenders, changing a process is costly and an overview of the processes and their state is difficult to obtain.

As a response to these problems, the Business Process Management System (BPMS) category of software has evolved. BPMS allows the full business process (as developed in the process design activity) to be defined in a computer language which can be directly executed by the computer. The BPMS will either use services in connected applications to perform business operations (*e.g.* calculating a repayment plan for a loan) or will send messages to human workers requesting they perform certain tasks which necessitate a human attribute such as intuition as opposed to automated processes. As the process definition is directly executable, changes in the process can be (in comparison to the traditional approach of application development or maintenance) relatively quickly moved into operation. In order to work effectively a BPMS often requires that the underlying software is constructed according to the principles of a service-oriented architecture. Thus, it is often difficult to make a suite of existing legacy systems fit with a BPMS. The commercial BPMS software market has focused on graphical process model development, rather than text-language based process models, as a means to reduce the complexity of model development. Visual programming using graphical metaphors has increased productivity in a number of areas of computing and is well accepted by users.

Business rules are a growing area of importance in BPMS as these rules provide governing behaviour to the BPMS, and a business rule engine can be used to drive process execution and resolution.

PROCESS MONITORING

This monitoring encompasses the tracking of individual processes so that information on their state can be easily seen and the provision of statistics on the performance of one or more processes. An example of the tracking is being able to determine the state of a customer order (*e.g.* ordered arrived, awaiting delivery, invoice paid) so that problems in its operation can be identified and corrected.

In addition, this information can be used to work with customers and suppliers to improve their connected processes. Examples of the statistics are the generation of measures on how quickly a customer order is processed, how many orders were processed in the last month etc.. These measures tend to fit into three categories: cycle time, defect rate and productivity.

Although such functions may be within the scope of current applications, the use of a BPMS is expected to ease the development of such reporting. Manufacturers of BPMSs will often offer process monitoring software as well as MIS and execution.

Business Process Management is an automated process to handle the complex business policy of any organisation. There are so many tools and programming languages to handle this process and customize the already existing tools, sometimes it's really a challenge to realize the complex business process of an organisation to automate.

The degree of monitoring depends on what information the business wants to evaluate and analyze and how business wants it to be monitored, in real-time or ad-hoc. Here, business activity monitoring (BAM) extend and expand the monitoring tools in BPMS. BAM will not only monitor a process but also monitor and analyze all processes in the business in real-time. BPM monitoring has been always ad-hoc/on-demand monitoring, and BAM compliments this feature with real-time monitoring, analysis and reporting.

Although the initial focus of BPM was on the automation of mechanistic business processes, this has since been extended to integrate human-driven processes in which human interaction takes place in series or parallel with the mechanistic processes. A common form is where individual steps in the business process which require human intuition or judgement to be performed are assigned to the appropriate members of an organization (as with workflow systems). More advanced forms are in supporting the complex interaction between human workers in performing a workgroup task. In the latter case an emerging class of BPM software known as the Human Interaction Management System is used to support and monitor these processes as well as to permit their ongoing redefinition at runtime.

BPMS can be used to understand organizations through expanded views that would not otherwise be available to organise and present. These views include the relationships of processes to each other which, when included in the process model, provide for advanced reporting and analysis that would not otherwise be available. BPM is regarded to be the crucial backbone of enterprise content management.

Not all activities in business can be modelled into business process management modelling. As activities in business varies from the simplest of acquiring stationeries to complex procurement process which includes cross-countries which dealt with various legal laws and regulations. Some processes in a business are best to be kept as it is for not to add complexity might be occurs when bringin business process management. Too dynamic changes of rules in a business process will not get the most of business process management benefit as time will be wasted on adapating the busines process to the tools. BPMS is more to a tools or platform which can be used to setup rules and define how business should be executed according to the rules. Thus, if both the rules and the business are too dynamics, it is pointless to implement business process management.

In practice, organizations often start with an objective where management have identified an area for improvement. A project team is tasked to perform Business Process Mapping and use of a common technique such as IDEF or BPMN to depict the processes as they exist before the intended changes. The team will progress to identify desired changes in work practices which will often be implemented by another team, using Kaizen or other approaches. And to successfully implements the business process management, the initiative must be a top down initiatives.

BUSINESS PROCESS

A business process is a set of linked activities that create value by transforming an input into a more valuable output. Both input and output can be artefacts and/or information and the transformation can be performed by human actors, machines, or both.

There are three types of business processes:

1. Management processes - the processes that govern the operation. Typical management processes include “Corporate Governance” and “Strategic Management”.
2. Operational processes - these processes create the primary value stream, they are part of the core business. Typical operational processes are Purchasing, Manufacturing, Marketing, and Sales.
3. Supporting processes - these support the core processes. Examples include Accounting, Recruitment, IT-support.

A business process can be decomposed into several sub-processes, which have their own attributes, but also contribute to achieving the goal of the super-process. The analysis of business processes typically includes the mapping of processes and sub-processes down to activity level. Activities are parts of the business process that do not include any decision making and thus are not worth decomposing (although decomposition would be possible), such as “Answer the phone”, “produce an invoice”.

A business process is usually the result of a business process design or business process reengineering activity. Business process modeling is used to capture, document and reengineer business processes. To visualize a business process, one of the graphical notations can be used such as Business Process Modeling Notation.

The concept of processes is not new. Laying out inter-related activities in a sequence and creating a flow of work has been part of organization design for more than 300 years. One of the first to describe a process was Adam Smith (1776) in the famous example of an English pin factory. He described the production of a pin in the following way:

“One man draws out the wire, another straightens it, a third cuts it, a fourth points it, a fifth grinds it at the top for receiving the head: to make the head requires two or three distinct operations: to put it on is a particular business, to whiten the pins is another... and the important business of making a pin is, in this manner, divided into about eighteen distinct operations, which in some manufactories are all performed by distinct hands, though in others the same man will sometime perform two or three of them.”

Smith also first recognized how the organizational outcome could be increased through the use of advanced labour division. Previously, in a society where production was dominated by handcrafted goods, one man would perform all the activities required during the production process, while Smith described how work in a pin factory was divided into a set of simple tasks, which would be performed by specialized workers. The result of labour division in Smith's example resulted in productivity increasing by 24,000 percent (sic!), *i.e.* that the same number of workers made 240 times as many pins as they had been producing before the introduction of labour division.

It is worth to notice that Smith did not advocate labour division at any price and per se. He observed and noted that, under certain conditions, several tasks could very well be integrated into one, which a single worker would then perform. However, Smith did not provide any guidance for criteria that could be used for finding the optimum level of task division or integration and the determination of the appropriate level took place through experimental design of the production process. This approach to integration could be considered as an implicit proposition of a process-oriented approach, but there is one aspect that constitutes a significant difference to the idea of business processes as it is perceived today.

The integration in accordance with the idea of Smith would take place only within the same functional domain and comprise activities that are in direct sequence in the manufacturing process, whereas today's process concept includes cross-functionality as an important characteristic. It is also interesting to note that while Smith is generally accepted as the first to discuss labour division and specialization, only the division of labour was widely adopted, while the integration of tasks into functional, or cross-functional, processes was not considered as an alternative option to increase performance and productivity.

Further Supporting Theories and Concepts

Frederick Winslow Taylor developed the concept of scientific management. The concept contains aspects on the division of labour being relevant to the theory and practice around business processes. The business process related aspects of Taylor's scientific management concept are discussed in the article on Business Process Reengineering.

The Span of Control

The span of control is the number of sub-ordinates a supervisor manages within a structural organization. Introducing a business process concept has a considerable impact on the structural elements of the organization and thus also on the span of control. The implications are discussed in the Span of control article.

Large organizations that are not organized as markets need to be organized in smaller units - departments - which can be defined according to different principles. In the context of business processes, process and purpose departmentalization, as defined by Gulick and Urwick, are discussed in the departmentalization article.

Information Management Concepts

Information Management and the organization design strategies being related to it, are a theoretical cornerstone of the business process concept.

In the early 1990s, US corporations, and subsequently companies all over the world, started to adopt the concept of reengineering in an attempt to re-achieve the competitiveness that they had lost during the previous decade. A key characteristic of BPR is the focus on business processes. Let us start our investigations with reviewing several business process definitions, as they are used in the reengineering literature. Davenport defines a (business) process as "a structured, measured set of activities designed to produce a specific output for a particular customer or market. It implies a strong emphasis on how work is done within an organization, in contrast to a product focus's emphasis on what. A process is thus a specific ordering of work activities across time and space, with a beginning and an end, and clearly defined inputs and outputs: a structure for action... Taking a process approach implies adopting the customer's point of view. Processes are the structure by which an organization does what is necessary to produce value for its customers."

This definition contains certain characteristics a process must possess. These characteristics are achieved by a focus on the business logic of the process (how work is done), instead of taking a product perspective (what is done). Following Davenports definition of a process we can conclude that a process must have clearly defined boundaries, input and output, that it consists of smaller parts, activities, which are ordered in time and space, that there must be a receiver of the process outcome- a customer - and that the transformation taking place within the process must add customer value.

Hammer and Champy's definition can be considered as a subset of Davenport's. They define a process as "a collection of activities that takes one or more kinds of input and creates an output that is of value to the customer." As we can note, Hammer and Champy have a more transformation oriented perception, and put less emphasis on the structural component—process boundaries and the order of activities in time and space.

Rummler and Brache use a definition that clearly encompasses a focus on the organization's external customers, when stating that "a business process is a series of steps designed to produce a product or service. Most processes are cross-functional, spanning the 'white space' between the boxes on the organization chart. Some processes result in a product or service that is received by an organization's external customer. We call these primary processes. Other processes produce products that are invisible to the external customer but essential to the effective management of the business. We call these support processes." The above definition distinguishes two types of processes, primary and support processes, depending on whether a process is directly involved in the creation of customer value, or concerned with the organization's internal activities. In this sense, Rummler and Brache's definition follows Porter's value chain model, which also builds on a division of primary and secondary activities. According to Rummler and Brache, a typical characteristic of a successful process-based organization is the absence of secondary activities in the primary value flow that is created in the customer oriented primary processes. The characteristic of processes as spanning the white space on the organization chart indicates that processes are embedded in some form of organizational structure. Also, a process can be cross-functional, *i.e.* it ranges over several business functions.

Finally, let us consider the process definition of Johansson. They define a process as "a set of linked activities that take an input and transform it to create an output. Ideally, the transformation that occurs in the process should add value to the input and create an output that is more useful and effective to the recipient either upstream or downstream."

This definition also emphasizes the constitution of links between activities and the transformation that takes place within the process. Johansson et.al. also include the upstream part of the value chain as a possible recipient of the process output. Summarizing the four definitions above, we can compile the following list of characteristics for a business process.

1. Definability: It must have clearly defined boundaries, input and output.
2. Order: It must consist of activities that are ordered according to their position in time and space.
3. Customer: There must be a recipient of the process' outcome, a customer.
4. Value-adding: The transformation taking place within the process must add value to the recipient, either upstream or downstream.
5. Embeddedness: A process can not exist in itself, it must be embedded in an organizational structure.

6. Cross-functionality: A process regularly can, but not necessarily must, span several functions.

Frequently, a process owner, *i.e.* a person being responsible for the performance and continuous improvement of the process, is also considered as a prerequisite.

Process Modeling

The term process model (usually business process model) is used in different contexts. Process models are concepts which can belong in the area of Process Engineering. A description of what process models are is provided by Colette Rolland: “Processes of the same nature are classified together into a process model. Thus, a process model is a description of a process at the type level. Since the process model is at the type level, a process is an instantiation of it.

The same process model is used repeatedly for the development of many applications and thus, has many instantiations. One possible use of a process model is to prescribe ‘how things must/should/could be done’ in contrast to the process itself which is really what happens. A process model is more or less a rough anticipation of what the process will look like. What the process shall be will be determined during actual system development.”

Main Aims

- Descriptive
 - Traces what actually happens during a process
 - Takes the point of view of an external observer who looks at the way a process has been performed and determines the improvements that have to be made to make it perform more effectively or efficiently
- Prescriptive
 - Defines desired processes and how they should/could/might be performed
 - Lays down rules, guidelines, and behaviour patterns which, if followed, would lead to the desired process performance. They range from strict enforcement to flexible guidance.
- Explanatory
 - Provides explanations about the rationale of processes
 - Explores and evaluates several possible courses of action based on rational arguments
 - Establishes an explicit link between processes and the requirements that they are to fulfill

“From a theoretical point of view, the Process Meta-Model explains which are the key concepts needed to describe what happens in the development process, on what, when it happens and why. From an operational point of view, the Process Meta-Model is aimed at providing guidance for method engineers and application developers.”

The activity of modeling a business process usually predicates a need to change processes or identify issues to be corrected. This transformation may or may not require IT involvement, although that is common driver for the need to model a business process. Change management programmes are desired to put the processes into practice. With advances in technology from larger platform vendors, the vision of BPM models becoming fully executable (and capable of round-trip engineering) is coming closer to reality every day.

Process Modeling addresses the process aspects an Enterprise Business Architecture, leading to an all encompassing Enterprise Architecture. The relationships of a business processes in the context of the rest of the enterprise systems, data, org structure, strategies etc. create greater capabilities in analyzing and planning a change. One real world example is in corporate mergers and acquisitions; understanding the processes in both companies in detail, allowing management to identify redundancies resulting in a smoother merger.

CLASSIFICATION OF PROCESS MODELS

Classification by Coverage

Dowson distinguishes four types of coverage where the term process model has been defined differently:

- Activity-oriented: related set of activities conducted for the specific purpose of product definition; a set of partially ordered steps intended to reach a goal
- Product-oriented: series of activities that cause successive product transformations to reach the desired product
- Decision-oriented: set of related decisions conducted for the specific purpose of product definition
- Context-oriented: sequence of contexts causing successive product transformations under the influence of a decision taken in a context.

Classification by Alignment

With regard to Rolland, processes can be of different kinds. These definitions “correspond to the various ways in which a process can be modelled”.

- Strategic processes
 - Investigate alternative ways of doing a thing and eventually produce a plan for doing it
 - Are often creative and require human co-operation; thus, alternative generation and selection from an alternative are very critical activities
- Tactical processes

- Help in the achievement of a plan
- Are more concerned with the tactics to be adopted for actual plan achievement than with the development of a plan of achievement
- Implementation processes
 - Are the lowest level processes
 - Are directly concerned with the details of the what and how of plan implementation

Classification by Granularity

Granularity refers to the detail level of the process model. “Granularity affects the kind of guidance, explanation and trace that can be provided. High granularity limits these to a rather coarse level of detail whereas fine granularity provides more detailed capability. The nature of granularity needed is dependent on the situation at hand.”

Project manager, customer representatives, the general, top-level, or middle management require rather large-grained process description as they want to gain an overview over time, budget, and resource planning for their decisions.

In contrast, software engineers, users, testers, analysts, or software system architects will prefer a fine-grained process model for the details of the model deliver them with instructions and important execution dependencies such as the dependencies between people. While notations for fine-grained models exist, most traditional process models are large-grained descriptions. Process models should, ideally, provide a wide range of granularity.

Classification by Flexibility

It was found that “even though process models were prescriptive, in actual practice departures from the prescription occurred”. Thus, frameworks for adopting methods evolved so that systems development methods match specific organizational situations and thereby improve their usefulness. Method construction approaches can be organized in a spectrum ranging from ‘low’ flexibility, to ‘high’.

“At the ‘low’ end of this spectrum are rigid methods whereas at the ‘high’ end is modular method construction. Rigid methods are completely pre-defined and leave little scope for adapting them to the situation at hand. On the other hand, modular methods can be modified and augmented to fit a given situation.

Selection from rigid methods allows each project to choose its method from a panel of rigid, pre-defined methods whereas selection of paths within a method consists of selecting the appropriate path for the situation at hand. Finally selection and tuning a method permits each project to select methods from different approaches and tune them to the project’s needs.” Rolland lists different styles for representing processes: scripts, programmes, and hypertext. “Process scripts are interactively used by humans as against process programmes which are enacted by a machine.

They support non determinism whereas process programmes can, at best, support process deviation under pre-defined constraints. The hypertext style of process representation is a network of links between the different aspects of a process, such as product parts, decisions, arguments, issues, etc.

Scripts and programmes are two styles which may be applicable to prescriptive purposes whereas hypertext is well suited to descriptive and explanatory purposes. Strict enforcement of the prescriptive purpose can clearly be represented in process programmes whereas flexible guidance requires the process model to be represented in process scripts. Descriptive and explanatory purposes require the establishment of relationships between different elements of a process trace. These relationships are well articulated as hypertext links.”

BUSINESS ETHICS

Business ethics in Western society emerged with the growth in capitalism in sixteenth-century Europe. Up to that time it was largely believed that it was immoral to produce goods for profit. With the Protestant Reformation came the belief that a diligent worker pleased God, and that the wealth that was acquired from business activities was a sign that God was pleased. Good businesspeople could be good human beings by satisfying the needs of customers and providing employment for workers.

Today there is a common belief among many organizations that good ethics is good business. This idea has evolved into the concept of social responsibility, and some companies, such as HVS and the Ecotel concept, have stressed the importance of energy conservation, recycling, and minimal disturbance of ecological systems in property development. It is too soon to tell if there is a positive relationship between social responsibility and profits, but there are clearly increasing numbers of companies who want to be known as being socially responsible. It is important to note that operating within the legal system may not be an adequate basis for evaluating the ethics of a business decision.

OVERVIEW OF THE INCIDENTS

Among the following cases, “Sunspot Resorts” involves the construction of a new resort in a developing country. “The Hawaiian Village” deals with the issue of employee theft. “A Dog-Eat-Dog World” describes a subordinate whose boss “fudges” data to obtain a business account. “Seaside Plantations” presents a situation involving misleading advertising. “The Decision to serve” involves the issue of serving liquor to minors. In analyzing these incidents, you should think about the relationship between ethics and the law. It should also become apparent to you which individual approach to ethics you favour.

Case 1 -Sunspot Resorts

Sunspot Resorts, Incorporated, is a publicly held international hotel firm that specializes in luxury resorts in exotic locations. Sunspot has in the last 20 years focused on oceanfront development all over the world in locations such as Greece, Cyprus, Mexico, Indonesia, Australia, and South America. It has opened three resorts in the Caribbean region over the last several years and is hoping to begin construction of another property in Barbados in the near future. Real estate negotiations for the purchase of a seafront location have stalled, however, because of complaints from environmental groups and local citizens.

These groups are protesting because they feel that development will disrupt the fragile relationships of life on the reef that is immediately offshore. The environmentalists say they have seen many instances in which developers destroyed pristine land and exploited native populations. They are determined not to let this happen in Barbados, and they have assembled the people and financial support to put up a major battle if necessary. The local residents have seen many changes in their island in the last several years. They are not totally opposed to development because it provides employment opportunities and tax revenues, but in the past developers have made promises they have not kept and, as a result, many parts of the island have been ruined.

Sunspot has handled similar situations in the past by emphasizing the poor economic conditions in the host country and by promising jobs that will benefit the local community, even though it has often had difficulty in providing these jobs. Sunspot management has found that the skill level of the local labour pool has typically been low, and the firm has found it easier and less expensive to import most managerial and supervisory personnel from the United States or Europe rather than training the local people.

This time, however, the strategy does not seem to be working, and the local community is resisting Sunspot's advances in order to retain the pristine nature of the area. To date, several hundred thousand dollars have been invested in the planning and design of the resort at corporate headquarters in Seattle. The Corporate President of Sunspot has made it clear that he wants a resort in this locale because of its unique environment and profit potential, and the annual bonus of the Regional Vice President (RVP) is based on progress on the proposed development. The RVP has been in contact with the government of Barbados to push the economic perspective, and he has hired an attorney to attempt to portray the environmentalists as radical obstructionists.

Several local businesspersons have approached him, suggesting that they might know a way to overcome the resistance to the project, but they have implied that some sort of bribe might be necessary to do so. Sunspot stock has recently gone up several points on the New York Stock Exchange (NYSE), based on anticipated profits from this highly publicized development that was enthusiastically presented in Sunspot's annual report and meeting, where it was announced that the opening would take place in 18 months.

1. What are the important issues in this situation?
2. Who are the primary customers of Sunspot?
3. What recommendations would you make to Sunspot management?

Case 2 -The Hawaiian Village

Allison Webb was employed by the Hawaiian Village as the Supervisor for all Food and Beverage Cashiers. She thoroughly enjoyed her job and the working relationship she had with her employees. Ms. Webb directly supervised 45 cashiers and was expected to train these employees, as well as the 29 bartenders whom she indirectly supervised. She was also responsible for balancing all of the cash drawers, Programming the computers at all of the food and beverage outlets, and depositing all revenues collected from her cashiers.

Because of the largely financial nature of her job, Allison was supervised by the Accounting Department, not the Food and Beverage Department. Throughout the time she worked at the Hawaiian Village, she had been evaluated as a “good” to “excellent” employee. Allison had found her work environment to be excellent as well, except for two unfortunate incidents of sexual harassment, which she felt warranted the two separate grievances she had filed over the past 18 months.

In the summer approaching Allison’s tenth year with the Village, it became necessary for her Accounts Clerk to question a cashier at the Seaside Hut, one of the hotel’s beverage outlets, regarding a corporate ac-count. This particular corporation had been extended a line of credit at the hotel, with its food and beverage transactions being recorded on vouchers. After defaulting on several payments, however, the corporation’s credit was revoked by the Accounting Office and the cashier at the Seaside Hut was notified that “cash only” would be accepted for this account. Nonetheless, the Accounts Clerk had a voucher from the Seaside Hut showing credit sales to this corporate customer. The Accounts Clerk was trying to confirm that a mistake had been made in recording the sales on a credit voucher and that cash had actually been collected.

The cashier did, in fact, remember collecting cash payments for this particular customer and happened to mention to the Accounts Clerk that she had handed the money to the hostess for recording. The Accounts Clerk found this suspicious, and she notified Ms. Webb of the situation, drawing specific attention to the fact that the hostess had been in physical possession of the money.

Further investigation by Allison revealed that the hostess at the Seaside Hut used her seniority to convince the cashier that she was entitled to access the cash drawer, record payments, and make deposits. The hostess also frequently complained to the cashier about her job, lamenting her low position and its lack of recognition. Responding to the norms of the work area and the hostess’s negative attitude about her job, the cashier deferred to the hostess without really thinking beyond the cashier’s immediate responsibility of ringing up customer sales.

Another problem Allison found was that the Controller's Office had set up a system without cross-checks on the recording of payments and deposits. With no other employee required to verify these amounts, the hostess had complete autonomy to manipulate the Seaside Hut's ledger. The hostess had been recording cash payments of certain corporate customers as credit sales, using readily available vouchers, while pocketing the cash. The Seaside Hut being a relatively small outlet, Allison surmised that the hostess had assumed that its operation was dismissed by the Accounting Office as trivial and that her embezzlement would go undetected—which it had, for two years. In fact, if she had not written a credit voucher on an account that, unbeknownst to her, had been converted to "cash only," her theft may have continued.

Following this discovery, Allison promptly spoke to her immediate supervisor, Bill Tompkins. She felt that not only should disciplinary action be initiated, but that the flaw in the system should be corrected as well. After obtaining all of the information from Allison, Bill assured her that he would address the situation. Committed to her role as a supervisor, Allison wrote up the Seaside Hut cashier, citing her negligence in adhering to proper procedure. From their training, all cashiers knew that at no time were they to transfer cash to any person other than the appropriate accounting personnel.

The next week Allison went on vacation, pleased that it was her investigation that had revealed an inherent problem in the system and confident that Bill, working with the Controller's Office, would be able to correct it. Upon returning after a week's absence, she learned that the hostess and the manager of the outlet had been fired. Although feeling somewhat sorry for the Seaside Hut manager, Allison resumed her normal work with enthusiasm. At the end of her shift she was called to the office of the Assistant Controller, Harry Brunson, her supervisor's boss. Without any forewarning, Mr. Brunson terminated her, claiming she was negligent in not having performed an audit of the outlet. Mr. Brunson claimed that the Controller's Office expected her to have done an audit as part of her routine job responsibilities. Allison left Mr. Brunson's office in a state of shock and anger.

Later, at home that evening, she attempted to assess the whole situation. Sitting at her desk, she began to outline the events and the reasons for her termination. She did not believe the argument that she was actually expected to conduct an audit, as she was not a trained accountant. As Supervisor of Food and Beverage Cashiers, she doubted she would have had the authority to audit the Seaside Hut, which operated under the jurisdiction of the Controller's Office. Allison had not forgotten that it was procedures designed by the Controller's Office that had enabled the hostess to embezzle sales money, and later in the week she was to learn that except for the firing of the Seaside Hut manager and hostess, no action had been taken to correct the problem.

Regarding audits, however, she decided that if, in fact, they were one of her responsibilities, it had not been made clear to her either by her supervisor, Bill, or in the job description of Supervisor of Food and Beverage Cashiers, which was vague and

outdated. Allison concluded that there were two probable reasons why she was fired. One was that she was simply being used as a scapegoat to protect the accountants in the Controller's Office, who were more than likely the ones responsible for running audits. The other was that her three male superiors saw her as a troublemaker, in that she had revealed their inappropriately devised accounting procedure and had filed two sexual harassment grievances.

Allison toyed with her pencil and considered filing charges against the Hawaiian Village for sexual discrimination and wrongful discharge.

1. How did this situation come about?
2. Was Allison at fault for any of the problems?
3. Who could have prevented this situation from happening? How?

Case 3 - A Dog-Eat-Dog World

Jackie Luden had been working at the Kingswood Conference Center for almost two years. It was a wonderful place to work, as the facilities were state-of-the-art and her fellow employees were extremely competent. Because of the nature of the conference center business, she found that she worked primarily Monday through Friday and seldom at night. She spent the first year of her employment in the front office training rotation and had become familiar with the operations of the front desk, reservations, and guest services. For the last nine months she had been working in the Sales Department and had reached a point where she was actively involved in developing and making presentations to potential clients. Her background in statistics and computers had prepared her particularly well for this new position.

Jackie had spent the last several weeks doing research and preparing a presentation to the executive board of a medium-sized manufacturing firm.

Kingswood was attempting to get this company to sign a multiyear contract to use the facility for its management development training Programmes. If Kingswood was successful, the contract would be worth several hundred thousand dollars. The presentation, however, did not go as Jackie had expected, and she had two major complaints. She felt that her work had not been well represented, first, in that she had not received credit for what she had done and, second, that Ericka, the Sales Manager who had actually made the presentation, had altered a lot of her material and falsified some information.

Several days after the presentation Jackie approached Ericka to discuss the situation. When Jackie entered Ericka's office she found that Ericka was exuberant about getting the account, and Ericka initiated their conversation by congratulating Jackie for her hard work. Although Ericka was excited and was attempting to make Jackie feel good about the success, this only made Jackie feel more uncomfortable about what she had to say. Ericka was surprised to learn that Jackie had come to see her about a problem and was even more surprised that the problem was about the new account.

Jackie began by asking why some of the information she had worked so hard on researching had either been changed or left out of the presentation entirely. Ericka responded by asking, “We wanted to get the account, didn’t we?” This made Jackie very uneasy, as in a discussion prior to the presentation Ericka had assured her that everything in Jackie’s report was perfect and that no changes were necessary. Jackie said that she felt it was dishonest to the customer to falsify information, but Ericka reverted to her previous argument that her actions were in the best interest of the company. Ericka did not understand Jackie’s disappointment, because they had gotten the account, and replied simply, “It’s a dog-eat-dog world out there.”

As Ericka continued to praise Jackie for all the hard work she had done, Jackie felt that this was an opportune time to question her about the lack of credit she received at the presentation. Ericka explained that she did not get the recognition because she was her subordinate, saying, “It simply doesn’t work that way.” She informed Jackie that the higher she gets in the company hierarchy, the more credit she will get, no matter who does the work. Still annoyed by the situation, Jackie requested that any changes or “falsifications” in her work not be made in the future or, at least, if they were, that she would like to be informed. She told Ericka that she would feel better if she was able to expect any changes, rather than have them surprise her, and asked if they could meet prior to the next presentation to go over the material. Although Ericka noted that the word “falsifications” was much too strong, she agreed to meet and notify Jackie of any changes the day before the next presentation.

1. Who was right in this situation?
2. How often do you think this type of incident occurs?
3. What would you do if you were Jackie?
4. What are some of the possible costs involved?

Case 4 – Seaside Plantations

Liza Slater was a Property Manager with more than 10 years of experience specializing in resorts and 20 years in the hospitality industry. She had previously been the Director of Property Management for Seaside Plantations, a beach resort located on Bayside Island that catered to both families and convention business. In this position, Liza was responsible for the communication between the resort operating company and the individual owners of the condominiums in Seaside Plantation’s rental Programme. Liza had been in this position for five years and had developed a good working relationship of trust and mutual respect with the condominium owners. She left the position because of her family and their growing needs.

Two years later a powerful storm struck the island and nearly destroyed Seaside Plantations. Liza felt a responsibility to return to the re-sort to help the property owners, who had experienced great losses, both economical and emotional. Because most of the condominium owners lived in other, distant locations, they desperately needed an

agent on the island to help them through the reconstruction period and to prepare their villas again for rental. Time was of the essence, as most property owners had suffered enormous loss of rental income as a result of the storm.

The original property management company for whom Liza had worked had offices and front desk check-in on the premises. This company closed, however, after the storm and was eventually sold to a new company, Condominiums, Inc., who then occupied the vacated space. In the meantime, Liza accepted a position with a competitor, Oaks Properties, a prominent resort rental company. Oaks Properties owned and operated two other villa resort rental Programmes in the area and had just purchased a villa rental company on Bayside Island that was located 3 miles from Seaside Plantations. Inasmuch as Oaks Properties did not have previous rental experience on this island, they were particularly interested in hiring Liza because she was so familiar with the Seaside Plantations property, the property owners, and their condominiums. Liza's responsibilities included the day-to-day supervision of the office, including reservations, front desk activities, and property management functions, as well as overseeing both the housekeeping and maintenance operations.

Although she lived at the resort, she had to travel the 3 miles to the office and was on call 7 days a week, 24 hours a day. Marketing was handled exclusively by the home office located on another island. The owners of Oaks Properties had decided to compete aggressively on Bayside Island in an effort to increase their market share in both reservations and number of villas in their Seaside Plantations rental Programme. They used the Seaside Plantations name throughout all of the advertising without specifically identifying themselves as Oaks Properties, a rental/property management agency for the resort. This strategy was carried into their brochures, telephone advertising, and conference sales. Prospective guests assumed they were reaching the on-site reservations office for Seaside Plantations, rather than a separately located rental agency. Callers thought that they were making reservations directly with Seaside Plantations and that their stay would include certain amenities of the resort.

Bookings made through the competing on-site property management company, Condominium, Inc., for instance, offered golf and tennis privileges at reduced rates, a free summer children's Programme, free transportation within Seaside Plantations, and convenient charging privileges at the front desk for all food and clothing outlets. Although Oaks Properties offered slightly lower rental rates, its check-in desk was located 3 miles from the front gate of the resort, it did not offer special amenities, and it required full payment for the accommodations within two weeks of booking the reservation, which was nonrefundable 14 days prior to arrival.

Although Liza did not approve of Oaks Properties's strategy, she initially had some ability to correct the misperceptions of potential guests by instructing her reservations staff to provide complete information to the guests when they were enquiring or booking reservations.

During the second year of operations, Oaks Properties's management decided that the three reservation offices located on separate islands should be consolidated, and the reservation function was moved to the main office. Because of this move, the satellite operating office that Liza managed no longer had control over the information that was given to the prospective guest prior to making the reservation. Management also decided that the staff should be cut in half on Bayside Island because this office no longer handled reservations. This did not allow for sufficient staff to handle the problems of the property owners or guest services. Difficulties for Liza and her staff began soon after this consolidation. Oaks Properties invested heavily in marketing its properties. All types of advertising had the name "Seaside Plantations" prominently displayed, with only a small-lettered notation of "Oaks Properties" and the address. The reservations office, now under control of the home office, answered the telephone, "Seaside Plantations Reservations," not "Oaks Properties." The 800 directory listed "Seaside Plantations Accommodations," which in reality was the 800 number for Oaks Properties.

The change caused a great deal of confusion for guests, particularly in regard to check-in procedures. Because many of the guests did not realize they were renting through Oaks Properties, they would go to the main resort front desk, run by Condominiums, Inc., where they would be directed to the Oaks Properties office, 3 miles away, to check in. During the busy summer months it was not unusual for guests to slowly creep along in congested traffic to reach Seaside Plantations, where they would then wait at the front desk only to be sent back the 3 miles. Often the delay caused by the check-in confusion would be more than 45 minutes and was typically endured in subtropical heat. Many guests had small children in their cars and had been traveling for several hours. By the time they finally arrived at Oaks Properties to check in, they were hot, tired, and terribly irritated.

Oaks Properties policies gave Liza and her staff no way to appease these guests. They could merely point out that no misrepresentation had occurred, inasmuch as the name and address of Oaks Properties did appear on the brochure and reservation confirmation. The only positive information they could provide was that Oaks Property's rental rates were slightly lower than those of Condominiums, Inc. In addition, because the deposit was now nonrefundable, guests would forfeit their money if they did not keep their reservations.

Although this was an extremely upsetting situation for Liza and her staff, there were other equally distressing occurrences. Oaks Properties did not operate its Bayside Island office, including the front desk, on a 24-hour basis. When the office closed at 8:00 P.M., check-in information was left in a box for the guest to pick up. Guests arriving late at night, most having gone directly to the resort first were greeted by a rental packet and key when they returned to Oaks Properties. Often the security office or the front desk of Seaside Plantations would call Liza at home to handle an irate guest. On these occasions, she was forced to leave her two children unattended, sometimes after midnight, to

unlock the door of a condominium while trying to calm the guest. Even if the staff and Liza survived the check-in, there were other troubles. Included in the summer rates charged by Condominiums, Inc. at Seaside Plantations was a free all-day children's Programme. Many families visited the resort during the summer, and this was an important amenity.

A sign was prominently displayed on the main road by the resort that read "Registration for the Children's Programme." Although the programme was available only to guests who booked through Condominiums, Inc., all guests driving to their accommodations could not fail to see this sign. Guests who had made their reservations through Oaks Properties would often try to register their children in the Programme, only to be told that they could not. Once again Liza and her staff had very angry guests on their hands, and once again they could only point out that the guests paid a lower rate for the accommodations through Oaks Properties.

In addition to Liza's misgivings regarding the marketing and management practices of Oaks Properties, its compensation policy further complicated her predicament. Liza was paid a base salary that no longer met her financial needs. The company had eliminated any base salary in-creases and had decided instead that any additional compensation would be received in the form of a bonus for performance. Part of the bonus it paid Liza was based on how much she "comped" guests to appease them. Although Liza often felt that a guest was entitled to some recompension, the less she "gave away" in the form of complimentary gifts or services, the more she received for her bonus. She was also paid a very large fee every time she obtained a new rental unit for Oaks Properties. This put her in the position of having to be aggressive in securing villas for its rental programme when she did not personally feel that its operating methods were ethical.

Liza's integrity and values were very important to her, but as a single parent she felt she had no alternative except to do her best for Oaks Properties until another comparable position could be found. She was also bound to Oaks Properties by her sense of fairness. Although she had been approached by several direct competitors, she did not think that joining their organizations would be appropriate.

Once again, the end came when Liza put her family's needs first. She realized that not only was she suffering from the stress of her job, but that her children were as well. The ethical dilemmas she faced every day left her emotionally drained. The long hours she worked, with little or no opportunity to leave the island, as she was to be "on call" around the clock, left her physically exhausted. She had for some time been unavailable to give her children the attention they needed.

1. Evaluate the strategy of Oaks Properties.
2. What impact did the strategy have on employees?
3. What could Liza have done in this situation?
4. Make a prediction about the future of Oaks Properties.

Case 5 - The Decision to Serve

David Anderson was the Assistant Manager of an upscale restaurant in Philadelphia. On a beautiful summer afternoon he noticed two attractive young ladies enter the restaurant and head for the lounge area, which contained a bar and also had small tables where light meals were served. He assumed that they were going to eat lunch in the lounge. Ten minutes later David was approached by Josh, one of his servers, who told him that he was in a situation that made him feel uncomfortable. Josh explained that the hostess had seated two young ladies in his section in the outside seating area that was adjacent to the sidewalk in front of the restaurant.

This area was under an awning and separated from the side-walk by a short decorative iron fence, but diners were clearly visible from the sidewalk and street. He said that both of the women had cocktails, and he felt that they were underage and he did not know what to do. David looked out and noted that the two ladies were the same ones he had seen enter the restaurant earlier. He went to the bar and asked Julie, the bartender, if she had served the two ladies drinks, to which she replied that she had. He asked her if she had asked for identification, and she told him that she had not.

David then approached the table where the two were sitting and asked them for identification. One had a driver's license that showed she had recently turned 21, and the other said she had forgotten her identification. David informed the one without identification that he would need to remove her drink, as the restaurant had liability issues related to serving underage people. He told her that she would be reimbursed for the drink and offered to provide her with a complimentary nonalcoholic beverage.

When David took the beverage, the woman immediately began to complain loudly, got up from the table, went into the restaurant, and began yelling at the server, saying that her father was joining them soon and would rectify the situation. The General Manager approached David about the ruckus, and David explained the circumstances. In the mean-time, the young lady returned to her table, and the two women were soon joined by an older man. At this point the General Manager approached the table and had a brief conversation with the man and the young ladies. He apologized for the incident and offered them a complimentary round of drinks and dinner as compensation for their inconvenience.

The General Manager (GM) then approached David and explained to him what he had done and said the older man had vouched for the age of the young lady lacking any identification. It was never made clear as to whether the man was actually the father of either of the ladies. The GM went on to explain that the policy of the restaurant was to not ask for identification, especially for attractive women, unless it was obvious that the person was underage—which David felt was indeed the case in this situation. He continued to explain to David that having attractive women in the restaurant was good for business, that it was like free advertising, and that this was something they did not teach you in school.

CAPACITY PLANNING

Capacity planning is the process of adjusting the capacity of an organization to do work in response to changing or predicted demands.

In the context of capacity planning, capacity is taken to mean the amount work that an organization is capable of completing in a given period of time. In a simple model, it might be calculated as (number of machines and/or workers) x (number of shifts) x (utilization) x (efficiency).

The demand for work an organization experiences will vary under many circumstances. Notable events that might cause the demand for work to vary greatly include starting a new organization, extending the operations of an existing business, considering additions or modifications to product lines, and introducing new techniques, equipment and materials.

Discrepancy between capacity of an organization and the demands of its customers results in an inefficiency, either in under-utilized resources or unfulfilled customers. The goal of capacity planning is to therefore minimize this discrepancy. The broad classes of capacity planning are lead strategy, lag strategy, and match strategy.

The lead capacity strategy is adding capacity in anticipation of an increase in demand. Lead strategy is an aggressive strategy with the goal of luring customers away from the company's competitors. The possible disadvantage to this strategy is that it often results in excess inventory, which is costly and often wasteful.

Lag strategy refers to adding capacity only after the company is running at full capacity or beyond due to increase in demand. This is a more conservative strategy that decreases the risk of waste but may result in the loss of possible customers.

The match strategy (also known as the tracking strategy) is adding capacity in small amounts in response to changing demand in the market. This is a more moderate strategy.

Capacity planning interacts with the discipline of Performance Engineering, both during the requirements and design activities of building a system, and when using performance monitoring as an input for managing capacity of deployed systems.

DECISION MAKING IN BUSINESS AND MANAGEMENT

In general, business and management systems should be set up to allow decision making at the lowest possible level.

Several decision making models for business include:

- SWOT Analysis - Evaluation by the decision making individual or organization of Strengths, Weaknesses, Opportunities and Threats with respect to desired end state or objective.
- Analytic Hierarchy Process - procedure for multi-level goal hierarchy
- Buyer decision processes - transaction before, during, and after a purchase

- Complex systems - common behavioural and structural features that can be modelled
- Corporate finance:
 - The investment decision
 - The financing decision
 - The dividend decision
 - working capital management decisions
- Cost-benefit analysis - process of weighing the total expected costs vs. the total expected benefits
- Decision trees
 - Programme Evaluation and Review Technique (PERT)
 - critical path analysis
 - critical chain analysis
- Force field analysis - analyzing forces that either drive or hinder movement towards a goal
- Grid Analysis - analysis done by comparing the weighted averages of ranked criteria to options. A way of comparing both objective and subjective data.
- Kepner tregoe - A Management Consultancy firm specialising in rational Problem Solving and Decision Making processes
- Linear programming - optimization problems in which the objective function and the constraints are all linear
- Min-max criterion
- Model (economics)- theoretical construct of economic processes of variables and their relationships
- Monte Carlo method - class of computational algorithms for simulating systems
- Morphological analysis - all possible solutions to a multi-dimensional problem complex
- optimization
 - constrained optimization
- Paired Comparison Analysis - paired choice analysis
- Pareto Analysis - selection of a limited of number of tasks that produce significant overall effect
- Scenario analysis - process of analyzing possible future events
- Six Thinking Hats - symbolic process for parallel thinking
- Strategic planning process - applying the objectives, SWOTs, strategies, programmes process
- Ubiquitous command and control is a concept for dynamic decision making based on “agreement between an individual and the world”, and “agreements between individuals”

Decision-makers and Influencers

In the context of industrial goods marketing, there is much theory, and even more opinion, expressed about how the various 'decision-makers' and 'influencers' (those who can only influence, not decide, the final decision) interact. Decisions are frequently taken by groups, rather than individuals, and the official buyer often does not have authority to take the decision. Miller and Heiman, for example, offered a more complex view of industrial buying decisions (particularly in the area of 'complex sales' of capital equipment). They see three levels of decision making:

'Economic buying influence' - the decision-maker who can authorize the necessary funds for purchase

'User buying influences' - the people in the buying company who will use the product and will specify what they want to purchase

'Technical buying influence' - the 'experts' (including, typically, the buying department) who can veto the purchase on technical grounds

Webster and Wind, in a similar vein, identify six roles within the 'buying centre':

'Users' - who will actually use the product or service

'Influencers' - particularly technical personnel

'Deciders' - the actual decision-makers

'Approvers' - who formally authorize the decision

'Buyers' - the department with formal authority

'Gatekeepers' - those who have the power to stop the sellers reaching other members of the 'buying centre'

Some have said that true consensus involves "meeting everyone's needs." Consensus decision-making is intended to deemphasize the role of factions or parties and promote the expression of individual voices. The method also increases the likelihood of unforeseen or creative solutions by juxtaposing dissimilar ideas. Because it seeks to minimize objection, it is popular with voluntary organizations, wherein decisions are more likely to be carried out when they are most widely approved. Consensus methods are desirable when enforcement of the decision is unfeasible, such that every participant will be required to act on the decision independently.

Consensus decision-making is also found in groups where participants have different areas of expertise but are working towards a common goal. Examples of this include high technology project design teams which must integrate the opinions of people with different areas of expertise.

Minority views must be considered to a greater degree than in circumstances where a majority can take the action and enforce the decision without any further consultation with the minority voters. It is often thought that consensus can require more time and effort to achieve. Thus some groups may reserve consensus decision methods for particularly complex, risky or important decisions. However, there are many examples of groups who employ consensus decision-making in ways that enable them to both

consider minority views and make decisions in a timely and efficient manner. Consensus decision making could result in group polarization, where team members make more extreme decisions compared to their prior individual positions. This could potentially have beneficial effects on team decisions (enhance commitment and conviction), or detrimental effects (escalate towards greater risk or greater conservative behaviours). Use of computer-mediated communication could further heighten the effects of group polarization.

Rather than simply list known alternatives, debate for a short time, vote, and then accept or reject by some percentage of majority (ex. over 50%, over 2/3), a consensus decision-making process involves identifying and addressing concerns, generating new alternatives, combining elements of multiple alternatives and checking that people understand a proposal or an argument.

This empowers minorities, those with objections that are hard to state quickly, and those who are less skilled in debate. Therefore, consensus decision-making can be seen as a form of grassroots democracy.

Egalitarian groups that seek to reduce the amount of power delegated to leaders, chairpersons or agenda setters often use consensus methods. Such methods can reduce the amount of harm or loss imposed on minorities (or individuals) by a majority. Consensus methods may be appropriate when personal (or emotional) risk to members is high, trust is low, and time is available for a prolonged discussion. Consensus may be used to remedy patterns of decision-making based on habit, subservience or carelessness.

Alternatively, it can be argued that in a situation of abundant trust - in which each party assumes that any objections or reservations regarding a proposal are meaningful - consensus methods may not only be appropriate, but necessary.

Like any group decision-making, consensus decision-making can disempower those not present in the debating forum, as they cannot expect to have input on the new measures that are proposed (whereas they might have had the opportunity for input into the known alternatives prior to the debate). Accordingly, most systems of consensus decision-making place a premium on participation.

Three key issues tend to define a particular type of consensus decision-making:

1. Degree of agreement or unanimity required;
2. Timing of presentation including division of time among urgent versus important matters;
3. Follow-up to action including the monitoring that arises from dissent, and from claims of majority proponents whose preferred course of action is being taken over minority objections.

There is also the question of facilitation or process leadership, which is handled

A healthy consensus decision-making process usually encourages and outs dissent early, maximizing the chance of accommodating the views of all minorities. It also often assigns a role to the dissenter, e.g. the Vatican used to assign the role of Promotor

Fidei to a specific priest who argued against beatification of a saint, to ensure the case ‘against’ remains well represented. After the decision, the dissenting minority may have some role to play in monitoring the decision. In the Supreme Court of the United States, both the majority opinion and minority opinion are equally well documented, as the legal grounds for agreeing with either may exist in some court in the future.

Many groups consider unanimous decisions a sign of agreement, solidarity, and unity. However, there is evidence that unanimous decisions may be a sign of coercion, fear, undue persuasive power or eloquence, inability to comprehend alternatives, or plain impatience with the process of debate. (For example, elections in which 99% or 100% of the voters support the candidate are generally discredited.) When there are concerns about these aspects of unanimity, various alternatives can be pursued. These include the following:

- Unanimity minus one (or U-1), requires all delegates but one to support the decision. The individual dissenter cannot block the decision although they may be able to prolong debate (*e.g.* via a filibuster). The dissenter may be the ongoing monitor of the implications of the decision, and their opinion of the outcome of the decision may be solicited at some future time. Betting markets in particular rely on the input of such lone dissenters. A lone bettor against the odds profits when his or her prediction of the outcomes proves to be better than that of the majority. This disciplines the market’s odds.
- Unanimity minus two (or U-2), does not permit two individual delegates to block a decision, but tends to curtail debate with a lone dissenter more quickly. Dissenting pairs can present alternate views of what is wrong with the decision under consideration. By focusing on a pair of dissenters, and allocating less time to lone wolves or ‘consensus thugs’, a U-2 system tends to form stronger bonds among those who find themselves “alone on an island” with each other. Pairs of delegates can be empowered to find the common ground that will enable them to convince a third, decision-blocking, voter to join them. If the pair are unable to convince a third party to join them within a set time, their arguments are deemed to be unconvincing, immature or self-interested. If two people dissent against some common measure, it is more likely that the discussion between them can be extended to third parties easily, since it is already verbalized and illustrated. Western European court systems recognize this by strongly encouraging criminal defendants or civil plaintiffs to get an attorney’s aid, so that their case can be fully heard out long before the decision.
- Unanimity minus three, (or U-3), and other such systems recognize the ability of three or more delegates to actively block a decision. However, there is controversy over whether a small group of dissenters, (*e.g.*, militants or terrorists), is morally different from a large minority, (*e.g.*, an opposition party with support of double-digit percentages of the population). Accordingly U-3

and lesser degrees of unanimity are usually lumped in with statistical measures of agreement, such as: 80%, mean plus one sigma, two-thirds, or greater than half (majority) levels of agreement. Such measures do not fit within the definition of consensus given at the beginning of this article.

- The IETF working group process has a tradition of “rough consensus”, where there is no specific rule for “how much is enough”, but it is left to the judgement of the working group chair. This makes it harder for a small number of disruptors to block a decision, but puts a lot of responsibility on the chair, and has frequently led to angry debates about whether rough consensus has in fact been correctly identified.

The quality of alternatives considered is, all else being equal, proportional to the amount of time spent gathering and comparing and combining them. The term deliberative democracy reflects the deliberation that underlies all good consensus decision-making. Ralph Nader and others have advocated deliberative measures to extend the time for “sober second thought.”

A fictional example of deliberative democracy is the Entmoot from J. R. R. Tolkien’s novel *The Lord of the Rings*. The Ents, who are large ancient living intelligent trees, spend days discussing the issue of whether to go to war, in their verbose and many-syllabled language. This is an example of a decision for which the stakes were high, the individual risk also high, and coercive force difficult or lacking; therefore suited to consensus methods.

Timeliness of decisions is an important issue. In some cases, a wrong decision taken in time can be better than a good decision taken later.

Key responsibilities of facilitators of any decision making process, but particularly in consensus decision-making, include:

- Establishing measures to place items on the agenda, or deny them time on the agenda.
- Setting deadlines for changes to the agenda (*e.g.* can the agenda itself be changed during the meeting?).
- Agenda forming and presentation of issues at the right time, when there is sufficient time for their debate.
- Ensuring that less urgent issues are excluded from the debate, but dealt with at another time.

To achieve a balance between urgency and importance, it is common to reserve enough time for matters that are not urgent, but are nevertheless important, (for *e.g.*, the decision process itself, which takes care to maintain). Consensus decision processes tend to accelerate as rising trust over the course of the meeting, combined with fatigue, increase individual tolerance and the cost of dissent. Placing difficult agenda items first tends to speed a meeting, with the risk that important, but less complex decisions will not be achieved before adjournment.

Decisions about when to split up into working groups, how to handle agendas, how to deal with changes to agendas or working groups from the floor, etc., are affected by the allocation of the group's time to urgent versus important matters. These procedural matters are held to be crucial to the survival of a consensus decision process, along with issues of safety, fairness, and closure which arise from their application in practice.

Action, Monitoring and Follow-up

Action is the point of decision; without action, the decision is just talk. Military leaders from Alexander the Great to the present have emphasized that orders simply do not get carried out unless they are personally followed up by the commander. The same applies to group decisions, perhaps even more so.

One would not expect the opposing minority to do a good job of ensuring that a measure is carried out, but they can ensure that problems resulting from it are well-documented, and that inconveniences of its implementation are contained. However, they can also take steps to ensure that the inconvenience of implementation is maximized, so as to make the point that the measure was impractical and ill-advised from the beginning. A major issue in consensus decisions is whose view of the actual outcome to trust, and who to permit time to present their view.

Consensus decisions are especially vulnerable to sabotage of all kinds, so the assignment of action roles, monitoring (from the original majority and minority opinion to some future time when the results of both sets of predictions can be debated), and other follow up (*e.g.* assessing support of the public for a party after it has taken and publicized a particular measure), is a key responsibility of consensus decision leaders.

QUAKER-BASED CONSENSUS

The model used by the Quakers is effective because it puts in place a simple, time-tested structure that moves a group towards consensus. The Quaker model has been well-received when employed in secular settings because it gives everyone a chance to speak while limiting potential disruptors (*e.g.*, people who want unlimited airtime, or who have a particular axe to grind).

The following aspects of the Quaker model can be effectively applied in any consensus decision-making process:

- Multiple concerns and information are shared until the sense of the group is clear.
- Discussion involves active listening and sharing of information.
- Norms limit number of times one asks to speak to ensure that each speaker is fully heard.
- Norms limit repetition and long speeches.

- Norms include a short silence after every comment so deliberations are truly thoughtful.
- Ideas and solutions belong to the group; no names are recorded.
- Differences are resolved by discussion. The facilitator (“clerk” or “convenor” in the Quaker model) identifies areas of agreement and names disagreements to push discussion deeper.
- The facilitator articulates the sense of the discussion, asks if there are other concerns, and proposes a minute of the decision.
- The group as a whole is responsible for the decision, and the decision belongs to the group.
- The facilitator can discern if one who is not uniting with the decision is acting without concern for the group or in selfish interest.
- Dissenters’ perspectives are embraced.

Key components of Quaker-based consensus are: 1) that the guidance of Spirit is available to each participant who honestly seeks the truth, 2) belief in a common humanity, and, 3) the ability to decide together. The goal is “unity, not unanimity.” Ensuring that group members speak only once until others are heard encourages a diversity of thought. The facilitator is understood as serving the group rather than acting as person-in-charge.

By articulating the emerging consensus, members can be clear on the decision, and, as their views have been taken into account, will be likely to support it. Many intentional communities use consensus decision-making. In many cases, with cohousing groups, business must be transacted within time constraints. Thus efficiency is important. If the group genuinely wants to make decisions by consensus, a method is needed that is both efficient and effective. An open discussion needs to be animated by a process that moves towards a timely, and sound, decision that is supported by all. Various techniques have been developed whereby this can be achieved.

In some groups, the cards are used in two ways; one for discussion and another for decisions:

A group member who wishes to speak, holds up a card:

- A green card means “I have something to say” or “I have a question.” When several group members hold up a green card, they are noted and placed in a “stack” of people waiting to speak. Each person speaks in turn, in a way that is similar to Quaker-based consensus.
- A yellow card means “I can clarify” or “I need clarification (on what was just said).”
- The red card is the process card. A red card, when raised, asks members to look at the process. For example, an individual who displays a red card might say: “Are we getting off track, here?” or “What is our objective in doing this?” or even “How about we take a break?” It gives all members an equal chance to be facilitator.

Following discussion, the facilitator articulates the proposal and calls for a show of cards:

- The green card means: “I agree.”
- The yellow card means: “I can live with it.” This is often referred to as “standing aside”
- The red card means: “I don’t agree, but am willing to work to find a better way, taking into account what has been said by all group members.” Thus holding up a red card does not block progress, it signifies that the person who displayed it will work with others on the matter in question and bring it back to a subsequent meeting. This tends to ensure that red cards are not used lightly.

In the Uniting Church of Australia, orange and blue cards are used to mean “I am warm towards this” or “I am cool towards this.” The use of orange and blue allows people who are colourblind, and cannot distinguish red and green, to participate in the discussion. If groups agree to apply methods such as these, and all group members are willing to work at it, consensus decision-making can be both effective in meeting a group’s goals, and time-efficient. A similar method has come to be used in other forums, such as W3C and other computer standards bodies. There, it is known as the Quaker poll. In lieu of coloured cards, some consensus-based groups use a system of simple hand signals. While the nature, meaning and popularity of such signals changes from group to group, there is a common ‘vocabulary’:

- Twinkle: Wiggling of the fingers of one or both hands, with palms facing downward. Used by non-speakers to indicate agreement with the speaker. Also often used as a replacement of a raised hand to indicate a ‘yea’ vote to a proposal.
- Triangle: Forming of a triangle with the thumbs and index fingers of both hands. Used to indicate a point of order or procedure to the facilitator.
- Crossed arms: Forearms crossed with hands in fists. Used to indicate a strong disagreement with the speaker or to cast a ‘block’ vote to a proposal.

In the Internet Engineering Task Force (IETF), decisions are assumed to be taken by “rough consensus.” The IETF has studiously refrained from defining a mechanical method for verifying such consensus, apparently in the belief that any such codification will lead to attempts to “game the system.” Instead, a working group (WG) chair or BoF chair is supposed to “recognize it when I see it.”

One tradition in support of rough consensus is the tradition of humming rather than (countable) hand-raising; this allows a WG to quickly tell the difference between “one or two objectors” or a “sharply divided community”, without making it easy to slip into “majority rule”. However, hand-raising is also used, especially in larger meetings, but actual counting is frowned upon.

Much of the business of the IETF is carried out on mailing lists, where all parties can speak their view at all times; the social dynamics of mailing lists is worthy of a study in itself.

BUSINESS BUYING BEHAVIOUR

The business market is comprised of organizations that, in some form, are involved in the manufacturer, distribution or support of products or services sold or otherwise provided to other organizations. The amount of purchasing undertaken in the business market easily dwarfs the total spending by consumers. Because the business market is so large it draws the interest of millions of companies worldwide that market exclusively to business customers.

For these marketers understanding how businesses make purchase decisions is critical to their organizations' marketing efforts. In some ways understanding the business market is not as complicated as understanding the consumer market. For example, in certain business markets purchase decisions hinge on the outcome of a bidding process between competitors offering similar products and services.

In these cases the decision to buy is often whittled down to one concern—who has the lowest price. Thus, unlike consumer markets, where building a recognizable brand is very important, for many purchase situations in the business market this is not the case. However, in many other ways business buying is much more complicated. For instance, the demand by businesses for products and services is affected by consumer purchases and because so many organizations may have a part in creating consumer purchases, a small swing in consumer demand can create big changes in business purchasing. Automobile purchases are a good example. If consumer demand for cars increases many companies connected with the automobile industry will also see demand for their products and services increase.

Under these conditions companies will ratchet up their operations to ensure demand is met, which invariably will lead to new purchases by a large number of companies. In fact, it is conceivable that an increase of just one or two per cent for consumer demand can increase business demand for products and services by five or more per cent. Unfortunately, the opposite is true if demand declines. Trying to predict these swings requires businesses to not only understand their immediate customers but also the end user, which as suggested, discuss, may be well down the supply chain from where the business operates. Principles of Marketing Tutorials discusses the unique characteristics of the business market. As suggested, see that marketers must appeal to business customers in ways that are distinct from how they would approach consumers. While marketers selling to other businesses operate with most of the same marketing tools used by marketers of consumer products, how they employ these tools to reach their marketing objectives may be quite different.

SUPPLY CHAIN MARKET

The supply chain consists of mostly for-profit companies engaged in activities involving product creation and delivery. Essentially the chain represents major steps

needed to manufacture a product that will eventually be sold as a final product. Each member of the supply chain purchases products and services enabling them to carry out its business objectives.

When making purchase decisions supply chain members may be motivated by such factors as: product cost, return on investment, assurance of consistent supply, reciprocity with supplying firm, and much more.

Examples of purchasing occurring in the supply chain include: manufacturing and plant equipment, information technology, office supplies, professional business services, etc. We arbitrarily identify five main categories of supply chain members primarily based on the stage at which they contribute to the manufacturing process. However, it is conceivable that these categories can be further divided in order to flush out more specific activities.

BUSINESS USER MARKETS

Besides selling final products and services to supply chain companies, several additional user markets also make purchases either for their own consumption or they buy with the intention of redistributing to others. In these purchase situations the buyer generally does not radically change the product from its form when it was purchased from a Product Manufacturer.

While technically these markets are also part of the supply chain, members of the business user market do not, in most cases, engage or directly assist in production activities.

BUSINESS VS CONSUMER MARKETS

For marketers, the selling environment of business markets present uniquely different circumstances when compared to selling to consumers.

At the beginning of this tutorial we saw two ways in which consumer and business markets differ:

- Business markets are more likely to be price driven than brand driven, and
- Demand in business markets tends to be more volatile than consumer markets.

However, the two markets are dissimilar in other ways requiring marketers to take a different approach when selling to business customers than to consumers.

These differences include:

- How Decisions Are Made
- Existence of Experienced Purchasers
- Time Needed to Make Buying Decision
- Size of Purchases
- Number of Buyers
- Type of Promotional Effort Needed to Reach Buyer

BUYING DIFFERENCES

Buying Centre Decisions

In the consumer market a very large percentage of purchase decisions are made by a single person. As we discussed in the Consumer Buying Behaviour tutorial, there are situations in which multiple people may be involved in a consumer purchase decision, such as a child influencing a parent to choose a certain brand of cereal or a husband and wife deciding together to buy a house, but most of the time purchases are individual decisions. The business market is significantly different. While single person purchasing is not unusual, especially within a small company, a significant percentage of business buying, especially within larger organizations, requires the input of many. In the marketing literature those associated with the purchase decision are known to be part of a Buying Centre, which consists of individuals within an organization that perform one or more of the following roles:

- *Buyer*: Responsible for dealing with suppliers and placing orders
- *Decider*: Has the power to make the final purchase decision
- *Influencer*: Has the ability to affect what is ordered such as setting order specifications
- *User*: Those who will actually use the product when it is received
- *Initiator*: Any Buying Centre member who is the first to determine that a need exists
- *Gatekeeper*: Anyone who controls access to other Buying Centre members

For marketers confronting a Buying Centre it is important to first identify who plays what role. Once identified the marketer must address the needs of each member, which may differ significantly. For instance, the Decider, who may be the company president wants to make sure the purchase will not negatively affect the company's bottom line while the Buyer wants to be assured the product will be delivered on time. Thus, the way each Buying Centre member is approached and marketed to requires careful planning in order to address the unique needs of each member.

Experienced Purchasers

As noted in the discussion of the Buying Centre, organizations often employ purchasing agents or professional buyers whose job is to negotiate the best deals for their company. Unlike consumers, who often lack information when making purchase decisions, professional buyers are generally as knowledgeable about the product and the industry as the marketer who is selling to them.

Decision Making Time

Depending on the product, business purchase decisions can drag on for an extensive period. Unlike consumer markets where impulse purchasing is rampant, the number of people involved in business purchase decisions results in decisions taking weeks, months or even years.

Size of Purchases

For products that are regularly used and frequently purchased, businesses will often buy a larger volume at one time compared to consumer purchases. Because of this business purchasers often demand price breaks for higher order levels.

Type of Promotions

Companies who primarily target consumers often use mass advertising methods to reach an often widely dispersed market.

For business-to-business marketers the size of individual orders, along with a smaller number of buyers, makes person-to-person contact by sales representatives a more effective means of promotion.

TYPES OF BUSINESS PURCHASE DECISIONS

While it would appear business customers face the same four purchase situations faced by consumers, the nature of the business market has led many marketing academics to group business purchase situations into only three categories. The reason is that the idea of a minor order may not hold as well in the business market, where buyers tend to place larger orders and where suppliers' marketing efforts are directed towards the most profitable buyers.

- *Straight Re-Purchase*: These purchase situations involve routine ordering. In most cases buyers simply reorder the same products or services that were previously purchased. In fact, many larger companies have programmed re-purchases into an automated ordering system that initiates electronic orders when inventory falls a certain pre-determined level. For the supplier benefiting from the re-purchase this situation is ideal since the purchaser is not looking to evaluate other products. For competitors who are not getting the order it may require extensive marketing efforts to persuade the buyer to consider other product or service options.
- *Modified Re-Purchase*: These purchases occur when products or services previously considered a straight re-purchase are for some reason now under a re-evaluation process. There are many reasons why a product is moved to the status of a modified re-purchase. Some of these reasons include: end of purchase contract period, change in who is involved in making the purchase, supplier is removed from an approved suppliers list, mandate from top level of organization to re-evaluate all purchasing, or strong marketing effort by competitors. In this circumstance the incumbent supplier faces the same challenges they may have faced when they initially convinced the buyer to make the purchase. For competitors the door is now open and they must work hard to make sure their message is heard by those in charge of the purchase decision.

- *New Task Purchase*: As the name suggests, these purchases are ones the buyer has never or rarely made before. In some ways new task purchases can be considered as either minor or major depending on the total cost or overall importance of the purchase. In either case the buyer will spend considerably more time evaluating alternatives. For example, if faced with a major new task purchase, which often involves complex items, such as computer systems, buildings, robotic assembly lines, etc., the purchase cycle from first recognizing the need to placement of the order may be months or even years.

MARKETING BASICS FOR THE SMALL HOTEL BUSINESS

The essence of marketing is to understand your customers' needs and develop a plan that surrounds those needs. Let's face it anyone that has a business has a desire to grow their business. The most effective way to grow and expand your business is by focusing on organic growth.

You can increase organic growth in four different ways. They include:

- Acquiring more customers
- Persuading each customer to buy more products
- Persuading each customer to buy more expensive products or up selling each customer
- Persuading each customer to buy more profitable products

All four of these increase your revenue and profit. Let me encourage you to focus on the first which is to acquire more customers. Why? Because by acquiring more customers you increase your customer base and your revenues then come from a larger base.

How can you use marketing to acquire more customers?

- Spend time researching and create a strategic marketing plan.
- Guide your product development to reach out to customers you aren't currently attracting.
- Price your products and services competitively.
- Develop your message and materials based on solution marketing.

THE IMPORTANCE OF A TARGET MARKET

When it comes to your customers keep in mind the importance of target marketing. The reason this is important is that only a proportion of the population is likely to purchase any products or service. By taking time pitch your sales and marketing efforts to the correct niche market you will be more productive and not waste your efforts or time. It's important to consider your virtual segmentation by selecting particular verticals to present your offerings to. Those verticals will have the particular likelihood of purchasing your products and services. Again, this saves you from wasting valuable time and money.

Marketing Differs between Small hotels and larger hotels

If you are like the majority of small hotel business owners your marketing budget is limited. The most effective way to market a small hotel business is to create a well rounded programme that combines sales activities with your marketing tactics. Your sales activities will not only decrease your out-of-pocket marketing expense but it also adds the value of interacting with your prospective customers and clients. This interaction will provide you with research that is priceless.

Small hotel businesses typically have a limited marketing budget if any at all. Does that mean you can't run with the big dogs? Absolutely not. It just means you have to think a little more creatively. How about launching your marketing campaign by doing one of the following:

- Call your vendors or associates and ask them to participate with you in co-op advertising.
- Take some time to send your existing customers' referrals and buying incentives.
- Have you thought about introducing yourself to the media? Free publicity has the potential to boost your business. By doing this you position yourself as an expert in your field.
- Invite people into your place of business by piggybacking onto an event. Is there a concert coming to town, are you willing to sell those tickets? It could mean free radio publicity. If that is not your cup of tea, how about a walkathon that is taking place in your area, why not be a public outreach and distribute their material?

When you do spend money on marketing, do not forget to create a way to track those marketing efforts. You can do this by coding your ads, using multiple toll-free telephone numbers, and asking prospects where they heard about you. This enables you to notice when a marketing tactic stops working. You can then quickly replace it with a better choice or method. By being diligent in your marketing and creating an easy strategy such as holding yourself accountable to contact ten customers or potential customers daily five days a week you will see your business grow at an exceptional rate. The great thing is it will not take a large marketing budget to make it happen.

THE NATURE OF SERVICES

Along with the growth in services, an appreciation for the ways in which services are different from products has developed. The traditional ways of marketing tangible products are not equally effective in services marketing. In many industries, marketing involves tangible manufactured products, such as automobiles, washing machines, and clothing, whereas service industries focus on intangible products such as travel and foodservice. However, before we can explore how services get successfully marketed, we need to examine the ways services differ from products.

NINE KEY DIFFERENCES:

No Ownership by Customers

A customer does not take ownership when purchasing a service. There is no transfer of assets.

Service Products as Intangible Performers

The value of owning a highperformance car or the latest computer lies in the physical characteristics of the product and to some extent the brand image it conveys. The value of purchasing services lies in the nature of the performance. For example, if you decide to celebrate a birthday or anniversary by dining at an expensive restaurant, the value lies in the way in which the service actors perform. When servers come to the table and present all the entrees simultaneously, the choreographed presentation appears in the same manner as a choreographed play or performance.

Greater Involvement of Customers in the Production Process

Because consumers tend to be present when receiving service within a hospitality operation, they remain involved in the service production. In many instances, they are directly involved through the element of self-service. Examples of this can be seen in fast-food restaurants as well as in hotels that provide automated check-in and checkout by means of either a machine or a video connection through the television. Airlines have greatly expanded self-service within their operations as a means of reducing labour costs.

In any case, the customer's level of satisfaction depends on the nature of the interaction with the service provider, the nature of the physical facilities in which the service gets provided, and the nature of the interaction with other guests present in the facility at the time the service is provided.

People as Part of the Product

People or firms that purchase services come in contact with other consumers as well as the service employees. For example, a hotel guest waits in line at the front desk or the concierge desk with other guests. In addition, the guests share facilities such as the pool, the restaurant, and the fitness center. Therefore, service firms must also manage consumer interactions to the best of their abilities to ensure customer satisfaction. For example, a hotel's sales office would not want to book group business with a nondrinking religious group at the same time as a reunion of military veterans. The two groups are significantly different in behaviour, and the expectation is that they would not mix well within the facilities at the same time. Similarly, restaurants separate smokers and nonsmokers, and they should try to separate other patrons that show some potential for conflict.

Greater Variability in Operational Inputs and Outputs

In a manufacturing setting, the operational production can be controlled very carefully. For example, staff carefully manage inventory and precisely calculate production times. Services, however, are delivered in real time, with many variables not being fully under the control of managers. For example, if a guest has been promised an early check-in but all of the guests from the preceding night are late in checking out, it becomes more difficult for the hotel to honour the arriving guest's request. A service setting remains a more difficult site in which to control quality and offer a consistent service experience. Service firms try to minimize the amount of variability between service encounters, but much of the final product stays situational. There are many uncontrollable aspects of the delivery process, such as weather, the number of consumers present, the attitudes of the consumers, and the attitudes of the employees. Therefore, it becomes impossible to consistently control the quality for services in the same manner as the quality of manufactured products.

Harder for Consumers to Evaluate

Consumers can receive considerable information regarding the purchase of products; however, they often do not obtain it for services. Prior to buying a product, a consumer can research the product attributes and performance and use this information when making a purchase decision, especially an important one.

No Inventories for Services

Due to the intangible nature of services, they cannot be inventoried for future use. Therefore, a lost sale can never be recaptured. When a seat remains empty on a flight, a hotel room stays vacant, or a table stays unoccupied in a restaurant, the potential revenue for these services at that point in time becomes lost forever. In other words, services are perishable, much like produce in a supermarket or items in a bakery. It remains critical for hospitality and tourism firms to manage supply and demand in an attempt to minimize unused capacity. For example, restaurants offer early-bird specials and airlines offer deeply discounted fares in an attempt to shift demand from peak periods to nonpeak periods, thereby increasing revenue and profits.

Importance of Time

Hospitality services are generally produced and consumed simultaneously, unlike tangible products, which are manufactured, inventoried, and then sold at a later date. Customers must be present to receive the service. There are real limits to the amount of time that customers are willing to wait to receive service. Service firms study the phenomenon of service queues, or the maximum amount of time a customer will wait for a service before it has a significant (negative) impact on his or her perception of service quality.

Airline companies offer curbside check-in for the most time-conscious passengers, and restaurants have devised practices such as providing guests with pagers and expanding the bar area in order to reduce the negative effect that results from waiting for service.

Different Distribution Channels

The distribution channel for services is usually more direct than the traditional channel (*i.e.*, manufacturer-wholesaler retailer- consumer) used by many product firms. The simultaneous production and consumption normally associated with service delivery limits the use of intermediaries. The service firm usually comprises both the manufacturer and the retailer, with no need for a wholesaler to inventory its products. Consumers are present to consume the meals prepared in a restaurant, to take advantage of the amenities in a hotel, and to travel between cities by plane.

MARKET PLANNING WORKSHEET

Many people who try to start businesses have difficulty getting the business off the ground. They go through all the motions of getting a business set up, put an ad in the newspaper and then sit back and wonder what went wrong when no customers come knocking on their door. Don't let that happen to you. You can improve your chance for a successful business launch by doing a little research before you start the business. Use the marketing worksheet below to help you determine who your customers will be and what it will take to reach them.

Hotel Sales Organization and Operations Management

SALES AND MARKETING

Sales and marketing are related concepts, and each is an art and a science. Sales flow from marketing. Marketing, well stated by Lewis “is communicating to and giving target market customers what they want, when they want it, where they want it, and at a price they are willing and able to pay.” The primary focus of sales is on the communication aspect of marketing. It involves direct personal selling to potential customers that you and your organization have the right product, in the right place, at the right time, and at the right price—be it a hotel, a restaurant, a casino, or contract food services.

Marketing is getting and keeping a customer, a macro approach to managing a successful business. In a broad sense, marketing is the development and delivery of a successful product, that is, the development and delivery of a satisfied customer. Hotel sales comprises finding that customer and matching his or her specific needs with the right product offering, a micro or one-on-one approach to customer satisfaction. For example, a meeting planner from Texas Instruments is planning an annual sales meeting to be held in Dallas. From a macro perspective, this planner has selected the city and is searching for full-service lodging accommodations for 200 TI sales representatives for a five-day conference. From a micro perspective, he or she visits several hotel alternatives

and meets with the hotel sales representatives to find the best “fit.” Various aspects of the meeting being planned are discussed including dates, rates, guest room accommodations, function room requirements, food and beverage services, and so forth. It is the job of the hotel sales manager to learn the specific needs and wants of the planner and “create” the right product, place, time, and price for a successful conference.

A successful conference is what the planner is really buying, not bricks and mortar. Thus, successful selling is understanding the real needs of the buyer, communicating how your product and service can best respond to those needs, and then delivering it. In another context, McDonald’s Golden Arches markets fun, simplicity, good service, and a good price. McDonald’s sells friendly service, good value for price paid, convenient locations, and those delicious golden chicken nuggets on which many of us grew up. Ronald McDonald is an ancillary product, a public relations endeavor, which augments and supports the idea or concept of kids and why they are special.

Public relations, advertising, and special promotions often support the selling effort. Advertisements for the Ritz-Carlton Hotel Company are directed to their business traveller clientele. Such advertisements incorporate both the selling and marketing aspects of this upscale hotel chain. The company is simultaneously selling hotel rooms to busy business executives and marketing a hotel that “remembers your needs,” and is hallmarked by the vision implicit in their slogan “ladies and gentlemen serving ladies and gentlemen.” A travel agent, a corporate travel manager, or a secretary, however, may have handled the actual purchase of the hotel room. Thus, the Ritz-Carlton advertisements support the sale, but they do not actually make the sale happen.

SUPERVISION OF SALE PERSONNEL

The face of any organization is the sales force. Companies spend a considerable amount of time and money on sales force rather than on any other promotional activity. However, sales force is expensive and companies are looking forward to managing them in an efficient and effective manner.

Most companies use sales representatives, and many companies assign them the pivotal role in the marketing mix. Salespeople are very effective in achieving certain marketing objectives. At the same time they are very costly. Management must give careful thought to designing and managing its personal-selling resources.

Sales force design calls for decisions on objectives, strategy, structure, size, and compensation. Sales force objectives include prospecting, communicating, selling, and servicing, information gathering, and allocating. Sales force strategy is a question of what types and mix and selling approaches are most effective (solo selling, team selling, and so on). Sales force structure is a choice between organizing by territory, product, customer, or a hybrid combination, and developing the right territory size and shape. Sales force size involves estimating the total workload and how many sales hours—and

hence salespeople—would be needed. Sales force compensation involves determining pay level and components such as salary, commission, bonus, expenses, and fringe benefits. Managing the sales force involves recruiting and selecting sales representatives and training, directing, motivating, and evaluating them. Sales representatives must be recruited and selected carefully to hold down the high costs of hiring the wrong persons. Sales-training programmes familiarize new salespeople with the company's history, its products and policies, the characteristics of the market and competitors, and the art of selling. Salespeople need direction on such matters as developing customer and prospect targets and call norms and using their time efficiency through computer-aided information, planning and selling systems, and inside support salespeople.

Sales-people also need encouragement through economic and personal rewards and recognition because they must make tough decisions and are subject to many frustrations. The key idea is that appropriate sales force motivation will lead to more effort, better performance, higher rewards, higher satisfaction, and therefore still more motivation. The last management step calls for periodically evaluating each salesperson's performance to help him or her do a better job. The purpose of the sales force is to produce sales, and this involves the art of personal selling. One aspect is salesmanship, which involves a seven-step process: prospecting and qualifying, preapproach, approach, presentation and demonstration, overcoming objections, closing, and follow-up and maintenance. Another aspect is negotiation, the art of arriving at transaction terms that satisfy both parties. The third aspect is relationship management, the art of creating a closer working relationship and interdependence between the people in two organizations.

In summary, the primary variables for the sales force/management effort includes the following:

- Setting objectives—objectives can be general rules for guiding salespeople or more specific expectations for behaviour. Regardless, the sales objectives should address the relationship between sales, customer satisfaction, and company profit;
- Designing strategy —strategy requires decisions on sales force structure, size, and compensation. Variations in this mixture are appropriate for differing industries, markets, and sales objectives;
- Recruiting and selecting—knowing in advance what characteristics will always produce good salespeople is very difficult. Selection procedures should attempt to screen candidates for both ability and retention-related issues;
- Training salespeople—issues in training center on skills such as order taking and order getting, seeing customers as people who require problem solutions;
- Supervising salespeople—supervision addresses problems in directing and coordinating salespeople's organization, time management, motivation, and customer relationships; and
- Evaluating salespeople—evaluation requires both qualitative and quantitative measures of sales force performance.

DESIGNING OF THE SALES FORCE

Sales force is linking between companies and customer. Therefore, companies have to be careful in designing and structuring sales force.

- The first step is setting out an objective for sales force. Earlier companies had a single objective increasing sale making it objective also for sales people. Sales people are asked to perform a search for prospective clients or lead. Sales people are asked to balance time between a prospective customer and current customer. Effective communication of product and services essential to close the deal. Sales people also play an important role in after sales service and can make a difference for the company. Sales people are eyes and ears of the company in the market gathering information about competition and customer changing demands.
- The second step is use sales people strategically. Sales people have to combine efforts with other team members to achieve the objective. Sales people should be aware how to analyze market data been provided and convert them into marketing strategies.
- The third step is deciding the structure of the sales force. The structure of the sales is dependent on the strategy followed by the company. Common sales force structures are as follows:-
 - Territorial structure is used where every sales representative is assigned specific geographical area. This structure is preferred for building relationships with locals.
 - Product structure is used for complex and un- related product portfolio. Here the sales people are directly associated with research and development of the products.
 - Market structure is used if the companies are operating different industry or market segments. Every sales force specializes in a definite market and helps push a product efficiently across the given market. However, the disadvantage would arise if customers are located over a wide geographical area.
 - Complex structure is used when companies are in business of selling complex product to different customer across a large geographical area. Here sales force structure is a combination of other structures discussed.

Once the structure is designed companies need to make a decision with respect to the size of the sales force. The size of the sales force is dependent on the market size and number of customers.

- The next step is to design compensation for the sales force. Compensation plays a big motivational factor for sales people. Companies follow a structure of a fixed amount plus a variable amount depending of success achieved in the market. Allowances play an important factor in the salary owing to continuous travel and market visits.

Managing Sales Force

Integral part for success of marketing strategy is management of the sales force. The management of sales consists of following:-

Recruitment is at the centre of an effective sales force. One approach in the selection is asking a customer what characteristics they look for in a sales representative. Companies develop selection procedure where behavioural and management skills are tested.

Training is essential to remain ahead of the competition. Sales force needs training before entering the market as well as training at different stage of the product life cycle.

Supervision on sales force is decided on the profile of product portfolio. A general supervision is maintained with respect to sales people dealing with potential clients. Another supervision is related to efficient time management from preparation of client call to closing of the deal.

Motivation is a key aspect for management of the sales force. Here compensation plays an important in driving up the motivational level. Compensation can be assigned based on sales quota. Other motivational tools are social gathering and family outing.

Evaluation is essential to management of a sales force. Sales reports sent by the sales force serve a good starting point of evaluation.

Art of negotiation and relationship marketing these two are the important aspects of successful sales representative and long term benefit for the company.

MOTIVATING SALES PERSONNEL

SALES FORCE MANAGEMENT

Sales force management is the process of efficiently and effectively making sales through the planning, coordination, and supervision of others. Effective sales management involves a wide range of activities, including planning; organizing, recruiting, and selecting sales personnel; enabling and motivating the sales force to sell (*e.g.*, training, print materials or samples); supervising and coordinating sales efforts (*e.g.*, assigning territories or routes); and controlling and monitoring the sales force. Two types of control systems are typically used in sales force management: outcome-based and behaviour-based. Both approaches have advantages and disadvantages due to the inherent nature of the sales job. Ethics is becoming an increasing concern in many sales departments. However, the treatment of ethical violations is not always consistent across high- and low-performing sales personnel.

To the skilled salesperson, sales jobs can offer the potential to earn more than salaried jobs. On the other hand, sales jobs do not offer the security of a salaried job and, therefore, do not appeal to everyone. From a management point-of-view, the nature of sales jobs can make managing a sales force a different task in some ways than managing other

groups of professionals in the workplace. In addition, the fact that much of a salesperson's work may be performed outside the office where s/he cannot be directly observed, makes the task of managing a sales force even more difficult.

In general, management can be defined as the process of efficiently and effectively accomplishing work through the coordination and supervision of others. Sales management is the process of efficiently and effectively making sales through the planning, coordination, and supervision of others. Effective sales management involves much more than performing administrative tasks to coordinate the activities of the sales force. To be effective, the management of a sales force must encompass a wide range of activities, including planning; organizing, recruiting, and selecting sales personnel; enabling and motivating the sales force to sell (*e.g.*, training, print materials or samples); supervising and coordinating sales efforts (*e.g.*, assigning territories or routes); and controlling and monitoring the sales force.

Planning

In order for a sales force to be effective, the objectives and activities of the sales function must be planned in such a way to make the best use possible of both the sales force and the marketing budget necessary to sell the organization's goods and services to potential customers. Activities involved in management planning for a sales force include understanding the qualifications, abilities, and experience of the sales force and how best to use the personnel and other resources of the sales function in the organization. The sales manager also needs to understand the demographics of the target market as well as its needs and motivations in order to better prepare the sales force for success. By better understanding the capabilities of the sales force and the needs of the prospective customers, the sales manager can better develop a plan that will leverage the strengths of the sales force and enable each individual member to reach his/her optimal sales potential. The launch of new product or significantly upgraded product may require a reassessment of strategy, including further training, adjustments to compensation, and potentially a change in sales force personnel. In addition to developing a sales plan to best meet the needs of the customers, the sales manager also needs to organize the sales force to best match the requirements of customers and potential customers on an ongoing basis to improve the effectiveness and efficiency of the sales force.

Training

Management of an effective sales force is predicated on the training and development of sales personnel. To do this, one must first articulate what it is that the sales force needs to accomplish. This task involves developing a job description that specifies the duties and tasks related to a job. Job descriptions may also specify the knowledge, skills, and abilities necessary to do the job as well as the performance standards that

differentiate acceptable from unacceptable performance. A well-developed job description will not only give the sales manager criteria against which to judge the performance of the individuals in the sales force, but will also give him/her a guide to selecting the best candidates for the sales force.

To optimize the effectiveness of the sales force, the manager — typically in conjunction with the human resources function of the organization — is responsible for the training and development of sales personnel.

Even if the sales force comprises experienced sales personnel who have worked in other organizations or with other products, sales training needs to include specifics about the way that sales are conducted in the current sales department as well as training on the details of the products or services being sold so that the sales force can accurately and adequately answer the questions of potential customers.

Similarly, the sales force needs to receive updated training on any changes in organizational policy that affect them and on new information about the organization's products or services so that they can better do their jobs.

Performance Motivation

Just knowing how to do the sales job and knowing the product or service being sold are not enough to create an effective sales force, however. The sales force must also be motivated to perform. For this reason, many sales departments pay their sales personnel at least in part based on commission (a set fee or percentage of every sale made). Such financial incentives are one of the most common motivators for sales jobs. Sales commissions tend to be an effective motivator of superior sales performance because they tie rewards directly to performance on the job. However, financial incentives are not the only way to motivate sales personnel to perform.

Other ways to motivate the sales staff are through connecting job performance with various perquisites such as a company car for making sales calls or trips or paid vacations for being a top seller. Other motivators include job security and status (such as through a promotion, job title, or other award or recognition).

Monitoring

Another important activity in sales force management is controlling the sales function and monitoring the activities of the sales staff to make sure that they are effective and successful. To do this, management must set performance objectives for the sales force as well as ways to help enable the sales force to meet those objectives.

Some ways to do this include setting standards for behaviour (*e.g.*, number of sales calls required during a given period of time), implementing ways to collect data on how well the standards are being met and making sure that the data are collected, analyzing the data to determine where objectives are not being met and why, and determining a plan of action for correcting these situations.

Sales Force Behaviour Moderation

Determining the best way to control the behaviour of members of a sales force is a topic that has been debated in the literature for years. Two general approaches to sales force control systems — or the procedures by which an organization observes, guides, appraises, and rewards its employees — have been posited.

Outcome-Based Sales Force Control

The approach of outcome-based sales force control systems focuses on the final outcomes of the sales process (*e.g.*, whether or not a sale was made, total revenues earned by a salesperson in a given period of time). Whether or not a salesperson has met outcome-based standards tends to be both objective and clear: S/he either made the assigned sales quota for a time period or did not. In this way, outcome-based control systems for sales personnel are very similar to management objectives. Criteria of success are set ahead of time, and the employee knows the specifics of what constitutes acceptable behaviour. As a result, outcome-based control systems for sales personnel tend to require relatively little monitoring or direction by management.

SALES AND OPERATIONS

Sales is the critical link between marketing and operations. While hospitality professionals may espouse marketing, all too often it becomes ignored in the daily hustle and bustle of operations. It is the role of sales to help bridge this gap and find ways for the key customer-contact members of the hotel to keep the promise of marketing.

Selling starts by the professional sales managers prospecting, making contacts, establishing relationships with clients, uncovering their specific needs and wants. But it doesn't end there. Sales is also the host or hostess greeting restaurant patrons. Sales is the front desk clerk welcoming a guest at the local Holiday Inn or at the Waldorf-Astoria in New York City. Sales is the housekeeping staff delivering the extra set of towels requested by a guest. Sales is the sommelier in a gourmet restaurant recommending wines to complement an entrée choice. Sales is the front office cashier saying, "Thank you for staying with us. We hope you enjoyed your stay." It is amazing how a simple thank-you can express appreciation for a customer's patronage and bring them back. All client-contact personnel of a hospitality organization perform personal selling either consciously or unconsciously. This includes staff who does not regularly have guest contact, such as the credit manager. One of the authors nearly lost a \$100,000 annual account when a poorly trained credit manager called the client to collect a payment that had not yet been billed. A well-trained and motivated employee who understands how a hotel works is key to successful selling. This is accomplished through the hiring and training process, and although the many facets of human resources are beyond the scope of this stage, its importance to guest satisfaction cannot be overstated.

In this particular context, however, the hotel's human resources department can perform services on behalf of the sales department by recruiting sales associates who understand the nature of the hotel industry and its place in the broader category of the services segment of business. Services are different from products and require specialized knowledge and training to be competitive.

Because hospitality is very much a part of the services industry, it is useful to understand how services differ from products. Those characteristics that are unique to the services industry product include perishability, simultaneity, heterogeneity, and intangibility.

Perishability refers to the short shelf life of the hospitality product. If it is not sold today, the potential revenue from the sales of that product is gone. A hotel room has a 24-hour shelf life. A restaurant seat has a two-hour shelf life. Manufactured goods have a much longer period of durability. If a television set is not sold today, it can be sold tomorrow or next week. The potential revenue from the sale of that product is not lost. But a Tuesday-night hotel room cannot be resold on Wednesday. Tuesday has come and gone. If the hotel guest room goes unsold Tuesday, the potential revenue lost from that vacant room cannot be recouped.

Simultaneity means that production and consumption occur at the same time. How can you produce a guest experience without the guest? Our customers, in a sense, are part of the assembly line. They need to be present for final production of the product offering. A vacant guest room produces nothing. Yes, the carpeting is installed; the bed is made, the bathroom plumbing works. But it all just exists until a guest arrives to use it. Simultaneous production and consumption is a unique challenge for successful operations in hospitality management. The guest needs to be present, because many of the facets of the service involve performances by hotel staff. A related service characteristic in hospitality is *heterogeneity*. Heterogeneity refers to the variability of service delivery. Guest service agents have their moods. Customers have their moods. All have personalities of varying shapes and sizes. Hospitality is a very people-oriented business. Service personnel change from shift to shift, typically on an 8-hour schedule. Though operational manuals exist in most hospitality establishments, rarely are policies and procedures followed in an exact manner. Guests' "personalities," too, can change throughout their stay, and it may have nothing to do with how they were treated by service personnel. Dealing with heterogeneity in service operations is dealing with reality.

Mistakes will happen. But more importantly, mistakes can be addressed. Often a simple apology can win back a customer regardless of who was at fault when a mistake happens. *Intangibility* is a fourth major characteristic of service businesses. Some consider it the most important component to recognize. Intangibility refers to the highly intangible nature of the service product offering. Intangibility is a feeling; it is having a sense about something that one cannot fully articulate.

The intangible nature of the service product cannot be prejudged. Consumers cannot really see, touch, smell, hear, or taste a service product prior to consumption. They can only anticipate. One can test-drive a car before an automobile purchase is made to see what it feels like to drive. But a hospitality customer cannot test-drive a hotel weekend package or a restaurant meal prior to consumption. The intangibility aspect of hospitality emphasizes that service delivery is critical to customer satisfaction. Most customers have an idea of what to expect. But, in the end, they are really not sure of what they are buying until the hospitality experience actually takes place. Finally, after the service has been consumed, the guest has only the memory of the performance.

The foregoing unique characteristics represent the foundational challenge to the hotel's sales staff: they must find a way to promise performance and experience in such a way that the hotel's operations departments can deliver on the promise. If the essence of marketing is finding and keeping a customer, then the sales promise is fundamental to that effort. Operations' most important role is the keeping of that promise to the customer—having that customer walk away with a positive and memorable experience and want to return again.

OBJECTIVES OF SALES PROMOTION

The sales Promotion in tourism is done with the following objectives:

- *Creating awareness:* Sometimes companies devise special promotions like two or more companies join or tie up together to build awareness. For example, an Airline and hotel group tie-up to promote a particular destination.
- *Encouraging early bookings:* Tour operators often offer discounts at the start of the season to generate immediate bookings. For example, Deccan Airways providing airline tickets at auction to Pune, Bombay or Goa if booked in advance.
- *Increase trial:* The tourists are encouraged to try the product by giving incentives like free stays or trial coupons at much discounted prices.
- *Enhanced repeat buy:* Some promotions are done to encourage repeat stays or visits. For example, Indian Airline offers of multi-coupon discounts to frequent flyers.
- *Combating competition:* Tour operators or hotels may cut down their prices to combat any price cut by competitors or may be done to block competitors' moves in advance.
- *Promote use of tourist product during off- season:* When demand is low for hotel rooms, during low season, special season offers are used to attract customers. For example, Goa hotels offer special discounts during the rainy season; Jaipur and Agra hotels offer discounts during the summer season.
- *Motivating sales force:* The travel agencies give commission to travel agents for selling a certain number of tickets. The agents are also provided coupons, free offers, sales aids and training materials.

TECHNIQUES OF TOURISM SALES PROMOTION

Some of the sales promotion activities used in travel and tourism are as follows:

- *Rebates:* The tourist product is made available at special price less than original price for a limited period of time.
- *Discounts:* Certain percentage of price is deducted as discount from the original price to induce them to buy or buy more. For example, hotel stay for two children at discounted price for a particular package.
- *Refunds:* The seller offers to refund a part of the price paid by the customer on previous purchase of the product.
- *Contests:* These are another form of promotion. In these consumers are required to participate in some competitive event involving application of skills and winners are given some reward.
- *Quantity deals:* The tourist operator provides special package in which buyer is offered additional product at lower or no price. For example, a tourist operator coming out with the offer in family package 'two children for the price of one'.

Some other techniques of sales promotion are:

- Vouchers,
- Competitions,
- Prizes,
- Gifts and premium,
- Additional night stay,
- Slide shows,
- Point of purchase displays, and
- Posters.

MANAGEMENT OF THE SALES PROCESS

Sales management is effectively directing the personal selling efforts of a hospitality establishment. It involves managing the sales process from both an individual and team perspective. In other words, sales management addresses the logistics of sales solicitation and the development of sales account executives to enhance their sales productivity.

Sales account executives need to manage their day-to-day activity, sales teams need to coordinate their efforts, and customers need to feel that they are working with a professional and well-managed organization.

There are several components to hospitality sales management. These include sales organization, sales account management, recruitment, training and development, goal setting, and performance appraisals. Sales organization refers to departmental and individual organizational issues and inventory management. The following part focuses on the sales organization aspect of hospitality sales management.

SALES ORGANIZATION

Sales organization can be viewed from three perspectives. These include departmental organization, individual planning of sales activity, and inventory management. A sales department needs to be organized, and sales managers within that organizational setup need to coordinate their efforts. Sales managers need to plan or organize their individual activities on a daily, weekly, and monthly basis. Allocating the sale of inventory to various customer segments needs to be managed, as well. These are important issues in hospitality sales management.

Departmental Organization

Organizing a sales department means determining who is going to do what. Sales solicitation needs to take place, administrative tasks need to be completed, and managerial decisions need to be made on a regular basis. In medium- to large-size hospitality establishments, a director of sales and/or a director of marketing coordinates these efforts. In smaller operations, it is not unusual to have one individual responsible for all of the above. For most bed and breakfast operations in the United States and Canada and the small boutique hotels in Europe, for example, the owner and/or manager of the establishment typically handle sales activities.

Sales organizational setup for a midsize urban hotel targeting business clientele. The sales managers in this example are organized by target market and by geographic territory. Sales manager 1 is responsible for corporate accounts located in the immediate downtown and surrounding area. Sales manager 2 is responsible for national corporate accounts. This refers to companies based in other areas that conduct business or have the potential to conduct business at the hotel. Both of these sales managers solicit group and transient business from their account base

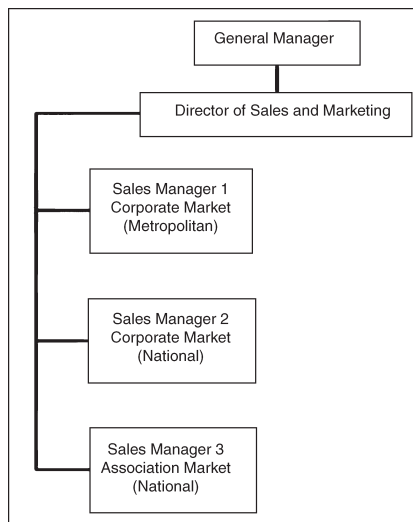


Fig. Organization of an Urban Hotel Sales Department

Sales manager 3 targets meetings and convention business from national association accounts. This business may include executive board meetings, committee meetings, regional conferences, and annual conventions.

In this example, once group events have been booked they are turned over to the conference services department for service delivery. Both the sales managers and director of conference services report to the director of sales and marketing. The sales team meets weekly to discuss issues pertinent to achieving the department's sales objectives.

Weekly sales meetings are very much a part of a sales department's organizational structure, be it a sales force of two or twelve sales account executives. They are critical for effective communication within the department.

At these meetings, each team member highlights his or her weekly activity with regard to new prospects uncovered, tentative bookings, verbal definites, cancellations, etc. (Verbal definites are bookings where clients have verbally committed their meeting or function to the facility but a signed contract is not yet in hand.) In other words, sales managers share with each other progress reports on various accounts they are currently working on. Thus, each team member gets an upto- date informal report on the status of all current sales activity.

For example, one sales manager may be working on a tentative booking but considers it weak because of strong competition for this particular account. Call this Group A. Another sales manager may have a new prospect with similar space requirements interested in the same dates. Call this Group B. Assume, however, that the property has the capability of booking only Group A or Group B over the same dates because of space limitations.

When these types of issues surface at sales meetings discussion will occur raising the following types of questions:

- What is the likelihood that either group will eventually book its business at the property?
- What is the estimated profitability and/or contribution margin for each group?
- Is either group a regular client?
- What is the likelihood of repeat business from either group? In other words, what is the long-term profitability for each?
- Can either group consider alternative dates? What would incite them to move dates?
- Do convention history reports match their current space allocation requests?

These are just a sampling of questions that need to be raised and answered. It is a never-ending process in hospitality sales management to search for the best fit for both the buyer and seller.

The organization of sales management is the process of directing the personal selling efforts of a hospitality establishment. It involves effectively managing the sales process from both an individual and team perspective.

Sales or account managers need to manage their day-to-day activity; sales teams need to coordinate their efforts. Sales account management involves developing, maintaining, and enhancing customer relationships. Sales managers develop expertise for specific market segments, industry segments, and/or customer accounts, and common traits among successful sales account executives include self-confidence, high energy, empathy, enthusiasm, and a sense of self-worth.

This stage introduces the foundation for hospitality sales and marketing. First and foremost, sales flow from marketing. If management doesn't have a marketing mindset, then sales efforts will be all for naught.

Marketing is giving the targeted customers what they want, when they want it, where they want it, at a price they are willing and able to pay. Sales is direct communication with potential customers letting them know we have what they want. In many respects, sales is the link between marketing and operations.

Operations is essentially the delivery component of marketing and the final determination of a happy customer. Marketing begins, transcends, and ends with the consumer. Sales makes sure it happens.

ORGANIZATION WITHIN HOSPITALITY MANAGEMENT

HOTEL MANAGER

The Hotel manager oversees all of a hotel's daily operations, from staffing to coordinating fresh-cut flowers for the lobby. Many, over time, are given long-term responsibility for negotiating contracts with vendors (such as maintenance supplies), negotiating leases with on-site shops, and physically upgrading the hotel. Hotel managers usually relish "the ability to put your own distinctive style on the [hotel] experience." While managing a hotel and giving it your unique flair are wonderful, they come with full responsibility for failure. "The better you are at what you do, the more responsibilities you are given, the more chances you have to fail," mentioned one hotel manager. When things fall apart, "no one is a hotel manager's friend."

Hotel managers can feel great about their positions, create strong relationships with regular customers, and maintain an amicable working environment. But should the bottom line waver and financial woes occur, the first neck on the chopping block is the hotel manager's. Those in the hotel management industry say that sometimes it seems that you need "to be born on the planet Krypton" to be a good hotel manager because only Superman could juggle the administrative, aesthetic, and financial decisions which constitute daily life on the job. Over 70 percent of the respondents said that tired was an understatement about how they felt at the end of the day or night.

A hotel manager's position as a liaison between the ownership and the staff can be difficult and isolating. But those who can put up with the long hours, the high degree of responsibility, and the variety of tasks emerge with a solid degree of satisfaction and a desire to continue in the profession. The average tenure of a hotel manager is 6.7 years, though this figure doesn't represent the number of managers who work for two years and those who work for decades. Many work at a variety of hotels, build up their resumes, and then find positions that allow them the freedom to operate their own establishments.

Aspiring hotel managers used to begin at the reception desk, as part of the wait staff, or as members of the cleaning staff, then work their way up the ladder. As hotels have become more commercial properties and the duties of hotel managers have expanded, this avenue of advancement has closed off. Now hotel manager hopefuls go to hotel management school, and those who don't should garner as much practical hotel experience as possible. Each chain or specific hotel puts new employees through their own training programmes, so those applying for jobs should learn all they can about the scope and functioning of the specific hotels where they wish to work. Part of life as a hotel manager can be similar to the life of a doctor, as managers can be called to duty at any time of the day or night.

Hotel managers must handle any and all emergencies, and those who wish to remain in the profession and maintain respect must be quick-thinking and decisive. Candidates should have a good organizational and financial background, excellent communication and interpersonal skills, and strong self-discipline. They should also be extremely detail-oriented; when running a hotel, there is no such thing as an unimportant detail. The good manager drives himself to improve and upgrade the hotel at every available opportunity. A hotel manager is responsible for the day-to-day management of a hotel and its staff and has commercial accountability for planning, organising and directing all hotel services, including front-of-house (reception, concierge, reservation), banqueting and housekeeping. In larger hotels, managers often have a specific remit (guest services, accounting, marketing) and make up a general management team.

Financial management - preparing budgets and marketing strategies and achieving targets for the business - plays a major role. The manager must strike a balance between customer satisfaction and effective business management, ensuring financial viability, and facilitate a smooth-running customer service, whilst ensuring staff work together as a team.

TYPICAL WORK ACTIVITIES

Typical work activities vary depending on the size and type of hotel, but may include:

- Planning and organising accommodation, catering and other hotel services;
- Promoting and marketing the business;
- Managing budgets and financial plans;
- Maintaining statistical and financial records;

- Achieving profit targets;
- Recruiting, training and monitoring staff;
- Planning work schedules;
- Meeting and greeting customers;
- Dealing with customer complaints and comments;
- Addressing problems and troubleshooting;
- Ensuring events and conferences run smoothly;
- Supervising maintenance, supplies and furnishings;
- Dealing with contractors and suppliers;
- Ensuring security is effective;
- Carrying out inspections of property and services;
- Ensuring compliance with licensing laws, health and safety and other statutory regulations.

The manager of a large hotel may have less contact with guests but will spend time meeting heads of department and planning and monitoring the progress of business strategies. In a smaller establishment, the manager is much more involved in the hands-on day-to-day running of the hotel, which may include carrying out reception duties or serving meals if the need arises. A significant number of hotel managers are self-employed and this can lead to a more general management experience, from greeting guests to managing finances.

HOW TO BECOME A HOTEL MANAGER

- Ask yourself if you have excellent interpersonal, communication and organizational skills. They are necessary for a successful hotel management career.
- Obtain a college degree in hotel management or restaurant management. Remember that a food services department contributes greatly to the profits of a hotel; a successful restaurant manager can see his or her career advance quickly.
- Take advantage of work-study programmes offered by many colleges so that you will gain solid experience working in hotels.
- Expect to go through a hotel's training programme once you are hired after college. During the first couple of years you will be handling only relatively mundane duties, instead of providing your input on issues such as staffing, hotel decor or conventions.
- Understand that you might be offered a position as a front office manager, a food and beverage manager, a convention services manager, or any of a number of administrative positions after your training period. If you are successful at different managerial positions, your career will benefit in the long run.
- Be aware that a promotion might require you to relocate for a few years if you work for a hotel chain that has properties throughout the country.

- You will need to quickly become proficient with computers because of their widespread use in hotel reservations, billing and overall management operations.
- Consider working for hotels in warm tourist destinations or snowy mountains, depending on your preferred lifestyle.
- Be prepared for long hours, night and weekend work, and the occasional unhappy guest.

Different managerial personnel working as hotel managers — Catering managers plan, organise and manage the food and beverage services of organisations and businesses, both inside and outside the hospitality industry, with the aim of achieving good quality at low cost and maintaining high standards of hygiene and customer satisfaction. There is a range of jobs in catering management, along with a number of different routes into the industry. Roles include: managing restaurants, bars and other outlets in hotels, resorts or liners; providing catering services at events; and running catering operations at hospitals, schools and other organisations.

With ongoing growth in the service industry, opportunities in this demanding but rewarding area continue to grow.

FOOD AND RESTAURANT MANAGER

Fast food restaurant managers are responsible for the provision of standardised food and customer service in outlets based in the high street, motor service areas, stations, airports or multiplexes.

Drawing on all the operational functions of a business, the work involves applying financial, marketing and operational know-how, and supervising and training staff.

Managers plan, organise, and co-ordinate all resources and activities in a store. The work involves: setting targets, planning budgets, and controlling stock; recruiting, training and inspiring restaurant teams; creating and driving marketing campaigns; and building bridges with the local community. Ultimately, it is the manager's ideas, initiative and personality that shape the restaurant.

Tasks typically involve:

- Organising the store in terms of products, equipment and people;
- Planning and checking work schedules;
- Carrying out audits to check health safety, food safety and quality of service in the restaurant;
- Making sure the fast-track audit is completed daily to check the safety of equipment and that food is properly cooked, only in-date stock is used, and all other products are discarded;
- Carrying out work outside the restaurant, including 'mystery shopping' at other restaurants within the chain;
- Attending weekly meetings with senior managers;
- Dealing with problems, queries, complaints, staff and customers in the store;

- Monitoring and maintaining high standards of food, service and hygiene;
- Ensuring the company's required standards of customer care are met;
- Administering payrolls;
- Checking and securing cash receipts;
- Budgeting to ensure maximum profitability;
- Achieving set profit and loss targets;
- Maintaining and securing equipment and buildings and all company assets contained within the unit;
- Publicising and marketing restaurants in the locality;
- Motivating restaurant teams;
- Recruiting, selecting and training new staff and fully inducting the restaurant team in accordance with company policy;
- Developing all team members to their fullest potential using the performance management/review system and identifying individual training needs;
- Ensuring the implementation and maintenance of legislation, company standards and procedures;
- Recognising new trends and implementing action plans accordingly;
- Acting as a communication link between senior teams and the restaurant team;
- Leading by example, acting as a role model for the restaurant team.

A successful manager will strike the right balance between creating both a good service for restaurant customers and a fun work environment for members of staff.

TYPICAL WORK ACTIVITIES

The role varies according to the size and nature of the establishment: in a small operation, the catering manager has more of a 'hands on' role and will be involved in the day-to-day running of the operation; in contract catering, the catering manager will spend time negotiating with the client organisation, assessing its requirements and ensuring that it is satisfied with the service delivered.

Typical tasks will include:

- Recruiting and training permanent and casual staff;
- Organising, leading and motivating the catering team;
- Planning menus in consultation with chefs;
- Ensuring health and safety regulations are strictly observed;
- Budgeting and establishing financial targets;
- Monitoring the quality of the product and service provided;
- Keeping financial and administrative records;
- Managing the payroll and monitoring spending levels;
- Maintaining stock levels and ordering new supplies as required;
- Interacting with customers if involved with 'front of house' work;
- Liaising with suppliers and clients;

- Negotiating contracts with customers (in contract catering).

In more senior posts, principal tasks will involve:

- Setting and agreeing budgets;
- Monitoring quality standards;
- Overseeing the management of the facilities, for example checking events bookings and the allocation of resources and staff;
- Planning new promotions and initiatives, and contributing to business development;
- Dealing with staffing and client issues, as they arise.

HUMAN RESOURCES

Human resources has at least two meanings depending on context. The original usage derives from political economy and economics, where it was traditionally called labour, one of three factors of production. The more common usage within corporations and businesses refers to the individuals within the firm, and to the portion of the firm's organization that deals with hiring, firing, training, and other personnel issues.

Modern analysis emphasizes that human beings are not predictable commodity "resources" with definitions totally controlled by contract, but are creative and social beings that make contributions beyond "labour" to a society and to civilization. The broad term human capital has evolved to contain the complexity of this term, and in macro-economics the term "firm-specific human capital" has evolved to represent the original meaning of term "human resources".

Advocating the central role of "human resources" or human capital in enterprises and societies has been a traditional role of socialist parties, who claim that value is primarily created by their activity, and accordingly justify a larger claim of profits or relief from these enterprises or societies. Critics say this is just a bargaining tactic which grew out of various practices of medieval European guilds into the modern trade union and collective bargaining unit.

A contrary view, common to capitalist parties, is that it is the infrastructural capital and (what they call) intellectual capital owned and fused by "management" that provides most value in financial capital terms. This likewise justifies a bargaining position and a general view that "human resources" are interchangeable. A significant sign of consensus on this latter point is the ISO 9000 series of standards which requires a "job description" of every participant in a productive enterprise.

In general, heavily unionized nations such as France and Germany have adopted and encouraged such descriptions especially within trade unions. One view of this trend is that a strong social consensus on political economy and a good social welfare system facilitates labour mobility and tends to make the entire economy more productive, as labour can move from one enterprise to another with little controversy or difficulty in adapting.

An important controversy regarding labour mobility illustrates the broader philosophical issue with usage of the phrase “human resources”: governments of developing nations often regard developed nations that encourage immigration or “guest workers” as appropriating human capital that is rightfully part of the developing nation and required to further its growth as a civilization. They argue that this appropriation is similar to colonial commodity fiat wherein a colonizing European power would define an arbitrary price for natural resources, extracting which diminished national natural capital. The debate regarding “human resources” versus human capital thus in many ways echoes the debate regarding natural resources versus natural capital. Over time the United Nations have come to more generally support the developing nations’ point of view, and have requested significant offsetting “foreign aid” contributions so that a developing nation losing human capital does not lose the capacity to continue to train new people in trades, professions, and the arts.

An extreme version of this view is that historical inequities such as African slavery must be compensated by current developed nations, which benefitted from stolen “human resources” as they were developing. This is an extremely controversial view, but it echoes the general theme of converting human capital to “human resources” and thus greatly diminishing its value to the host society, *i.e.* “Africa”, as it is put to narrow imitative use as “labour” in the using society.

In the very narrow context of corporate “human resources”, there is a contrasting pull to reflect and require workplace diversity that echoes the diversity of a global customer base. Foreign language and culture skills, ingenuity, humor, and careful listening, are examples of traits that such programmes typically require. It would appear that these evidence a general shift to the human capital point of view, and an acknowledgement that human beings do contribute much more to a productive enterprise than “work”: they bring their character, their ethics, their creativity, their social connections, and in some cases even their pets and children, and alter the character of a workplace. The term corporate culture is used to characterize such processes.

The traditional but extremely narrow context of hiring, firing, and job description is considered a 20th century anachronism. Most corporate organizations that compete in the modern global economy have adopted a view of human capital that mirrors the modern consensus as above. Some of these, in turn, deprecate the term “human resources” as useless.

As the term refers to predictable exploitations of human capital in one context or another, it can still be said to apply to manual labour, mass agriculture, low skill “McJobs” in service industries, military and other work that has clear job descriptions, and which generally do not encourage creative or social contributions.

In general the abstractions of macro-economics treat it this way - as it characterizes no mechanisms to represent choice or ingenuity. So one interpretation is that “firm-specific human capital” as defined in macro-economics is the modern and correct

definition of “human resources” - and that this is inadequate to represent the contributions of “human resources” in any modern theory of political economy. In terms of recruitment and selection it is important to consider carrying out a thorough job analysis to determine the level of skills/technical abilities, competencies, flexibility of the employee required etc.

At this point it is important to consider both the internal and external factors that can have an impact on the recruitment of employees. The external factors are those out-with the powers of the organization and include issues such as current and future trends of the labour market *e.g.* skills, education level, government investment into industries etc. On the other hand internal influences are easier to control, predict and monitor, for example management styles or even the organizational culture.

In order to know the business environment in which any organization operates, three major trends should be considered:

- Demographics – the characteristics of a population/workforce, for example, age, gender or social class. This type of trend may have an effect in relation to pension offerings, insurance packages etc.
- Diversity – the variation within the population/workplace. Changes in society now mean that a larger proportion of organizations are made up of female employees in comparison to thirty years ago. Also over recent years organizations have become more culturally diverse and have increased the number of working patterns (part-time, casual, seasonal positions) to cope with the changes in both society and the global market. It is important to note here that an organisation must consider the ethic and legal implications of their decisions in relation to the HRM policies they enact to protect employees. Employers have to be acutely aware of the rise in discrimination, unfair dismissal and sexual/racial harassment cases in recent years and the detrimental effects this can have on the employees and the organisation. Anti-discrimination legislation over the past 30 years has provided a foundation for an increasing interest in diversity at work which is “about creating a working culture that seeks respects and values difference.”
- Skills and qualifications – as industries move from manual to a more managerial professions so does the need for more highly skilled graduates. If the market is ‘tight’ *i.e.* not enough staff for the jobs, employers will have to compete for employees by offering financial rewards, community investment etc. Also the political issues

In regards to how individuals respond to the changes in a labour market the following should be understood:

- Geographical spread – how far is the job from the individual? The distance to travel to work should be in line with the pay offered by the organization and the transportation and infrastructure of the area will also be an influencing factor in deciding who will apply for a post.

- Occupational structure – the norms and values of the different careers within an organization. Mahoney 1989 developed 3 different types of occupational structure namely craft (loyalty to the profession), organization career (promotion through the firm) and unstructured (lower/unskilled workers who work when needed).
- Generational difference –different age categories of employees have certain characteristics, for example their behaviour and their expectations of the organisation.

Recruitment methods are wide and varied, it is important that the job is described correctly and any personal specifications stated. Job recruitment methods can be through job centres, employment agencies/consultants, headhunting, and local/national newspapers. It is important that the correct media is chosen to ensure an appropriate response to the advertised post.

HUMAN RESOURCES WITHIN FIRMS

Though human resources have been part of business and organizations since the first days of agriculture, the modern concept of human resources began in reaction to the efficiency focus of Taylorism in the early 1900s. By 1920, psychologists and employment experts in the United States started the human relations movement, which viewed workers in terms of their psychology and fit with companies, rather than as interchangeable parts. This movement grew throughout the middle of the 20th century, placing emphasis on how leadership, cohesion, and loyalty played important roles in organizational success. Although this view was increasingly challenged by more quantitatively rigorous and less “soft” management techniques in the 1960s and beyond, human resources had gained a permanent role within the firm.

Facing mankind’s problems it is opportune to mobilize as many intellectual resources as possible in order to resolve the emerging troubles. The students have to be trained to construct pertinent knowledge together (for example using the method Learning by teaching). Students can be trained in constructing knowledge outside the classroom too. They have to adopt following attitudes:

- Be aware that they are bearing resources
- Be aware that they have to increase their own resources in order to be more attractive inside the community
- Be aware that they can increase their own resources if they communicate
- Be aware that they can increase their own resources if they share their knowledge with other people
- Ability to identify resource from other community members and to make this resource available for all the group
- Ability to search for pertinent resources outside the group
- Ability to connect people looking for proposing resources
- Ability to organize collective thinking in networks

EMPLOYEE ENGAGEMENT

Employee engagement is a concept that is generally viewed in terms of employees feeling a strong emotional bond to the organization that employs them. (Robinson) This is associated with people demonstrating a willingness to recommend the organization to others and commit time and effort to help the organization succeed.

(Harter) It suggests that people are motivated by intrinsic factors (*e.g.* personal growth, working to a common purpose, being part of a larger process) rather than simply focusing on extrinsic factors (*e.g.* pay/ reward). (Ryan) The concept has gained popularity as various studies have demonstrated links with productivity.

In 1999, The Gallup Organization published research that showed that engaged employees are more productive, more profitable, more customer-focused, safer, and less likely to leave their employer. The review stated that “engagement with employees within a firm has shown to motivate the employee to work beyond personal factors and work more for the success of the firm.”

(Harter) Watson Wyatt found that high-commitment organizations (one with loyal and dedicated employees) out-performed those with low commitment by 47% in the 2000 study and by 200% in the 2002 study. (Wyatt) In a study of professional service firms, the Hay Group found that offices with engaged employees were up to 43% more productive, based on a comparison of revenue generation.

Recent research has focused on developing a better understanding of how variables such as quality of work relationships and values of the organization interact and their link to important work outcomes. From the perspective of the employee, “outcomes” range from strong commitment to the isolation of oneself from the organization. The study done by the Gallup Management Journal has shown that only 29 percent of employees are actively engaged in their jobs. Those “engaged” employees work with passion and feel a strong connection to their company. Moreover, 54 percent of employees are not engaged meaning that they go through each workday putting time but no passion into their work. Also, Seventeen percent of employees are actively disengaged, meaning that they are busy acting out of their own personal unhappiness, which undermines what their engaged co-workers are trying to accomplish.

Access to a reliable model enables organizations to conduct validation studies to establish the relationship of employee engagement to productivity/performance and other measures linked to effectiveness.

It is an important principle of occupational psychology (*i.e.* the application of psychological theories, research methods, and intervention strategies involving workplace issues) that validation studies should be anchored in reliable scales (*i.e.* organized and related groups of items) and not simply focus on individual elements in isolation. To understand how high levels of employee engagement affect organizational performance/productivity it is important to have an a priori model that demonstrates how the scales interact. (Konrad) There is also overlap between this concept and those

relating to well-being at work and the psychological contract. As employee productivity is clearly connected with employee engagement, creating an environment that encourages employee engagement is considered to be essential in the effective management of human capital.

Employee engagement will be influenced by:

1. Employee perceptions of job importance. This study has found that "...an employees attitude towards the job['s importance] and the company had the greatest impact on loyalty and customer service then all other employee factors combined."
2. Employee clarity of job expectations. "If expectations are not clear and basic materials and equipment not provided, negative emotions such as boredom or resentment may result, and the employee may then become focused on surviving more then thinking about how he can help the organization succeed."
3. Career advancement/improvement opportunities. "Plant supervisors and managers indicated that many plant improvements were being made outside the suggestion system, where employees initiated changes in order to reap the bonuses generated by the subsequent cost savings."
4. Regular feedback and dialogue with superiors. "Feedback is the key to giving employees a sense of where they're going, but many organizations are remarkably bad at giving it." (Hay Group) "'What I really wanted to hear was 'Thanks. You did a good job.' But all my boss did was hand me a check."
5. Quality of working relationships with peers, superiors, and subordinates. "...if employee's relationship with their managers is fractured, then no amount of perks will persuade the employees to perform at top levels. Employee engagement is a direct reflection of how employees feel about their relationship with the boss."
6. Perceptions of the ethos and values of the organization. "'Inspiration and values' is the most important of the six drivers in our Engaged Performance model. Inspirational leadership is the ultimate perk. In its absence, [it] is unlikely to engage employees."

As additional research becomes available, the significance of the various factors will become more evident.

HUMAN INTERACTION MANAGEMENT

Human Interaction Management (HIM) is the set of principles and patterns for structuring, supporting and controlling human work practices proposed by Keith Harrison-Broninski in his 2005 book "Human Interactions". Current mainstream techniques and tools for work support, whether categorized as Workflow or as Business Process Management (BPM), deal only with "mechanistic" business processes. In such business processes, human involvement is limited to key data entry and decision points.

Workflow/BPM techniques and tools deal with only the externally-observable aspects of work - tasks, that are visible from outside. HIM extends this to include support for “human-driven” processes focused on human creativity and collaboration. To achieve this, HIM deals not only with tasks, but also with those aspects of work visible from inside - information, interaction and innovation.

In HIM, a business process requiring human knowledge, judgement and experience is divided into Roles, which are then assigned to the appropriate members of an organization via a Human Interaction Management System (HIMS). A HIMS is also used to manage the work and integrate it with organizational strategy/tactics, via separation into “levels of control”. The main focus of HIM is currently on the integration of organizational objectives with human work practices, in order to implement strategy/tactics and fulfil requirements for compliance. However, HIM has application beyond the improvement of organizational efficiency, since it provides a rich set of patterns for structuring and managing collaborative work that are also finding application in spheres such as social/political negotiation, law enforcement and health care.

Accounting Management (Business) is the practical application of management techniques to control and report on the financial health of the organization. This involves the analysis, planning, implementation, and control of programmes designed to provide financial data reporting for managerial decision making.

This includes the maintenance of bank accounts, developing financial statements, cash flow and financial performance analysis. Accounting management is a mandatory knowledge module of any MBA programme.

Cost management is the process whereby companies use cost accounting to report or control the various costs of doing business. The term CM is widely used in business today. Unfortunately there is no uniform definition.

We use CM to describe the approaches and activities of managers in short run and long run planning and control decisions that increase value for customers and lower costs of products and services. For example, managers make decisions regarding the amount and kind of material being used, changes of plant processes, and changes in product designs. Information from accounting systems helps managers make such decisions, but the information and the accounting systems themselves are not cost management.

Cost management has a broad focus. It includes – but is not confined to – the continuous reduction of costs. The planning and control of costs is usually inextricably linked with revenue and profit planning. For instance, to enhance revenues and profits, managers often deliberately incur additional costs for advertising and product modifications. Cost management is not practiced in isolation. It’s an integral part of general management strategies and their implementation. Examples include programme that enhance customer satisfaction and quality as well as programmes that promote blockbuster new product development.

CUSTOMER RELATIONSHIP

Customer relationship management (CRM) covers methods and technologies used by companies to manage their relationships with clients. Information stored on existing customers (and potential customers) is analyzed and used to this end. Automated CRM processes are often used to generate automatic personalized marketing based on the customer information stored in the system.

Customer relationship management is a corporate level strategy, focusing on creating and maintaining relationships with customers. Several commercial CRM software packages are available which vary in their approach to CRM. However, CRM is not a technology itself, but rather a holistic approach to an organisation's philosophy, placing the emphasis firmly on the customer.

CRM governs an organization's philosophy at all levels, including policies and processes, front-of-house customer service, employee training, marketing, systems and information management. CRM systems are integrated end-to-end across marketing, sales, and customer service.

A CRM system should:

- Identify factors important to clients.
- Promote a customer-oriented philosophy
- Adopt customer-based measures
- Develop end-to-end processes to serve customers
- Provide successful customer support
- Handle customer complaints
- Track all aspects of sales
- Create a holistic view of customers' sales and services information

There are three fundamental components in CRM:

- Operational - automation of basic business processes (marketing, sales, service)
- Analytical - analysis of customer data and behaviour using business intelligence
- Collaborative - communicating with clients

Operational CRM provides automated support to "front office" business processes (sales, marketing and service). Each interaction with a customer is generally added to a customer's history, and staff can retrieve information on customers from the database as necessary.

According to Gartner Group operational CRM typically involves three general areas:

- *Sales force automation (SFA):* SFA automates some of a company's critical sales and sales force management tasks, such as forecasting, sales administration, tracking customer preferences and demographics, performance management, lead management, account management, contact management and quote management.
- *Customer service and support (CSS):* CSS automates certain service requests, complaints, product returns and enquiries.

- *Enterprise marketing automation (EMA)*: EMA provides information about the business environment, including information on competitors, industry trends, and macroenvironmental variables. EMA applications are used to improve marketing efficiency.

Integrated CRM software is often known as a “front office solution”, as it deals directly with customers. Many call centers use CRM software to store customer information. When a call is received, the system displays the associated customer information (determined from the number of the caller). During and following the call, the call center agent dealing with the customer can add further information. Some customer services can be fully automated, such as allowing customers to access their bank account details online or via a WAP phone.

ANALYTICAL CRM

Analytical CRM analyses data (gathered as part of operational CRM, or from other sources) in an attempt to identify means to enhance a company’s relationship with its clients.

The results of an analysis can be used to design targeted marketing campaigns, for example:

- *Acquisition*: Cross-selling, up-selling
- *Retention*: Retaining existing customers (antonym: customer attrition)
- *Information*: Providing timely and regular information to customers

Other examples of the applications of analyses include:

- Contact optimization
- Evaluating and improving customer satisfaction
- Optimizing sales coverage
- Fraud detection
- Financial forecasts
- Price optimization
- Product development
- Programme evaluation
- Risk assessment and management
- Strategic Marketing
- Operational marketing

Data collection and analysis is viewed as a continuing and iterative process. Ideally, business decisions are refined over time, based on feedback from earlier analyses and decisions. Most analytical CRM projects use a data warehouse to manage data.

Hospitality Marketing and Management

INTRODUCTION

It's important for people to know what you stand for. It's equally important that they know what you won't stand for. The twenty-first century began with a flurry of high-profile scandals involving managers in a wide variety of industries, ranging from high-tech firms to pharmaceutical manufacturers. Many very successful business-people found themselves behind bars for their ethical transgressions. The topic of business ethics is receiving increasing coverage in all media, including newspapers, business periodicals, television, radio, and even the Internet, while the pressures on businesses to perform continue to increase. With continued technological advancement, political upheaval, increased global competition, changing demographics, and pressure from stockholders, maintaining one's ethical integrity will become both more difficult and more important. In 1993 a large group of hospitality industry executives were asked, "What skills and abilities do students need to obtain to be successful in the hospitality industry?" The number one answer was "business ethics." There is little evidence to suggest the answer would be any different today. One thing is clear: Ethical behaviour is important, and all of you will be facing situations in which you will need to make difficult decisions that you will base on your ethical beliefs and value systems.

INDIVIDUAL ETHICS

Ethics is defined as "the system or code of morals of a particular person, religion, group, or profession." As such, ethical beliefs may vary from person to person. There

are three basic individual approaches to ethics that are reflected in the behaviour of people. First is the moral rights approach, which judges the consistency of decisions and behaviours with the maintenance of certain fundamental personal and group liberties and privileges such as life, freedom, health, privacy, and property. Second is the justice approach, which judges the consistency of decisions and behaviours with the maintenance of equity, fairness, and impartiality in the distribution of costs and benefits among individuals. Third is the utilitarian approach, which judges the effects of decisions and behaviours on providing the greatest good for the greatest number of people.

APPLYING PRINCIPLES IN ACHIEVING EFFECTIVE INTERNAL

CONTROL OVER FINANCIAL REPORTING

This guidance provides a set of twenty basic principles representing the fundamental concepts associated with, and drawn directly from, the five components of the Framework.

Control Environment

1. Integrity and Ethical Values - Sound integrity and ethical values, particularly of top management, are developed and understood and set the standard of conduct for financial reporting.
2. Board of Directors - The board of directors understands and exercises oversight responsibility related to financial reporting and related internal control.
3. Management's Philosophy and Operating Style - Management's philosophy and operating style support achieving effective internal control over financial reporting.
4. Organizational Structure - The company's organizational structure supports effective internal control over financial reporting.
5. Financial Reporting Competencies - The company retains individuals competent in financial reporting and related oversight roles.
6. Authority and Responsibility - Management and employees are assigned appropriate levels of authority and responsibility to facilitate effective internal control over financial reporting.
7. Human Resources - Human resource policies and practices are designed and implemented to facilitate effective internal control over financial reporting.

Risk Assessment

8. Financial Reporting Objectives - Management specifies financial reporting objectives with sufficient clarity and criteria to enable the identification of risks to reliable financial reporting.

9. Financial Reporting Risks - The company identifies and analyzes risks to the achievement of financial reporting objectives as a basis for determining how the risks should be managed.
10. Fraud Risk - The potential for material misstatement due to fraud is explicitly considered in assessing risks to the achievement of financial reporting objectives.

Control Activities

11. Integration with Risk Assessment - Actions are taken to address risks to the achievement of financial reporting objectives.
12. Selection and Development of Control Activities - Control activities are selected and developed considering their cost and their potential effectiveness in mitigating risks to the achievement of financial reporting objectives.
13. Policies and Procedures - Policies related to reliable financial reporting are established and communicated throughout the company, with corresponding procedures resulting in management directives being carried out.
14. Information Technology - Information technology controls, where applicable, are designed and implemented to support the achievement of financial reporting objectives.

Information and Communication

15. Financial Reporting Information - Pertinent information is identified, captured, used at all levels of the company, and distributed in a form and timeframe that supports the achievement of financial reporting objectives.
16. Internal Control Information - Information used to execute other control components is identified, captured, and distributed in a form and timeframe that enables personnel to carry out their internal control responsibilities.
17. Internal Communication - Communications enable and support understanding and execution of internal control objectives, processes, and individual responsibilities at all levels of the organization.
18. External Communication - Matters affecting the achievement of financial reporting objectives are communicated with outside parties.

Monitoring

19. Ongoing and Separate Evaluations - Ongoing and/or separate evaluations enable management to determine whether internal control over financial reporting is present and functioning.
20. Reporting Deficiencies - Internal control deficiencies are identified and communicated in a timely manner to those parties responsible for taking corrective action, and to management and the board as appropriate.

HOSPITALITY INDUSTRY IS ON THE FRONT LINE

Terrorist attacks and threats against the hospitality industry, whether large international chains or individual properties, have grown alarmingly since 9/11. It is my conviction that this trend will continue to grow in terms of numbers and level of sophistication. Modern day terrorism, which until the second half of the 20th century was mainly focused on targeted attacks, has since been increasingly directed against soft targets (targets that are not major public or government centres or sites). By attacking soft targets because of their relative ease of access, terrorists have improved their chances to achieve their objectives which include inflicting higher numbers of casualties, causing extensive property damage, and undermining the well-being and public morale of local, as well as national populations.

The hospitality and tourism industries, which in this case refer to hotels, malls (including large complexes such as gaming/mall/hotel complexes etc.), mega-events and transportation services, are certainly natural targets: the effects of attacks on such sites are obvious and far-reaching. Even with this new awareness, it appears that only the airline industry has adopted strong measures in light of the 9/11 attacks. One has just to look around and compare the investment in security measures between airports and hotels. Are hotels that different from airplanes? A well-placed bomb in a hotel lobby could cause much more damage and casualties than an airborne bomb. Obviously, not enough is being done. During my tenure as Israel's National Police Commissioner, security plans and programmes were implemented for Israel's hospitality and related tourism industry. As the problem was extensively studied, a series of approaches and practices were developed and implemented.

The success of this process was also reflected by the fact that freedom of movement in public spaces was maintained with minimal restrictions by the security measures. The anti-terror police activity helped to formulate policies that have evolved into security standards within the industry. As a result, the state of Israel has established a set of methods and security procedures specifically designed to foil and mitigate attacks and protect soft targets. Up until the time I was appointed as Commissioner, my prior positions focused on security and intelligence issues. Most of my work included developing comprehensive security concepts and programmes based on progressive levels of security, intensified intelligence gathering capabilities and modes of cooperation between the various security organizations both in times of crisis and during normal operations. It was during this period that I was also responsible for establishing Israel's elite counter terror unit, The YAMAM, recognized today as the most effective counter terror force in the country and used as a model for anti-terror paramilitary forces around the globe. The continuous daily threat against soft targets in Israel and the policies developed in response are based on a learning curve that has evolved over a long period of time. An added-value benefit of these programmes has actually been the reduction in crime in

environs surrounding the protected targets. The Israeli model shows the real needs of the global hospitality industry which must be immediately addressed. The industry must better prepare itself by adopting improved security measures such as those successfully applied in Israel. The negative consequences of a successful attack on even a single hotel can have far-reaching ripple effects on the industry as a whole. An attack on a hotel in Boston can have an immediate costly impact on the industry across the country, therefore not only “visible” targets must prepare, but every single site must take steps to protect itself from terror attacks, and just as important, steps to mitigate the economic effect of an attack anywhere in the USA. A professional security assessment should be conducted at each individual site by a qualified company. The company should have experience and expertise in the hospitality industry. Plans should be cost effective, prioritized, and implemented in stages to cover all aspects of an overall security programme.

With growing rates of increased terrorist activity reported in the media, I am firmly convinced that the hospitality and related industries are faced with an increased potential threat of international and homegrown terrorism. Although most attacks so far have occurred outside of the US, operators and officials must not assume that “it will not happen to us.” Frequent arrests of terrorism planners as well as foiled attempts reported periodically throughout the US and abroad should be cause for alarm as to the severity of the threat of future attacks. Denying this reality and doing nothing can potentially lead to future disaster if appropriate action is not taken now.

Evidence seems to indicate that hospitality and related industries are still not prepared to take appropriate action. Management’s reluctance to invest accordingly is dangerous, especially for high-risk situations. Establishing a secure environment is not an easy task, particularly during peak seasons. The accumulated experience in Israel dictates that utilizing state-of-the-art technologies in conjunction with improved, modern securities measures and approaches does in fact improve overall security in addition to addressing terrorism concerns. TIX expertise is based on years of successfully proven Israeli experience that demonstrates how improved security systems and programmes can be implemented cost-effectively utilizing existing budgets without major investments.

THE STEPS OF A MARKETING PLAN

The homogeneous mass market, which has dictated the offerings of U. S. producers since the dawn of the industrial revolution, is confronting its demise. At least, that’s the word from advertising and marketing experts as we stand at the threshold of the new millennium. If you don’t believe it, look no further than assembly-line hamburger maker, Burger King, which was a forerunner in realizing that customers want it “their way” and their way is not necessarily everyone else’s.

As touted in its advertising, Burger King offered “customized” burgers based on a patron’s preferences - down to the ketchup - a far cry from the typical one-way-suits-all quarter-pounder. Because the mass market is splintering into fragments, now is an opportune time to figure out which fragments are yours. Writes prophetess of trends Faith Popcorn in her latest version of *The Popcorn Report*, “Markets are becoming niches and niches are growing smaller. As this market miniaturization occurs, customers gain more stature - and they know it.” Reaching those customers requires a new strategy. The scattershot advertising approach, which wasn’t necessarily all that effective in the past, will be even less so in the 21st century. The most obvious alternative, shifting to narrower and more specialized markets, is already being tried by many small firms with substantial success.

FIND A NICHE

Atlantic Publication Group in Charleston, South Carolina, spent four years offering broad-based, general interest magazines to a market already saturated with competition. Then in 1989, company president Marvin Jenkins decided it was time to change direction and develop products for specific niches. Now APG produces 28 publications for many different kinds of organizations. It has grown from four to 11 employees and revenues have tripled. Every APG product is developed in response to a particular need. “Specifically, we search for groups that have a database of readers and are looking for ways to communicate with them,” Jenkins explains.

APG enters into multi-year contracts to produce publications for groups such as trade associations, economic development entities, municipalities, regulators, architects and others. When a resort needed a services directory for its 40,000 guests, for example, APG produced it. Clients grant APG exclusive rights to publish the information and sell advertising to defray production charges. The cost to the clients varies with each situation. Sometimes there is no cost at all. For instance, the state of South Carolina annually publishes a book of hunting and fishing regulations, which also carries advertising. The publication used to cost \$40,000; now the price tag is zero, thanks to the advertising APG sells. “Niche marketing is really refinement of product,” Jenkins asserts. “The trick is to be open-minded. Look honestly at what you’re doing and whether it is working. If not, small companies have the flexibility to change direction.”

Tapping specific niches can also help small firms stand out from the crowd. “A business must differentiate itself in ways that are important to the customer,” notes Philip Kotler, professor of international marketing at Northwestern University. “Small firms are uniquely positioned for niche marketing. If a small enterprise sits down and follows the principles of targeting, segmenting and differentiating, it doesn’t have to collapse to larger companies. “A business can actually be more profitable by going for the niche rather than the volume,” he elaborates, “and new technology presents many opportunities for new niches.”

RIDING THE SUPERHIGHWAY

Advances in communications technology really do add a valuable new arrow to the small firm's marketing quiver. An increasingly wired population is turning for information to computer online services, cable TV and the information superhighway. Consumers will have a choice not only in the diversions they choose, but also in the method of delivery.

The highly touted and publicized information superhighway, or Internet, may at first glance seem beyond reach to most small companies. But it is probably one of their most effective targeting mediums, and the cost of traveling it may be cheaper than you expect. One pioneering small business, Schoolkids Records in Ann Arbor, Michigan, recently decided to chance the superhighway's uncharted advertising territory. Founded in 1976, Schoolkids operated a main store and two smaller, separate stores devoted to classical music and alternative rock. In November 1994, the record purveyor opened a fourth store, this time on the Internet.

Customers can now read an electronic advertisement that lists the newest releases accompanied by brief reviews. The ad also includes the store's toll-free 800 number and even a map showing how to get there. Customers can order compact discs on line and, if their computers are properly equipped, even listen to samples of the music being offered for sale.

"In the first few months alone, we've been receiving 400 to 500 calls a day, and the bottom-line results are very positive," notes founder and owner Steve Bergman. "We're also getting a lot of e-mail messages from Internet users who say they love the visual appearance of our ads. "When you're a small company as we are, you have to be creative," Bergman asserts. "And by being on the Internet, we have an opportunity to impress people the way we impress them in our store. We are convinced this advertising avenue will pay off, and are in it for the long term."

Owners of a tiny Texas company, Id, share Bergman's pioneering spirit. As creators of a computer software game called Doom, they faced a problem typical of software firms, especially small ones: how to advertise and sell Doom to the largest audience at the lowest cost. Id decided to try a technique that is gaining favour with software firms of all sizes. It posted a basic version of Doom on the Internet and let people download it at no charge. The strategy was to get players so hooked on Doom that they would send in \$40 for a full version of the game. The plan worked beautifully. Since it was posted on the Internet in December 1993, millions of people have downloaded free versions of Doom and more than 100,000 have paid for a full copy.

"The kind of public recognition we've gotten with Doom - including movie offers and product endorsements - is unheard of," marvels Jay Wilbur, Id's chief executive officer and business manager. "'Shareware' endears us to the public, especially when we tell people who download Doom to play the game even if they don't want to buy it."

MARKET RESEARCH

The Internet is also an effective tool for finding out what your customers want. “More and more companies are using the Internet to communicate with their customers,” reports Jane Torbica of CompuServe. (CompuServe, Prodigy and America Online are currently the three leading online services for small businesses.) “You can go on line to ask customers for product or service ideas or any other input you are seeking.” The Internet also serves as a kind of online Yellow Pages. Firms listed on the Internet are categorized just like the printed version of the Yellow Pages, so it’s easy for customers to search for the type of company and product they need.

LOG ON CAREFULLY

While widely acknowledged as the wave of the future, the Internet still poses some challenges for advertisers. Because millions of people can tap into Internet transmissions, for example, it’s risky for customers to e-mail their credit card numbers when making a purchase. Therefore, many companies are waiting for a secure way to exchange financial data and presently use the Internet to advertise while actually selling by phone, mail or in person.

Even if online selling is secure, it’s not expected to be all that popular in the near future. According to the San Francisco research firm Odyssey, only six percent of U.S. households currently has any online computer connection. Still, that works out to approximately 5.7 million families nationwide - a market well worth targeting. And the number of subscribers is forecasted to grow steadily.

THE PERSONAL TOUCH

A seemingly contradictory trend will also shape marketing efforts in the next century: that of personal customer service. Claims Faith Popcorn, “‘New’ will no longer be a compelling selling point, which is an amazing idea in the American marketplace. We’ve had ‘new’ all our lives. Now ‘new’ is old. “‘New improved’ won’t do much for consumers, either,” she continues, “except make them say out loud what they’ve always wondered: ‘Why didn’t you make it good enough in the first place?’ “What will make us buy one product over another is a feeling of partnership with the seller,” concludes Popcorn. “Anonymous, impersonal selling is over. We want to buy from a person, a person whom we trust.

Trust will be implicit in every purchase.” Nancy Ozawa, researcher at the Institute for the Future in Palo Alto, California, agrees. “To succeed in the future, companies will need to focus on their customers and reorganize around their needs. Once this is accomplished, it’s time to get closer to your customers. One way of doing that,” she suggests, “is to follow up with customers after transactions to find out if they are satisfied. “And by follow up I don’t mean surveys.” declares Ozawa. “Pizza Hut, for example, has a toll-free 800 number for complaints and a manager returns a customer’s call

within 24 hours. The managers are trained to carefully listen to people's voices in order to understand their level of frustration. As a result, customers feel comfortable that their problem is being resolved. Because nine out of 10 people who have problems don't tell you," she emphasizes, "it's important to use that one person who does to uncover the problems of the nine others and fix them."

A MORE EDUCATED CONSUMER

In their book *Future Tense*, Ozawa's peers at the Institute for the Future, Ian Morrison and Greg Schmid, advise that "anyone connected with the business world must focus time and attention on understanding the driving forces changing today's business environment." Two of those forces are the widening and more proficient use of advanced technology and consumer expectations of more personal service. These two forces also define the 21st century consumer.

"Businesses in the next millennium will serve consumers who are more sophisticated and educated," Ozawa predicts. "Well over 50 percent will have a high school diploma by the year 2000. "Tomorrow's consumers will also be more demanding and vocal, and will expect companies to meet their needs," she adds. "And they will use their wallets to vote for the winners."

THE CHALLENGES OF HOSPITALITY SALES

MIS: THE NEW CHALLENGES

Management Information System is effective when it improves the profitability of an organisation considerably. The new and improvised MIS triggers the decision makers for proactive decision process. Technology has always been associated with quick decision-making that enables businesses to minimise risks and attain quality output. The hospitality industry is now keen to use technology to its full potential to offer the best services.

The management on the other hand has always been using software that played a key role in defining the performance of a hotel. Management Information System (MIS) has been one of them and has played a potent role in this industry. With time, it has become the most dependent tool, having gone through some changes apart from being customised to a company's needs. These changes in a way enabled the hospitality sector to view MIS as a complete networked platform upon which performance of a company can be viewed and dissected easily.

The competitive culture has crept into the Indian scenario as well, where constant perfection is vital to keep the revenue graph moving upwards. Hence, the new genre of MIS is all about division of departments, being web-based and offering single platform for all information across the network.

MIS Operational Platform

MIS is undertaken to take account of the day-to-day operations and the aberrations that need to be quickly addressed. It works on client-server architecture and facilitates maintenance of necessary data as well as generation of reports and queries. This software explicitly expresses the operation in a format that is conceived easily and enables quick understanding of various levels of operations. MIS is like a report card of an organisation but, experts feel, it needs to be more refined in order to figure out where the performance diversion is taking place.

This is a crucial aspect which a few software solution providers have incorporated in its software where customers (hotels) can directly pin-point the areas where things are going wrong, thereby bringing about immediate rectification. Today, hoteliers are even extending the use of MIS for keeping a bank of guest information and feedback using this real data into bringing about changes in service styles, menus, etc. An in-depth analysis can therefore be possible with the kind of information available through customisation, feeding the right inputs and evaluating the output generated.

Vital Factors

MIS primarily focuses on the soft skills of the operations. But there has to be a synergy of information flow within the managerial, operational and the top management of a hotel. To address this issue companies try to attain exactly that feature through their MIS module. In a hotel, there are different departments and MIS is made on a platform where work is divided and managed according to the departments.

MIS will be more beneficial and effective only when it considerably improves the profitability of an organisation. This will happen only when it triggers the decision-makers to be proactive, which in turn benefits the bottom line. Also, each hotel goes about customising the software according to their needs. However, there are a few factors that are making MIS a more potent tool. Focusing on the hotel sector we have introduced a Drill Down feature. If Drill Down is provided on MIS (displaying up to voucher level data which is composed of the MIS) the management can get down to the minute details of any abnormal behaviour and can take instantaneous corrective actions. Further, we tend to forget the expense part in the budget set for each department where the emphasis is on sales. Identifying and then reducing these expenses or core areas of concern through MIS is a big boon for the management.

Going the Web Way

MIS operations have become more complex and challenging in this sector because of chain hotels which need to be linked to each other when it comes to finding out the performance of each unit. Therefore, MIS is presently being upgraded for Web-based operations too. Here, a central system is created - central MIS - that takes into account the reports generated by each property (through MIS) at the end of the day after the

completion of night audit. This is done by uploading the day's report at the central Web server. The idea is to reach the root of any discrepancy quickly and keep the profitability of the business at the optimum. This tabulation brings the performance of all properties on a single platform - single window information system - for evaluation and appraisals. Here one can figure out reasons for lacklustre performance through links provided for report generation. This also enables a company to study past trends to predict future trends. Also, MIS going the Web way not only secures data from possible theft but also ensure quick recovery from any part of the world for reference and future planning, which gives this software a status like never before.

DRIVERS OF CHANGE

Globalisation dictates the shape of the future; it reduces artificial barriers and creates the practicalities of business thereby necessitating alliances. The protagonist of this change is primarily the traveller himself who will dictate what alliances should take place in the future. The opportunity to seize and dominate a marketplace, distribution networks, introduce new products, technologies and international management talent, with the specter of competition looming overhead will require alliances to mould their collective fortunes. Rapid growth in the marketplace without ancillary support of third party services and a free economy to spur consolidation will spearhead strategic alliances.

Understanding customers will become critical to establishing competitive advantage. The modalities in place will shift in angle in the age of intense competition and retaining customers will become as important as acquiring them in the first place.

In what ways will a traveller evolve to enter the next decade? In India, firstly, he will move up the value chain, creating a segment that has been there, seen that, and doesn't want the same experience anymore.

But at the same time, a whole new mass will be drawn up the same value chain, taking the place of the first time traveller, for which the market and communications, and befitting alliances has already been developed. Research will lead to the better understanding of the target consumers and their behaviour, leading to more precise identification of customer segments and sub-segments, and basing alliances on the basis of this, which will further open opportunities for data mining, between different cross segments and verticals, targeting the same demographic group. Focused strategy and communication, targeted at the right persons and alliances with the right people will precede mass media as an option.

This opens a whole new untapped market - of the luxury, wellness and the experienced traveller, who's looking to combine convenience with comfort. Raymond Bickson, MD of Indian Hotels Company, elaborates, "The globetrotting wealthy traveller today is intensely important. One must understand the intricacies and subtleties for luxury

clientele. These travellers influence global issues and look for value for money but one must not mistake them for bargain hunters.” This will reveal new tourism products and marketing strategies to evolve, with worldwide trends moving towards shorter breaks and short haul travel during off-season.

THE WAY FORWARD

The two-edged sword of globalisation has not only made the world accessible but also brings the threat of being obsolete along with it. To stretch marketing rupees, groupings will develop to undertake joint marketing and research efforts. Cross-sector alliances will prove to be effective marketing formats, with access to database and direct marketing tools, with verticals looking at other segments to associate with. This will increase the retail, arts, cultures and others on a bigger framework and canvas than it is today.

Global opportunities will create more openings for health and wellness tourism and medical tourism - a market that the Indian government has already realised as a growing one. Its worldwide medical tourism campaign is proof enough. And not without reason; according to market statistics, the medical tourism market in India is touching US \$300 million (with an estimated 1.5 lakh foreign patients visiting India every year) and growing into a US \$2 billion business by 2012. The Leela Palaces and Resorts, according to its president, Peter J Leitgeb, is the first five-star hotel group in the world to offer special packages to travellers from the UK at its Kerala property after having tied-up with Globe Health Tours.

Meanwhile, hotels will try to differentiate their products even more, and expand through the management cum franchise route by integrating marketing synergies. Standalone properties are bound to integrate under the umbrella of a known brand. Alliances to differentiate the product, both with consumer brands and retail in addition to marketing alliances worldwide, will become a compulsion for Indian brands to compete against the giant franchises and managed brands. While evolving into the next decade, it would be the visibility of a brand and its penetration into the marketplace that will be the first step to forge an alliance. Accordingly, a hotel will select the right fit for furthering its growth through the right associations, since one-size no longer fits all. And it would be the right partnership. This, in some cases, might lead to inorganic growth but nonetheless will be a win-win situation for all.

MANAGEMENT CONTROL AND STAFFING

Although there is a tendency to want a “bright line” to define businesses as small, medium-size or large, this guidance does not provide such definitions. It uses the term “smaller” rather than “small” business, suggesting there is a wide range of companies to which the guidance is directed.

The focus is on businesses that have many of the following characteristics:

- Fewer lines of business and fewer products within lines
- Concentration of marketing focus, by channel or geography
- Leadership by management with significant ownership interest or rights
- Fewer levels of management, with wider spans of control
- Less complex transaction processing systems and protocols
- Fewer personnel, many having a wider range of duties
- Limited ability to maintain deep resources in line as well as support staff positions such as legal, human resources, accounting and internal auditing.

None of these characteristics by themselves is definitive. Certainly, size by whatever measure - revenue, personnel, assets, or other - affects and is affected by these characteristics, and shapes our thinking about what constitutes “smaller.”

COSTS AND BENEFITS

Management and other stakeholders of public companies, particularly smaller ones, have focused great attention on the cost of complying with Section 404, with less attention given to the associated benefits. Although it may be difficult to measure impacts associated with inaccurate financial reporting, market reactions to corporate misstatements clearly signal that the investment community does not readily tolerate inaccurate reporting, regardless of company size. In that respect and with other benefits described below, effective internal control adds significant value.

Among the most significant benefits is the strengthened ability of companies to access the capital markets, providing capital which drives innovation and economic growth. Other benefits include reliable and timely information supporting management’s decision-making, consistent mechanisms for processing transactions across an organization enhancing speed and reliability, and ability to accurately communicate business performance with partners and customers.

MEETING CHALLENGES IN ATTAINING COST-EFFECTIVE

Internal Control

The characteristics of smaller companies provide significant challenges for cost-effective internal control. This particularly is the case where managers view control as an administrative burden to be added onto existing business systems, rather than recognizing the business need and benefit for effective internal control that is integrated with core processes.

Among the challenges are:

- Obtaining sufficient resources to achieve adequate segregation of duties
- Management’s ability to dominate activities, with significant opportunities for management override of control

- Recruiting individuals with requisite financial reporting and other expertise to serve effectively on the board of directors and audit committee
- Recruiting and retaining personnel with sufficient experience and skill in accounting and financial reporting
- Taking management attention from running the business in order to provide sufficient focus on accounting and financial reporting
- Maintaining appropriate control over computer information systems with limited technical resources.

While all companies incur incremental costs to design and report on internal control over financial reporting, costs can be proportionally higher for smaller companies. Yet despite resource constraints, smaller businesses usually can meet this challenge and succeed in attaining effective internal control in a reasonably cost-effective manner. This is accomplished in a variety of ways, outlined in this guidance, many of which already exist today in smaller companies and for which management can “take credit” in considering internal control effectiveness.

Wide and Direct Control from the Top

Many smaller businesses are dominated by the company’s founder or other leader who exercises a great deal of discretion and provides personal direction to other personnel. While key to enabling the company to meet its growth and other objectives, this positioning also can contribute significantly to effective internal control over financial reporting. In-depth knowledge of different facets of the business - its operations, processes, array of contractual commitments and business risks - enables its leader to know what to expect in reports generated by the financial reporting system and to follow up as needed when unanticipated variances surface. A related downside in terms of ability to override established control procedures can be addressed with specified protocols.

Effective Boards of Directors

Smaller hotels typically have relatively straightforward business operations with less complex business structures, enabling directors to gain more in-depth knowledge of business activities. Directors may have been closely involved with the company during its evolution and have a strong historical perspective. Coupled with what often is exposure to and frequent communication with a wide range of managers, this assists the board and its audit committee in performing oversight responsibilities for financial reporting in a highly effective manner.

Compensating for Limited Segregation of Duties

Resource constraints may limit the number of employees, sometimes resulting in concerns regarding segregation of duties. There are, however, actions management can take in order to compensate for potential inadequacy. These include managers reviewing

system reports of detailed transactions; selecting transactions for review of supporting documents; overseeing periodic counts of physical inventory, equipment or other assets and comparing them with accounting records; and reviewing reconciliations of account balances or performing them independently. In many small companies managers already are performing these and other procedures supporting reliable reporting, and credit should be taken for their contribution to effective internal control.

Information Technology

The reality of limited internal information technology resources often can be dealt with through use of software developed and maintained by others. These packages still require controlled implementation and operation, but many of the risks associated with in-house developed systems are avoided. Typically there is a limited need for Programme change controls, inasmuch as changes are done exclusively by the developer company, and generally a smaller company's personnel lack technical expertise to make unauthorized modifications.

Such commercially available packages also bring advantages in the form of embedded facilities for controlling which employees can access or modify specified data, performing checks on data processing completeness and accuracy, and maintaining related documentation. Further advantage can be gained by utilizing software that comes with a variety of built-in application controls that can improve consistency of operation, automate reconciliations, facilitate reporting of exceptions for management review, and support proper segregation of duties. Smaller companies can take advantage of these capabilities, ensuring "flags" or "switches" are properly set to take advantage of the software's capabilities.

Monitoring Activities

The monitoring component is an important part of the Framework, where a wide range of activities routinely performed by managers in running a business can provide feedback on the functioning of other components of the internal control system. Management of many smaller businesses regularly perform such procedures, but have not always taken sufficient "credit" for their contribution to internal control effectiveness. These activities, usually performed manually and sometimes supported by computer software, should be fully considered in designing and assessing internal control. From a different perspective, there is another way monitoring activities can promote efficiency.

After the first year of assessing and reporting on internal control, many companies repeated the assessment process in year two with little if any cost savings. A different approach, however, can be taken to promote efficiency. By focusing on monitoring activities already in place or that might be added with little additional effort, management can identify significant changes to the financial reporting system since the prior year,

thereby gaining insight into where to target more detailed testing. While for effective internal control all five components must be in place and operating effectively and some testing of each component is necessary, highly effective monitoring activities can both offset certain shortcomings in other components and sharpen targeting of assessment work with resulting overall efficiency.

Achieving Further Efficiencies

In addition to considering the above, companies can gain additional efficiencies in designing and implementing or assessing internal control by focusing on only those financial reporting objectives directly applicable to the company's activities and circumstances, taking a risk based approach to internal control, right sizing documentation, viewing internal control as an integrated process, and considering the totality of internal control. The COSO Framework recognizes that an entity must first have in place an appropriate set of financial reporting objectives.

At a high level, the objective of financial reporting is to prepare reliable financial statements, which involves attaining reasonable assurance that the financial statements are free from material misstatement. Flowing from this high level objective, management establishes supporting objectives related to the company's business activities and circumstances and their proper reflection in the company's financial statement accounts and related disclosures. These objectives may be influenced by regulatory requirements or by other factors that management may choose to incorporate when setting its objectives. Efficiencies are gained by focusing on only those objectives directly applicable to the business and related to its activities and circumstances that are material to the financial statements.

Experience shows that this can be most efficiently accomplished by beginning with a company's financial statements and identifying supporting objectives for those business activities, processes and events that can materially affect the financial statements. In this way, a basis is formed for giving attention only to what is truly relevant to the reliability of financial reporting for that company.

FOCUSING ON RISK

While management considers risks in several respects, its overarching consideration is the risks to key objectives, including the risks to reliable financial reporting. Risk-based means focusing on quantitative and qualitative factors that potentially affect the reliability of financial reporting, and identifying where in transaction processing or other activities related to financial statement preparation something could go wrong. By focusing on key objectives management can tailor the scope and depth of risk assessments needed. Often risk is considered in the context of initially designing and implementing internal control, where risks to objectives are identified and analyzed to

form a basis for determining how the risks should be managed. Another is in the context of assessing whether internal control is effective in mitigating risks to objectives. In the context of assessing internal control effectiveness, there sometimes is a tendency to consider internal control using generic lists of controls appropriate to a “typical” organization.

While these tools in questionnaire or other form may be useful, an unintended result is that management sometimes focuses on “standard” or “typical” controls that simply are not relevant to the company’s financial reporting objectives or risks associated with those objectives. A related problem encountered is starting assessments with the details of accounting systems and documenting them in extreme depth without recognizing whether the entirety of processes are truly relevant to achieving reliable financial reporting. This is not to say that such approaches cannot be useful, as they can be. However, whatever approach is followed, efficiencies are gained when attention is directed to the objectives management has established specific to the company’s business activities and circumstances.

RIGHT-SIZING DOCUMENTATION

Documentation of business processes and procedures and other elements of internal control systems is developed and maintained by companies for a number of reasons. One is to promote consistency in adhering to desired practices in running the business. Effective documentation assists in communicating what is to be done, and how, and creates expectations of performance. Another purpose of documentation is to assist in training new personnel and as a refresher or reference tool for other employees. Documentation also provides evidence to support reporting on internal control effectiveness. The level and nature of documentation varies widely by company. Certainly, large companies usually have more operations to document, or greater complexity in financial reporting processes, and therefore find it necessary to have more extensive documentation than smaller ones.

Smaller companies often find less need for formal documentation, such as in-depth policy manuals, systems flowcharts of processes, organization charts, job descriptions, and the like. In smaller companies, typically there are fewer people and levels of management, closer working relationships and more frequent interaction, all of which promotes communication of what is expected and what is being done. A smaller business, for example, might document human resources, procurement or customer credit policies with memoranda and supplement the memoranda with guidance provided by management in meetings. A larger company will more likely have more detailed policies (or policy manuals) to guide their people in better implementing controls.

Questions arise as to the extent of documentation needed to deem internal control over financial reporting as effective. The answer is, of course, it depends on circumstances

and needs. Some level of documentation is always necessary to assure management that its control processes are working, such as documentation to help assure management that all shipments are billed, or periodic reconciliations are performed. In a smaller business, however, management is often directly involved in performing control procedures and for those procedures there may be only minimal documentation because management can determine that controls are functioning effectively through direct observation. However, there must be information available to management that the accounting systems and related procedures, including actions taken in connection with preparation of reliable financial statements, are well designed, well understood, and carried out properly.

When management asserts to regulators, shareholders or other third parties on the design and operating effectiveness of internal control over financial reporting, management accepts a higher level of personal risk and typically will require documentation of major processes within the accounting systems and important control activities to support its assertions. Accordingly, management will review to determine whether its documentation is appropriate to support its assertion. In considering the amount of documentation needed, the nature and extent of the documentation may be influenced by the company's regulatory requirements. This does not necessarily mean that documentation will or should be more formal, but it does mean that there needs to be evidence that the controls are designed and working properly.

In addition, when an external auditor will be attesting to the effectiveness of internal control, management will likely be expected to provide the auditor with support for its assertion. That support would include evidence that the controls are properly designed and are working effectively. In considering the nature and extent of documentation needed by the company, management should also consider that the documentation to support the assertion that controls are working properly will likely be used by the external auditor as part of his or her audit evidence.

There may still be instances where policies and procedures are informal and undocumented. This may be appropriate where management is able to obtain evidence captured through the normal conduct of the business that indicates personnel regularly performed those controls. However, it is important to keep in mind that control processes, such as risk assessment, cannot be performed entirely in the mind of the CEO or CFO without some documentation of the thought process and management's analysis. Many of the examples contained later in this guidance illustrate how management can capture evidence through the normal course of business. Documentation of internal control should meet business needs and be commensurate with circumstances. The extent of documentation supporting design and operating effectiveness of the five internal control components is a matter of judgement, and should be done with cost effectiveness in mind. Where practical, the creation and retention of evidence should be embedded with the various financial reporting processes.

Viewing Internal Control as an Integrated Process

It is useful to view the Framework's five internal control components as comprising an integrated process, which indeed internal control is. A process perspective highlights the interrelationship of the components, and recognizes that management has flexibility in choosing controls to achieve its objectives and that an organization can adjust and improve its internal control over time. As noted, the internal control process begins with management setting financial reporting objectives relevant to the company's particular business activities and circumstances.

Once set, management identifies and assesses a variety of risks to those objectives, determines which risks could result in a material misstatement in financial reporting, and determines how the risks should be managed through a range of control activities. Management implements approaches to capture, process and communicate information needed for financial reporting and other components of the internal control system. All this is done in context of the company's control environment, which is shaped and refined as necessary to provide the appropriate tone at the top of the organization and related attributes. These components all are monitored to help ensure that controls continue to operate properly over time.

The Totality of Internal Control

Each of the five components of internal control set forth in the Framework is important to achieving the objective of reliable financial reporting. Determining whether a company's internal control over financial reporting is effective involves a judgement. Internal control has five components that work together to prevent or detect and correct material misstatements of financial reports. When the five components are present and functioning, to the extent that management has reasonable assurance that financial statements are being prepared reliably, internal control can be deemed effective. While each component must be present and functioning, this does not mean, however, that each component should function identically or even at the same level in every company. Some trade-offs may exist between components. Accordingly, effective internal control does not necessarily mean a "gold standard" of control is built into every process. A deficiency in one component might be mitigated by other controls in that component or by controls in another component strong enough such that the totality of control is sufficient to reduce the risk of misstatement to an acceptable level.

EFFECTIVENESS OF THE SALES AND MARKETING FUNCTION

Our team offers clients a comprehensive range of consulting services related to sales, marketing and customer service. We have extensive experience gained in the Marketing Departments of large FMCG companies and in consulting projects.

Areas where we can support you and your company include:

- Building marketing and sales strategies and support in their implementation,
- Streamlining processes that cover marketing, sales and customer relation building,
- Improvement of operating and cost effectiveness in the sales and marketing areas.

Building Marketing and Sales Strategies and Support in their Implementation

Building of a market position, understood as a specific share in the segment, increase of revenues and of the value of the client portfolio, means much more today than just manufacturing and delivery of products or services to customers. Access to a wide offering makes customers more demanding not only in terms of quality and price, but also in terms of, for instance, shopping experience. It is often difficult to establish factors that enable creating a significant competitive advantage because of the lack of access to relevant models or the lack of an external perspective on the company's activity and offering.

The research of PricewaterhouseCoopers conducted in many countries show that the most effective companies on the market are the ones that exactly know the revenues and costs generated by specific customer segments. The scope of the offering and service depends on the margin level for specific customers. Another key success factor on the market is understanding and ability to use the distribution channels that are most attractive for customers.

How can PwC Help You?

Together with the client, we establish the target market position for the company. We provide competition analyses and case studies of the best practices of the Polish and international markets that may provide inspiration for developing a strategy that fits the status and aspirations of your company. We conduct research and analyses to be used for establishing customer segmentation (B2B and B2C), the potential of specific segments and for building a value proposition based on actual expectations and insights. We support the implementation of the changes we propose, which results in the establishment of a strengthened and clearly differing company position.

Our work include analyses of the margin level of specific customer segments (*e.g.* using an activity based costing based on our ABC RapisBenefits proprietary methodology) followed by recommendations for specific segments in terms of: products offered, organisation of before- and after-sales service (*e.g.* individual advisors for the company's most attractive customers, call centres), pricing policy and value proposition. We also provide advisory services in terms of streamlining distribution channels in view of various related aspects such as: own vs. partner sales networks or the development of modern distribution channels.

Streamlining Processes that Cover Marketing, Sales and Customer Relation Building

In many cases, problems that companies face on the market result from the lack of coordination of sales and marketing operations, as well as from the lack of consistency in building customer relations. Very often, sales, marketing and customer relations are treated as separate functions in a company and the decisions concerning these functions are taken independently while their strategies are contained in separate documents. This leads inevitably to a lack of consistency in messages that reach the customer and in extreme situations — to the non-performance of sales targets and churn of some customers.

How can PwC Help You?

We are working on a number of process streamlining projects and we have developed our own methodology for diagnosing process issues and designing the target status. We work with the client to include both the best practices in the sector and the specific requirements of your company. Our work outcomes include:

- Development of customer service standards and scenarios;
- Definition of the optimum course of marketing and sales processes, as well as principles of decision-making;
- Improvement of time to market;
- Design of a streamlined organisational structure for marketing and sales, adjusted to the specific requirements of the business;
- Establishment of the roles of specific individuals in the process, allocation of responsibilities and tasks.

Improvement of Operating and Cost Effectiveness in the Sales, Marketing and Customer Service Areas

Companies look for savings: that is why they are more prone to cut on marketing budgets. In addition to an immediate improvement of the operating result, such cuts usually entail long-term consequences such as a decrease in brand awareness ratios or even a loss of market share. PwC research shows that few companies have a system in place to monitor the operating effectiveness of marketing costs. Consequently, in many cases, decisions on the level of the marketing budget are strongly related to historical data and are not sufficiently adjusted to the existing product portfolio and prevailing market trends. According to PwC research findings from many countries, most successful companies are the ones that can adopt self-discipline in the planning and performance of sales (so called “pipeline management”). This enables them to reduce the number of failed offers and negotiations. These companies emphasise talent development, employee training and effective use of sales supporting tools (*e.g.* customer analysis based on information available in the CRM database).

How can PwC help you?

When working on the allocation of marketing expenditure of our clients, we use the results of an annual Communication and Media Outlook study that shows current global trends on the media market, sector benchmarks as well as tools for reviewing the actual media presence. We assist our clients in analysing the previous expenditure and suggest reorganisation of marketing spend. We advise clients in the area of streamlining activities, which leads to revenue growth or cost reduction, for instance, by offering new organisational solutions, changes to processes related to sales, marketing and customer service, as well as by making recommendations on sales management.

FUNCTION OF SALES EXECUTIVES

Many sales executives get promoted into their positions because of their previous performances as salespersons. In some companies, outstanding sales persons have in inside track when sales executives jobs are being filled. The assumption is that outstanding salespersons will be outstanding sales executives. Nothing could be farther from the truth. The sales executives job demands administrative skills much beyond those required of salespeople. Personal selling experience is not unimportant, as sales executives manage people who do personal selling. But personal selling experience and outstanding personal selling performance are two different things most companies can recount instances where an outstanding salesperson failed in a sales executive's job.

Basically, the sales executive has two sets of function: operating and planning. The operating functions include sales force management, handling relationships with personnel in other company departments and with the trade (middlemen and/or customers), communicating and coordinating with other marketing executives, and reporting to some superior executive (such as the marketing vice president). In addition, in some companies and fairly commonly in lower level sales executive sells some accounts personally (to keep a "hand in " and to keep abreast of current selling problems and conditions).

The sales executive's planning function includes those connected with the sale programme. The sales organization and its control. The sales executive is responsible for setting personal selling goals, for developing sales programmes designed to achieve these goals, for formulating sales policies and personal selling strategies, and for putting together plans for their implementation. Sales programmes are put into effect through the sale organization, and the sales executive is responsible for designing and shaping the sales organization, for staffing it, for developing the skills of those who are part of it, and for providing leadership to it. Achievement of sales departmental goals requires controls over selling activities, sales volume, selling expenses, and the like. The sale executive is responsible for these and related control activities.

The relative emphasis that sales executives give to the operating and planning functions varies with

- The type of products,
- The size of company, and
- The type of supervisory organization. Customarily, sales executives at all organizational levels devote more time and attention to sales force management than they do to any other single activity. The significance attached to operating and planning functions varies with the product. If the product is a consumer good, sales executives attach the greatest importance to planning function: development of sales programmes, coordination of personal selling with advertisings, and building and maintaining relationships with dealers and customers. If the product is an industrial good, sales executives attach the greatest importance to the operating function managing and directing the sales force, making calls with salespeople, and selling personal account. Consumer goods sales managers, in general, spend more time on planning and less on operating than do their counterparts in industrial goods companies.

The amount of sales executive's time devoted to planning and operating functions is influenced by size of the sales organization. Sales executives in small companies spend less time on planning and more on operating. As the size of the company increases, the sales executive devotes more time to planning and less to operating. Exerting important influences on the way sales executives distribute their time and effort, too, is the type of supervisory organization. When the sales executive supervises the field sales force directly, he or she spends most of the time on operating function. When the sales executive supervises the field sales force through subordinate sales executives, more attention is devote to planning and less to operating. Sales executives who have high calibre subordinates generally are more willing to delegate most of the performance of the operating functions to them and, consequently, have time left for planning.

Investment and Budget Management in Hospitality

Budget generally refers to a list of all planned expenses and revenues. A budget is an important concept in microeconomics, which uses a budget line to illustrate the trade-offs between two or more goods. A personal budget is among the most important concepts of personal finance. In a personal or family budget all sources of income (inflows) are identified and expenses (outflows) are planned with the intent of matching outflows to inflows (Making ends meet). There are a wide variety of personal budgeting methods and tools that can be employed to help individuals and families with the budgeting process. Also the level of planned finance available to a person, corporation or government, as set by a certain person.

The budget of a government is a summary or plan of the intended revenues and expenditures of that government. In the United States, the federal budget is prepared by the Office of Management and Budget, and submitted to Congress for consideration. Invariably, Congress makes many and substantial changes. Nearly all American states are required to have balanced budgets, but the federal government is allowed to run deficits. In the UK the budget is prepared by the Chancellor of the Exchequer, the second most important member of the government, and must be passed by Parliament. The Parliament seldom makes changes to the budget.

The budget of a company is compiled annually. A finished budget usually requires considerable effort and can be seen as a financial plan for the new financial year. While traditionally the Finance department compiles the company's budget, modern software

allows hundreds or even thousands of people in the various departments (operations, human resources, IT etc.) to contribute their expected revenues and expenses to the final budget. If the actual numbers delivered through the financial year turn out to be close to the budget, this will demonstrate that the company understands their business and has been successfully driving it in the direction they had planned. On the other hand, if the actuals diverge wildly from the budget, this sends out an 'out of control' signal and the share Cost-plus pricing is a pricing method commonly used by firms. It is used primarily because it is easy to calculate and requires little information. There are several varieties, but the common thread in all of them is that you first calculate the cost of the product, then include an additional amount to represent profit. Cost-plus pricing is often used on government contracts, and has been criticized as promoting wasteful expenditures.

INVESTMENT MANAGEMENT

Investment management, the professional management of various securities (shares, bonds etc.) and other assets (*e.g.* real estate), to meet specified investment goals for the benefit of the investors. Investors may be institutions (insurance companies, pension funds, corporations etc.) or private investors (both directly via investment contracts and more commonly via collective investment schemes *e.g.* mutual funds).

The term asset management is often used to refer to the investment management of collective investments, whilst the more generic fund management may refer to all forms of institutional investment as well as investment management for private investors. Investment managers who specialize in advisory or discretionary management on behalf of (normally wealthy) private investors may often refer to their services as wealth management or portfolio management often within the context of so-called "private banking". The provision of 'investment management services' includes elements of financial analysis, asset selection, stock selection, plan implementation and ongoing monitoring of investments. Investment management is a large and important global industry in its own right responsible for caretaking of trillions of dollars, euros, pounds and yen. Coming under the remit of financial services many of the worlds largest companies are at least in part investment managers and employ millions of staff and create billions in revenue. Fund manager (or investment advisor in the U.S.) refers to both a firm that provides investment management services and an individual(s) who directs 'fund management' decisions.

INDUSTRY SCOPE

The business of investment management has several facets, including the employment of professional fund managers, research (of individual assets and asset classes), dealing, settlement, marketing, internal auditing, and the preparation of reports for clients.

The largest financial fund managers are firms that exhibit all the complexity their size demands. Apart from the people who bring in the money (marketers) and the people who direct investment (the fund managers), there are compliance staff (to ensure accord with legislative and regulatory constraints), internal auditors of various kinds (to examine internal systems and controls), financial controllers (to account for the institutions' own money and costs), computer experts, and "back office" employees (to track and record transactions and fund valuations for up to thousands of clients per institution).

KEY PROBLEMS OF SUCH BUSINESSES

Key problems include:

- Revenue is directly linked to market valuations, so a major fall in asset prices causes a precipitous decline in revenues relative to costs;
- Above-average fund performance is difficult to sustain, and clients may not be patient during times of poor performance;
- Successful fund managers are expensive and may be headhunted by competitors;
- Above-average fund performance appears to be dependent on the unique skills of the fund manager; however, clients are loath to stake their investments on the ability of one or two men or women- they would rather see firm-wide success, attributable to a single philosophy and internal discipline;
- Evidence suggests that size of an investment firm correlates inversely with fund performance, *i.e.*, the smaller the firm the better the chance of good performance.
- Analysts who can offer generate above-average returns often become sufficiently wealthy that they eschew corporate employment in favour of managing their personal portfolios.

The most successful investment firms in the world have probably been those that have been separated physically and psychologically from banks and insurance companies. That is, the best performance and also the most dynamic business strategies (in this field) have generally come from independent investment management firms.

REPRESENTING THE OWNERS OF SHARES

Institutions often control huge shareholdings. In most cases they are acting as agents (intermediaries between owners of the shares and the companies owned) rather than principals (direct owners). The owners of shares theoretically have great power to alter the companies they own...via the voting rights the shares carry and the consequent ability to pressure managements, and if necessary out-vote them at annual and other meetings.

In practice, the ultimate owners of shares often do not exercise the power they collectively hold (because the owners are many, each with small holdings); financial institutions (as agents) sometimes do. There is a general belief that shareholders - in this case, the institutions acting as agents - could and should exercise more active influence over the companies in which they hold shares (*e.g.*, to hold managers to account, to ensure Boards effective functioning). Such action would add a pressure group to those (the regulators and the Board) overseeing management.

Some institutions have been more vocal and active in pursuing such matters; for instance, some firms believe that there are investment advantages to accumulating substantial minority shareholdings (*i.e.*, 10 per cent or more) and putting pressure on management to implement significant changes in the business. In some cases, institutions with minority holdings work together to force management change.

Perhaps more frequent is the sustained pressure that large institutions bring to bear on management teams through persuasive discourse and PR. On the other hand, some of the largest investment managers - such as Barclays Global Investors and Vanguard - advocate simply owning every company, reducing the incentive to influence management teams.

The national context in which shareholder representation considerations are set is variable and important. The USA is a litigious society and shareholders use the law as a lever to pressure management teams. In Japan it is traditional for shareholders to be low in the 'pecking order,' which often allows management and labour to ignore the rights of the ultimate owners. Whereas US firms generally cater to shareholders, Japanese businesses generally exhibit a *stakeholder* mentality, in which they seek consensus amongst all interested parties (against a background of strong unions and labour legislation).

INVESTMENT

Investment or investing is a term with several closely-related meanings in business management, finance and economics, related to saving or deferring consumption. An asset is usually purchased, or equivalently a deposit is made in a bank, in hopes of getting a future return or interest from it. Literally, the word means the "action of putting something in to somewhere else" (perhaps originally related to a person's garment or 'vestment').

TYPES OF INVESTMENT

The major difference in the use of the term investment between the economics field and the finance field is that economists refer to a real investment (such as a machine or a house), while financial economists refer to a financial asset, such as money that is put into a bank or the market, which may then be used to buy a real asset.

BUSINESS MANAGEMENT

The investment decision (also known as capital budgeting) is one of the fundamental decisions of business management: managers determine the assets that the business enterprise obtains; these assets may be physical (*e.g.* buildings or machinery), intangible (*e.g.* patents, software, goodwill), or financial. Whatever the type of asset, the manager must assess whether the net present value of the investment to the enterprise is positive; the net present value is calculated using the enterprise's marginal cost of capital.

ECONOMICS

In Economics, investment means the purchase (and thus the production) and/or stock of capital goods and/or technology - goods which are not consumed but instead used in future production. Examples include building a railroad, or a factory, clearing land, or putting oneself through college. In measures of national income and output, investment is also a component of GDP given in the formula $GDP = C + I + G + NX$. The investment function in that aspect is divided into non-residential investment (such as factories, machinery etc.) and residential investment (new houses).

Investment is often modelled as a function of income and interest rates, given by the relation $I = (Y, i)$. An increase in income will encourage higher investment, whereas a higher interest rate may discourage investment as it becomes costlier to borrow money. Even if a firm chooses to use its own funds in an investment, the interest rate represents an opportunity cost of investing those funds rather than loaning them out for interest.

FINANCE

In finance, investment means buying securities or other monetary or paper (financial) assets in the money markets or capital markets, or in fairly liquid real assets, such as gold as an investment, real estate, or collectibles. Valuation is the method for assessing whether a potential investment is worth its price.

Types of financial investments include shares or other equity investment, and bonds (including bonds denominated in foreign currencies). These investments assets are then expected to provide income or positive future cash flows, but may increase or decrease in value giving the investor capital gains or losses. Trades in contingent claims or *derivative securities* do not necessarily have future positive expected cash flows - so are not considered to be assets, or strictly speaking, securities or investments. Nevertheless, since their cash flows are closely related to (or derived from) those of specific securities, they are often studied as or treated as investments.

Investments are often made indirectly through intermediaries, such as banks, mutual funds, pension funds, insurance companies, collective investment schemes, or even investment clubs. Though their legal and procedural details differ, an intermediary generally makes an investment using money from many individuals, each of whom receives a claim on the intermediary.

PERSONAL FINANCE

Within personal finance, money used to purchase shares, put in a collective investment scheme or used to buy any asset where there is an element of capital risk is deemed an investment. Saving within personal finance refers to money put aside, normally on a regular basis. This distinction is important as investment risk can cause a capital loss when an investment is realised, unlike saving(s) where the more limited risk is cash devaluing due to inflation. In many instances the term saving and investment are used interchangeably which confuses this distinction. For example many deposit accounts are labelled as investment accounts by banks for marketing purposes.

To help establish whether an asset is saving(s) or an investment you should consider where your money is invested. If the answer is cash then it is savings, if it is a type of asset which can fluctuate in value then it is investment.

The term Capital Investment has two usages in business. Firstly, Capital Investment refers to money used by a business to purchase fixed assets, such as land, machinery, or buildings. Secondly, Capital Investment refers to money invested in a business with the understanding that the money will be used to purchase fixed assets, rather than used to cover the business' day-to-day operating expenses.

GOALS OF PROJECT PLANNING

Strategic planning involves defining objectives and developing strategies to reach those objectives. It may employ methods like SWOT analysis to help clarify objectives and strategies. Strategic planning uses “the big picture” to pursue large scale, long term objectives. This is in contradistinction to “tactical” planning, which has to focuss on short term, smaller objectives. “Long range” planning typically projects current activities and programmes onto a model of the external world, thereby predicting likely results. “Strategic” planning tries to “create” more desirable future results by (a) influencing the outside world or (b) adapting current programmes and actions so as to have more favourable outcomes in the external environment.

Within business, strategic planning may provide overall direction strategic management to a company or give specific direction in such areas as:

- Financial strategies
- Human resource/organizational development strategies
- Information technology deployments
- Marketing strategy

We want to do Strategic Planning to:

- Have the capability to obtain the desired objective
- Fit well both with the external environment and with an organization's resources and core competencies - it should appear feasible and appropriate
- Have the capability of providing an organization with a sustainable competitive advantage - ideally through uniqueness and sustainability

- Prove dynamic, flexible, and able to adapt to changing situations
- Suffice on its own - specifically providing favourable outcomes without the need for cross-subsidization

Most strategic planning methodologies depend on a three-step process (sometimes called the STP process):

- Situation - evaluate the current situation and how it came about
- Target - define goals and/or objectives (sometimes called ideal state)
- Path - map a possible route to the goals/objectives

An alternative approach is called *Draw-See-Think*

- Draw - what is the ideal image or the desired end state?
- See - what is today's situation? What is the gap from ideal and why?
- Think - what specific actions must be taken to close the gap between today's situation and the ideal state?
- Plan - what resources are required to execute the activities?

In general terms, strategic planning can proceed incrementally or revolutionarily.

STRATEGIC PLANNING AS A SET OF LOGICAL AND CREATIVE STEPS

1. Clarification of objective (end-state) to be pursued. The following terms have been used in the literature: desired end states, plans, policies, goals, objectives, strategies, tactics and actions. Definitions vary, overlap and fail to achieve clarity. The following concept has been found useful. The items listed above may be organized in a hierarchy of means and ends and numbered as follows: Top Rank Objective (TRO), Second Rank Objective, Third Rank Objective, etc. From any rank, the objective in a lower rank answers to the question "How?" and the objective in a higher rank answers to the question "Why?" The exception is the Top Rank Objective (TRO): there is no answer to the "Why?" question. That is how the TRO is defined. An example may help to clarify the concept presented above.
2. Information gathering and analysis. This includes an external assessment (such as environmental scanning), and an internal resource assessment. Morphological analysis may be applied to both internal resource assessments and external assessments. SWOT (Strengths, Weaknesses, Opportunities, Threats) Analysis may be used to assess those aspects of the organization and the environment that are important to achieving the objective of the strategic plan.
3. Evaluation of the feasibility of the objective in view of the SWOTs.
4. Strategy-development. This is a creative step that answers these four questions: How can we use the Strengths, stop the Weaknesses, exploit the Opportunities and defend against the Threats in pursuit of the selected objective.

5. Developing Action Programmes for the more attractive strategies, covering: Name of the strategy, Benefits to be expected from implementing this Programme, Actions: What will be done? Responsible persons: Who will be in charge of the Programme? Timing: When will the Programme start? When will it be completed? Location(s): Where will the Programme be implemented? Resources: What will be needed: people, money, information, other resources? Control System: How will progress be measured and reported? Rewards for performance, if any. Contingency plans: What will be done if results fall short?

SIZE OF THE GLOBAL FUND MANAGEMENT INDUSTRY

Assets of the global fund management industry increased for the second year running in 2004 to reach a record \$45.9 trillion. This was up 6 per cent on the previous year and 40 per cent on 2002. Growth during the past two years has been due to an increase in capital inflows and strong performance of equity markets. Part of the increase in dollar terms was also a result of a 15 per cent fall in the value of the dollar (USD index) during 2003 and a further 4 per cent fall in its value in 2004. As shown in Chart 8, between 1999 and 2002 the value of assets under management fell as a result of declines in equity markets. Pension assets accounted for \$15.3 trillion of funds in 2004, with a further \$16.2 trillion invested in mutual funds and \$14.5 trillion in insurance funds. Merrill Lynch also estimates the value of private wealth at \$30.8 trillion of which about a third was incorporated in other forms of conventional investment management.

The US was by far the largest source of funds under management in 2004 with 43 per cent of the world total. It was followed by Japan with 14 per cent and the UK with 7 per cent. The Asia-Pacific region has shown the strongest growth in recent years. Countries such as China and India offer huge potential and many companies are showing an increased focus in this region.

PHILOSOPHY, PROCESS AND PEOPLE

The 3-P's (Philosophy, Process and People) are often used to describe the reasons why the manager is able to produce above average results.

- Philosophy refers to the over-arching beliefs of the investment organisation. For example, does the manager buy growth or value shares (and why), does he believe in market timing (and on what evidence), does he rely on external research or does he employ a team of researchers. It is helpful if any and all of such fundamental beliefs are supported by proof-statements.
- Process refers to the way in which the overall philosophy is implemented. For example, which universe of assets is explored before particular assets are chosen as suitable investments; how does the manager decide what to buy and when;

how does the manager decide what to sell and when; who takes the decisions and are they taken by committee; what controls are in place to ensure that a rogue fund (one very different from others and from what is intended) cannot arise;

- People refers to the staff, especially the fund managers. The question is who are they, how are they selected, how old are they, who reports to whom, how deep is the team (and do all the members understand the philosophy and process they are supposed to be using), and most important of all how long has the team been working together. This last question is vital because whatever performance record was presented at the outset of the relationship with the client may or may not relate to (have been produced by) a team that is still in place. If the team has changed greatly (high staff turnover), then arguably the performance record is completely unrelated to the existing team (of fund managers).

INVESTMENT MANAGERS AND PORTFOLIO STRUCTURES

At the heart of the investment management industry are the managers who invest and divest client investments. A certified company investment advisor should conduct an assessment of each client's individual needs and risk profile. The advisor then recommends appropriate investments.

ASSET ALLOCATION

The different asset classes are stocks, bonds, real-estate, derivatives, and commodities. The exercise of allocating funds among these assets (and among individual securities within each asset class) is for what investment management firms are paid. Asset classes exhibit different market dynamics, and different interaction effects; thus, the allocation of monies among asset classes will have a significant effect on the performance of the fund. Some research suggests that allocation among asset classes has more predictive power than the choice of individual holdings in determining portfolio return. Arguably, the skill of a successful investment manager resides in constructing the asset allocation, and separately the individual holdings, so as to outperform certain benchmarks (*e.g.*, the peer group of competing funds, bond and stock indices).

LONG-TERM RETURNS

It is important to look at the evidence on the long-term returns to different assets, and to holding period returns (the returns that accrue on average over different lengths of investment). For example, over very long holding periods (*e.g.* 10+ years) in most countries, equities have generated higher returns than bonds, and bonds have generated higher returns than cash. According to financial theory, this is because equities are riskier (more volatile) than bonds which are themselves more risky than cash.

DIVERSIFICATION

Against the background of the asset allocation, fund managers consider the degree of diversification that makes sense for a given client (given its risk preferences) and construct a list of planned holdings accordingly. The list will indicate what percentage of the fund should be invested in each particular stock or bond. The theory of portfolio diversification was originated by Markowitz and effective diversification requires management of the correlation between the asset returns and the liability returns, issues internal to the portfolio (individual holdings volatility), and cross-correlations between the returns.

INVESTMENT STYLES

There are a range of different styles of fund management that the institution can implement. For example, growth, value, market neutral, small capitalisation, indexed, etc.

Each of these approaches has its distinctive features, adherents and, in any particular financial environment, distinctive risk characteristics. For example, there is evidence that growth styles (buying rapidly growing earnings) are especially effective when the companies able to generate such growth are scarce; conversely, when such growth is plentiful, then there is evidence that value styles tend to outperform the indices particularly successfully.

PERFORMANCE MEASUREMENT

Fund performance is the acid test of fund management, and in the institutional context accurate measurement is a necessity. For that purpose, institutions measure the performance of each fund (and usually for internal purposes components of each fund) under their management, and performance is also measured by external firms that specialise in performance measurement. The leading performance measurement firms (*e.g.* Frank Russell in the USA) compile aggregate industry data *e.g.* showing how funds in general performed against given indices and peer groups over various time periods.

In a typical case (let us say an equity fund), then the calculation would be made (as far as the client is concerned) every quarter and would show a percentage change compared with the prior quarter (*e.g.* +4.6 per cent total return in US dollars). This figure would be compared with other similar funds managed within the institution (for purposes of monitoring internal controls), with performance data for peer group funds, and with relevant indices (where available) or tailor-made performance benchmarks where appropriate.

The specialist performance measurement firms calculate quartile and decile data and close attention would be paid to the (percentile) ranking of any fund. Generally speaking it is probably appropriate for an investment firm to persuade its clients to

assess performance over a longer periods (*e.g.* 3 to 5 years) to smooth out very short term fluctuations in performance and the influence of the business cycle. This can be difficult however and, industrywide, there is a serious pre-occupation with short-term numbers and the effect on the relationship with clients (and resultant business risks for the institutions).

ABSOLUTE VERSUS RELATIVE PERFORMANCE

In the USA and the UK, two of the world's most sophisticated fund management markets, the tradition is for institutions to manage client money relative to benchmarks. For example, an institution believes it has done well if it has generated a return of 5 per cent when the average manager has achieved 4 per cent. In other markets however, *e.g.* Switzerland, the mentality is different and clients and fund managers focus on absolute return management, *i.e.* returns relative to cash (*e.g.* Swiss franc or Yen cash) where (performance) fees are payable only if the return exceeds some absolute figure (*e.g.* 10 per cent per annum).

EDUCATION OR CERTIFICATION

Increasingly, international business schools are incorporating the subject into their course outlines and some have formulated the title of 'Investment Management' conferred as specialist bachelors degrees. (*i.e.* Cass Business School, London). Due to global cross-recognition agreements with the 2 major accrediting agencies AACSB and ACBSP which accredit over 560 of the best business school programmes, the Certification of MFP Master Financial Planner Professional from the American Academy of Financial Management is available to AACSB and ACBSP business school graduates with finance or financial services related concentrations.

FINANCIAL MARKET

In economics a financial market is a mechanism which allows people to trade money for securities or commodities such as gold or other precious metals. In general, any commodity market might be considered to be a financial market, if the usual purpose of traders is not the immediate consumption of the commodity, but rather as a means of delaying or accelerating consumption over time.

Financial markets are affected by forces of supply and demand, and allocate resources over time through a price mechanism such as the interest rate. Typically financial markets use a market making or a bid and ask process.

Both general markets, where many commodities are traded and specialised markets (where only one commodity is traded) exist. Markets work by placing many interested sellers in one "place", thus making them easier to find for prospective buyers. An

economy which relies primarily on interactions between buyers and sellers to allocate resources is known as a market economy in contrast either to a command economy or to a non-market economy that is based, such as a gift economy.

In Finance, Financial markets facilitate:

- The raising of capital (in the capital markets);
- The transfer of risk (in the derivatives markets); and
- International trade (in the currency markets).

They are used to match those who *want* capital to those who *have* it. Typically a borrower issues a receipt to the lender promising to pay back the capital. These receipts are *securities* which may be freely bought or sold. In return for lending money to the borrower, the lender will expect some compensation in the form of interest or dividends. The term Financial markets can be a cause of much confusion.

Financial markets could mean:

1. Organisations that facilitate the trade in financial products, *i.e.* Stock exchanges facilitate the trade in stocks, bonds and warrants.
2. The coming together of buyers and sellers to trade financial products, *i.e.* stocks and shares are traded between buyers and sellers in a number of ways including: the use of stock exchanges; directly between buyers and sellers etc.

In academia, students of finance will use both meanings but students of economics will only use the second meaning. Financial markets can be domestic or they can be international.

TYPES OF FINANCIAL MARKETS

The financial markets can be divided into different subtypes:

- Capital markets which consist of:
 - Stock markets, which provide financing through the issuance of shares or common stock, and enable the subsequent trading thereof.
 - Bond markets, which provide financing through the issuance of Bonds, and enable the subsequent trading thereof.
- Commodity markets, which facilitate the trading of commodities.
- Money markets, which provide short term debt financing and investment.
- Derivatives markets, which provide instruments for the management of financial risk.
 - Futures markets, which provide standardised forward contracts for trading products at some future date.
- Insurance markets, which facilitate the redistribution of various risks.
- Foreign exchange markets, which facilitate the trading of foreign exchange.

The capital markets consist of primary markets and secondary markets. Newly formed (issued) securities are bought or sold in primary markets. Secondary markets allow investors to sell securities that they hold or buy existing securities.

RAISING CAPITAL

To understand financial markets, let us look at what they are used for, *i.e.* what is their purpose? Without financial markets, borrowers would have difficulty finding lenders themselves. Intermediaries such as banks help in this process. Banks take deposits from those who have money to save. They can then lend money from this pool of deposited money to those who seek to borrow. Banks popularly lend money in the form of loans and mortgages.

More complex transactions than a simple bank deposit require markets where lenders and their agents can meet borrowers and their agents, and where existing borrowing or lending commitments can be sold on to other parties. A good example of a financial market is a stock exchange. A company can raise money by selling shares to investors and its existing shares can be bought or sold. The following table illustrates where financial markets fit in the relationship between lenders and borrowers:

LENDERS

Individuals do not think of themselves as lenders but they lend to other parties in many ways.

Lending activities may be:

- Putting money in a savings account at a bank;
- Contributing to a pension plan;
- Paying premiums to an insurance company;
- Investing in government bonds; or
- Investing in company shares.

Companies tend to be borrowers of capital. When companies have surplus cash that is not needed for a short period of time, they may seek to make money from their cash surplus by lending it via short term markets called money markets.

There are a few companies that have very strong cash flows. These companies tend to be lenders rather than borrowers. Such companies may decide to return cash to lenders (*e.g.* via a share buyback.) Alternatively, they may seek to make more money on their cash by lending it (*e.g.* investing in bonds and stocks.)

BORROWERS

Individuals borrow money via bank loans for short term needs or longer term mortgages to help finance a house purchase. Companies borrow money to aid short term or long term cash flows. They also borrow to fund modernisation or future business expansion. Governments often find their spending requirements exceed their tax revenues. To make up this difference, they need to borrow. Governments also borrow on behalf of nationalised industries, municipalities, local authorities and other public sector bodies. In the UK, the total borrowing requirement is often referred to as the public sector borrowing requirement.

Governments borrow by issuing bonds. In the UK, the government also borrows from individuals by offering bank accounts and Premium Bonds. Government debt seems to be permanent. Indeed the debt seemingly expands rather than being paid off. One strategy used by governments to reduce the value of the debt is to influence inflation. Municipalities and local authorities may borrow in their own name as well as receiving funding from national governments. In the UK, this would cover an authority like Hampshire County Council. Public Corporations typically include nationalised industries. These may include the postal services, railway companies and utility companies. Many borrowers have difficulty raising money locally. They need to borrow internationally with the aid of Foreign exchange markets.

DERIVATIVE PRODUCTS

During the 1980s and 1990s, a major growth sector in financial markets is the trade in so called derivative products, or derivatives for short. In the financial markets, stock prices, bond prices, currency rates, interest rates and dividends go up and down, creating *risk*. Derivative products are financial products which are used to *control* risk or paradoxically *exploit* risk.

CURRENCY MARKETS

Seemingly, the most obvious buyers and sellers of foreign exchange are importers/exporters. While this may have been true in the distant past, whereby importers/exporters created the initial demand for currency markets, importers and exporters now represent only 1/32 of foreign exchange dealing, according to BIS.

The picture of foreign currency transactions today shows:

- Banks and Institutions
- Speculators
- Government spending (for example, military bases abroad)
- Importers/Exporters
- Tourists

ANALYSIS OF FINANCIAL MARKETS

Much effort has gone into the study of financial markets and how prices vary with time. Charles Dow, one of the founders of Dow Jones and Company and The Wall Street Journal, enunciated a set of ideas on the subject which are now called Dow Theory. This is the basis of the so-called technical analysis method of attempting to predict future changes. One of the tenets of “technical analysis” is that market trends give an indication of the future, at least in the short term. The claims of the technical analysts are disputed by many academics, who claim that the evidence points rather to the random walk hypothesis, which states that the next change is not correlated to the last change.

The scale of changes in price over some unit of time is called the volatility. It was discovered by Benoît Mandelbrot that changes in prices do not follow a Gaussian distribution, but are rather modelled better by Lévy stable distributions. The scale of change, or volatility, depends on the length of the time unit to a power a bit more than $1/2$. Large changes up or down are more likely than what one would calculate using a Gaussian distribution with an estimated standard deviation.

FINANCIAL MARKETS IN POPULAR CULTURE

Only negative stories about financial markets tend to make the news. The general perception, for those not involved in the world of financial markets is of a place full of crooks and con artists. Big stories like the Enron scandal serve to enhance this view. Stories that make the headlines involve the incompetent, the lucky and the downright skillful. The Barings scandal is a classic story of incompetence mixed with greed leading to dire consequences.

Another story of note is that of Black Wednesday, when sterling came under attack from hedge fund speculators. This led to major problems for the United Kingdom and had a serious impact on its course in Europe. A commonly recurring event is the stock market bubble, whereby market prices rise to dizzying heights in a so called exaggerated bull market. This is not a new phenomenon; indeed the story of Tulip mania in the Netherlands in the 17th century illustrates an early recorded example.

Financial markets are merely tools. Like all tools they have both *beneficial* and *harmful* uses. Overall, financial markets are used by honest people. Otherwise, people would turn away from them *en masse*. As in other walks of life, the financial markets have their fair share of rogue elements.

MARKETING BUDGET

Successful marketing requires that sufficient money and personnel time be made available to implement activities comprising the marketing strategy. A marketing budget is a financial plan which shows the total amount to be spent on marketing during different times of the year and how it is to be allocated among alternative activities. Separate marketing budgets should be developed for each marketing mix strategy. The separate budgets should then be aggregated to develop an overall marketing budget. If the total amount is too great it will be necessary to modify the overall objectives and the target market objectives, narrow down or drop target markets, or adjust marketing mixes.

The final budget should be realistic given your objectives. When deciding on a marketing budget, consideration should be given to the job that needs to be done as defined by the objectives. Basing marketing budgets on some per cent of sales or what the competition spends usually leads to over spending or under spending. Decisions

should also be based on the costs, projected revenues, and desired profitability of different activities, not just costs alone. Successful marketing activities will generate additional revenues which can be projected based on the marketing objectives (such as increase off season stay by 5 per cent). Although budgets should be viewed as flexible plans, every effort should be made to adhere to them. Revisions in the budget should only be made after careful consideration of the likely impact of the change on the marketing mix and accomplishment of your objectives.

IMPLEMENTATION

Many well designed marketing plans fail because they are poorly executed. Businesses, agencies, and communities can increase the likelihood of successful implementation if they:

- Identify specific tasks which must be accomplished;
- Assign people or departments specific responsibility for different tasks;
- Provide employees with information on the marketing plan (rationale, objectives, strategies);
- Develop time lines and deadlines;
- Adhere as much as possible to the budget; and
- Regularly monitor and evaluate progress.

EVALUATION

It is important that marketing efforts be continually evaluated. This will improve the effectiveness of marketing strategies by quickly identifying differences between actual results and expected performance and determining likely reasons for the success or failure to realize objectives.

A framework for evaluation would include:

- Determining which elements of the different marketing mixes are most important to evaluate.—It is rarely possible or cost effective to evaluate all elements;
- Establishing performance standards to compare against actual results.—Marketing objectives, if properly formulated, should serve as performance standards;
- Development of formal and informal methods for collecting data on actual results.—There are many ways different elements of the marketing mix can be evaluated. For example, promotions can be evaluated with money off coupons. Special information request forms, telephone numbers to call or post office box numbers to write to can identify the area the request is coming from. Also, formal (written) and informal (face-to-face) surveys can be used to determine the promotional material the customer used in planning the trip;
- Comparison of results with objectives;
- Determination of needed change(s).

CONCLUSION

Customer satisfaction in tourism is greatly influenced by the way in which the service (hospitality) is delivered and the physical appearance and personality of the business. It is critical that these elements be communicated in the best possible manner to convince people to come and experience what your business or community has to offer.

Equally important is the ability to generate repeat business because of your efforts.

Thus, marketing becomes the method to reach potential visitors. It is a vital part of tourism management and can be done effectively and well, with sophistication and tact, or it can be done poorly in a loud, crass and intrusive manner.

Hopefully, this bulletin has given you the basics for the former rather than the latter.

Remember that to do an effective job at marketing:

- Adopt a strong customer orientation which includes regular research and assessment of their needs, wants and attitudes;
- Allocate sufficient resources and time to marketing;
- Assign formal responsibility for marketing to one person or department; and
- Develop and regularly update a marketing plan.

THE MARKETING BUDGET

Resource allocation is a critical part of any marketing plan. To simplify budget preparation, it is recommended that investments in labour, material and services be broken down into the five Ps of marketing:

- Product — The item or service you have to sell.
- Price — The amount of money you ask your customer to pay for your product.
- Place — Where a product is now and how it is transported to your customer.
- Promotion — The advertising and publicity necessary to complete a transaction.
- Persuasion — Personal selling of your business.

Each of the five Ps represents an investment in dollars, materials and services. We can represent this as a system of pipes consisting of a tank of money, which represents the total marketing budget, a main pipe through which the dollars flow and five valves that control the flow of money to each of the five.

The concepts of market planning, segmentation and positioning are shown as filters. Budgeting is the process of setting the valves to meet the needs of each marketing task for each segment and then monitoring the results over time to make sure you remain on target.

As your market segments change, you will have to reset the valves. The important thing is to have in place an effective marketing research system that gives you the confidence to move in the right direction for the right reason.

THE PRODUCT (OR SERVICE)

When consumers think about using a product or service, they consider its advantages and disadvantages. In other words, they ask, What's in it for me? Therefore, it is not enough to define your product and its features; other questions must be answered. Think first of your perception of your product or service and then find out how your customers see it.

Ask yourself questions such as

- What is a description of our product or service?
- What image does it have in the market?
- What are its features and benefits?
- In the eyes of the consumer, is there a way for us to provide our product or service more effectively?
- Where does our product or service fit in a product life cycle?
 - Introduction (maximum investment in development)
 - Growth (investment in marketing)
 - Maturity (maximize profits)
 - Decline
 - Marketing decision — At some point during this declining stage, you must decide whether to invest more money in the product (*i.e.*, create a new and improved model requiring additional investment and generating a new life cycle) or to discontinue it.

PRICE

There are a number of pricing strategies you can use to achieve your growth goal. Each has the potential of producing a profit, and most are tied to the critical relationship of price-to-sales volume and stock turnover. Some strategies you may want to consider are listed below.

Price Skimming

This refers to the practice of charging high prices for the purpose of maximizing profit in the short run. It works best when

- The product is unique and people are willing to pay extra just to have it. There are trendsetters in society who always are looking for something new and are willing to pay the price. A larger number are followers, and they will buy your product if it is accepted by the leaders. The followers, however, will not pay the higher price.
- The cost of development is high and there is a chance of early obsolescence or imitation by competitors.
- You have a strong patent position, or your product would be difficult to copy.

The real disadvantage of skimming is that it attracts competition. Your competitors will soon figure out what you are up to, and the high profit potential will encourage them to copy you. They may produce cheaper versions of your product or style, referred to as knockoffs in the market. Once you have meaningful competition on price, your skimming days are over and you run the risk of ending up with a warehouse full of products that cannot be sold at any price.

Penetration Pricing

The opposite of skimming is to introduce your product at such a low price that you will quickly gain a large share of the market. The purpose is to discourage competition. However, eventually you will have to raise your prices to start making some profit and, when you do, you will learn much about customer loyalty.

Buying a Market Position

A variation of penetration pricing is to buy your way into the market with free samples or heavy coupons, for example, 50 cents off on a 69-cent purchase. This tactic is usually used by big companies because it takes considerable financial backing and it may be six months or more before it starts to pay off. Small marketers can use it to the degree they know what they are doing and can control the process. Frequent follow-up is important to ensure samples are not going to professional collectors but are reaching potentially strong customers.

Loss Leader

This refers to promoting a few items at a sizable reduction to attract customers. The idea is that the increased traffic will result in greater sales of your regular-priced merchandise. The reductions have to be on recognized brands and items purchased frequently enough so customers know the prices and can recognize the savings. You must keep switching leader items — people are not going to buy catsup four weeks in a row regardless of its price. The danger is that you may develop a following of cherry pickers who will breeze into your store, scoop up the specials and buy nothing else.

Multiple Unit Pricing

You can increase the size of your individual sales by offering a meaningful discount for larger purchases. A liquor store usually will offer a discount or throw in a free bottle of wine when you buy a case. The same idea applies to the baker's dozen, a discount on a set of tires or selling beer and soft drinks by the pitcher. This is a good technique for building customer goodwill, but you will not see your customers as often. The trade-off, of course, is that you save time and money on containers and packaging, save time by writing up fewer sales and, perhaps, can make your delivery service more efficient by selling by the truckload. Variations are two-fors, six-packs, cheaper by the carton and bulk price.

Suggested Retail Pricing

This is the practice of selling at prices set by your suppliers. It is convenient because many product lines are available prepackaged and prepriced. However, you lose flexibility and must live with a set percentage markup.

(To combat this disadvantage, some suppliers offer two-for-three options using the retail price). Because suggested-retail or retail-price-maintenance plans are illegal in some states, the practice usually is a loser. Using a slightly different strategy, Panasonic published a minimum retail price list showing a higher average retail; some stores use such gimmicks as compare at or nationally advertised at to imply that the official price is at a certain point.

Discount Pricing

The discount store usually offers lower prices as a trade-off for spartan interiors, lack of sales help and the efficiency of central checkouts. These stores typically work on a 35 to 38 percent markup compared to 42.5 to 45 percent for a department store. Since discount stores depend on the efficiency of greater volume to cover operating costs, they must maintain, or at least promote, good prices.

Full-cost Pricing

This pricing is calculated by adding the costs of the product or service plus a flat fee or percentage as the margin of profit. During inflation, you must keep track of your costs to make sure that you are charging enough. In many business lines, owners have come to realize that when they replace their stock, the wholesale price has often risen above their retail price. If they do not raise prices rapidly enough, they are faced with diminishing inventories at a constant dollar investment or with having to invest more money to restock their shelves at the constant level.

Keystone Pricing

This refers to the practice of setting the retail price at double the cost figure, or a 100 percent markup. It is most common with jewelry items and in specialty shops, high-ticket fashion shops and department stores. Typically, the merchandise is subject to drastic clearance markdowns on items that are slow sellers or held past the season.

Price Lining

This is the technique used by most retail stores of stocking merchandise in several different price ranges. A hardware store, for example, may carry hammers in good, better, and best categories at \$3.49, \$6.49 and \$9.98, respectively, and a professional model at \$17.95. The theory is that people buy products with different uses in mind and with different expectations for quality and length of useful life. If you do not carry a range of prices, you may lose the customers who cannot find the product at the right

price. Price lining simplifies buying and inventory control because you buy only for the price levels that you know your customers will accept and eliminate those goods that fall outside the levels you want to carry.

Competitive Advantage

Here is where you copy or follow the prices set by your competition. Based on your service image, you can set your prices equal to, above or below those of your competition. This strategy requires constant vigilance by reading the ads and shopping your competition. It is a more passive technique because you're always following your competitors. Chances are your more aggressive competitor can make better purchases than you. A variation of this is the we-won't-be-undersold routine, where you offer to meet or beat the prices of all your competitors.

Pre-season Pricing

Many manufacturers offer price discounts or dated billing as incentives to buy early. This is important to manufacturers because of production planning and the lead time necessary for ordering raw materials. For the retailer, the same principles apply; also, off-season specials may be a way to profit in business on a year-round basis. When you sell at a lower price to get the early sales, you may be borrowing from later full price sales.

On the other hand, anyone who has tried to buy snow tires during the year's first snowstorm knows the extent of delivery problems. In this case, early sales at a lower price would have allowed the merchant to serve the customers better and to capture sales that may be lost due to limited service facilities.

Price Is No Object

This refers to certain marketing situations in which the quality of the product or service is far more important than the price. If you need a kidney transplant, for example, you are not going to shop around and haggle over price. And even if you do press the doctor, he probably will quote you a range with a \$5,000 spread rather than giving a specific number. The same is often true with high-ticket fashions and jewelry. Using the same psychology, expensive automobiles and boats are not sold on price. They may use a starting at or base price to get people interested, but the prices of the options are usually in very small print. The extreme of this attitude is that if you have to ask the price you probably cannot afford the item anyway.

Place

Where the product is located when the potential customer is exposed to a buying opportunity can often mean the difference between success or failure. The distribution plan for a given product may be determined by several of the factors listed below.

Product Characteristics

- **Perishability** — Refrigeration or frozen storage requirements can severely restrict place options and raise operating expenses.
- **Bulk** — A product requiring large display space, or one that is heavy, may restrict transportation options as well as display opportunities.
- **Displayability** — Package design that prevents stacking on store shelves can severely restrict customer exposure. (Log Cabin syrup was originally packaged in slanted-roof metal containers. As supermarkets placed increased value on shelf space for customer selection, the inability to stack the log cabins forced a change in package design.)
- **Buying requirements** — If the item must be tried on to determine fit or if it must be demonstrated before the sale can be made, the place element is more restrictive than for a product that requires no package opening at the time of purchase.

Customer Characteristics

- **Impulse versus planned purchase** — Items displayed in a high-traffic area can increase unplanned purchases.
- **Frequency of purchase** — Items purchased once a week usually require more outlets than those purchased once a year. Grocery stores, for example, always outnumber retail furniture outlets.
- **Distance** — How far is the customer willing to travel to purchase your goods or services?

Use Characteristics

How the customer uses the product after purchase also can determine place characteristics.

- Do you need to train the customer to use your product or supply instructions or a repair parts list?
- Can you make more sales for service contracts, accessory items, consumable supplies, repair parts or companion items?

Location

For most small businesses, especially those involved in retail, finding the best location at the lowest price becomes an important consideration. You can draw customers to a poor location but the cost of advertising is often prohibitive. You should learn how much money you have to pay for the better location and see how that compares to the cost of drawing the same number of customers to the poorer location. Do not overlook parking, public transportation, quality of the neighbourhood, sign restrictions, lighting, traffic flow and other factors that determine your store's convenience and safety.

Promotion

Perhaps the most versatile of the five marketing Ps is promotion. It covers all phases of communication between the seller and the potential customer. It is versatile because a change in budget, media or target audience can be made quickly. Promotions also can be effectively changed for specific market segment efforts. Major promotional concerns include the following.

Budget

Because promotional costs can originate from several sources, it is vital to establish a written budget and closely monitor actual costs. The budgeting procedure is simplified if separate budgets are prepared for advertising and promotional activities. Sales goals in dollars, units or both are usually the basis for promotional budgets.

Timing

Selling when the consumer wants to buy is a fundamental factor in the marketing concept. Promotional efforts, whether in-store or through mass media advertising, should be timed to coincide with maximum seasonal or cyclical demand.

Distribution of Promotional Efforts

- Advertising — The major portion of a firm's promotional budget is advertising. Some advertising media, such as the Yellow Pages, where a specific amount is charged each month, can be budgeted as fixed advertising expenditures. The mass media — newspapers, radio, TV, direct mail and magazines — should be individually budgeted to achieve sales goals, improve your image and expand your customer base.
- Promotion — Many firms classify promotion as a separate budget category. In this case, promotional efforts include in-store displays, sampling, specialty advertising, giveaways and other nontraditional media efforts.
- Publicity — This is the no-cost element, meaning there is no charge by the newspaper or other medium for carrying a news release or feature. There will be an internal cost, however, for the preparation of publicity releases and photography. Many businesses miss publicity opportunities because they do not have a written marketing plan. Every promotion or addition of personnel is an opportunity for free publicity, but only if the news release is prepared and sent to the media. Business expansion, remodeling, automation or changes in product name all deserve a publicity Programme.

Promotion Strategy

All advertising and other promotional activities should be in tune with the firm's stated position in the marketplace.

This suggests that not only advertising themes but also media selection must be based on building and strengthening that position.

- **Benefit approach** — Regardless of your media, to make your marketing concept work in advertising messages you must analyze each product and service in relation to these two elements:
 - **Product point** — Those features built into the product or service. Product points are usually highly touted in advertising messages, but they are relatively ineffective unless they are integrated with the second ingredient.
 - **Benefit** — The advantage a customer receives after purchasing the product. Your advertising should promise benefits and make those promises believable by naming the product points that will produce the benefits. For example, “You’ll feel better about your family’s safety (benefit) when they are riding on the new steel-belted radials from Armstrong — thanks to the interwoven blankets of steel embedded deep in the tread (product point).”
- **Media** — Consider many types of media in your promotional campaigns.
 - Newspapers
 - Shoppers
 - Television
 - Radio
 - Billboards
 - Direct Mail
 - Magazines

A full discussion of these media is included under Media Available to Advertisers.

In summary, the importance of promotion in the overall marketing strategy suggests you devote time to its written plan and constantly monitor the plan’s performance. Be creative but avoid cuteness. Stick to the benefit approach, and your customers will respond.

Persuasion

Your business’s success will depend on your ability to persuade others to take actions that will help them while also helping you. This is referred to as a win-win situation. Both parties in the transaction must receive a benefit in value or in satisfaction. There are many buying motives that may bring a customer to your business:

Gain	Utility	Conformity
Time saved	Productivity	Saved effort
Health	Convenience	Money saved
Comfort	Happiness	Need
Protection	Pride (vanity)	Want
Pleasure	Fear	Economy
Amusement	Love	Luxury
Security	Profit	Safety

The key to successful selling is to determine which motives brought the customer to you and then develop a sales presentation that will convince the customer that you and your product can meet those needs.

This process can be broken down into a series of steps:

- Prospecting — This is the activity of identifying potential customers or running ads to entice people into your store.
- Pre-approach — This includes planning what you will say to customers and what evidence or displays you will need to enhance your presentation.
- Approach — This may include a greeting, statement of objective or series of questions to determine exactly what the customer wants. Learn as much as possible about the customer and his or her buying motive before you begin your presentation.
- Presentation — This is the opportunity to tell customers everything they need to know to make an intelligent buying decision.
- Dramatization — Show enthusiasm for your product or service.
- Proof — Words may not be enough. You may need to show facts and figures, endorsements, testimonials or other means of backing up your claims.
- Visualization — your customers visualize the satisfaction they will derive from buying now.
- Demonstration — If possible, let the customer experience the product. Many items are difficult to sell without a test drive.
- Trial close — This is a statement or question designed to let you know how close the customer is to making a buying decision.
- Uncover objections — Find out why the customer is not ready to buy.
- Meet objections — Go back over your presentation to clear up misunderstandings or doubts the customer may have.
- Final close — Ask a question that causes the customer to make a buying decision in your favour.
- Follow-up — This includes all the steps you take to write up the sale, arrange delivery, receive payment and ensure customer satisfaction.

The above process may be inefficient in many selling situations. The genius and creativity of advertising is its flexibility in preconditioning the customer and answering some objections. Certainly your reputation, attitude and the atmosphere of the selling situation can do much to alleviate fears or concerns in the mind of the customer. Your best prospect often is a satisfied customer or the friend or relative of a satisfied customer.

For many products or services, direct mail and telephone selling can be used to complete the sale or to qualify prospects for a personal follow-up. Motivation is an essential ingredient in persuasion. You and your employees must maintain a positive mental attitude. You must learn to sell yourself, your company and your product. And your attitude must be one of serving the customer first, with the realization that your success depends completely on your ability to serve the customer.

BUDGET MANAGEMENT

The function of a budget or forecast is to present management with the estimated results from future operations. To be useful to management on a policy-making level, it is necessary for the budget to present factual information from which operating policies can be determined. No budget, operating statement or balance sheet is of value unless it can be used by management for the good of the business.

GENERAL CONSIDERATIONS

An agency, to serve well, can afford to deliver only the service that each client pays for. In actual practice, many agency services are performed for the commission received from the sale of advertising space and materials. Agencies which have no method by which to determine the cost of serving each account are likely to “rob Peter to pay Paul.” In such cases, the policy-making executives see only an operating statement which indicates that the agency made or lost money. Such operating statements do not show what it has cost to serve each account or what the income from each account has been.

A budget which simply forecasts the total revenue by classes and the total costs and expenses by type is of little use in advertising agency management. Such a budget could be compared with the budget of a manufacturing concern that does not segregate the income from various products or the costs applying to the manufacture and sale of each product.

There are those who suggest that the advertising agency budget be segregated so as to show departmental costs; however, departmental costs are of little importance compared with the cost of serving each client. In some businesses, the steps in the manufacturing processes can be segregated within the departments of the manufacturer’s plant. Departmental costs become of value in such cases. In the advertising agency business, there is no standard for grouping costs within departments.

For example, the copy cost could be large on one account; on another, the art cost could exceed copy cost; and on a third, contact cost could easily be the largest element. There is no scientific method for allocating gross revenue to the various departments within the agency, but it is relatively simple to determine each element of cost entering into serving one particular client.

It is impossible to prepare accurate budgets without first having established a cost-accounting system. No forecast of future operations can be accurately drawn without a knowledge of past operations in connection with similar types of transactions. Budgeting and cost accounting, therefore, are inseparable partners and must be used together.

A properly established cost-accounting system will furnish periodic statements showing separately the results of the agency’s operations with each client. Such cost-accounting statements will show each of the sources of income, including, for example,

commission received from newspaper space, magazine and trade-paper space, outdoor advertising, radio time, radio talent, advertising materials, service fees and miscellaneous items. The statement will show the various costs incurred in serving each client.

These costs are broadly divided into direct and indirect costs. Included among the direct expenses are creative and other direct salaries. These salaries include the cost of the time devoted to the account by creative people and others who spend time directly on clients' accounts, performing such services as contacting, planning, copy preparation, art direction, research, media selection and buying, production and publicity. Other direct expenses comprise those expenses that are incurred directly in connection with serving a particular client's account. They include such items as travelling, research, enter-So training and advertising materials purchased to serve a particular client which cannot be billed to the client. In this last category might appear such an item as resetting type because of an error made by the agency.

Included among the indirect expenses are indirect salaries. These include salaries paid to agency employees who do not work directly on any one account. Work performed in the following categories is generally included in this classification: stenography, typing, ordering, billing, accounting and administrative work. Other indirect expenses include all of the expenses of the agency that are incurred in its general operation, but which are not specifically incurred in connection with servicing particular clients. This classification includes such items as rent, light, local telephone, general travel, general entertaining, dues and subscriptions, stationery and supplies and the like.

The proper cost-accounting system will enable the agency to segregate its costs and expenses by clients and to segregate the costs and expenses on each account in accordance with the preceding formula. Because the advertising agency business lends itself particularly well to cost accounting, costs and expenses can be segregated properly with a minimum of effort, provided that the accounting and cost-accounting system is designed with this in mind.

The form of the cost-accounting statements, to be of greatest use, must be in exactly the same form as the budget. There is no one ideal form. The type of statement to be used will depend somewhat on the requirements of the people who are going to work with the statements. The statements should be in such form that management can clearly understand the figures.

The budget and the cost-accounting statements are intended to accomplish two principal objectives:

1. To show management how its policies are expected to work out.
2. To indicate to management how well the organization is carrying out its policies.

In other words, the budget is intended to show what will happen if the organization does what management directs, and the cost-accounting statement is intended to show whether the organization was able to do these things. No agency should attempt to prepare a budget or forecast until it has first established an adequate cost-accounting

system. A forecast is not simply a schedule showing what business an agency can expect to do in the future; rather, it is a detailed report showing not only what business the agency is expected to do for a period of time, but showing as well the cost of transacting that business. The means for preparing an agency budget are well established. Following is an analysis of them.

FORECASTING MEDIA COSTS AND COMMISSIONS

It is not difficult to forecast the advertising space and materials that will be used during the budget period if each individual client is considered separately. Advertisers must determine their advertising expenditures for a period well in advance so that the agency can plan and develop the advertising and reserve the advertising space.

After a client's appropriations have been established, it is customary for agencies to plan the advertising campaign and then to allocate the advertising expenditure by determining the amount to be spent for each advertisement in each publication. These break-downs of advertisers' expenditures frequently take the form of schedules or estimates. Schedules or estimates may be formal documents submitted by the agency to the advertiser for his approval and signature.

Where estimates or schedules are used, it is obvious that these should be used in establishing the forecast of the client's billing. Frequently, there are no schedules or estimates that can be used for establishing billing forecasts. Even where the formal estimate or schedule system is used, clients may have the habit of frequently revising schedules, or they may sign schedules covering only certain parts of the advertising campaign, leaving other items open for future consideration. It is not infrequent for advertisers to change plans without much advance notice. The agency, the client, or both may unexpectedly consider the purchase of a radio show; or they may decide to market a new product; or they may alter advertising expenditures, depending on seasonable factors, competition, etc.

The agency executive who is in contact with his client will always have a reasonably accurate knowledge of the client's advertising plans for the coming few months, at least.

The first step in budgeting sales is to prepare a separate schedule for each client, showing in detail the advertising space and materials which that client is expected to use for the budget period. This schedule should list the name of each advertising medium, the date of each advertisement and the billing price and cost of each advertisement.

The schedule should contain an estimate of the advertising materials required in connection with each advertisement and a list of special services to be rendered that are to be billed to the client, including the estimated price and cost of each item. The schedule should be prepared to show the total billing and cost figures for each month in the period.

In listing each item on the schedule, a notation should be made to indicate whether the item was scheduled on the basis of a signed estimate, on the basis of a contract already issued to the medium or on other information. These schedules are usually prepared by contact men who refer to media recommendations, estimates and other data. Properly completed billing schedules for each client will show the expected billings and costs by months and classification of media. In the larger agency, these individual client billing and cost schedules are reviewed by the administrative department. The accuracy of a billing forecast depends on who gathers the material and on the source of the figures.

Obviously, such figures as are based on signed estimates or completed contracts with media are reasonably accurate, subject only to cancellations caused by unexpected events. Those items which are estimated on the basis of a contact man's guess cannot be so accurate. The degree of accuracy in such instances depends on the estimator. To check the accuracy of the billing forecast, the agency administrative executive must familiarize himself with facts. This can often be done by an examination of past activities on each account and by conferences with contact men and heads of space and production departments. Billing estimates should be in such form as to permit revisions. Additional copies of estimates should be held for such purposes. Since budgets are usually prepared for periods upwards of a month or two, it is necessary to revise these estimates as clients change their advertising plans.

FORECASTING DIRECT-SALARY COSTS

Direct-salary costs designate costs for the time devoted to clients' accounts by people who work directly on them. Often many people work on one client's advertising account. The number working on one account depends on the size and type of the account and the manner in which the agency is operated. It is common in large agencies to have a departmental organization which includes the following departments: contact men, copy, media selection and buying, art, production, research, radio, accounting, billing, checking and administrative.

Some of the larger agencies have found that the departmental set-up in itself does not provide the necessary concentration of individual effort on individual accounts. They have further subdivided their activities by what is often called the "group system" so that a certain group of people in each department works on one account, or on a series of accounts.

Even where the group system is not well defined, agencies have found it necessary to assign the various elements of work on one account to individuals within departments. Where an agency has had past experience in handling an advertiser's account, the individuals working on that account have formed a rather accurate idea of what service the account requires and how much time it will take them to perform that service. Where an agency has operated a cost-accounting system, the cost-accounting records

will indicate who has devoted time to each account and the amount of time that has been required of each individual. Some agencies have gone further than just to record the amount of time required by each employee to serve a particular account. First, they have evaluated advertisements so as to put them into several classes; then, they have rated each class of advertisement.

For example, they decide that a four-colour full-page advertisement of a certain type falls into Class 1, which requires the greatest amount of time to develop; then other types of advertisements they rate as Class 2, Class 3, Class 4, etc., with the rating depending on the skill required and time involved to develop the advertising. The same types of classifications have been established by some agencies for radio programmes and outdoor displays. While this is an organized method for estimating the time required to prepare an advertisement, it is usually unnecessary to go into such detail to prepare an estimate of the direct cost of serving a client's account.

To prepare the estimate of the direct-salary cost involved in servicing each client's account, the first step is the preparation of a separate schedule for each client. The name of each employee who works on the account is listed. Each employee is then requested to furnish an estimate of the amount of time that he will spend on the account for each month in the budget period. At the time of requesting this information, it may be helpful to give each employee a statement showing the time he devoted to each particular account during a similar prior period. In addition, it may be helpful to furnish each such employee with a schedule showing the advertising space to be used for the client during the budget period. In large agencies where the departmental or departmental and group system is used, each employee's time estimates should be submitted to the group head and to the department head for review.

On this time sheet the names of the various accounts handled are listed on the left-hand margin of the sheet from top to bottom. The months in the budget period are represented by columns running vertically and covering the space from the left- to the right-hand side of the sheet. The individual employee notes the amount of time he estimates will be required of him during each month in the budget period opposite each account he is to work on. By adding each column, the total time to be devoted by the individual employee for each month is secured.

Sometimes, in order to assist the employee, a second time sheet exactly like the one described is furnished; but, in this case, the cost-accounting department has inserted figures to indicate the time devoted by the individual to each account during the prior year. This second time sheet showing the actual time devoted to the accounts by the employee for the prior year is used as a guide to estimate the time required during the budget period. When individual employees have made their estimates showing the time required of them in connection with each account for the budget period, these estimates, like billing estimates, are reviewed by an agency administrative executive. Such a review may require conferences with individual employees, department heads and contact men.

When the time estimates have been reviewed, the estimated time must be converted into dollars of cost. The best procedure for converting time estimates to cost estimates involves the accumulation first of the time estimates for each employee.

After the time estimates have been refined so far as possible, the number of working hours accounted for is divided into the compensation of the employee. This produces an hourly rate. For example, if the budget period is one month, and an individual employee receives one thousand dollars compensation, and the total hours he has estimated he will spend on all accounts for the period is one hundred, then obviously his rate is ten dollars per hour. Having established the hourly rate for each employee, the time estimates are converted to cost estimates. In making this conversion, no allowance is to be made for lost or idle time. By the method described, each account is charged proportionately for each employee's idle time.

FORECASTING DIRECT EXPENSES

Direct expenses consist of those items of expense that are incurred specifically through handling a client's account. Past experience is usually a valuable guide in determining what direct expenses may be incurred in the future. The proper cost-accounting system will provide management with the amount of the direct expenses that have been incurred in serving each account during prior periods. It will also give the nature and detail of each item. An examination of these items will serve management well and, as stated, will be of great assistance in forecasting future costs.

In larger agencies where contact men are more or less responsible for incurring expenditures for such items as travelling and entertaining, these men should be held responsible for budgeting anticipated direct expenses and for keeping actual costs in line with the budgets. Adhering to this principle, to secure forecasts of such direct expenses it is advisable to take contact men into consideration. To estimate these expenses for the budget period in a small agency, where one of the principals contacts each account, it is necessary only to examine past direct expenses and to speculate on what items of expense may be recurring. Such things as client sales conventions, new types of advertising campaigns and the distance of the client's office from the agency's place of business must be taken into consideration. Agencies operate differently: Some follow a policy of liberal entertaining and travelling; others restrict these expenses. Much, of course, is dependent on the type of account and the type of agency. In the larger agency, to secure accurate estimates, it is best to apprise the contact man on each account of figures and details of direct expenses for past periods.

With the past experience as a guide, and the contact man's knowledge of present and future operations, he should be able to furnish management with a reliable estimate of future costs. These estimates, like billing and time estimates, are to be reviewed by an administrative executive and then incorporated in the budget. No specific form need be used to secure the figures from the various contact men.

THE ADVERTISING BUDGET

This section will concentrate on how to prepare a written, detailed advertising budget. This differs from a budget that details specific dollar amounts for anticipated receipts and expenditures, usually handled by a certified public accountant (CPA) or other financial advisor. These professionals seldom do more than allocate a specific amount for advertising and treat it the same as rent — *i.e.*, as an annual expense item.

Returning once again to the marketing approach, a sound advertising budget should be based on consumer habits and preferences. Unfortunately, most retail advertising today appears as an attempt to solve a store's problems. Promotions reading *We Are Overstocked*, *We Must Reduce Inventory* and *Our Loss Is Your Gain* are commonplace and do very little to stimulate the reader to action. The first requirement of successful advertising for the retail store is to work towards solving the consumers' problems. This publication's approach to preparing an advertising budget will, therefore, be based on the following assumptions:

- Timing of advertising will be determined by consumers' preference for buying rather than when the store would like to sell.
- Items to be featured in advertising will be selected on a basis of probable popularity with customers rather than on a store's desire to reduce inventory.
- Headlines and copy for advertising will always be customer-benefit oriented.
- Any medium will be selected on its ability to reach the right prospects. Personal favourites and prejudices prevent objectivity in media selection.

The complete advertising budget must provide specific written answers to each of these questions:

- How much should I spend?
- When should I spend it?
- Where should I spend it?
- What media should I use?

HOW MUCH SHOULD I SPEND?

Since the cost of advertising must be paid from sales revenue, it should always be expressed as a function of expected sales dollars.

The two most popular approaches are

1. The number of dollars considered necessary to successfully promote the sale of a given item at a given price. (Example: \$10 of the \$300 selling price for each refrigerator will go to advertising so that \$3,000 in advertising should sell 300 units and produce \$90,000 in sales.)
2. A flat percentage of every anticipated revenue dollar will go towards advertising. (Three percent of an estimated \$100,000 annual sales volume will result in an advertising budget of \$3,000.)

This section will concentrate on the second approach because it allocates advertising costs for all product lines. Although fewer than 50 percent of the items carried by most stores are never advertised, their sale is the direct result of customer traffic created by the advertised items and, therefore, all merchandise sold should contribute to the overall cost of advertising.

Setting Sales Goals

In both approaches, the first step in preparing an advertising budget must be setting sales goals. Just how many television sets do you expect to sell in a month, a season, a year? Or what will the retail sales volume for the entire store be in each time frame?

Setting sales goals can be a guessing game, but basic research into past sales performance, the quantity and quality of competition, the economic forecasts for your area and characteristics of the population in your market area can help make the guess an educated one. The U.S. Department of Commerce publishes statistical information about consumer expenditures, retail sales and expense statistics. An hour or two spent in the government publications section of your local public library can pay big dividends. Another source for statistical data is the business association that serves your industry.

Although the first sales goal you set will be an annual figure, monthly sales goals can never be determined by merely dividing the annual figure by 12 months. One of the certainties of marketing is that consumer habits change constantly. Yet those very changes make the consumer predictable since there is a predictable pattern of consumer desire for almost every known commodity. While this consumption pattern may vary from month to month, the annual pattern repeats itself with remarkable consistency. The chart shown in Appendix B will give you an idea of the variation in annual sales patterns for just a few stores.

For example, while the average retail jewelry store can expect 23 percent of its annual sales volume in December, the lumber yard or building materials store can expect only 8 percent of its annual sales during the same month. The figures on the chart represent average figures from stores of all sizes and from all parts of the United States. They have been recorded and averaged for five consecutive years, so your store's actual percentages may vary slightly.

Your next step after setting an annual sales goal is to determine what percentage of that annual volume you should anticipate for each calendar month. You may elect to use the national figures for your industry, but using your actual sales figures will give much more reliable numbers. To determine what percentage of your annual sales were achieved in any given month, merely divide that month's dollar volume by the annual dollar value and multiply that amount by 100. Your monthly share of sales percentages will be even more accurate if you compute it for each of your last three or four years of sales and then average the percentages for each month.

MAKING ADVERTISING WORK FOR YOU

APPEAL TO CONSUMERS' NEEDS

Human behaviour, according to psychologist Abraham Maslow, is always the result of one or more of five basic needs or motivating forces. Maslow classified these in a sequence he refers to as the hierarchy of human needs. His theory is that until a lower-ranking need is satisfied there is no desire to pursue a higher-ranking need. Below are the five human motivators, beginning with the basic or lowest-ranked need and continuing to the highest.

1. Physiological needs — Include hunger, thirst, reproduction, shelter, clothing, air and rest.
2. Safety-security — The need for security, stability, dependence, protection, structure, order, law, tenure, pension and insurance.
3. Love-belonging — The need for belonging, acceptance, love, affection, family and group acceptance and friendship.
4. Self-esteem — The need for recognition, respect, achievement, responsibility, prestige, independence, attention, importance and appreciation.
5. Self-actualization — The need for satisfaction, the desire to achieve fulfillment through reaching self-set individual goals or aspirations.

The advertising practitioner will do well to become familiar with the Maslow theory of human motivation because it stresses once again that motivation is always an individual act. The most your advertising message can hope to do is to present an appeal strong enough to stimulate action towards satisfying one of the basic human needs.

If there is one rule that will be most helpful in preparing effective advertising, it is this: The message must put the desire of the potential customer before the advertiser's desire. Please read that one more time! The rule may sound like a simple one to follow, but frequently advertising messages take the form of a plea to customers to respond and solve the advertiser's problem.

Visualize the felt tip pen you probably use every day. When it was manufactured the raw materials were converted into these product features: a plastic barrel, a plastic cap, a supply of ink, a felt tip and a metal pocket clip. These are the total product points in the felt tip pen. What's amazing is that none of those things have anything to do with why you will buy the pen! You buy any item only for how it will benefit you. The key, of course, is benefit. Effective advertising must promise the consumer some benefit he or she will receive after buying the goods or services advertised. Product features should be cited only to make the promised benefits believable. Here is an example of how you can advertise the felt tip pen by promising benefits and then using the product features to make promised benefits believable.

- You can drop this pen on concrete from 20 feet in the air and it will not break because it is made of a strong plastic.
- You can draw a jet black line for more than 100,000 yards, thanks to the large supply of quality ink.
- This pen will not leave an ink stain on your shirt or in your purse, thanks to the snug-fitting plastic cap.
- When you bend over this pen will not fall from your pocket because it features a strong spring steel clip.

Although this technique appears logical, many advertisements ramble on and on with all the product features while the potential customer asks, What will it do for me? Using the benefit approach can be simplified by preparing a worksheet on which each product you plan to advertise is dissected into (1) the benefits the buyer will enjoy by owning this product and (2) which product features will help convince the potential buyer that the promised benefits are likely to be true. Using the benefit approach is the best advertising technique for each advertising medium. It is also the selling technique used by all top salespeople.

Techniques in Presenting the Advertising Message

The buying decision is seldom a purely rational one — emotions influence your behaviour. As you explore various techniques for presenting your advertising message, do not ignore psychological and emotional appeals. For example, red, a strong colour suggesting excitement, increases reader interest when used in sales ads. While the principles discussed here relate most specifically to print ads, they can apply to all media.

Determining Layout Shape and Design

Behavioural scientists have determined that of all the rectangular shapes, the vertical rectangle of approximately three units wide by five units deep is the one the public is exposed to most and, therefore, the one people find most comfortable. The advertising world refers to this shape as the golden rectangle of layout. It is believed that an advertising message receives higher readership when presented in this size.

In Appendix H is a drawing of this three-unit by five-unit shape. Notice the dot on the vertical center line, one-third of the way from the top of the ad. This is called the focal point. It is the point to which the eye is attracted first, at which the eye enters the ad. Next, note the wavy line extending from the upper left-hand corner of the ad to the lower right-hand corner. This reverse s is the path that the eye follows, called the gaze motion path. Your objective should be to reinforce the ease with which the eye can follow this path. How you place elements of your ad can invite the reader's eye to follow this path or to leave your ad completely before getting your message. If your artwork, for example, is located near the curves in the gaze-motion pattern, it will

invite your reader to leave the ad at that point and turn the page. The gaze motion also reinforces the principle that the best place for a headline is at the top of the ad where the reader starts the visual journey through the ad. The worst place for your logo is the lower left-hand corner; the eye prefers to leave the ad at the lower right-hand corner, so your logo will have greater impact there.

The dotted lines divide the ad into vertical and horizontal halves to stress balance in your layout. Formal or symmetrical balance occurs when the elements on the left side of the vertical center line are in the same position and of the same size or density as corresponding elements on the right side. This formal balance is not as interesting to the eye as informal or asymmetrical balance, obtained by balancing weights on one side of the center line with weights of varying densities at greater or lesser distances from the center line on the other side of the ad. Visualize ad balance as being similar to a see-saw where weight near the outer end of the board can be balanced by heavier weights nearer the fulcrum on the other end of the board. In designing your ad layout, place illustrations, copy blocks, headlines and other elements so they appear balanced without formality.

Communicating Desired Layout to Printer

In submitting any printed advertising message to the media, the only way to ensure that your ad looks the way you intended is to provide adequate instructions. Layout means blueprint to the typesetter or printer. Your layout should be a full-size replica of what you want the finished advertisement or brochure to look like. Here are some guidelines to use in preparing layouts.

1. A layout should accurately indicate where all parts of the completed message are to be located with respect to the borders. This must include the location and approximate, if not actual, dimensions of all artwork.
2. There are five parts to a comprehensive layout:

Headline — Print all headlines right on the layout sheet, making the headline fill the width you want. Give the printer a close approximation of the desired type size by the size of your lettering. On each line, put the exact words you want to appear and use capital letters or upper and lower case letters the way you want the type set.

Illustrations — Use a copy machine, if possible, and paste a copy of any artwork or photograph on the layout sheet where you want it to appear. If you plan to reduce or enlarge the artwork, show the finished height, width and the location on the layout sheet.

Copy — Copy refers to the text in your advertisement. Do not letter in the copy on your layout sheet. Use two parallel lines to represent each line of copy and draw these lines in the exact position on the layout sheet. These parallel lines should show whether you want the copy set flush on both right and left

margins or if you prefer a ragged edge on the right margin. Each block of copy should be positioned properly on the layout sheet and then should be keyed, *i.e.*, assigned a circled letter of the alphabet that matches a separate block of copy supplied on copy sheets. Copy sheets should be typewritten, double-spaced and should include all words and prices to be typeset, including any headlines you have lettered on the layout. Leave a two-inch left margin on the copy sheet to give the mark-up person space to code for type style and size.

Price — It is generally a good idea to letter your prices right on the layout if they appear anywhere other than within regular copy lines. Show the price as it should appear, including the relative size of the cents to dollars portion of the price and any dollar or cent signs you want used.

Logo — The logo is your firm's name, whether you have a standard, exclusive design or you merely want your name set in type. Let the layout show the desired location and size. It also is helpful to letter in your address and phone number. If you have a logo design, do not paste the original art work on the layout. Make a copy and paste the copy in the desired position. Ask the printer to make a photo reproduction (PMT) of your logo and keep the original artwork for future use.

In addition to these key elements, your layout also should contain instructions, written outside the ad borders and circled. A line from an instruction circle may lead to the specific area within the ad if it helps clarify instructions. Instructions should include the dimensions of the ad stated in inches (width depth). For a newspaper ad, the width should be stated in columns and the depth in inches or lines, depending on the paper's policies. Other instructions can include the insertion date, reference to the enlargement or reduction of artwork, the names of typefaces desired and special typesetting requests. Remember, your layout will serve as the blueprint for your ad. The finished product can be only as effective as the original layout. The copy sheet that accompanies your layout also should contain the size of the ad and the insertion date. Use a paper clip rather than stapling the copy sheet to the layout. This will prevent tearing when the two sheets are separated for production.

FORECASTING INDIRECT SALARIES AND EXPENSES

Indirect expenses include (a) salaries of people who do not work directly on clients' advertising and (b) all other expenses except those that are incurred specifically because of handling one or more clients' accounts. Both indirect salaries and other indirect expenses are sometimes referred to as overhead expenses. It is necessary to do some research work within the agency to determine what part of indirect expenses should be allocated to each client's account. The first step in making the allocation of indirect

expenses is to prepare a schedule to determine the total cost within each classification of work, such as bookkeeping department billing clerks, stenographers, file clerks, production department employees, etc. After the total salary costs in each classification have been determined, it is necessary to find a way to allocate these costs to the several clients served.

No one method of doing this may be applied to all classifications. For example, it may be practical to allocate billing clerks' time on the basis of the number of items billed. It may be possible to allocate production department employees' time on the basis of the number of items purchased. Each classification requires a separate investigation. The following are some of the methods that have been successfully used to determine how much indirect-expense cost should be allocated to each client:

1. **Income Method.** When allocating according to the income method, the ratio of income from each client to total income of the agency is established, and then the allocation is made by using the established ratio.

Example: If the commission and fee income of the agency is \$100,000 and the income received from one particular client is \$5,000, then the ratio of the income from the one client to total income of the agency is five per cent. When this method is used, five per cent of the item to be allocated is charged to the particular account.

2. **Direct-Salary Method.** Costs and expenses are allocated on the basis of the direct time devoted to accounts, on the theory that indirect salaries and indirect expenses pertaining to an account are proportionate to the direct time devoted to the account. To allocate on this method, it is first necessary to determine the total direct time charged to all accounts.

Next, the direct time applicable to each separate account is determined. Then the percentage of the total direct time that was used on each account is calculated. This percentage when established is used for allocating expenses.

Example: Total direct time charged to all accounts, one thousand hours; time devoted to Account A, one hundred hours; the ratio is ten per cent. Then ten per cent of the item to be allocated is charged Client A.

3. **Insertion-Order Basis.** Certain indirect salaries and indirect expenses in an advertising agency may be allocated on the basis of the number of insertion orders issued to magazines, newspapers, trade papers, etc. This method is used in connection with those classifications of indirect salaries and indirect expenses where the work performed or the expense incurred results from the issuance of orders. This would be true in the checking department, the forwarding department (departments in which orders are issued and released), space-billing department, etc.

To make an allocation under this method, first the total number of insertion orders issued by the agency is established. Next, the number of insertion orders issued on account of each client is established. The percentage of orders issued

for each client to total orders issued by the agency is established. An allocation is made on this basis. Example: One thousand insertion orders issued; five hundred orders issued in connection with Client A. The allocation is made on the basis of fifty per cent to Client A.

4. Purchase-Order Method. Certain work performed in agencies results from the issuance of purchase orders, particularly those issued in connection with the purchase of advertising materials. Indirect employees whose time could be allocated on the basis of the purchases of advertising materials might include those working in the production department and might also include those employees whose work consists of billing and accounting for advertising materials. This type of allocation is made in the same way that the insertion-order allocation is made, but the number of purchase orders is used in place of the number of insertion orders.
5. Contract Basis. A few indirect employees and some indirect expenses may be allocated on the basis of contracts issued to radio stations, magazines, newspapers, etc. The type of employee whose time could be allocated on this basis would include employees in the media-selection and media-buying departments. It would also include the time of clerks who devote their time to the preparation of space contracts. The allocation is made in the same manner that the insertion-order allocation is made except, of course, the number of contracts issued is used in place of the number of insertion orders.

These are some of the methods that have been successfully used to allocate indirect salaries and indirect expenses. Other methods may be found for allocating particular types of salaries and expense items. It is important to note that no one method of allocation can be applied to all items. A study must be made to determine the basis for allocating each class of item. When the methods to be used have been established, probation should be based on these methods, and the methods used should not be disturbed for a period of at least six months. After this, the allocating methods should be restudied to determine whether they are still correct or if there is room for refinement or improvement.

A work sheet should be prepared to list each classification of indirect salaries and indirect expenses together with an explanation of how the allocation of the item is to be made to the various client's accounts. This work sheet will serve as a basis for making the allocation from month to month as the budget is revised. When the work sheet is completed, two schedules should be prepared: A schedule listing the indirect-salary classifications and a second schedule listing the other indirect expenses by class.

The schedule of indirect salaries should contain headings for each classification. Under each heading, the name of each employee falling in the classification should be listed together with the employee's salary for the period. Each classification total should then be allocated to the various clients' accounts. A fourteen-column work sheet is suggested. The classification headings and the names of the employees may be listed

on the left-hand side of this sheet with each individual's salary listed in a column next to his name. The remainder of the columns may be used for distributing the salaries to the several accounts. The same type of work sheet may be used as a schedule of other indirect expenses or overhead. In this case, the classifications of expense are listed on the left-hand side of the sheet from top to bottom, the estimated amount of expense is listed in the column directly to the right of the name of the classification of expenses, and the remaining columns from left to right are used for distributing each class of expense to the several clients' accounts.

CALCULATING PRICE USING THE COST-PLUS METHOD

There are several ways of determining cost, and the profit can be added as either a percentage markup or an absolute amount. One example is:

$$P = (AVC + FC\%) \cdot (1 + MK\%)$$

where:

- P = price
- AVC = average variable cost
- FC% = percentage allocation of fixed costs
- MK% = percentage markup

For example: If variable costs are 30 yen, the allocation to cover fixed costs is 10 yen, and you feel you need a 50 per cent markup then you would charge a price of 60 yen:

$$P = (30 + 10) \cdot (1 + 0.50)$$

$$P = 40 \cdot 1.5$$

$$P = 60$$

An alternative way of doing a similar calculation is:

$$P = (AVC + FC\%) / (1 - MK\%)$$

To make things simpler, some firms, particularly retailers, ignore fixed costs and just use the purchase price paid to their suppliers as the cost term. They indirectly incorporate the fixed cost allocation into the markup percentage. To simplify things even further, sometimes a fixed amount is applied rather than a percentage. This fixed amount is usually determined by head-office to make it easy for franchisees and store managers. This is sometimes referred to as turnkey pricing.

Another variant of cost plus pricing is activity based pricing. This involves being more careful in determining costs. Instead of using arbitrary expense categories when allocating overhead, every activity is linked to the resources it uses. Cost will need to be recalculated and the percentage markup will likely need to be adjusted as the product goes through its life cycle. This is sometimes referred to as product life cycle pricing, although it is seldom done deliberately or in a planned and organized manner. Price skimming and penetration pricing are also types of product life cycle pricing but they are demand based pricing methods rather cost based.

Advantages of Cost-plus Pricing

1. Easy to calculate
2. Minimal information requirements
3. Easy to administer
4. Tends to stabilize markets - insulated from demand variations and competitive factors
5. Insures seller against unpredictable, or unexpected later costs
6. Ethical advantages

Disadvantages

1. Tends to ignore the role of consumers
2. Tends to ignore the role of competitors
3. Use of historical accounting costs rather than replacement value
4. Use of “normal” or “standard” output level to allocate fixed costs
5. Inclusion of sunk costs rather than just using incremental costs
6. Ignores opportunity costs
7. Contractors may not focus on performance because the cost is always covered by the client

In microeconomics, Production is simply the conversion of inputs into outputs. It is an economic process that uses resources to create a commodity that is suitable for exchange. This can include manufacturing, storing, shipping, and packaging. Some economists define production broadly as all economic activity other than consumption. They see every commercial activity other than the final purchase as some form of production. Production is a process, and as such it occurs through time and space. Because it is a flow concept, production is measured as a “rate of output per period of time”. There are three aspects to production processes:

1. The quantity of the commodity produced,
2. The form of the good produced,
3. The temporal and spatial distribution of the commodity produced.

A production process can be defined as any activity that increases the similarity between the pattern of demand for goods, and the quantity, form, and distribution of these goods available to the market place.

A production process is efficient if a given quantity of outputs cannot be produced with any less inputs. It is said to be inefficient when there exists another feasible process that, for any given output, uses less inputs. Some economists (in particular Leibenstein) use the term X-efficiency to indicate that production processes tend to be inherently inefficient due to satisficing behaviour. The “rate of efficiency” is simply the amount of (or value of) outputs divided by the amount of (or value of) inputs. If a production process uses 50 units of input (or \$5000 worth of inputs) to produce one unit of output it is more efficient than a process that uses 55 units of input (or \$5500 worth of inputs) to produce the same level of output. It is said to be 10 per cent more efficient ($\frac{55-50}{55}$)/

$50=1/10=10\%$). The inputs or resources used in the production process are called factors by economists. The myriad of possible inputs are usually grouped into four or five categories. These factors are:

- Raw materials (natural capital)
- Labour services (human capital)
- Capital goods
- Land

Sometimes a fifth category is added, entrepreneurial and management skills, a subcategory of labour services. Capital goods are those goods that have previously undergone a production process. They are previously produced means of production. Some textbooks use “technology” as a factor of production.

In the “long run” all of these factors of production can be adjusted by management. The “short run” however, is defined as a period in which at least one of the factors of production is fixed. A fixed factor of production is one whose quantity cannot readily be changed. Examples include major pieces of equipment, suitable factory space, and key managerial personnel.

A variable factor of production is one whose usage rate can be changed easily. Examples include electrical power consumption, transportation services, and most raw material inputs. In the short run, a firm’s “scale of operations” determines the maximum number of outputs that can be produced. In the long run, there are no scale limitations.

The total product (or total physical product) of a variable factor of production identifies what outputs are possible using various levels of the variable input. This can be displayed in either a chart that lists the output level corresponding to various levels of input, or a graph that summarizes the data into a “total product curve”. The diagram shows a typical total product curve. In this example, output increases as more inputs are employed up until point A. The maximum output possible with this production process is Q_m . If there are other inputs used in the process, they are assumed to be fixed. The average physical product is the total product divided by the number of units of variable input employed. It is the output of each unit of input. If there are 10 employees working on a production process that manufactures 50 units per day, then the average product of variable labour input is 5 units per day.

The average product typically varies as more of the input is employed, so this relationship can also be expressed as a chart or as a graph. A typical average physical product curve is shown (APP). It can be obtained by drawing a vector from the origin to various points on the total product curve and plotting the slopes of these vectors.

The marginal physical product of a variable input is the change in total output due to a one unit change in the variable input (called the discrete marginal product) or alternatively the rate of change in total output due to an infinitesimally small change in the variable input (called the continuous marginal product). The discrete marginal product of capital is the additional output resulting from the use of an additional unit of capital

(assuming all other factors are fixed). The continuous marginal product of a variable input can be calculated as the derivative of quantity produced with respect to variable input employed. The marginal physical product curve is shown (MPP). It can be obtained from the slope of the total product curve.

Because the marginal product drives changes in the average product, we know that when the average physical product is falling, the marginal physical product must be less than the average. Likewise, when the average physical product is rising, it must be due to a marginal physical product greater than the average. For this reason, the marginal physical product curve must intersect the maximum point on the average physical product curve.

MPP keeps increasing till it reaches its maximum. Up until this point every additional unit has been adding more value to the total product than the previous one. From this point onwards, every additional unit adds less to the total product compared to the previous one.

But the average product is still increasing till MPP touches APP. At this point, an additional unit is adding the same value as the average product. From this point onwards, MPP starts to reduce and so does APP because every additional unit is adding less to APP than the average product. But the total product is still increasing because every additional unit is still contributing positively.

Therefore, during this period, both, the average as well as marginal products, are decreasing, but the total product is still increasing. Finally we reach a point when MPP crosses the x-axis. At this point every additional unit starts to diminish the product of previous units, possibly by getting into their way. Therefore the total product starts to decrease at this point. This is point A on the total product curve.

Diminishing returns can be divided into three categories:

1. Diminishing Total returns, which implies reduction in total product with every additional unit of input. This occurs after point A in the graph.
2. Diminishing Average returns, which refers to the portion of the APP curve after its intersection with MPP curve.
3. Diminishing Marginal returns, refers to the point where the MPP curve starts to slope down and travels all the way down to the x-axis and beyond. Putting it in a chronological order, at first the marginal returns start to diminish, then the average returns, followed finally by the total returns.

These curves illustrate the principle of diminishing marginal returns to a variable input (not to be confused with diseconomies of scale which is a long term phenomenon in which all factors are allowed to change). This states that as you add more and more of a variable input, you will reach a point beyond which the resulting increase in output starts to diminish. This point is illustrated as the maximum point on the marginal physical product curve. It assumes that other factor inputs (if they are used in the process) are held constant.

An example is the employment of labour in the use of trucks to transport goods. Assuming the number of available trucks (capital) is fixed, then the amount of the variable input labour could be varied and the resultant efficiency determined. At least one labourer (the driver) is necessary. Additional workers per vehicle could be productive in loading, unloading, navigation, or around the clock continuous driving. But at some point the returns to investment in labour will start to diminish and efficiency will decrease. The most efficient distribution of labour per piece of equipment will likely be one driver plus an additional worker for other tasks (2 workers per truck would be more efficient than 5 per truck).

Resource allocations and distributive efficiencies in the mix of capital and labour investment will vary per industry and according to available technology. Trains are able to transport much more in the way of goods with fewer “drivers” but at the cost of greater investment in infrastructure. With the advent of mass production of motorized vehicles, the economic niche occupied by trains (compared with transport trucks) has become more specialized and limited to long haul delivery.

There is an argument that if the theory is holding everything constant, the production method should not be changed, *i.e.*, division of labour should not be practised. However, the rise in marginal product means that the workers use other means of production method, such as in loading, unloading, navigation, or around the clock continuous driving. For this reason, some economists think that the “keeping other things constant” should not be used in this theory.

The total, average, and marginal physical product curves mentioned above are just one way of showing production relationships. They express the quantity of output relative to the amount of variable input employed while holding fixed inputs constant.

Because they depict a short run relationship, they are sometimes called short run production functions. If all inputs are allowed to be varied, then the diagram would express outputs relative to total inputs, and the function would be a long run production function. If the mix of inputs is held constant, then output would be expressed relative to inputs of a fixed composition, and the function would indicate long run economies of scale.

Rather than comparing inputs to outputs, it is also possible to assess the mix of inputs employed in production. An isoquant relates the quantities of one input to the quantities of another input. It indicates all possible combinations of inputs that are capable of producing a given level of output. Rather than looking at the inputs used in production, it is possible to look at the mix of outputs that are possible for any given production process. This is done with a production possibilities frontier. It indicates what combinations of outputs are possible given the available factor endowment and the prevailing production technology.

You can use a lot of labour with a minimal amount of capital, or you could invest heavily in capital equipment that requires a minimal amount of labour to operate, or

any combination in between. For most goods, there are more than just two inputs. For example in agriculture, the amount of land, water, and fertilizer can all be varied to produce different amounts of a crop. An isoquant, in the two input case, is a curve that shows all the ways of combining two inputs so as to produce a given level of output. In the three input case it will be a surface. Iso is Latin for equal and quant is short for quantity. Movement along an isoquant depicts a constant rate of output, but a changing input ratio. A unique isoquant can be constructed for every level of output, and a family of isoquants can be created to represent various output levels. Isoquants further from the origin represent greater amounts of output. Isoquants are usually considered to be everywhere dense, meaning an infinite number of them could be plotted in any two input space.

A typical isoquant is illustrated in the diagram to the right. At point A in the diagram K_a units of capital are combined with L_a units of labour to produce 100 units of output. It is downward sloping, convex to the origin, and non-intersecting (additional isoquants, not shown, would be drawn parallel to this one). A complete isoquant is actually a closed curve, but only the “down sloping to the right” portion makes economic sense. The upward sloping parts of isoquants, for example, indicate that level of output could be produced by less of both inputs so this section is of little interest to decision makers. The economic section of the isoquants is defined by a pair of lines called ridge lines.

The “downward to the right” slope of the economic region of an isoquant is due to the possibility of substituting one input for another in the production process while keeping the level of output constant.

Isoquants are typically convex to the origin reflecting the fact that the two factors are substitutable for each other at varying rates. This rate of substitutability is called the “marginal rate of technical substitution” (MRTS) or occasionally the “marginal rate of substitution in production”. It measures the reduction in one input per unit increase in the other input that is just sufficient to maintain a constant level of production. For example, the marginal rate of substitution of labour for capital gives the amount of capital that can be replaced by one unit of labour while keeping output unchanged.

To move from point A to point B in the diagram, the amount of capital is reduced from K_a to K_b while the amount of labour is increased only from L_a to L_b . To move from point C to point D, the amount of capital is reduced from K_c to K_d while the amount of labour is increased from L_a to L_b . The marginal rate of technical substitution of labour for capital is equivalent to the absolute slope of the isoquant at that point (change in capital divided by change in labour). It is equal to 0 where the isoquant becomes horizontal, and equal to infinity where it becomes vertical.

The opposite is true when going in the other direction. In this case we are looking at the marginal rate of technical substitution capital for labour (which is the reciprocal of the marginal rate of technical substitution labour for capital). It can also be shown that the marginal rate of substitution labour for capital, is equal to the marginal physical

product of labour divided by the marginal physical product of capital. In the unusual case of two inputs that are perfect substitutes for each other in production, the isoquant would be linear (linear, a straight line, with a function $y = a - bx$). If, on the other hand, there is only one production process available, factor proportions would be fixed, and these zero-substitutability isoquants would be shown as horizontal or vertical lines.

FIXED ASSETS MANAGEMENT

Fixed assets management is an accounting process that seeks to track fixed assets for the purposes of financial accounting, preventive maintenance, and theft deterrence. Many organizations face a significant challenge to track the location, quantity, condition, maintenance and depreciation status of their fixed assets. A popular approach to tracking fixed assets utilizes serial numbered Asset Tags, often with bar codes for easy and accurate reading. Periodically, the owner of the assets can take inventory with a mobile barcode reader and then produce a report. Off-the-shelf software packages for fixed asset management are marketed to businesses small and large. Some Enterprise Resource Planning systems are available with fixed assets modules.

FREE CASH FLOW

Free cash flow measures a firm's net increase in

- Cash from operations (this includes the reduction for interest),
- Less the dividends paid to preferred shareholders, and
- Less expenditures necessary to maintain assets.

Increases in non-cash current assets may, or may not be deducted, depending on whether they are considered to be maintaining the status quo, or to be investments for growth.

PROBLEMS WITH CAPX

1. The expenditures for maintenance of assets is only part of the capx reported on the Statement of Cash Flows. It must be separated from the expenditures for growth purposes. This split is not a requirement under GAAP, and is not audited. Management is free to disclose maintenance capx or not. Therefore this input to the calculation of free cash flow is easy to manipulate. Since it is a very large number, maintenance capx's questionable validity is the basis for some people's dismissal of 'free cash flow'.
2. A second problem with the maintenance capx measurement is its intrinsic 'lumpyness'. By their nature, expenditures for capital assets that will last decades are infrequent, but costly when they occur. 'Free cash flow', in turn, will be very different from year to year. No particular year will be a 'norm' that can be expected to be repeated.

USES OF THE METRIC

1. Free cash flow measures the ease with which businesses can grow and pay dividends to shareholders. Even profitable businesses may have negative cash flows. Their requirement for increased financing will result in increased financing costs reducing future income. It is easier to grow with organic cash flows than with additional financing.
2. According to the discounted cash flow valuation model, the intrinsic value of a company is the present value of all future free cash flows, plus the cash proceeds from its eventual sale. The presumption is that the cash flows are used to pay dividends to the shareholders. Bear in mind the lumpyness discussed.
3. Some investors prefer using free cash flow instead of net income to measure a company's financial performance, because free cash flow is more difficult to manipulate than net income. The problems with this presumption are itemized at cash flow and return of capital.
4. The payout ratio is a metric used to evaluate the sustainability of distributions from REITs, Oil and Gas Royalty Trusts, and Income Trust. The distributions are divided by the free cash flow. Distributions may include any of income, flowed-through capital gains or return of capital.

This metric is used only by shareholders. Debt holders are not concerned with maintaining the operating capital assets, or with growing the business. Nor are they concerned with taxes paid since their payments come first. The appropriate metric for debt holders is EBITDA.

CHANGE MANAGEMENT

There are several phrases regarding organizational change and development that look and sound a lot alike, but have different meanings. As a result of the prominence of the topic, there seems to be increasingly different interpretations of some of these phrases, while others are used interchangeably. Without at least some sense of the differences between these phrases, communications about organizational change and development can be increasingly vague, confusing and frustrating.

There are different overall types of organizational change, including planned versus unplanned, organization-wide versus change primarily to one part of the organization, incremental (slow, gradual change) versus transformational (radical, fundamental), etc.. Knowing which types of change you are doing helps all participants to retain scope and perspective during the many complexities and frequent frustrations during change.

Successful change efforts often include several key roles, including the initiator, champion, change agent, sponsor and leaders. Organization-wide change in corporations should involve the Board of Directors. Whether their members are closely involved in the change or not, they should at least be aware of the change project and monitor if the results are being achieved or not. As the change agent, you might be performing different

roles during the project. Appreciative Enquiry is a recent and powerful breakthrough in organizational change and development. It's based on the philosophy that "problems" are often caused as much by our perception of them as problems as by other influencing factors. The philosophy has spawned a strong movement that, in turn, has generated an increasing number of models, tools and tips, most of which seem to build from the positive perceptions (visions, fantasies, wishes and stories) of those involved in the change effort.

There are numerous well-organized approaches (or models) from which to manage a change effort. Some of the approaches have been around for many years — we just haven't thought of them as such. For example, many organizations undertake strategic planning. The implementation of strategic planning, when done in a systematic, cyclical and explicit approach, is strategic management. Strategic management is also one model for ensuring the success of a change effort. There are numerous, major methods and movements to regularly increase the performance of organizations. Each includes regular recurring activities to establish organizational goals, monitor progress towards the goals, and make adjustments to achieve those goals more effectively and efficiently.

Any or all of the following approaches will improve organizational performance depending on if they are implemented comprehensively and remain focused on organizational results. Some of the following, *e.g.*, organizational learning and knowledge management, might be interpreted more as movements than organization performance strategies because there are wide interpretations of the concepts, not all of which include focusing on achieving top-level organizational results. However, if these two concepts are instilled across the organization and focus on organizational results, they contribute strongly to organizational performance. On the other hand, the Balanced Scorecard, which is deliberately designed to be comprehensive and focused on organizational results, will not improve performance if not implemented from a strong design.

Hotel Pricing and Revenue Management

TRADITIONAL APPROACH

The single most important criterion of success in any business, including hotels, is profit. The purpose of this object is to discuss the importance of hotel pricing and its influence on yield or revenue management, especially in terms of profit generation, and because of inherent dangers to the industry worldwide, integrity of the established pricing structure. Historically, price has been determined by the triangular relationship of cost and demand in the context of competition.

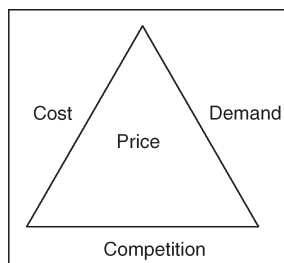


Fig. Three Forces of Pricing

The actual pricing structure is developed with one of these three components as the deciding factor while the other two play supplementary roles.

The traditional pricing strategy was largely cost-driven. Many hotel operators tended to favour the rule-of-thumb method. This approach, also called the \$1 per \$1,000 rule, states that hotels should charge approximately \$1 per night for every \$1,000 of room

cost, based on an average 70 per cent occupancy. Although popular in its day, the calculation of cost was commonly misunderstood. Another widely used quantitative method was the Hubbart Formula, developed in the late 1940s as a guideline issued by the American Hotel Association. It focused on computing an average room rate that would cover operational costs and yield a reasonable return on investment. These quantitative methods are fairly static and therefore suited for a stable economic environment. Qualitative pricing approaches, such as percentage increase of previous-year rates adjusted for inflation, payroll increases, and new cost of supplies, reflect more realistically the projected cost.

Other qualitative techniques are less exact but, by being competition-oriented, they offer more flexibility. The Pied Piper or Follow-the-Leader method uses competition as the basis for rate setting, while the Gouge 'Em approach tries to lure business away from other properties by undercutting their prices. If there is no competition to speak of, Hit or Miss fluctuation of rates tied to profitable occupancy levels could be employed.

The drawback of competition-driven pricing is its sole focus on rate comparison, ignoring differences in operating expenses and customer-perceived value. An effective approach, therefore, calls for a mix of methods adjusted for different situations. The fundamental question remains: What should be the driving force in formulating a sound pricing strategy? In today's dynamic business environment, which discards the traditional view that market demand for room rates is largely inelastic, demand orientation seems to provide the best fit.

CURRENT PRICING CRITERIA

"Our pricing is market-driven, not costbased," says Scott Farrell, corporate director of distribution with Fairmont Hotels and Resorts, a Toronto-based chain of luxury properties. When the chain is setting its prices, it starts with comprehensive market research. Based on the data, the correct price for each marketplace is determined. If there is a major shift in a market, then the prices will adjust for that. However, if there is a major shift in a demand curve, then a shift of price may have no effect.

It may actually leave more money on the table. For example, if the airlines go on strike, a significant shift in the demand curve would result. Under such conditions, decreasing the rate by \$50, for example, would only result in a \$50 loss. If there is an opportunity to go after a new targeted market with a specific offer, enabling the chain to capture a greater market share, then lowering the rate serves its purpose. Generally, however, lowering rates across the board is not the preferred pricing strategy.

PRICING: WHO IS IN CHARGE

While independently owned properties make their own pricing decisions, in case of a chain it is usually corporate headquarters (HQ) that sets pricing guidelines. Often,

individual properties are still responsible for the actual pricing. Because they are held accountable, they must balance corporate guidelines with their autonomy to set their prices. Caroline Shin, member of the revenue management team at Starwood Hotels and Resorts Worldwide, which operates a number of upscale brands, such as Sheraton and W Hotels, stresses the cooperative nature of this relationship. Successful pricing strategies arise from an ongoing interaction of both sides. Corporate HQ provides sophisticated tools and in-depth market analysis that would be beyond reach of individual properties. Property managers, on the other hand, offer their experience and knowledge of regional specifics that may have gone unnoticed by the corporate team.”The people who have been in the property understand the dynamics of that market, and they have developed pricing intuition,” explains Shin. Some experts view intuition as a valuable part of the pricing mechanism, and even managers who are technically savvy check the numbers against their gut feeling.

BACKGROUND TO EXMAR

Professor Malcolm McDonald of Cranfield University School of Management, a world authority on marketing planning, has produced numerous publications on the marketing planning process over the last 10 years. His best selling book, *Marketing Plans - How to prepare them: How to use them*, now in the Fourth Edition, describes *The Ten Steps of the Strategic Marketing Planning Process* as follows:

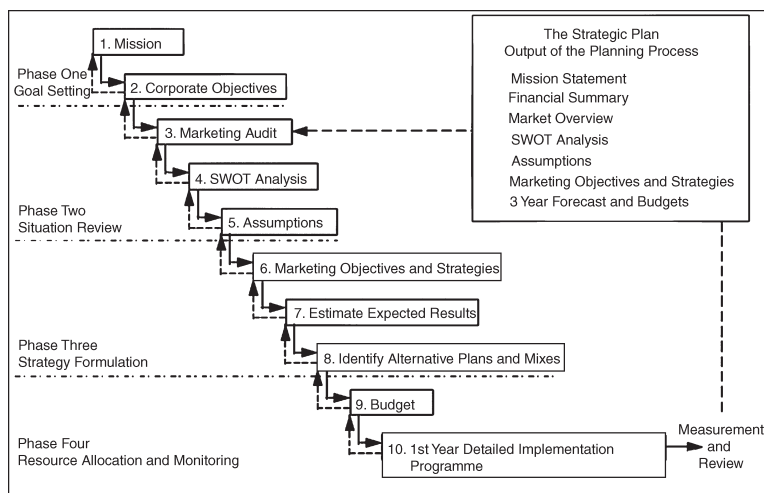


Fig. The Ten Steps of the Strategic Marketing Planning Process

In order to assist companies with the implementation of an effective Strategic Marketing Planning Process many of the techniques were implemented in software programmes. Several prototypes were developed at the Cranfield School of Management, which were widely tested in a variety of commercial environments over a number of years, in order to produce a complete and robust specification of the requirement.

PRODUCT DESCRIPTION

EXMAR is a process, supported by a set of associated services, for developing Strategic Marketing Plans.

It assists companies by:

- Guiding them through a logical marketing planning process
- Prompting and defining key data requirements
- Displaying information graphically to aid understanding of the business
- Providing advice at key stages
- Allowing 'what-if' analyses
- Automatically outputting the report resulting from the analysis.

There are a number of techniques and methodologies incorporated in EXMAR including:

- Gap Analysis
- SWOT Analysis
- Ansoff Matrix
- Boston Box
- Directional Policy Matrix
- Market Segmentation
- Perceptual Maps
- Porter Matrix
- Objective and Strategy setting.

BENEFITS OF EXMAR

The competitive differentiation derived from EXMAR has been the subject of extensive research by Cranfield School of Management and can be summarised as follows:

- Provides a planning framework which ensures consistency across divisions and each division covers all the key aspects of the planning process
- Takes the 'number crunching' out of marketing analysis
- Gives new insights into the markets particularly through the market segmentation techniques
- Gives powerful graphical display which makes large volumes of data understandable
- Enables easy 'what-if' iterations as strategy options are explored
- Facilitates team work and multidisciplinary involvement in the marketing planning process
- Improves marketing skills within the company
- Focuses planning on the customer
- Gives a clear vision of markets and the company's position in them
- Adds value to marketing database investment.

IMPLEMENTATION OF THE STRATEGIC MARKETING PLANNING PROCESS USING EXMAR

The successful introduction and implementation of the Strategic Marketing Planning Process within an organisation is dependent on management commitment and high quality process consultancy and training, as well as the EXMAR process support tools. This ensures that key members of staff are familiar with, and trained in, all the marketing processes and integrated techniques that have been developed in conjunction with Cranfield School of Management, and that a first class strategy is produced. Experience has shown that the most efficient and beneficial method of implementing the Strategic Marketing Planning Process supported by the EXMAR software is to follow the steps shown below:

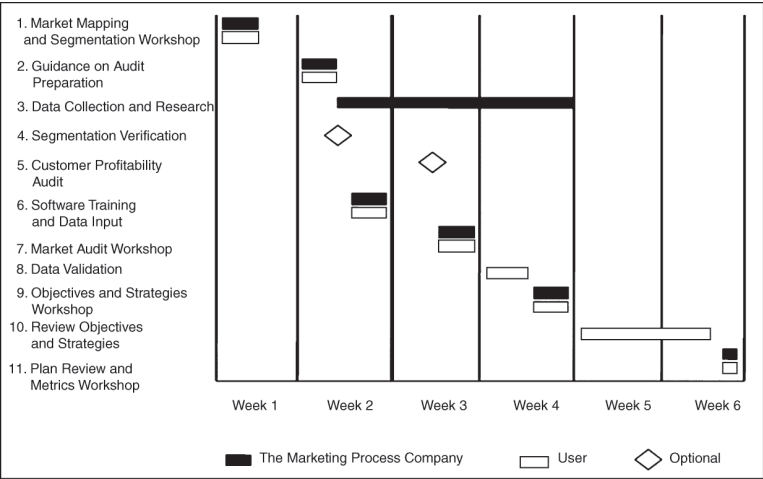


Fig. Project Plan for a Strategic Marketing Planning Process Implementation

MARKET MAPPING AND SEGMENTATION WORKSHOP

The objective of the workshop is to produce a structure for the defined market, which clearly identifies the different requirements that customers look to be satisfied. These different requirements can then be used to develop the alternative strategies that need to be implemented to better access the segments and tune the product offers to suit the customer requirements. It should be noted that most organisations do not have access to the information to produce a definitive segmentation structure that is 100% accurate.

However most organisations do have sufficient internal knowledge to produce something that is ‘roughly right’ and a reasonable starting point. Where this is not the case, the process makes it very clear where the information holes are and the importance of that information. If research is required, the process ensures a rigorous and very targeted brief can be produced.

Market Definition

A market is defined in terms of a need that can be satisfied by the products or services customers' view as alternatives. Once this is clear, the boundaries for the segmentation project can be set.

Market Mapping

A market map defines the distribution and value chain between supplier and final user, which takes into account the various buying mechanisms found in a market, including the part played by 'influencers'. Market maps help focus attention on key decision makers within a market, and identify key target market segments within a market segmentation project. Market channels and the key players within channels can be easily identified with the help of a graphic presentation of a market. A market map can help deliver key customer and consumer insights, and ensures full awareness of the the total market place.

Market Segmentation

Market segmentation is a concept in economics and marketing. A market segment is a sub-set of a market made up of people or organizations with one or more characteristics that cause them to demand similar product and/or services based on qualities of those products such as price or function. A true market segment meets all of the following criteria: it is distinct from other segments, it is homogeneous within the segment; it responds similarly to a market stimulus, and it can be reached by a market intervention. The term is also used when consumers with identical product and/or service needs are divided up into groups so they can be charged different amounts for the services. The people in a given segment are supposed to be similar in terms of criteria by which they are segmented and different from other segments in terms of these criteria. These can be broadly viewed as 'positive' and 'negative' applications of the same idea, splitting up the market into smaller groups.

Examples:

- Gender
- Price
- Interests
- Location
- Religion
- Income
- Size of Household

While there may be theoretically 'ideal' market segments, in reality every organization engaged in a market will develop different ways of imagining market segments, and create Product differentiation strategies to exploit these segments. The market segmentation and corresponding product differentiation strategy can give a firm a temporary commercial advantage.

Bases for Segmenting Consumer Markets

- Geographic segmentation
- Demographic segmentation
- Psychographic segmentation
- Behavioural segmentation

Geographic Segmentation

The market is segmented just as to geographic criteria- nations, states, regions, counties, cities, neighborhoods, or zip codes. Geo-cluster approach combines demographic data with geographic data to create a more accurate profile of specific

Psychographic Segmentation

Psychographics is the science of using psychology and demographics to better understand consumers. Psychographic segmentation: consumer are divided just as to their lifestyle, personality, values. People within the same demographic group can exhibit very different psychographic profiles.

“Positive” Market Segmentation

Market segmenting is dividing the market into groups of individual markets with similar wants or needs that a company divides into distinct groups which have distinct needs, wants, Behaviour or which might want different products and services. Broadly, markets can be divided just as to a number of general criteria, such as by industry or public versus private. Although industrial market segmentation is quite different from consumer market segmentation, both have similar objectives. All of these methods of segmentation are merely proxies for true segments, which don't always fit into convenient demographic boundaries.

Consumer-based market segmentation can be performed on a *product specific* basis, to provide a close match between specific products and individuals. However, a number of generic market segment systems also exist, *e.g.* the system provides a broad segmentation of the population of the United States based on the statistical analysis of household and geodemographic data. The process of segmentation is distinct from positioning. The overall intent is to identify groups of similar customers and potential customers; to prioritize the groups to address; to understand their Behaviour; and to respond with appropriate marketing strategies that satisfy the different preferences of each chosen segment. Revenues are thus improved.

Improved segmentation can lead to significantly improved marketing effectiveness. Distinct segments can have different industry structures and thus have higher or lower attractiveness. Once a market segment has been identified, and targeted, the segment is then subject to positioning. Positioning involves ascertaining how a product or a company is perceived in the minds of consumers.

This part of the segmentation process consists of drawing up a perceptual map, which highlights rival goods within one's industry just as to perceived quality and price. After the perceptual map has been devised, a firm would consider the marketing communications mix best suited to the product in question.

Behavioural Segmentation

In Behavioural segmentation, consumers are divided into groups just as to their knowledge of, attitude towards, use of or response to a product.

- *Occasions*: Segmentation just as to occasions. We segment the market just as to the occasions.
- *Benefits*: Segmentations just as to benefits sought by the consumer.
- *Users status*: nonusers, ex-users, first time users, etc.

Using Segmentation in Customer Retention

The basic approach to retention-based segmentation is that a company tags each of its active customers with 3 values:

1. *Tag No.1*: Is this customer at high risk of canceling the company's service? One of the most common indicators of high-risk customers is a drop off in usage of the company's service. For example, in the credit card industry this could be signaled through a customer's decline in spending on his or her card.
2. *Tag No.2*: Is this customer worth retaining? This determination boils down to whether the post-retention profit generated from the customer is predicted to be greater than the cost incurred to retain the customer. Managing Customers as Investments.
3. *Tag No.3*: What retention tactics should be used to retain this customer? For customers who are deemed "save-worthy", it's essential for the company to know which save tactics are most likely to be successful. Tactics commonly used range from providing "special" customer discounts to sending customers communications that reinforce the value proposition of the given service.

Process for Tagging Customers

The basic approach to tagging customers is to utilize historical retention data to make predictions about active customers regarding:

- Whether they are at high risk of canceling their service
- Whether they are profitable to retain
- What retention tactics are likely to be most effective

The idea is to match up active customers with customers from historic retention data who share similar attributes. Using the theory that "birds of a feather flock together", the approach is based on the assumption that active customers will have similar retention outcomes as those of their comparable predecessor.

Niche Marketing

A niche is a more narrowly defined customer group who seek a distinct set of benefits. Identified by dividing a segment into subsegments, distinct and unique set of needs, requires speciallization, and is not likely to attract too many competitors.

Price Discrimination

Where a monopoly exists, the price of a product is likely to be higher than in a competitive market and the quantity sold less, generating monopoly profits for the seller. These profits can be increased further if the market can be segmented with different prices charged to different segments charging higher prices to those segments willing and able to pay more and charging less to those whose demand is price elastic.

The price discriminator might need to create rate fences that will prevent members of a higher price segment from purchasing at the prices available to members of a lower price segment. This Behaviour is rational on the part of the monopolist, but is often seen by competition authorities as an abuse of a monopoly position, whether or not the monopoly itself is sanctioned. Examples of this exist in the transport industry where business class customers who can afford to pay may be charged prices many times higher than economy class customers for essentially the same service.

Ansoff Matrix

To portray alternative corporate growth strategies, Igor Ansoff presented a matrix that focused on the firm’s present and potential products and markets. By considering ways to grow via existing products and new products, and in existing markets and new markets, there are four possible product-market combinations. Ansoff’s matrix is shown below:

Table. Ansoff Matrix

	Existing Products	New Products
Existing Markets	Market Penetration	Product Development
New Markets	Market Development	Diversification

Ansoff’s matrix provides four different growth strategies:

1. Market Penetration - the firm seeks to achieve growth with existing products in their current market segments, aiming to increase its market share.
2. Market Development - the firm seeks growth by targeting its existing products to new market segments.
3. Product Development - the firms develops new products targeted to its existing market segments.
4. Diversification - the firm grows by diversifying into new businesses by developing new products for new markets.

Selecting a Product-Market Growth Strategy

The market penetration strategy is the least risky since it leverages many of the firm's existing resources and capabilities. In a growing market, simply maintaining market share will result in growth, and there may exist opportunities to increase market share if competitors reach capacity limits. However, market penetration has limits, and once the market approaches saturation another strategy must be pursued if the firm is to continue to grow. Market development options include the pursuit of additional market segments or geographical regions. The development of new markets for the product may be a good strategy if the firm's core competencies are related more to the specific product than to its experience with a specific market segment. Because the firm is expanding into a new market, a market development strategy typically has more risk than a market penetration strategy.

A product development strategy may be appropriate if the firm's strengths are related to its specific customers rather than to the specific product itself. In this situation, it can leverage its strengths by developing a new product targeted to its existing customers. Similar to the case of new market development, new product development carries more risk than simply attempting to increase market share.

Diversification is the most risky of the four growth strategies since it requires both product and market development and may be outside the core competencies of the firm. In fact, this quadrant of the matrix has been referred to by some as the "suicide cell". However, diversification may be a reasonable choice if the high risk is compensated by the chance of a high rate of return. Other advantages of diversification include the potential to gain a foothold in an attractive industry and the reduction of overall business portfolio risk.

GUIDANCE ON AUDIT PREPARATION

The objective of these two days is to ensure that the data required has been identified in detail and the format of the data is consistent.

DATA COLLECTION AND RESEARCH

The following information needs to be collected and input into EXMAR for each product-market as defined in the Ansoff Matrix. This information is then used to drive the market audit.

For each product-market the following information is required:

- Market size and growth Volume
- Revenue
- Market share

Current figures are requested. Historical data is also useful, as far back as available. If only some of these data items are known, the system will estimate data values where

possible. In order for EXMAR to construct the Boston Box and the Directional Policy Matrix, it is necessary to define and gather the following information:

- Market Attractiveness Factors - defined once for the business unit
- MAF scores
- Critical Success Factors
- CSF scores for yourself and important competitors.

SEGMENTATION VERIFICATION

Often our clients sell products and services into horizontal segments. In these cases, the product-offer maps onto how the customers run their business, and segments are often hard to identify in a way that will give maximum leverage in the marketing plan. To help solve this problem, we have developed a set of tools and processes for analysing existing and potential customer data, and generating and sizing segments.

CUSTOMER PROFITABILITY AUDIT

This is an optional audit and will develop a more realistic view of Customer/Segment Profitability as opposed to Product Profitability. It is often the case that a few segments generate more than 100% of the profit and it is important to identify which segments are actually profitable.

SOFTWARE TRAINING AND DATA INPUT

Two days of hands on training are provided on the EXMAR software including the use of the extensive help system. Data from your company can be entered into EXMAR at this stage.

MARKET AUDIT WORKSHOP

The objective of this workshop is to produce the Market Audit and Trend Analysis, *i.e.* What will happen if we do nothing over the plan period? For each product-market the following information is analysed:

- Financial performance
- Market share
- Relative strengths and weaknesses
- Competitor strategy
- Relative costs
- Market attractiveness trends
- Opportunities and threats
- Assumptions and sensitivity analysis.

Additionally the portfolio of products and services is analysed using various tools including the Directional Policy Matrix and the Boston Box.

DATA VALIDATION

The sensitivity analysis on assumptions, whether they be in terms of relative strength, market growth, or profitability are used to highlight those areas where it is most important to verify the data, as wrong assumptions could lead to inappropriate strategies being developed. This may require highly focused Market Research studies on the particular issues identified.

OBJECTIVES AND STRATEGIES WORKSHOP

The objective of this workshop is to set the overall strategies and those that operate at the product-market level. Objectives are defined as the financial performance and market share required from each product market. Strategies are defined as the set of costed actions required to improve competitive performance in order to reach the objectives. It also includes assigning responsibility for the actions. The process is iterative and can result for example in the identification of generic problem areas, where one set of actions and investments can affect competitive performance in several productmarkets. These usually provide the best ROI. Additionally the output of the workshop often results in several scenarios, each with its own investment profile, *i.e.* these are the anticipated results of this level of investment as opposed to a larger or smaller sum. These can highlight the implications of the spread of the investment and resources.

REVIEW OBJECTIVES AND STRATEGIES

This phase of the project involves the Client in performing a ‘sanity check’ on the strategies. This can be both in terms of the viability of implementation, given the internal processes and constraints on the organisation and investment available, as well as a management review.

PLAN REVIEW AND METRICS WORKSHOP

On completion of the project, a day is set aside to review the Strategic Marketing Plan and to identify key metrics for monitoring the implementation and success of the strategies. For example, if ‘service levels’ are an important Critical Success Factor, then key performance indicators need to be defined that can be measured, such as ‘response times to customer requests’ or ‘adherence to committed delivery schedules’. If required we can offer our Clients further services to help them design and implement appropriate KPIs in their organisation.

DECIDING WHAT TO BE AND WHAT TO OFFER TO WHOM

In an existing hotel, the developer and architect already may have decided many of the things it is—high-rise or resort, in the business center or on the edge of town, large rooms and baths or smallish, one restaurant or several, wood or marble, with ballroom or not, and so on. Even so, the management team must still consciously examine what

they intend the hotel to be and offer to whom. The type of customer originally in mind may not be available now in enough numbers to support the hotel.

Perhaps a competitor has come in and taken away a piece of the market. Perhaps the business center has shifted to another part of the city. Perhaps new customers from Korea or California have replaced the original ones from Europe and the East Coast. Even though the owner has provided a basic envelope within which to operate, there still are options—many things the hotel team can control, many choices to be made on what to offer and to emphasize to various market segments. Is the hotel the place to be seen or the place that guards privacy? Is it better to stress family style or crisp, professional business style? Should the hotel add services, like a Japanese breakfast, to meet the needs of one particular group? Should the team put in meetings express and add more small meeting spaces to tap the short-lead-time corporate meetings market? Should it drop some services the market no longer wants to support?

The answers to what to be and offer are found by studying the marketing situation, which comprises three parts:

1. Strengths and weaknesses,
2. The kinds and numbers of customers available in the marketplace, and
3. The other hotels with whom this hotel competes for these customers.

Careful analysis yields a picture of which segments the hotel is best able to attract and serve. These become the *target markets*—the “to whoms”—and their needs and wants become the “what to be’s.” The key to successfully deciding what to be and offer to whom is a matter of strategic selection of, focus on, and commitment to a well-defined set of markets for whom the hotel is best suited to compete. Trying to be all things to all potential customers is a guarantee of ineffectiveness.

A good example of focus and targeting is Starwood’s W. At risk of turning off a sizeable portion of the business and leisure travel market and leaving families well behind, Starwood focuses tightly on a lifestyle segment of professional and business people, with remarkable success.

The talents required to assess the marketing situation, create a data model of the market’s segments, calculate a feasible share of each, and select the targets on which to focus are comfort with data, the ability to observe and infer, creativity, patience with detail, comfort with the hypothetical, and an analytic curiosity. Usually, such analyses are uncomfortably foreign to people with backgrounds in sales, and often to operators as well. It is essential that we teach, motivate, and reward curious, careful, insightful analysis of history and market information—skills that are not natural to those typically attracted to hospitality management. the *target markets*—the “to whoms”—and their needs and wants become the “what to be’s.” The key to successfully deciding what to be and offer to whom is a matter of strategic selection of, focus on, and commitment to a well-defined set of markets for whom the hotel is best suited to compete. Trying to be all things to all potential customers is a guarantee of ineffectiveness.

SETTING PRICES

Having decided what to be and offer and to whom, the next most important decision is price. Pricing is a critical decision because it determines, first, whether or not the intended customers will purchase, and second, whether they will be satisfied with the value offered and, thus, be willing to return. Third, it determines whether the hotel will be financially healthy enough to maintain itself and reward its employees so customers can once again be satisfied when they do return.

Three factors must come into consideration in pricing—the Three Cs of pricing, if you will: costs, competition, and customers' comfort zones. In F&B, costs drive pricing of menu items and beverages. Drucker says American industry has too much cost-driven pricing, and that it needs more price-driven costing. Doesn't F&B have the opportunity to build and test menus to discover where price points should be set, and is not the chef challenged to manage ingredients and portion size to deliver the cost and margin structure desired? Yet the cost-driven practice continues.

In rooms, competition is most often the dominant factor. Costs play a role, but changes in variable cost of an occupied room are generally small and rooms' contribution margins are large, typically 65 per cent or better. Moreover, hotel accounting does not measure discounts from a standard price, as do almost all other industries. So there is no visible cost in reducing price to meet competitors. Remember: Any damn fool can cut his price, and some damn fool always will.

Must everyone follow? No. The key is to get in the head of the customer. The truly controlling factor is customer comfort zones, and all too often hotel management leave money on the table because they don't know what those comfort zones are. At what price does the offer attract and deliver value? That is the key question in setting prices.

Price setting requires talent and skill in data gathering and analysis, accounting and building pro formas, interpreting and drawing inferences, and decision making. Do not let salespeople set prices; do not let controllers set prices. Only one person—the GM—can pull together the inputs of sales, control, operations, reservations, and the rest, and make this crucial judgement call. Also, build at least three price scenarios and have the controller and marketing director agree on occupancy impacts. Then run a GOP pro forma on each. Out of that exercise will come a sense of the best pricing approach to take. Setting prices is the one task the GM cannot delegate, for he or she must live with and be accountable for all that results from this critical decision.

CREATING AWARENESS AND STIMULATING DEMAND

Herein are the typical roles of the marketing department: using sales, communications, and promotions to attract the target markets. But creating awareness is not only marketing's job. Everything the public sees and hears about the hotel—its

name or brand, its signs, its restaurants, the public activities of its managers, its charitable support and festivals—all create a meaning, a picture of what this hotel means and offers. Starwood's W again offers an example: Every element of their presentation expresses the “to whom” they target. In decor, uniforms tone, and attitude, they focus and send a coherent message. It is critical that every department understands the target markets and agrees on the idea, the meaning the hotel intends to have for each of the target customer groups. This is called *positioning*; it's something done not to the product but to the mind of the prospect.

The team should prepare written positioning statements, including a compatible but individual positioning statement for each market segment they intend to target. These statements are the blueprint against which each ad, promotion, and sales call is tested to assure consistent messages are being sent.

And those statements should be shared with all employees. When all parts of the hotel are sending a coherent and consistent message of what the name or brand means and what underlying promise is being made, the hotel establishes a clear position in the mind of the prospects—ideally, one that is attractively distinctive from competitors.

Marketers can use a variety of tools to create awareness and stimulate demand—for example, sales blitzes, telemarketing, newspaper ads, Internet sites and ads, partnership alliances, radio ads, and price promotions. The marketing mix is the range and balance of tools selected and resources devoted to each to achieve the hotel's marketing goals.

In most hotels, direct selling is still the primary marketing tool used to create awareness and stimulate demand. There are two parts of effective direct selling: sales skills and sales management. Consider one the weapon, the other the shooter.

Sales skills are not natural; enthusiasm may be natural, liking to meet people may be natural, but selling is a process that anyone can learn and that must be practiced. Make sure your salespeople are taught how to research their prospect, to listen for needs and purposes, to acknowledge that they have heard the prospect, to transform relevant features into benefits and to sell the customer's success, to anticipate objections and prepare responses, to negotiate, to ask for the order, and to thank the customer and facilitate delivery. Sales management is quite another thing; often the top salesperson does not make the best sales manager. The sales manager must be able to select salespeople; reinforce their training; coach, counsel and motivate them; assign them to prospects and market segments; set goals, manage compensation, review performance; and troubleshoot. He or she must also be the gatekeeper on contracts and rates, making sure that inventory Compensation of salespeople need not be complicated. *First principle:* Tie compensation to goals set in terms of what you want them to do—that is, produce contracts and roomnights.

Don't just set room-night goals; add measures of relationship or share of a specific customer's business. Have salespeople suggest their own goals for the coming year; participation builds commitment. *Second:* Provide them near-term reward and

reinforcement, not postponed rewards. Pay out bonuses quarterly. *Third:* Build teamwork so that one salesperson supports and encourages another. Add a team bonus multiplier to personal performance measures. *Last:* Separate performance bonuses from overall job appraisal. No one attends to suggestions for performance improvement if he or she has just received a big check for exceeding goal.

Many full-service hotels are overresourced in group sales and under-weighted in transient market tools. Sales efforts should be balanced with other parts of the marketing mix—advertising, publicity, and promotions.

The range of communication options increases geometrically with proliferation of new media—cable television, news magazines and national papers, the Internet, and direct mail and telemarketing. But the eyeballs are not growing apace, meaning the audience for any one medium is steadily shrinking, putting increasing demand on measures of productivity, care in allocating resources, and creativity to get through the clutter. As audiences of prospects become increasingly expensive to reach through advertising, the tools of publicity, the Internet, and direct marketing are increasingly the media of choice.

The Internet is a demanding medium for communication; use professional help to design, maintain, and market the hotel's web site as though it were, itself, a product for which awareness must be created and demand stimulated. To draw audience to the site and manage its visibility in search engines are skills beyond the property team. Set specific goals for the site: They might be to attract qualified prospects, to sell services, to provide customer service. Don't just have a site. And measure the experts against those goals. A passive, unmanaged, and undermarketed site is a waste of money.

Promotions can powerfully stimulate demand, but too often, price promotions are resorted to as a last-minute attempt to prop up a weak demand period. Promotions should be planned, justified on a breakeven basis, and used sparingly. Not all promotions need be price promotions; customers invest energy and time in transactions, too: value-added promotions that offer nonmonetary savings can be used to avoid habituating consumers to buying only on sale or shopping only on price. Well-forged alliances for copromotion can increase both productivity and absolute sales volume.

The skills and talents necessary in a comprehensive effort to create awareness and stimulate demand include:

- *In sales:* Initiative; being goal-directed; listening with empathy and imagination; time management; self-confidence.
- *In sales management:* Coaching and counseling; quantitative skills; priority setting, time management, and sense of urgency; leadership and problem solving; ability to manage incentive programmes.
- *In communications:* Ability to write clearly; ability to select, engage, and manage professional creative talents; ability to evaluate and allocate resources among options; comfort with and appreciation of the Internet and the Web.

- *In promotion:* Ability to analyse breakevens; creativity; anticipation; conceiving and selling partnerships and alliances.

MAKING THE HOTEL AVAILABLE

Once a person in one of your target markets is interested in buying, how does he or she reach you? Your hotel's reservations office, the central reservation system, airline global distribution systems, corporate sales offices, and your property sales office are all parts of a distribution network. Travel agents, corporate travel managers and secretaries, meeting planners, and travellers themselves reach your hotel through this network. Travel industry distribution channels are in chaos by virtue of the shift of travel agencies from commission to fee-for-service models, the rise of the Internet as a consumer's direct booking channel, and online thirdparty intermediaries like Expedia and Travelocity.

Increasingly, the Internet will become your key distribution channel, but in the meantime, you must manage two parallel systems, the traditional central reservation and travel agency channels and the new electronic channels. Are the rooms you want to offer available in both systems, with helpful and upto- date information? Are your prices sensible in each outlet? Making the hotel available is no longer a passive stance but an active part of your marketing.

In other industries, distribution channel revolutions have brought efficiencies that benefit both consumers and suppliers. In the travel distribution revolution now underway, the consumer has benefited, but costs to hotels—the suppliers—have skyrocketed. Since 1993, full-service hotel costs of distribution more than doubled, to \$1,377 per occupied room per year in 2002.

Along with these new channels and thirdparty room merchants has come pressure on prices. In the downturn of 2001–2003, this was devastating. Price comparisons are quick and easy for the consumer. Packagers and auction sites unconsciously cultivate the destructive idea that a hotel room is a commodity, as is an airline seat. But hotels are not commodities; each differs in location, features, and benefits. A hotel team must resist the idea that a room is a room is a room, must emphasize their hotel's distinctive positioning, and must resist the urge to simply match the lowest price offered.

For the foreseeable future, both the traditional and Internet-based distribution systems will coexist and have to be managed. This raises a new question: What channels do you want to encourage, and what ones discourage? Conventional wisdom, in recent years, has been to make the hotel's inventory and rates available via as many channels as possible so as to capture from anywhere in the world the last drop of demand for arrival on a given day. Given their sharply differing costs, however, and the difficulty of managing coordinated presence in these new and overlapping channels, the time may be coming for a new strategy. One possibility is to starve undesirable channels with limited information and access while being fully open and transparent to others. Another

approach might be to price differentially among channels to reflect their different costs. A large Hawaiian resort group is already doing that by explaining to consumers what comparative options and costs are. Other chains advertise a guarantee that the lowest price will be found on their own web site, which is a low-cost channel for them. Reservations, revenue, and channel management constitute the fastest-changing part of hotel management today. Channel management requires a comfort with and interest in technology and systems, and a knack for problem solving, anticipating, and risk taking.

CLOSING, CONFIRMING, AND MANAGING REVENUE

How one commits space—a room, meeting space, ballroom, or even a restaurant table— and at what price—determines the revenues and financial health of the hotel and determines the customer's expectation of value. Revenues must be managed to optimize financial returns and customer satisfaction—that is, the customer's willingness to return. No one department controls the tools of revenue management. They are shared among salespeople, catering and banqueting managers, front desk agents, reservation agents, and so on. To manage properly requires frequent and open conversation between managers, good forecasting, skillful selling by customer contact people, and an appreciation of each week's goals and targets for the hotel. Poor forecasting, inflexible inventory policies, and conflicting approaches by different departments with whom the customer deals can undo all the best advertising, selling, and promotion.

Through the same forecasting disciplines, hotel teams manage their revenues to maximize the productivity of the hotel and assure its financial health. Revenue management tools and increasingly affordable yield systems can have a major and salutary effect on the financial health of the hotel. Another part of revenue management is incentives for reservations upselling, conversion of callers, and average rate increases, and for front desk agents upselling. In the same way, F&B staff should be viewed as salespeople and given training on suggestive selling. Inventory policies for tier price quotes by forecast levels of occupancy, for stay-through restrictions, for same-rate substitutions and upgrading to clear demand inventory categories—all these are tools through which reservation and revenue managers optimize the RevPAR performance of the hotel. It is in the area of revenue management that chains, especially multibrand management companies, have achieved significant advantage over independent hotels and franchisees that do not participate in cluster or regional revenue management. Decisions on pricing are still the domain of the property GM, but with a centralized expert staff collecting data and forecasting, the advice and guidance available has brought yield and RevPAR premiums to the chain member properties.

Revenue management requires attention to detail and analytic and forecasting skills; tolerance for ambiguity and comfort with change; and managing, training, leading, and

motivating reservations agents. This is one of the most critical and dynamic areas of hotel management, one with which every aspiring general manager or director of sales and marketing should take pains to become familiar.

PREPARING TO DELIVER AND DELIGHT

A marketer of a product can count on the factory quality-control system to deliver a consistent product for sale. When the sale is closed, the customer takes the product away and uses it. In a service business, however, the product is human Behaviour, and the customer uses the product in the hotel. Because we are humans, both customers and employees, our interactions are never the same one time to the next. The job of the marketer is to help employees understand what the customer will want, need, and expect, and to sell employees on doing their job with enthusiasm.

In a full-service hotel, the conference services department embodies this preparing idea as its primary function. Conference service managers are the essential group business brokers between sales and operations. Conference services people can create loyal and repeat meeting planners; the job requires empathy, attention to detail, willingness to work unusual hours, action orientation, internal relationship building, and persuasiveness.

Preparing the hotel to fully satisfy and regularly make customers happy is as much a marketing task as attracting customers in the first place. What makes marketing hospitality services harder than marketing a tangible product is that for every market segment there must be two marketing programmes, one directed externally to customers, the other internally to employees.

RETAINING CUSTOMERS

The key to both financial health and market leadership is retaining a higher proportion of customers than do any of your competitors. Retain more customers than others do, and over time your costs drop—because of efficiency, lower advertising and selling costs, better forecasting—and your occupancy and rates rise. Numerous studies validate the high correlation between profit leadership and customer retention. Frequent-stay rewards are often mistaken for retention programmes. They are not. Rewards can motivate returns only as long as the customer values the points or airline miles or whatever. But they do not create loyalty. They are valuable only insofar as they give employees the opportunity to come to recognize and satisfy the guest, and insofar as they give the marketing department information on who the customer is and where he or she is coming from. Retaining customers takes more than just doing the job well. Guests and customers must come to know they are valued. Management must build relationships—the tie that binds regardless of a new hotel opening in the market or a hot promotional offer from across the street. Relationships are built on recognition and familiarity, on trust, and on appreciation. Thus, guest and customer retention must be a planned and creative activity that involves both sides of the relationship—the customers

and the employees. It takes more than just smiling and trying hard. Among the talents and skills needed are analytic skills, curiosity, direct marketing planning, and management of data retrieval and direct marketing service providers.

MEASURING SATISFACTION AND EVALUATING PERFORMANCE

If the purpose of the business is, in part, to keep customers, does a financial statement of rate, occupancy, revenue, expense, and profit give enough information? No. Also needed is a scorecard of customer satisfaction, of how likely customers are to return or tell others about your good hotel. That scorecard is the guest satisfaction survey. Accounting statements tell of the hotel's financial health; a guest satisfaction scorecard tells of its reputation's health. The scorecard also helps management spot changes in expectations. Customers are not the same from one visit to the next. Experience with a new hotel, perhaps even in another city, may raise a customer's standards. To measure satisfaction, one needs quantitative skills for tracking, analysing, and reporting data, and the ability to manage the logistics of repetitive distribution, collection, and processing. The information helps management figure out what the hotel needs to be and to offer next in order to remain competitive and keep customers. Note, now, the return to the first step of the marketing process.

THE CIRCULAR MARKETING PROCESS

In other words, the marketing process isn't the straight-line, step-by-step process, a continuous circle around which management must go again and again as competition improves and as the customer segments in the market change. Only by reviewing and renewing the marketing process will a hotel get ahead and continue to be the leading hotel in its market. This model of the marketing process applies to both the whole hotel and to any revenue or profit center within it. Use it like a checklist when thinking through improving the revenue and competitiveness of any operation.

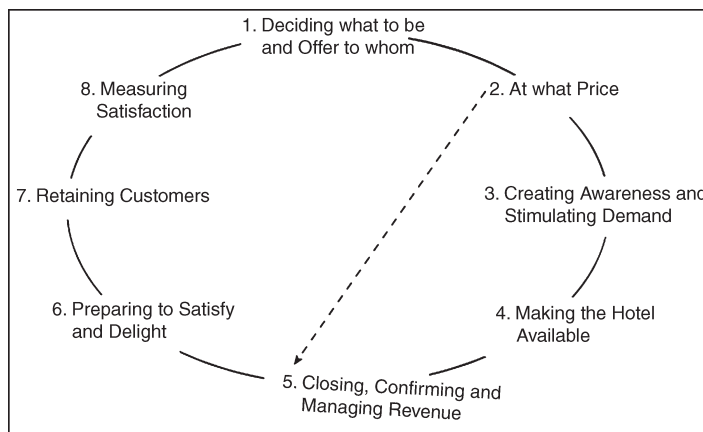


Fig. The Hotel Marketing Process

THE MEASURES OF MARKETING

The health of the marketing process should be measured over a longer time than a month or quarter or fiscal year, and it should be measured by more than just profit and loss data.

A healthy marketing process results in:

- Rising room revenues per available room and rising F&B revenues per available seat and catering space.
- Rising market share to a share index over 100—that is, a larger share of a competitive set's occupied rooms than the hotel's share of the set's available rooms, which is its "fair share."
- Falling costs of acquiring customers, not on a percentage-of-revenue basis but as dollars per unit of sale—for example, dollars per occupied room, dollars per cover, and so on. What is the acquisition cost? The total of the advertising and business promotion budget, plus commissions, reservation costs, franchise fees, and marketing fees. These costs in times of inflation may not actually decline but at least should grow more slowly than do gross operating revenues.
- Rising customer satisfaction ratings. • Increasing retention rates measured by the percentage of business from repeat customers.
- Growing top-of-mind awareness among target customer segments and, if the hotel can afford to measure it, preference by segment rising to number one among your competitive sets.

Management and owners should ask for an annual report card on the health of the marketing process—of the hotel, of a chain, of a franchise group.

MANAGEMENT OF THE PROPERTY'S MARKETING PROCESS

As should by now be clear, the marketing process is larger than any one individual's job. Further, no hotel can afford the myriad talents and skills that must be orchestrated to create and sustain a healthy marketing process; a single hotel is simply not a large enough business to afford having all those talents on staff.

Franchise companies and managed chains have the mass to employ a large proportion of those talents at headquarters, but even they must call on outside services in design, database management, advertising, direct marketing, and so on. But the chains' ability to invest in new tools and hire diverse talents has led branded chains, both management companies and franchisers, to collect increasing numbers of hotels under their umbrellas. The trend towards centralizing marketing functions to serve several hotels in a region, often even hotels of different brands, is accelerating, especially with the advent of Internet-driven information sharing.

The advantages are the ability to integrate multiple sources of information, to hire experts that a single hotel might not be able to afford, to share the cost of sophisticated systems for forecasting, revenue management and customer relationships, and to reduce

the expense of marketing to individual properties. Independents must counter such attractions with cooperative activities and aggressive local marketing. The Internet has leveled the playing field somewhat, allowing independents to be found and reviewed by consumers and travel agents in a way not possible when GDS systems were the only means of access.

DIVERSIFICATION: THE IMPROVEMENT OF THE PRICING PROCESS

As noted, exclusive hotel industry experience may lead to ossification due to one-sided judgement and the inability to see beyond the familiar. From this perspective, experience is both an asset and a liability. It is human nature to take for granted the way things are done after being in the same environment for a while. Therefore, hotel chains are continuously creating and refining pricing strategies to accommodate not only different market segments but also different situations a hotel may face based on occupancy levels. Corporate HQ tries to identify these different situations and associated variables. “It is almost like a bag of goods, a bag of pricing strategies that should be tested,” says Caroline Shin. Hotels are given the full menu and encouraged to try a certain strategy if they are in a specific situation. Depending on the region, an individual property may use one set of strategies more than another. In a weak economy, however, the chains have to work harder and be more flexible because the market is overflowing with demand.

Adapting step by step, a hotel may apply a different strategy every week. The problem for the corporate office is to identify situations a hotel might be in and seek remedy. For example, if group bookings are low this week but competitors are full, how can the property make up the difference with transient or leisure business? The general manager may ask the corporate team, “What pricing strategies can I use in order to fill my house?” Then he or she may ask, “What else worked before for other hotels, and what may work for me based on my market specifics and market characteristics?” That way he or she can test each strategy using the provided tool and personal experience.

PRICING: SUPPORT AND PROTECT

The corporate pricing structure is also in place to support and protect members of the chain in a number of areas including pricing and partnerships. The corporate office sets guidelines for hotels in terms of pricing structure and the market segments they deal with. Fairmont Hotels and Resorts, for example, focuses on four segments: transient leisure travel, group travel, business travel, and wholesale. The corporate structure provides guidelines about how the segments fit with each other, how they cross over, and where they reside in the overall pricing structure.

This information is necessary because every segment acts differently. Most market segments are dynamic and require frequent rate adjustments. One exception is the wholesale market, where pricing is still largely done the traditional way: A wholesaler provides a net rate, marks it up, and sells it to the general population. There may be a hidden cost, however, if the distribution chain includes an operator acting as a middleman between the wholesaler and the supplier.

When setting up the overall pricing structure, one starts with the retail rate, which is a bucket of premium or best available rates charged on the open market. They usually do not carry any restrictions, such as cancellation fees, and they are fully billable. Depending on the level of occupancy, one of these rates is available on any given day when the hotel is not fully booked. It is up to the yield management system to identify which BAR to offer. All other rate types, such as discount rates and prenegotiated rates, are determined in relation to the retail rate. For instance, a corporate rate for a high-volume client will be probably set lower than the BAR rate that is estimated to sell most during the period when the contract is in place. This way the rates are nested within each other in a manner that makes economic sense. The corporate pricing guidelines follow two main criteria: to maximize revenue and to protect key partnerships. While the hotel sales force negotiates contracts with key partners, such as longstanding corporate accounts or wholesale volume accounts, they make sure to protect these partnerships and provide them value. At the same time, they take every opportunity to maximize revenue. One cannot survive without the other, reiterates Scott Farrell. However, it is up to the hotels themselves, with guidance and additional research, to determine in their marketplace what their pricing structure should look like.

A diversified corporate team, with a mix of people with a hotel industry background and others skilled in optimization modeling, fulfills an additional function. It acts as a risk prevention mechanism, a necessary prerequisite for managing the risk inherent in pricing. Any chain with a wide variety of hotels must make sure the properties are covered in all kinds of situations. One risk containment scenario might be that the chain, in response to a changing demand curve, acquires a type of business that the brand has not catered to traditionally.

Caroline Shin explains, “Sheraton did not take on airline crew business because we did not want crew members lingering in the lobby; it affected our brand image. But we thought maybe we could start taking that when our RevPAR index or occupancy slips to a certain point. So we are trying to change the standards of different market segments we are willing to take.”

On the international scale, another risk management plan would be analysing operational cost and determining whether to close down part of the hotel if market research shows occupancy will not be high enough. When PESTEL (political, economic, sociocultural, technological, environmental, legal) analysis indicates demand will drop precipitously for an extended period instead of hoping for the best and running a full

house with a full staff, the hotel may decide to shut down floors or restaurants and save cost until the market picks up again. Selection of the appropriate strategy will depend on the market specifics and protection of the image. A property may opt to close down several floors over the weekend if it caters mostly to business clientele staying during the week. It would not, however, suspend room service, although unprofitable, if that is considered an integral part of the offered product. In a worst-case scenario, the chain may decide to sell properties in global risk areas when it determines the external circumstances make it difficult to raise occupancy on an ongoing basis.

BETTER UTILIZE YOUR DISTRIBUTION CHANNELS

The Internet creates a new level of transparency as it allows the opportunity to maximize profitability. There is now a multitude of channels to choose from. Understanding the cost of each channel in relation to the value of provided service has an impact on the quality of pricing decisions. Therefore, it is necessary to determine how much revenue bookings through an Internet intermediary generate and whether or not they justify the accrued cost. There is also a tremendous risk involved.

As discussed earlier, one of key guidelines of corporate marketing is that partners are protected. Just because there is a new Internet site it does not mean a chain can use it and advertise a lower rate, which would undermine a partnership of many years. In terms of cost, the chain must review its pricing strategy not only by market segment but also by distribution channel. “Several years ago, we would not consider the cost of distribution in our ROI. Today we do,” concedes Scott Farrell.

Another challenge is to keep up with new Internet sites. The chains must reevaluate constantly and prioritize their yield so as to choose which channels to keep or drop. Fairmont Hotels and Resorts, for example, applies the 80–20 rule. They focus on the 20 per cent of the online wholesalers that capture more than 80 per cent of the business. As Scott Farrell puts it, “Why would I play with the other 10–12 per cent? I only have so many hours in a day to manage. I may as well work with the lion’s share.”

QUALITY ABOVE ALL?

Criteria for selecting an online distribution partner vary by price levels as well. Budget and economy properties are driven mostly by financial considerations, while upscale and luxury hotels are more concerned with compatibility.

As for chains, they ask two basic questions:

1. How can the partnership increase our brand recognition or a brand reach, and
2. How much is it going to bring us in terms of revenue or profitability?

Their choice has to match the brand first, and then it has to drive the revenue. If the brand is equaled with quality, online providers that project a connotation of cheapness will not be considered at all. The quality image refers not only to the hotel asset itself but also to how and where this asset is sold. Fairmont Hotels and Resorts, as a quality

brand on the luxury side, cannot compete on price. The quality of their product and the offering of the experience must be considered by the customer at the price being offered. When their hotels play with price, the corporate office watches closely. Scott Farrell explains, “If our property wanted to shift their rate by \$50, I would ask why? Give me the case behind it and tell me what you are going to do to make up the additional \$50 you are going to lose. If they come back to me and say they are moving their rate from \$300 to \$250 while driving a certain volume, I would make them go through the process of determining what incremental volume they will need to make up for the \$50 in loss.” In other words, pricing decisions must be driven by ROI, not only a feeling. Feelings and experience may be involved, but properties must present a strong case based on the estimated ROI and what they plan to get out of the proposed strategy. It allows them to go into the pricing change with their eyes open. They also must consider how the competition will respond. A carelessly lowered rate may lead to a price war.

SPEED AND STRATEGY

The speed and immediacy of exposure via the Internet have reshaped how marketing campaigns are conducted. Having eliminated the delay of exposure to marketing collateral material, such as brochures or newspaper advertisements, hotels can conduct targeted discount mini-campaigns on their own web sites when the yield management system indicates a drop in occupancy for specific dates. In a similar manner, brand recognition can be enhanced by a carefully orchestrated online auction. The South African hospitality group Protea was among the first in the industry using this method by offering their prospective guests the opportunity to bid on a limited number of weekend getaways in their properties that needed to boost occupancy. By setting a minimum bidding price, the integrity of the hotel image was protected. Similar auction systems, used to encourage room-night sales during slow periods, are nowadays available in the United States and Canada via several Internet intermediaries. For chains in particular, a long-term strategy in distribution pricing is paramount. It stipulates the criteria and accepts or rejects short-term adjustments depending on what is happening in the industry, what is new in the technology, and who the new players are.

In terms of corporate hierarchy, pricing is formulated and executed on three levels:

1. Strategy,
2. Tactics and execution, and
3. Measurement.

Strategy comes first, followed by tactics meant to support that strategy and their execution. Finally, the achieved outcome is measured against the set benchmarks. If the strategy is sound, it will last longer than the other two steps. Frequently, new tactics must be implemented; these drive the execution and the measurement. This requires a development of proprietary criteria for measurement and their continuous adjustment to changing conditions.

PRICE ELASTICITY

Contrary to the traditional view that hotel rates are, in the long-term, generally inelastic, price elasticity is receiving a lot of attention nowadays thanks to yield management. Its goal is to take advantage of and to cover the entire spectrum of the customers' ability to purchase. Price elasticity allows hotels to capture customers who do not mind paying the high rate as well as those who are more priceconscious. This can be done in a number of ways. By using different room categories, a luxury hotel can have on the same day suites available at \$500 and entry-level rooms at \$200. Every room rate category has a different value proposition associated with the incremental revenue. If the variance between a standard room and a deluxe room is \$75, the latter should provide an adequately greater value to the customer. The result is a clear product differentiation, which can be also achieved by stay restrictions or by the use of fencing. Examples of physical differences, or fences, are room type, view, amenities, and location.

Nonphysical fences may mean different customers, transactions, or consumption characteristics. These bear many similarities with airline pricing strategies, which differentiate the product by, for example, cancellation restrictions or last-minute availability of a prenegotiated corporate rate. The result is nested pricing, allowing properties to have a very high rate available on the same day as a rate that is more attractive to the lower-end customer.

NEW AREAS OF PRICING AND YIELD MANAGEMENT

Hotel pricing strategies traditionally have been limited to setting and adjusting room rates and other ongoing activities. In order to survive in the current dynamic, competitive, and even dangerous global environment, hotels and resorts are taking on other types of business, some of which are one-time projects. Organizing shows, festivals, and conferences or undergoing renovations requires a new type of core competency. Therefore, in addition to mastering current pricing strategies, hotel practitioners must acquire project management skills, such as those that are taught and practiced by Project Management Institute. Mastering these skills will make hotel team members capable of maximizing yield from project-type functions the same way as they optimize revenue from room rates.

PRICING: SCIENCE, ART, AND INTUITION

Pricing distribution and revenue management techniques are a mix of science and art. Recent research shows that two-thirds of managers making strategic decisions under pressure and time constraints use a combination of analysis and intuition.

The advent of modern technology, such as yield management software packages, has further strengthened this link. "Even the most sophisticated analytical model for forecasting, may it be for hotel pricing or for thermal dynamics of a nuclear plant, still

needs variables based upon assumptions,” says Shin, who used to work as a nuclear engineer. The more business- savvy hotel management becomes and the more they understand the hotel dynamics and the market, the more can be gained from training them how to define their experiencebased intuition and put it into numbers. In this respect, an interaction between the corporate revenue management team and individual hotels is paramount. “Every time I go out to a property, I learn something new. It only helps me when I build my analytical models to almost translate what they know into numbers,” confirms Shin. The better hotels can do that, the better models they can develop. Nonetheless, inaccurate historical data remains a major limitation.

No model is ever going to be perfect, though. What seems to work best is to teach hotel managers how to use the model and to understand the direction of the pricing decisions they need to make. That is the scientific part. The art piece comes into play when they infuse the model with their knowledge and intuition.

Staff training is an important part of this process. “We can’t just have Ph.D.s sitting in one room coming with all these models and we just roll it out. At the same time, we can’t just have people with intuitions run around and set prices,” says Shin.

Revenue management teams must make sure that hotels understand how to employ the models in their daily pricing decisions. When science is applied, the revenue team can go to their experts, ask probing questions, and get solid results. Even though intuition is a part of this process, it is based only on a hypothesis that could have been triggered by a discussion with a customer, knowledge of what is happening in the marketplace, or historic trends. That is why pure intuition is not sufficient. “Managers must have reliable data to support their hunches,” cautions Scott Farrell.

CUSTOMER NEEDS

Customer satisfaction is a crucial part of marketing, pricing, and yield management. Any pricing strategy established by the hotel management must attract customers willing to pay the specified rate. While price is a determinator of the customer profile the hotel is looking for, it is also an indicator of the quality of services and the market segment the hotel is competing in. Therefore, yield management uses information about targeted customers’ purchasing Behaviour and product sales to develop pricing strategy together with inventory control that delivers products that are better matched to customer needs, create greater demand, and, on that account, produce greater revenues. Lieberman states that yield management is the process of maximizing profits from the sale of perishable assets, such as hotel rooms, by controlling price and inventory and improving service through systemization. An exact definition of the target market is essential. There is a definite and firm perception in the psyche of the customer, who views the price as the value forthcoming. Therefore, the eventual satisfaction of the customer is the paramount task of the pricing mechanism. This is the make-or-break factor of the entire hotel, especially if the value expected does not match the price.

ROLE OF TECHNOLOGY

While the approach to hotel pricing is still ruled by supply and demand, speed and sophistication of room-rate yield or revenue maximization is now much increased due to two technological factors: yield management software and Internet bookings.

Yield management software packages enable hotels to use a higher number of roomrate levels, or buckets, and to control inventory for rate availability in real time. Each level may consist of several room rates open under given conditions to yield a maximum profit. Traditionally, hotels used between three and five rate levels; otherwise, the adjustment became too complex for the human brain to work with. The introduction of software removed this barrier, and some hotel chains now use up to ten rate levels. This allows implementation of much narrower ranges for each bucket, thus optimizing price elasticity. This further means the software model recognizes the point at which the same number of bookings can be achieved at a higher rate.

Online monitoring of room inventory in real time facilitates the timing of the adjustment. So far, the biggest limitation is the reliability of historical data. Even in its imperfect form, the system has made a difference. However, hotel managers are fully aware that it takes years to develop brand recognition and quality but just a push of a button to damage or even destroy it, if the pricing is not set up knowledgeably. As the technology becomes more sophisticated, it will eliminate such questionable practices as overbooking, which aims at compensating for last-minute cancellations by taking in more than 100 per cent reservations. Besides the question of whether overbooking is ethical and, in some countries, even illegal, better technology would definitely improve the quality of service provided by properties that engage in this practice.

Another area where technological advancement had a great impact on hotel pricing is the Internet. Its use as a booking tool has created a new level of pricing transparency and tiered competition. It also penetrated the negotiation of corporate rates. Many hotels see the effect of the Internet as both good and bad. The good side is that web site bookings are growing every day. As more customers become familiar with their favourite hotel web sites, hotel companies have started investing heavily in web site development and upkeep, which gives them several advantages. First, the cost of online bookings is lower than for bookings made through other distribution channels. Companies do not have to pay commission because the booking is direct, circumventing all intermediaries. Online booking also provides an opportunity to monitor inventory in real time without reliance on a distributor willing to share and regularly supply data. Last but not least, it generates loyal customers by making them eligible for bonus points, which they cannot earn if they use an Internet intermediary.

That is exactly where the flip side of the Internet lies. The intermediaries are getting more powerful and growing significantly in volume. Because most of them show all hotel rates on their web site, they make the information accessible to any computer

user. One way to meet the challenge of more powerful intermediaries, especially if hotels need to move inventory, is to utilize auctions where the name of the hotel is not disclosed to the customer until the transaction is finalized. Such action, however, calls for extreme caution so that it does not damage a hotel's reputation or threaten its strategic partnerships. As intermediaries become bigger, rate transparency will increase to the point where it will drive the market, especially when computer literacy and Internet access become the norm.

Moreover, the Internet allows nonbranded hotels to compete more heavily with the branded hotels because they can now be displayed just as readily. Without significant advertising expense, they can compete on price. For some markets this does not matter, especially when the brand is powerful enough to charge the premium and get the business.

In highly competitive markets, however, the competition creates an additional strain for the individual property. Many branded hotels must now compete with other brands through the traditional distribution channels and with nonbranded hotels on the Internet, which, in principle, lowers hotel rates.

A frequently adopted strategy is to invest heavily in web site development and customer loyalty programmes, assuring excellent web site functionality and that customers are rewarded for booking directly through the hotel web site rather than through the web site of a thirdparty intermediary. Both Fairmont and Starwood, for example, utilize their high-quality loyalty programmes in this way.

Internet booking also changed the way corporate accounts are negotiated. Because many companies now require that their employees make business travel arrangements via the corporate web site, the placement of a hotel or a brand on this booking tool is of strategic importance. Being listed first in the accommodation part, for example, may bring in a higher volume of business and thus substantiate a lower negotiated rate.

LONG-TERM STRATEGY TOR THE INTERNET

Because hotels cannot expect that Internet distributors will go out of business, they smartly conclude that a partnership with the devil is better than a fight with him. Besides using their own web sites, hotel companies are also making sure that the cost of their transactions goes down continuously so they can compete even at lower rates—while maintaining a good relationship with their carefully selected online intermediaries.

There is a large number of distributors to choose from. On one end of the spectrum is, for example, Expedia, which allows participating hotels to control their rates, meaning a hotel can change its rates any time it wants. At the other end are companies, such as Hotel Reservation Network that bind hotels contractually to a locked rate that cannot be changed. Some hotel chains do not want to partner with these distributors because they like pricing flexibility and want to make sure their rates yield as much as possible.

Adaptation to new technology has been the biggest component of change for intermediaries as well. Companies that do not have the most current technology working in real time or allowing hotels to yield rates in real time are usually not considered a suitable distribution partner for some chains. On the other hand, companies that invest in real-time technology to yield rates are ideal partners because, as the industry sees it, they work with, not against the industry by permitting hotels to raise or lower rates in real time. "They work with us," says Caroline Shin.

"They give data to us very frequently so that we understand the travel pattern bookings on their web site. Then we compare it with what is happening on our web site and also what we are getting outside the Internet to make sure that our market mix is set appropriately." Pricing flexibility, compatibility with the desired hotel image, and protection of its strategic partnerships, together with cost, play important roles in selecting an intermediary.

THE ROLE OF CREATIVITY IN PRICING

Creativity, either of an individual or a team, can and often does lead to innovative pricing ideas. However, its application must be specific, not just directional. It is not enough to state, "We have to do something about our occupancy level." A pricing campaign must target a number of sold rooms or generated revenue that is required in order to break even or to do better. This specific approach injects efficiency into allocating marketing money to areas where it is most effective and in periods when it is desired.

If there is no task direction or overall pricing leadership, the most creative idea may book only ten roomnights instead of one hundred. It may generate more customer loyalty, but that is something the hotel may not need at the moment, although it could be an acceptable outcome in a low-season month. Pricing leadership helps team members understand the hotel's current situation and direct money and creativity to do exactly what is needed. Creativity comes up with the idea, which serves as a vehicle, but spending marketing money the smart way is a matter of experience in innovation, which turns the idea into a successful product. Creativity also plays a large part in employee satisfaction, and it lowers turnover. In a sluggish economy, some hotels start paying attention not only to profit as the bottom line but also to revenue. This means they monitor closely the accrued cost as well as the generated revenue, thus achieving the maximum yield. Interestingly, contemporary price leadership may take different forms.

It could mean, for example, elimination of smoking rooms throughout the property. Many U.S. motels are revamping rooms, ripping off cigarette-damaged furniture and carpets, and designating them as nonsmoking. This saves on maintenance and adds to overall packaging flexibility when the business is hurt by lackluster demand. This tactic means drapes, carpets, bedding, and other furnishings must be replaced less frequently; it also mitigates fire risk and enhances cleanliness and overall safety.

THE ROLE OF HUMAN RESOURCES IN PRICING

Some large chains recognize that pricing is a complex issue and that they need to get better at it. There is a new focus on analysing the culture of pricing and how it can be improved. This approach is reflected even in the kinds of people chains are hiring. Although the majority of staff involved in strategic pricing are in the hotel industry and have a background in revenue management, others are in the airline industry and have in-depth travel revenue management experience.

Some chains have sought access to this experience by hiring from outside the hotel industry. This is to encourage diversification of thinking and new ways of thought—completely out of the box, as the traditional team members are joined by researchers doing a different kind of optimization analysis.

The goal could be as radical as trying to manage risk or optimize towards the railroad industry and its scheduling. On the surface, these tactics have nothing to do with revenue management *per se*. A lot of experience in optimizing difficult travel, however, can only be gained by bringing in people with different backgrounds in consulting or with in-depth Internet experience. In order to move pricing and revenue management to a different level of thought, a new mix of people is necessary. For this approach to work, adequate training must be in place.

In this respect, basic HR functions, such as hiring and training, have an impact on pricing. What is necessary is not only to train personnel in quantitative core skills but also in strategic thinking. For example, when a hotel does not want to take a specific piece of business, it must ask such questions as: What is the revenue? What is the rate? What am I displacing by this decision? Where do I think this will go? How does it help my RevPAR?

Hotel managers must become more analytical so they can use all the new tools now available. When reports are created, team members must be taught how to use them. A lot of training must be provided for corporate executives, general managers, and regional revenue directors as well. They all must be trained to think more strategically and to understand analysis and the reports so they can help their individual properties.

BUILDING MARKET LEADERSHIP: MARKETING AS PROCESS

The hotel business has changed enormously over the last 30 years, embracing special niche forms of lodging, new ways of segmenting markets brand proliferation and consolidation, new tools for acquiring customers distribution innovations and globalization. These changes in markets and in ways hotels relate to and capitalize on them have put new demands on marketing. Marketing, as addressed herein is not the sales and marketing department; I mean marketing in its broadest sense of how hotels respond to and seize on market opportunities.

Definition? Marketing is a process of creating and sustaining productive relationships with desirable customers. Its goal? To produce such relationships more effectively than competitors do. Let's examine the definition and its implications.

Marketing is:

- *A process:* A process, a series of functions and actions for approaching and dealing with opportunities. *Marketing*, as used herein, is not a job but a way of proceeding to create and operate a hotel focused on customers and competitors, a way that incorporates all members of the hotel staff and its support.
- *Of creating:* The essence of marketing is creation: imagination, insight, willingness to change and evolve, and, yes, discard.
- *And sustaining:* Loyalty over time and repeat customers are the key to productivity and optimal contribution margins.
- *Productive relationships:* A relationship must be two-sided, with benefits for both partners in the relationship. In the case of customers, the benefits are wants and needs consistently fulfilled and full value received; in the case of staff, professional satisfaction and operating profits sufficient to fund improvements provide attractive compensation, and provide returns on investors' or owners' capital.
- *With desirable customers:* Not all customers are equally desirable; we want those who are willing to pay, growing in numbers, making multiple purchases, and whose needs we are able to fully satisfy. And the goal?
- To produce such relationships. *Production* implies inputs, outputs, and the measurement of productivity. Marketing productivity has been lagging for the last decade; the rising costs of acquiring customers must be reined in.
- More effectively than competitors do. Marketing success is judged in relative terms, using competitors and similar hotels as benchmarks. As a creative process, especially in a field like hospitality wherein innovations are unprotected and easily copied, the benchmarks and goals are always moving targets. Besting the competition is the constant challenge.

It will be clear that successful marketing of a hotel requires the orchestration of a wide variety of talents and skills, of which sales and marketing personnel are only a part. Chain hotels approach the process one way; independents must do so another. But in either case, market success depends on an effective integration of marketing and operations at the property level under the direction and leadership of a marketdriven general manager.

Market of Hospitality and Tourism

HOSPITALITY

Hospitality is the act or practice of being hospitable, that is, the reception and entertainment of guests, visitors, or strangers, with liberality and goodwill. Hospitality frequently refers to the hospitality industry jobs for hotels, restaurants, casinos, catering, resorts, clubs and any other service position that deals with tourists. It's important for people to know what you stand for. It's equally important that they know what you won't stand for. The twenty-first century began with a flurry of high-profile scandals involving managers in a wide variety of industries, ranging from high-tech firms to pharmaceutical manufacturers.

Many very successful business-people found themselves behind bars for their ethical transgressions. The topic of business ethics is receiving increasing coverage in all media, including newspapers, business periodicals, television, radio, and even the Internet, while the pressures on businesses to perform continue to increase. With continued technological advancement, political upheaval, increased global competition, changing demographics, and pressure from stockholders, maintaining one's ethical integrity will become both more difficult and more important.

In 1993 a large group of hospitality industry executives were asked, "What skills and abilities do students need to obtain to be successful in the hospitality industry?" The number one answer was "business ethics." There is little evidence to suggest the answer would be any different today.

One thing is clear: Ethical behaviour is important, and all of you will be facing situations in which you will need to make difficult decisions that you will base on your ethical beliefs and value systems.

SATISFACTION IN THE HOSPITALITY INDUSTRY

In the year 2000, the tourism sector will be the largest industry in the world. Today it is estimated to provide about 255 million jobs and amounts to 10 per cent of world employment. It has now grown into a modern, mature industry where workers are forming their professional identity. These “hospitality professionals” are primarily concerned with customer satisfaction. But that’s not always easy to achieve and many problems can and do arise.

The restructuring of work today has important consequences. Unlike their agricultural or industrial counterparts, workers in the service sector find the fruits of their labour are frequently intangible. In some cases, their emotions are involved. One can easily broaden management guru Peter Drucker’s concept of “the knowledge worker” to include “the emotion worker,” who must deal with people on a more interpersonal level. In our modern, service-oriented society, there is a need for literature devoted to the special needs of this kind of worker, especially in the area of “spirituality of work”

By its very nature, hospitality work has a spiritual dimension. Of all industries, it is the most intensely interactive, with people serving people and providing comfort, sustenance, conviviality, transport, amusement, enlightenment, employment and much more. Given the complexity of human behaviour, concerns about the work’s spiritual dimension can be neither ignored nor hidden. For this reason, perhaps the most challenging of all hospitality industry problems today is not so much job satisfaction as a proper spirituality of work. In short, the challenge is to help hospitality professionals find genuine meaningfulness in their work so they experience the peace and joy that God has prepared for them. As Pope John Paul II reminds us in his Encyclical entitled *Laborem Exercens*, “Work is a good thing for man — a good thing for his humanity — because through work man not only transforms nature, adapting it to his own needs, but he also achieves fulfillment as a human being and indeed in a sense becomes ‘more a human being.’” This is certainly true in the hospitality industry.

IMPORTANCE OF SERVICE IN MODERN SOCIETY

The growth of services is nothing new. More early as 1900, both America and Britain had more jobs in services than in industry. By 1950, services employed half of all American workers. And in 1993, America had the biggest service sector, accounting for 72 per cent of its Gross Domestic Product. Services are also the fastest growing part of international trade, accounting for 20 per cent of total world trade and 30 per cent of American exports.

Tourism is one of these services. By the year 2000, it is likely to be the world's most important economic activity. According to a report of the World Travel and Tourism Council, there were 255 million jobs in tourism in 1996. This amounts to 10.2 per cent of all world employment. The Special Nature of Work in the Service Sector. Work in the service sector is quite different from that in agriculture or manufacturing. A service has been described as a "deed, act, or performance. Two functional issues are: at whom is the act directed, and is this act tangible or intangible in nature?

These two questions result in Lovelock's four-way classification scheme involving: tangible actions to people's bodies, such as hair cutting and surgery; tangible actions to goods and other physical possessions, such as air freight, lawn mowing and janitorial services; tangible actions directed at people's minds, such as broadcasting and education; and intangible actions directed at people's intangible assets, such as insurance, investment banking and consulting.

This categorization scheme is useful in answering questions like the following, having to do with analysing and marketing services. Does the customer need to be physically present: throughout service delivery? Only to initiate or terminate the service transaction? or not at all? Does the customer need to be mentally present during the service delivery? Can mental presence be maintained across physical distances through mail or electronic communications? In what ways is the target of the service act "modified" by the receipt of the service? And how does the customer benefit from these modifications?

Work in the Hospitality Industry. Especially in the tourism sector—where services are created as they are consumed and the customer is often involved in the production process—there are many different ways to tailor the service to meet the needs of individual customers.

Customisation can proceed along at least two dimensions. First of all, you have to consider whether the characteristics of the service and its delivery system lend themselves to customisation. Second, you have to determine how much judgement customer contact personnel can exercise in defining the nature of the service received by individual customers. Some service concepts are quite standardized, while other services offer customers a wide range of options.

There is a class of services that not only involves a high degree of customisation, but also requires customer contact personnel to exercise judgement about the characteristics of the service and how it is delivered to each customer. This type of service is called "prescriptive" and the focus of control shifts from the user to the supplier. Professional services such as law, medicine, accounting, architecture and tour guiding fall within this category. They are all white-collar, "knowledge industries," requiring extensive training to develop the requisite skills and judgement needed for satisfactory service delivery.

As a result, much of the literature on the service industry refers to the encounter between the customer and the service contact personnel as “the moment of truth,” because it determines the level of customer satisfaction. This is especially true in the hospitality industry. Alienation in Marxist Understanding of Work. Karl Marx was undoubtedly the harshest and most influential critic of the inequalities that private property institutions and free markets are accused of creating. In his writings, he detailed the suffering and misery capitalism placed upon its workers. The living conditions that capitalism imposed on the lower working classes contrasted sharply with Marx’s view of how human beings should live.

According to Marx, human beings should be enabled to realise their human nature by freely developing their potential for self-expression and by satisfying their real human needs. People should develop their productive potential and have control over what they produce.

They know what their real needs are, and are able to form satisfying social relationships. Capitalism “alienated” the lower working classes by neither allowing them to develop their productive potential nor satisfy their real human needs. The service sector is one area where this alienation can be overcome if workers are truly empowered in their work situations.

Spirituality of Work

Today people are less and less sure about what “work” really means. Their expectations of work, especially getting it and enjoying it, are now matters of both deep anxiety and mundane reality. There are several reasons for this. First, there are high unemployment rates in industrialized societies. For many people in modern society, work is no longer something that happens in a fixed place during a fixed unit of time, producing a fixed output and reward.

Come points out how societies frequently define human beings in terms of the work they perform. The question “what do you do?” is a central one in many people’s lives. Religion teaches that work is its own reward, and that it will lead a person towards the virtuous life, if not salvation.

Work is the natural course of action a human follows to find his or her role, niche, position, and the shape of his or her soul. Therefore, steady employment, a life in which one’s lot continually improves, sits as the cornerstone of rational and calculable human action. It may well be the cornerstone of physical and mental health as well. How can it not shape the nature of spirituality?

It is in the work and working that a person’s consciousness takes shape and life reveals its meaning. For it is in working that a person believes he or she has made sense of life’s mystery and has found reasonable ways to avoid vexing metaphysical questions. For the content and structure of a person’s consciousness, story and spirit remain his or her work, or lack of it.

Faith and the World of Work

Wright points out that many contemporary Christians experience some discomfort when they seek to relate their faith to the world of work, especially the work of wealth creation in industry, commerce and other services. The workplace is perceived as a Godless and even immoral part of their human condition. As a result, many people feel the need to find consistency between their work and the rest of their life.

Christians should be affirmed in their work as a central part of the human condition for the very reasons that it involves wealth creation and the provision of services. The problem is that written materials do not offer enough concrete guidance regarding a comprehensive theology and spirituality of the modern world of work a few notable exceptions include the core teaching of the series of Papal Encyclicals that have followed *Rerum Novarum* in 1891, *Laborem Exercens* in 1981, as well as *Centesimus Annus* in 1991, all of which contain much profound thinking about human work.

In any case, there is a fundamental question here. Why should one be concerned with the relationship between faith, work, and the world of wealth creation and provision of services? First of all, work is where most people spend a great deal of their time. Second, the creation of wealth and provision of services are the processes whereby all people survive on this earth, since they serve to satisfy their needs and wants. Finally, and most important, there is a unique Christian truth and revelation: the Incarnation.

Christians believe that, in Jesus, God became human at a particular moment of time and lived on this same earth that we inhabit. Jesus was very much involved in the world of work of his day. Many of his stories came from everyday life and the workplace. The world of work and wealth creation is very clearly part of God's creation, and God took part in these very activities. Hence, there is a need to relate them to our Christian beliefs and to face up to any discomfort we perceive and feel in doing so.

Difficulties Relating Faith and Work

According to Wright, there are four main reasons Christians find it difficult to relate their faith to their work in today's industry, commerce and other service sectors:

- The experimental and scientific method has transformed our understanding of the world in which we live. This growth in understanding has been most uncomfortable for the Church. Many have the false impression that advances in the fields of science and business are made at the expense of God and religion.
- The world of work may lie in what is popularly referred to as the "Protestant work ethic." Hard work and the accumulation of wealth were the routes of salvation. The problem here is that there are harsh realities in today's work world, such as indifferent supervision, employee turnover, caste system attitudes and long working weeks. In the hotel industry, these concepts are sometimes considered justified in order to attract better-qualified employees and to remedy the alarming shortage of labour.

- The reconciliation of the contemplative life and the life of every day action has been difficult. There has been a tendency for Christians to regard the active life as in some way inferior to the passive or spiritual one. Teilhard de Chardin looked for a general sanctification of human endeavors in all aspects. He rejected the notion that the active life is inherently inferior to the passive. Hence, Christians engaged in business are in fact contributing as positively to God's work as when they engage in prayer.
- The dominical and Church teaching present difficulties here. Jesus had some very hard things to say about the dangers of material goods and excessive attachments to riches. Nevertheless, nowhere does one find in the Gospels or the teachings of the Church any suggestion that the process of wealth creation and provision of services is in itself reprehensible or to be condemned. The encyclical *Centesimus Annus* identifies the tension between the role of the individual in the wealth creation and service provision process and the needs of the community. The system itself must not overwhelm the individual. People must in fact recognize the limits of private wealth.

Panmunin concluded that to improve public perceptions and enhance employees' experiences, industry must create a working climate that is challenging, secure, trusting, caring and promising. Unfortunately, employees' eroding working conditions have eroded the traditional Thai spirit of hospitality. Ensuring the return of Thai hospitality will take some doing, in areas like: nurturing a pride in serving, wearing a service uniform, providing the opportunity for learning and advancement, and demonstrating employer appreciation both in words and pay.

The Nature of Spirituality

The Historical Background and Methodology of Spirituality Studies. Before World War II, spirituality, as it refers to a person's life experiences, was an almost exclusively Roman Catholic term. But now it has taken on new meaning with the Second Vatican Council's invitation to a new awareness of, dialogue with and appreciation of other denominations and non-Christian religions. For example, there is now growing interest in the spirituality of various Protestant traditions as well as the traditions of Judaism, Hinduism, Islam and Buddhism. The Second Vatican Council has also called Catholics to a new dialogue with the human sciences—especially in the fields of psychology, sociology and anthropology—in which spirituality refers to the human spirit apart from religion. Some even speak of the spirituality of inter-religious movements, such as secular feminism and atheistic Marxism.

In short, spirituality has become a broad, inclusive term that is no longer confined to, or defined by, religion. It names a human reality difficult to define but whose patterns can be verified in quite different religions and movements. Spirituality now focuses on the human spirit of believers and non-believers in their lives as a whole; that is, on the

physical and emotional, the intellectual and social, the political and cultural, and the secular and religious dimensions of their lives. According to Kinerk, the study of spirituality needs: a definition of itself, some tools for analysing a particular spirituality, some guidelines of relating a spirituality to other spiritualities, and some criteria for evaluation.

The features of a workable definition of spirituality should: limit the material to what is expressed, and contain the idea of personal growth. Thus, spirituality is the expression of a dialectical personal growth from the inauthentic to the authentic. There are, in fact, three ingredients in this definition: expression, dialectical personal growth, and movement from inauthentic to authentic. According to Thompson, a person's spirituality is individual and collective, and reflects how a person responds to God's initiative while facing the challenges of everyday life within his or her specific historical and cultural environment.

Just how does God's Spirit work in some one's life? First, it works in the subjective element. Second, it works in the objective dimension of one's real-life experiences and situations—encompassing all creations and all other people you encounter in your life. Put simply, God works in the people you meet and acts through your real life. He is present in human events and their history. His presence gives a necessary meaning to how you relate to other people and the world.

According to Kinerk, the questions or tools for analysing a spirituality must serve two purposes. They must: provide a means of organizing the material of a spirituality so it can be more easily assimilated, and provide for comparison and contrast such that they can be asked more or less equally of any spirituality. Here are two questions that can help focus and organize the material: What are the expressions of the authentic and inauthentic? What is the organizational form that could give the expressions depth and a relationship to one another? All spiritual life is a type of growth, but in many well-developed spiritualities there are specific stages, and the key to detecting these stages lies with the expressions of both the authentic and the inauthentic forms.

Hope Replace Obedience

According to Regan, personal development of healthy human qualities occupies a more central position in one's personal outlook towards spirituality today. Accepting what is authentically human leads people to use their native talents, creative expressions and heightened personal initiatives. On the other hand, anything that dehumanizes a service provider or "receiver" in the hospitality industry is viewed as unchristian. This approach allows more emphasis on an individual's personal response of his or her religious and inner values, both human and Christian. Empowerment, decentralization, co-responsibility and subsidiarity become the new hallmarks of what was once viewed as religious "obedience."

Many post-Second Vatican Council authors now present the Christian life based on a central theme of God's call and a person's response. This "call-response" morality and spirituality replaces the former stress on law and self-perfection. In the basic meaning of grace—God's self-gift—God gives Himself to a person and acts in them, enabling them to respond. Furthermore, New Testament teachings hold that the virtue of charity directed towards God and neighbour takes precedence over all other virtues. The law-centred approach has thus given way to a more love-centred approach: life is seen in its entirety as a loving response to a personal and loving God. A morality of relationships conceived along these lines sees each person in dialogue with God and meeting God in the events, people and prayer experiences of daily living.

Spirituality has important consequences for the overall tone or mood Christian professionals adopt in their lives. These professionals represent an intense cell of vibrant Christian life. They witness to Heavenly values, which imply that they should show what faith in God can mean based on the way they live their lives. Specifically, it means: hope, confidence, optimism in ultimate destinies; faith and charity in everyday concerns. By moving away from an excessively "obedience-centred" approach, they instead experience a Christian life and spirituality centre on faith, love, hope in God and in ultimate realities, manifested in the love and service of humankind. These constitute Gospel values that should characterize a renewed professional life and genuine Christian spirituality.

Kinerk has emphasized that, ultimately, evaluating a Catholic spirituality is the responsibility of the Catholic Church and over the centuries she has generally given a wide latitude to the expressions claiming to be of the Spirit. As long as a spirituality refrained from making its charisma normative for all Christians, maintained a balanced view of theology and human nature, and did not habitually defy the directions of the hierarchy, the Church has been at least tolerant, if not actively supportive.

What Makes a Good Spirituality? There are three indicators of a good spirituality: good theology, good sense and good results. Good spirituality must flow out of the Christian community's understanding of the Gospel and hence must exhibit good theology. Spirituality is a human movement, and so good spirituality should reflect a keen sensitivity to the human condition—good sense. Finally, a good spirituality will produce good results because it will be the work of the Holy Spirit. To develop models of spirituality it is necessary to select criteria for differentiation. This selection is always arbitrary, however. It simply establishes the parameters by which the models are distinguished. Here the criteria will be "attitudes" towards two potential environments for expressions: the world and history. We can determine the models by asking the question: Does a spirituality view the world and/or history as a positive locus for expressions of the authentic? If a spirituality is not positive towards both, we call it apopathic; if it is positive towards both, we call it apostolic; if it is positive towards the world but not towards history, we call it city-of-God; and if it is positive towards history

but not towards the world, we call it prophetic. Most spiritualities are mixtures of all four, with perhaps one or more predominating. However, it is clear that a spirituality for hospitality professionals must be apostolic. Regan has pointed out that it is no longer possible to hold a monolithic conception of spirituality due to the pluralism in modern Church life and theology today. With the obedience-centred approach, the traditional stress on a person's spiritual life focused on the rules, authority and the virtue of obedience. This is similar to the law-centred approach of moral theology. A person's individual acts received more emphasis than his or her overall stance or attitude. Obedience to law in all exactness comes through in traditional moral theology as the centre of Christian life.

With today's personal response-to-inner values approach, there's a greater emphasis placed on personal responsibility and individuality. In this approach to the spiritual life, a person is viewed as entering a profession or a community to develop oneself fully in the service of Christ and neighbour, to put one's full talents at the disposal of people, and to take part in and share responsibility for the Church and for the community itself. Rather than obedience, selfless charity becomes the primary Christian virtue. Life itself is seen as a response of love to God and in the neighbour in accordance with Jesus' teaching. This approach seems particularly appropriate for hospitality professionals, whose training now emphasizes their empowerment to make decisions by themselves.

Spirituality of Work

Cassin points out that in the Christian scheme, work has always been understood as a human sharing in the creative activity of God. This means believing in the inherent dignity of work itself and the ultimate worth of any of the products of work. According to another, different Christian view, work has been seen as a penalty, a consequence of original sin or the Fall, rather than something intrinsic to God's creative purpose. This pessimistic view is certainly present in the thought of many influential figures in the history of theology, especially in the Western Church.

However, our Catholic and Protestant tradition does, thankfully, allow for a more positive theology of work. For example, there are the two creation accounts in the Book of Genesis; Paul's exhortation on the new creation in the Letter to the Romans; the unification prayer and work found in the Benedictine Rule; the impetus given to lay spirituality by Protestant and Catholic reforms; the Papal Encyclicals, especially *Laborem Exercens* by Pope John Paul II; and, attempts in the middle decades of the 20th century to affirm human dignity in the face of industrial blight and oppression.

In spite of all this, it is not easy to affirm the dignity of work and the worker when the characteristic form of work in an industrial society is symbolized by the assembly line. Repetitively carrying out a mechanical task gives faint image of the worker as a sharer in God's creative activity. It was much easier to promote the Christian vision of labour in a pre-industrial society when the dominant form of work was a craft, with the

worker involved in the entire production process. The same is true of work in the service sector, including the hospitality industry. New work structures, therefore, pose challenges, but also offer opportunities. To be efficient, the new workplace requires employees to take pride in their work and each other, and promoting such feelings can provide multiple benefits for any manager. It fosters loyalty towards the firm and one's fellow workers. At the same time, the experience of building solidarity vindicates a traditional Christian understanding of the dignity of the human person. For Wright, the starting point for a Christian perspective on the world of work is Teilhard's divinization of human activity. The Incarnation substantially strengthens that perception, showing that the tension and paradox in the human condition are part of our working lives. According to the analysis of Svoboda, the book of Genesis tell us three important things about work.

First, God works. Second, God works not because He has to, but because He wants to work. His work is not for His own sake but for others' sake, mankind's sake and our sake. God chooses to work because He chooses to share something of Himself with someone else. Therefore, work is seen as being intimately associated with the act of self-giving — a self-giving for the benefit of others.

Third, God seems to enjoy His work. God takes delight in the work process, pronouncing creation, the product of His labours, as "good" at the end of each day. In other words, work is good — even God works. Work is an act of self-giving directed towards the good of others. Work consists primarily of cultivating and care, in bringing forth new life. Work should basically be a joyful activity, even though it often entails fatigue and pain. Don't forget, though, that rest and leisure are good, too, and are, in their own way, integral to the work process.

Spirituality of Work for Hospitality Professionals

There are many qualities of life rooted in the example of Jesus, with three basic qualities specifically reflecting Jesus' life of hospitable service to others: responsiveness, competence and respect. Underlying Jesus' desire to serve those in needs were sensitivity, adaptability and willingness that are today basic building blocks for an apostolic spirituality of hospitality. Sensitivity to the situation at hand is essential if a hospitality professional's response is to be effective. Adaptability to the situation as it changes is also essential if their response is to be appropriate. Willingness to be involved is essential if their response is to be consistent ultimately, the driving force behind this responsiveness is compassion, which is not the same as pity. The true core of compassion is the urgency to act. Compassion never merely observes; it initiates and interacts. In Jesus' work, compassion is second only to love.

On the other hand, when personal benefit becomes the primary goal of service in the hospitality industry, this compassion gives way to conceit. Competence shapes the overall effectiveness of our response. However sensitive, adaptable and willing that response maybe, its lasting effect must reflect competence. Service industries require a level of

competence quite different from that in agricultural or manufacturing work. The hospitality industry revolves around two separate realities: material variables and personal variables. Material variables differ among the various areas of the hospitality industry, but they generally include some common elements. First, there is a body of living knowledge, with new information replacing old on a regular basis. Second, there are natural or acquired skills that enable hospitality professionals to use their knowledge. Third, there are the willingness, capacity and commitment to acquire new and refined skills to match developments within the field of knowledge now called hospitality, leisure or tourism studies. Finally, there are resources necessary for hospitality professionals to use skills with knowledge. Personal variables for hospitality professionals include the personalities, preferences and predicaments of those they serve.

Respect is characterized by a hospitality professional's recognition of each person's uniqueness. It is their affirmation of the dignity of each person, a dignity based on their creation as God's image and likeness, as well as their efforts to listen, communicate and interact through ways and means consistent with that uniqueness and dignity. Work in the hospitality industry brings professionals to encounters and interactions with many people. Respect reminds them that, regardless of what they have to do in the work of hospitality, the value of a human being can never be compromised. The driving force behind respect is love. Christian spirituality should acknowledge the goodness of all that is human. Emotions, sexuality, temperament, personality and the prayer life should all enter into the Christian response of the whole person. Development and fulfillment of these truly human aspects should be incorporated into any authentic approach to the Christian spirituality of work in the hospitality industry.

JOB SATISFACTION IN THE HOSPITALITY INDUSTRIES

The "rational" parts of any organization put a high value on efficiency. All jobs and tasks should be designed to achieve the organization's goals as efficiently as possible. Jobs are specialized along two dimensions: horizontally and vertically. Job specialization is most obvious at the operating levels of organizations. However, highly specialized work can injure the well-being of workers and thus poses an important problem of justice for employers. Such injustice can actually lead to decreased productivity.

On the other hand, there is a significant link between worker productivity and programmes that improve the quality of the work life of workers by giving greater involvement in, and control over, a variety of work tasks.

Velasquez points out that there are two determinants of job satisfaction:

1. Experienced Meaningfulness. The individual must perceive his or her work as worthwhile or important by some system of values he or she accepts.

2. Knowledge of Results. The worker must be able to determine, on some regular basis, whether or not the outcomes of his or her work are satisfactory.

To influence these determinants, jobs must be expanded along five dimensions:

1. Skill Variety. The degree to which a job requires the worker to perform activities that challenge his or her skills and abilities.
2. Task Identity. The degree to which the job requires completing a whole and identifiable piece of work — doing a job from beginning to end with a visible outcome.
3. Task Significance. The degree to which a job has a substantial and perceivable impact on the lives of other people, whether in the immediate organization or the world at large.
4. Autonomy. The degree to which the job gives the worker freedom, independence and discretion in scheduling work and determining how he or she will carry it out.
5. Feedback. The degree to which a worker, in carrying out the work activities required by the job, gets information about the effectiveness of his or her efforts.

Traditionally, employees have relied on their supervisors for task guidance and good feelings—especially consideration and being treated like adults in order to perform their jobs both well and happily. Schneider and Bowen point out that when employees do not get this from their supervisors, they may turn to customers as “substitutes for leadership”. Customers may be given a say in designing the organization that produces the goods and services. With services, it’s often possible—and desirable—for customers to actually participate in production.

But the problem is that customers are not subject to the same kinds of fears, commitments and structures as employees, so they are very difficult to manage. To best capitalize on customer competencies, management must be able to:

1. Explicitly determine exactly what role/job they want their customer to perform.
2. Ensure that customers have what it takes to perform their jobs well through role clarity, ability and motivation.
3. Regularly appraise customer performance.

Service customers also often play the roles of directors, guides and even “order-givers” for employees. Customers play a dual leadership role by providing employees with guidance and providing them with positive feelings. There are two reasons. First, the employees’ supervisors tend not to provide the guidance and good feelings they should. Second, customers of service firms feel they have a right to give orders. Employees like the positive feelings they receive from customers but do not like customers telling them what to do. The lesson here is fairly simple but too often overlooked: Feedback is a critical part of job enrichment. Service firms need to think creatively about how to respond to these opposite reactions to customers’ leadership behaviours.

Customers can be trained to be a source of good feelings for employees and, at the same time, socialized to limit task direction over employees. Although management may have great “legitimate influence” over its employees, service work puts employees closer to their customers and, therefore, more involved with the kinds of rewards they receive and the distribution of those rewards. When a hospitality enterprise meets the various needs of employees through rewards—dispersed equitably and fairly—customers will experience superior service quality as well.

COMBINING JOB SATISFACTION WITH SPIRITUALITY FOR HOSPITALITY PROFESSIONALS

Mainardi has pointed out that hospitality professionals are dependent on contact with, and reception of, the public. Therefore, they presuppose some degree of availability towards the client, a considerable margin of initiative and a generally strong sense of personal responsibility. In fact, employees in the tourist transaction play an intermediary role between the industry’s structure and its clientele.

This role is particularly decisive in achieving the results desired by both sides. AM these situations are undoubtedly favourable to bearing witness to the spirit and practice of the Gospel before others. The hospitality professional’s conduct is not only circumscribed by the material manifestations of the tourist industry.

It must also be determined by psychological and ethical factors aimed at completely satisfying the tourist’s wishes. Tourists want to be treated differently—better—than they are normally treated in their daily routines. Furthermore, there is substantial evidence that customers like to interact directly with people in the tourism trade, not machines. This is also unavoidable, since providing tourist services without human assistance remains inconceivable. This contact with the hurried or solitary traveller enables tourist professionals to reveal their own personalities—both as expert and human being—responding to each client’s unique wishes via their own mental attitude, manner, initiative and creativity.

The human person is truly the central and fundamental point of the tourism industry, with the economic aspect clearly secondary. Simon used the concept of satisfying behaviour to accommodate the balancing act of achieving multiple objectives in human behaviour. Normative economics fails to include some of the central problems of conflict and dynamics. Simon attacks the hypothesis that firms strive to maximize profits for three key reasons: The theory leaves ambiguous whether it is short-run or long-run profit that is to be maximized; The entrepreneur may obtain all kinds of “psychic income” from the firm apart from monetary rewards; and the entrepreneur may simply want to earn a satisfactory return, not looking to maximize gains.

Simon points out that “economic man” is a satisfying animal whose problem-solving is based on his or her search to meet certain aspiration levels, rather than a “maximizing animal” whose problem-solving involves finding the best alternatives in terms of

specified criteria This is certainly true in the case of the hospitality professional who seeks job satisfaction rather than merely looking to maximize salary. The true mark of hospitality professionalism is excellence on the technical level and fellowship towards the client on the moral level.

Such a global commitment involves a wide range of material services and mental attitudes in welcoming, guiding and assisting the tourist It also opens up more far-reaching horizons to practice Christian witness in so many privileged circumstances—in the form of personal contacts, conversations, exchanges of view, good conduct, etc. Nevertheless, this world also brings a lot of “baggage” with it for most people in the tourist and similar industries. Such difficulties include stress, high anxiety, burn out, low social status, feeling like a “hired host,” low pay, tensions between career and one’s personal and family life, as well as high turnover and mobility.

In professional activity, a concrete and unmistakable sign of integrity is to observe professional ethics. In other words, professionals should conduct their business honestly—giving clients the right amount of service and goods proportionate to their requested price. Whether you’re talking about a travel agency or a tour company, a hotel or a restaurant, personal service must focus on the needs of the beneficiary of hospitality—*i.e.*, the client Specifically, the 10 dimensions of service quality are: reliability, responsiveness, competence, access, courtesy, communication, credibility, security, understanding/knowing the customer, and tangibles that include the physical evidence of the service.

Generally speaking, hospitality clients are not equipped with the controls and consumer protections many other customers enjoy when they purchase industrial products. With the exception of large-scale fraud, it is, in fact, very difficult for clients to contest the quality of tourist goods or services purchased. In the majority of cases, the tourist client is thus put in an inferior position. That’s why it’s all too easy for hospitality professionals to “swindle” and behave in unjust and dishonest ways. This is a recurrent risk faced even by the well-intentioned, and one that can only be dispelled if the will to bear witness is cultivated systematically in the depths of the individual conscience.

Regard towards the client’s “person” can—and should—be demonstrated by imbuing him or her with a sense of psychological and physical well-being, and by being willing to serve. Customers should also benefit from: material protection of their person and possessions, the constant good functioning of the tourism facilities, professional correctness and an effort by service providers to achieve maximum standards of hygiene. Modern managerial conduct should also aim to overcome the “coldness” and lack of intimacy typical of bureaucratic organizations. What’s more, the influence exerted by hospitality managers and their staff may play a significant role in “educating” clients in the use of tourism, whether aimed at recreation or any creative endeavor. In the words of Paul VI, we should strive to “humanize and spiritualize tourism.”

The spirituality of work for hospitality professionals needs to be considered in relation to the general concept of job satisfaction. Using Simon's concept of satisfying behaviour, hospitality work needs to be seen simultaneously in all its dimensions: economic, human, professional, moral, cultural and spiritual. Because of the interpersonal nature of their work, hospitality workers need to consider the guests they serve. In other words, hospitality is a single phenomenon that simultaneously involves three components—employers, employees and guests—in different and interacting ways.

Welcoming strangers as our brothers and sisters, understanding that they need us, and always regarding them as worthy of our help are concepts that should fascinate and encourage those in the hospitality field. This approach to service lightens the cares and overcomes the thousand difficulties that can intervene when you're coming into constant contact with strangers. It also adds greatly to job satisfaction. Unfortunately, strangers can often be hostile to the host's principles of contact, even when they're at their best. In these cases, the inspiration of the Gospel will help overcome any embarrassing situation and even educate the guest.

The hospitality professional's response to the Gospel call enhances, uplifts and augments the act of being hospitable and of receiving tourists as guests. It is no longer a job, but a vocation from God. Furthermore, the search for spiritual peace and authenticity comes in the reciprocal interplay of influences, intentions and actions between the hospitality professional and the guest. It emphasizes the privileged position given to those who are professionally engaged in providing hospitality. The Christian hospitality professionals are called to perform their duties scrupulously and promptly in each circumstance and in each relation. In this way, others may derive satisfaction from them, and receive the beneficial influences wished for by the Christian call to be a loving person. All work understood in this fashion is worthy of the reward promised by Christ at the final judgement, when the just will receive their eternal job satisfaction based on how they served those in need.

ENVIRONMENTALLY RESPONSIBLE HOTELS

One component of ecotourism travelers can consider is environmentally responsible hotels. The concept of "green hotels"—hotels, motels, bed and breakfasts, lodges, and inns that use energy and other natural resources in environmentally responsible ways—is one that can be adopted not only by ecotourists but by anyone who travels, whether for business or pleasure. Hotels that adopt green practices help reduce the negative impact that hotel use has on the environment when they utilize renewable resources whenever possible, make efficient use of nonrenewable resources, and ensure that any by-products that result from their operations are reused or recycled. Examples of green practices some hotels have adopted include rerouting waste water to irrigate their golf courses and salvaging the sludge to use as fertilizer; reducing laundry water temperatures

from 90 °C to 60 °C, replacing incandescent lights with compact fluorescent lamps, installing low-flow shower head and low-flow toilets, offering a sheet and towel reuse Programmes whereby guests have their linens exchanged every two to three days instead of daily, installing solar panels to heat water, implementing a hotel-wide recycling Programmes, and replacing individual soaps and lotions with wall dispensers. Adoption of green practices typically helps hotels realise considerable savings that can range from several thousand to hundreds of thousands of dollars per year.

Although the number of hotels adopting green practices is growing, many have not yet embraced the concept. All travelers can support green hotels, encourage nongreen hotels to adopt environmentally responsible practices, or engage in such practices themselves whenever they are hotel guests. Tourism event organizers can also distinguish themselves by explaining the criteria of where they stage events. Sadly, most ecotourism events have been held at hotels which have not distinguished themselves with green building, eco-efficient technology or community-friendly relations.

TOURISM EXPORTS AND IMPORTS

The host region is defined loosely as a county, a state, or a nation, depending on the level at which the problem is being considered. For a county-level government, the income of the county is of primary interest. A state government would perceive the maximization of the combined income of the entire state to be its objective, and so on.

Regardless of which definition of host region is being considered, expenditures in this area by tourists coming from another region represent injections into the area's economy. Japanese tourists traveling to the United States presumably earned their income in Japan. When spending money in the United States as tourists, they are "injecting" money into our economy that wasn't here before. As such, expenditures by foreigners in this country represent tourism exports for the United States.

This may be somewhat confusing because we are accustomed to thinking of something leaving the country as an export. When we export computers or cars, for example, these commodities are sent out of the United States. In the example of the Japanese tourists, the tourists are coming into this country. So how is it an export?

There seems to be a contradiction in terminology. As the astute student would note, however, when tourists come into this country, they are purchasing travel experiences. When they leave, they take these experiences back with them. Thus, we have exported travel experiences, which are, after all, what tourism is all about. When U.S. tourists travel to Japan and spend money there, this becomes a tourism import to the U.S. economy. Japanese money spent in the United States is a tourism import for the Japanese economy. In tourism exports, the flows of tourists and payments are in the same direction, whereas in commodity exports, the two flows are in opposite directions. Therein lays the confusion. However, if one were to look at the *direction of payment flow* to determine

what an export is, there is no contradiction between the two cases. When payment flows into the United States, something has been exported— travel experiences, for instance, or commodities. Both payment flows are in the same direction.

BALANCE-OF-PAYMENTS EFFECTS

Tourism is one of the world's largest international industries. As such, it has a noticeable impact on the balance of payments of many nations. We have heard much about the balance-of-payments problems of the United States, and, indeed, tourism imports do affect the balance of payments and economic conditions generally.

We define tourism imports as those expenditures made by American tourists in foreign countries. An easy way to remember this is to ask, "Who got the money?" If, for example, Great Britain received American funds, it makes no difference whether an American bought some English china or an American tourist visited England. Our balance-of-payments situation directly affects the gross national product of the United States.

By looking at the formula, we can see that if imports exceed exports, then the difference will be a negative number, and Y will thus be smaller. Thus, it is advantageous to us in our American economy to attract more visitor spending in the United States. These "tourism exports" are like credits and help our economy.

It is economically better to have foreign visitors come to the United States than it is to have U.S. citizen's travel abroad. However, this should be tempered with the realisation that the situation is not entirely positive or negative. Expenditures by U.S. tourists abroad make possible purchasing power in foreign countries for those countries to buy American-made products. For example, most airlines of the world use American-made equipment. Purchase of these aircraft, parts, supplies, repair services, and so forth makes an important contribution to the export trade of the United States; thus, we cannot charge the U.S. international traveller with a total negative balance of payments. The purpose of the foregoing discussion is simply to point out the relationships.

Tourism exports become very desirable as far as the gross national product and the prosperity of the country are concerned. Efforts on the part of national tourism offices to attract foreign visitors have a great impact on the balance-of-payments situation. Business firms that serve the foreign visitor, provide desired services, and stimulate sales materially help our national economy.

However, during periods when the U.S. dollar is high against foreign currencies, a dampening effect occurs on our tourism exports because this situation is seen as unfavourable by prospective foreign visitors. Conversely, if the dollar is low, more foreign tourists will visit the United States. This increases our tourism exports, improves our balance of payments, and raises the gross national product. These same relationships of comparable currency values exist between any country that exports tourism and the countries of its tourists' origin.

In 1998 the value of the Canadian dollar was low in comparison to the U.S. dollar and illustrated this principle. The number of Americans visiting Canada to take advantage of the exchange rate increased dramatically. This contributed positively to Canada's balance of payments.

INVESTMENT STIMULATION

The tourist industry has a unique structure. It is characterized by and, in fact, is an agglomeration of a large number of very small units, covering a variety of different service trades—the small restaurants, motels, guest houses, laundries, arts and crafts shops, and others. Thus, investment in infrastructure and sometimes expensive superstructure by the government stimulates investment in numerous smaller businesses. Because of the small size of these businesses, capital requirements are relatively low and investment generally proceeds at a rapid pace. In this respect, too, governments view tourism rather favourably.

The initial investment in tourism brings forth a large investment in supporting and tertiary industries. This also includes large investments in major hotels, restaurants, shopping Centres, marinas, airports, and so on.

TOURISM INCREASES TAX REVENUE

Tourists must pay taxes like most other people. Because they come from other regions or countries, their expenditures represent an increased tax base for the host government. In addition to the usual sales tax, tourists sometimes pay taxes in less direct ways.

Airport taxes, exit fees, customs duty, and charges assessed for granting visas are just a few examples of commonly used methods of taxing tourists. The wisdom of imposing such special taxes on tourists is questionable, because it merely serves to reduce demand. In some countries, for instance, the room rate at a hotel optimization can be different for tourists than for residents. This is a questionable practice, because it leaves the tourist with a feeling that he has been “taken.” Apart from these special cases, the usual taxes collected from both tourists and residents increase because of tourism expenditures.

Is tourism, then, a panacea for all the economic woes of a region or country? It has been claimed that tourism increases incomes, employment, investment, tax revenues, and so forth, so it might indeed appear to be one. However, constraints limit the extent to which governments can maximize the benefit from these aspects of tourism.

These constraints are of two types: social and economic. The social constraints have already been discussed. The economic constraints are in the form of potential economic costs that the tourism industry may impose. These merit further scrutiny to gain a better understanding of the government's optimization problem.

INFLATIONARY PRESSURE

Tourists inject money into the destination economy. While this increases the income of the region, it also might cause inflationary pressures. Tourists typically have a higher expenditure capability than the residents do—either because tourists have higher incomes or because they have saved for the trip and are inclined to “splurge” while on vacation. Hence, they are able to somewhat bid up the prices of such commodities as food, transportation, and arts and crafts. This causes inflationary pressures, which can be detrimental to the economic welfare of residents of the host community. This is particularly true when inflation affects the prices of essentials such as food, clothing, transportation, and housing.

Land prices have been known to escalate rapidly in tourist destination areas. The prices that foreigners are willing to pay for “vacation homes” in the area can decrease the demand for “first homes” by residents. Lundberg notes that as the tourist industry developed in an area, land prices rose sharply. In a particular underdeveloped area, the amount of investment in land constituted just 1 per cent of the total investment for a hotel project. By contrast, this ratio increased to 20 per cent in an area where tourism was already overdeveloped. With such increases in land prices, it can be expected that local residents are effectively “chased out” of the housing market in a tourism-developing section.

MANAGING INCOME

Accounting is the measurement, disclosure or provision of assurance about financial information that helps managers, investors, tax authorities and other decision makers make resource allocation decisions. The names come from the use of financial accounts. Financial accounting is one branch of accounting and historically has involved processes by which financial information about a business is recorded, classified, summarized, interpreted, and communicated. Accounting is also widely referred to as the “language of business”.

Auditing, a related but separate discipline, has two sub-disciplines: Internal and External auditing. External auditing is the process whereby an independent auditor examines an organization’s financial statements and accounting records in order to express an opinion — that conveys reasonable but not absolute assurance — as to the truth and fairness of the statements and the accountant’s adherence to Generally Accepted Accounting Principles in all material respects.

Internal auditing is an examination in which management, and not the external public, is the main beneficiary. It is carried out usually by auditors employed by the company, but sometimes by external service providers. The internal auditor’s role is broader, and basically depends on what kind of assurance management wants. It usually certifies the efficiency and effectiveness of processes, departments, projects or internal controls.

The Institute of Internal Auditors is generally accepted as the custodian of Internal Auditing best practice. At the heart of accounting is the measurement of financial transactions which are transfers of legal property rights made under contractual relationships. Non-financial transactions are specifically excluded due to conservatism and materiality principles. Practitioners of accountancy are known as accountants.

There are many professional bodies for accountants throughout the world. Many allow their members to use titles indicating their membership. Examples are Chartered Certified Accountant, Chartered Accountant and Certified Public Accountant. Accountancy attempts to create accurate financial reports that are useful to managers, regulators, and other stakeholders such as shareholders, creditors, or owners. The day-to-day record-keeping involved in this process is known as bookkeeping.

At the heart of modern financial accounting is the double-entry bookkeeping system. This system involves making at least two entries for every transaction: a debit in one account, and a corresponding credit in another account. The sum of all debits should always equal the sum of all credits. This provides an easy way to check for errors. This system was first used in medieval Europe, although claims have been made that the system dates back to Ancient Greece. According to critics of standard accounting practices, it has changed little since. Accounting reform measures of some kind have been taken in each generation to attempt to keep bookkeeping relevant to capital assets or production capacity. However, these have not changed the basic principles, which are supposed to be independent of economics as such. In recent times, the divergence of accounting from economic principles has resulted in controversial reforms to make financial reports more indicative of economic reality.

Accountancy's infancy dates back to the earliest days of human agriculture and civilization, when the need to maintain accurate records of the quantities and relative values of agricultural products first arose. Simple accounting is mentioned in the Christian Bible in the book of Matthew, in the Parable of the Talents. Twelfth century writer Ibn Taymiyyah mentioned in his book *Hisba*, detailed accounting systems used by the Muslims as early as in the mid-seventh century.

The accounting practices were influenced by the Roman and the Persian civilizations that Muslims interacted with. The most detailed example of a complex governmental accounting system is the *Divan of Umar*, the second Caliph of Islam in which all revenues and disbursements were recorded. The *Divan of Umar* has been described in detail by various Islamic historians and was used by Muslim rulers with modifications and enhancements until the fall of the Ottoman Empire.

APPLIED MODERN ACCOUNTANCY IN HOTEL

The first book on accounting was written by a Croatian merchant Benedetto Cotrugli, who is also known as Benedikt Kotruljević, from the city of Dubrovnik. During his life in Italy he met many merchants and decided to write, *Della Mercatvra et del Mercante*

Perfetto in which he elaborated on the principles of modern, double-entry book-keeping. He finished his lifework in 1458. However, his work was not published until 1573, as a result of which his contributions to the field have been overlooked by the general public. For this reason, Luca Pacioli, also known as Friar Luca dal Borgo, is credited for the “birth” of accounting. His *Summa de arithmetica, geometrica, proportioni et proportionalita*, a synthesis of the mathematical knowledge of his time, includes the first published description of the method of keeping accounts that Venetian merchants used at that time, known as the double-entry accounting system. Although Pacioli codified rather than invented this system, he is widely regarded as the “Father of Accounting”.

The system he published included most of the accounting cycle as we know it today. He described the use of journals and ledgers, and warned that a person should not go to sleep at night until the debits equalled the credits! His ledger had accounts for assets, liabilities, capital, income, and expenses — the account categories that are reported on an organization’s balance sheet and income statement, respectively. He demonstrated year-end closing entries and proposed that a trial balance be used to prove a balanced ledger. His treatise also touches on a wide range of related topics from accounting ethics to cost accounting.

The first known book in the English language on accounting was published in London by John Gouge in 1543. It is described as *A Profitable Treatyce called the Instrument or Booke to learn to know the good order of the keeping of the famous reconynges, called in Latin, Dare and Habere, and, in English, Debitor and Creditor*.

A short book of instructions was also published in 1588 by John Mellis of Southwark, in which he says, “I am but the renuer and reviver of an ancient old copy printed here in London the 14 of August 1543: collected, published, made, and set forth by one Hugh Oldcastle, Scholemaster, who, as appeareth by his treatise, then taught Arithmetics, and this booke in Saint Ollaves parish in Marko Lane.” John Mellis refers to the fact that the principle of accounts he explains is “after the forme of Venice”. A book described as *The Merchants Mirrour, or directions for the perfect ordering and keeping of his accounts formed by way of Debitor and Creditor, after the Italian manner*, by Richard Dafforne, accountant, published in 1635, contains many references to early books on the science of accountancy. In this book, headed “Opinion of Book-keeping’s Antiquity,” the author states, on the authority of another writer, that the form of book-keeping referred to had then been in use in Italy about two hundred years, “but that the same, or one in many parts very like this, was used in the time of Julius Caesar, and in Rome long before.”

An early Dutch writer appears to have suggested that double-entry book-keeping was even in existence among the Greeks, pointing to scientific accountancy having been invented in remote times. There were several editions of Richard Dafforne’s book - the second edition in 1636, the third in 1656, and another in 1684. The book is a very

complete treatise on scientific accountancy, beautifully prepared and containing elaborate explanations. The numerous editions tend to prove that the science was highly appreciated in the 17th century. From this time on, there has been a continuous supply of literature on the subject, many of the authors styling themselves accountants and teachers of the art, and thus proving that the professional accountant was then known and employed.

The requirements for entry in the profession of accounting vary from country to country. Accountants may be licensed by a variety of organisations, such as the British qualified accountancy bodies including Association of Chartered Certified Accountants and Institute of Chartered Accountants, and are recognized by titles such as Chartered Certified Accountant and Chartered Accountant, Certified Public Accountant, Certified Management Accountant, Certified General Accountant, or Certified Practising Accountant.

Some Commonwealth countries often recognise both the certified and chartered accounting bodies. The majority of “public” accountants in New Zealand and Canada are Chartered Accountants; however, Certified General Accountants are also authorized by legislation to practise public accounting and auditing in all Canadian provinces, except Ontario and Quebec, as of 2005. There is, however, no legal requirement for an accountant to be a paid-up member of one of the many Institutes and other bodies which are effectively a form of professional trade union. Unlike the Law Society, which can legally stop a solicitor from practising, accountancy institutes do not have such authority. However, auditors are regulated.

Before the Enron and other accounting scandals, there were five large firms and were called the Big Five. Since Arthur Andersen’s assurance practice split with a plurality joining KPMG in the US and Deloitte and Touche outside of the US, Arthur Andersen left from the group. Previous to this there were also groupings referred to as the “Big Six” and the “Big Eight”. Enron turned out to be only the first of a series of accounting scandals that enveloped the accounting industry in 2002.

This is likely to have far-reaching consequences for the U.S. accounting industry. Application of International Accounting Standards originating in International Accounting Standards Board headquartered in London and bearing more resemblance to UK than current US practices is often advocated by those who note the relative stability of the UK accounting system. Accounting reform of a far more comprehensive sort is advocated by those who see issues with capitalism or economics, and seek ecological or social accountability.

According to Accountancy Age’s 2005 league table, fee income amongst the Top 50 accounting firms in the UK rose from £6.3bn to £7.0bn. This followed two successive years in which fee income had declined, largely a result of the sale by some of the larger firms of their consultancy arms. Fee income in most business areas - audit, tax, corporate finance and consultancy - rose in the 2005 survey, with insolvency and wealth

management being the only segments where revenue fell. Price water house Coopers remains the largest firm with fee income totalling £1,780m followed by Deloitte, KPMG and Ernst and Young. The combined revenue of the Big Four accounted for £5.0bn, 72% of the fee income of the Top 50, down from 78-79% in the years up to the 2002 survey and the third year in succession a decline in their share has occurred. Ernst and Young's fee income is the smallest of the largest four firms, but still over three times that of the next largest firm, Grant Thornton. The amount of fee income tapers off amongst the mid-tier firms so that in total there were only 25 firms that each generated more than £15m of revenue in the 2005 survey. For more details regarding British qualified accountancy professionals, please refer to the page of British qualified accountants.

Management Accounting

Management accounting is concerned with the provisions and use of accounting information to managers within organizations, to provide them with the basis in making informed business decisions that would allow them to be better equipped in their management and control functions.

Unlike financial accountancy information, management accounting information is used within an organization and is usually confidential and access to which is only available to a select few. According to CIMA, The Chartered Institute of Management Accountants, Management Accounting is "the process of identification, measurement, accumulation, analysis, preparation, interpretation and communication of information used by management to plan, evaluate and control within an entity and to assure appropriate use of and accountability for its resources. Management accounting also comprises the preparation of financial reports for non management groups such as shareholders, creditors, regulatory agencies and tax authorities".

Aims:

- Formulating strategies;
- Planning and constructing business activities;
- Making decisions;
- Well use of resources;
- Supporting financial reports preparation; and
- Safeguarding assets.

In the late 1980s, accounting practitioners and educators were heavily criticized on the grounds that management accounting practices had changed little over the preceding 60 years, despite radical changes in the business environment. Professional accounting institutes, perhaps fearing that management accountants would increasingly be seen as superfluous in business organizations, subsequently devoted considerable resources to the development of a more innovative skills set for management accountants.

The distinction between 'traditional' and 'innovative' management accounting practices can be illustrated by reference to cost control techniques. Traditionally, management accountants' principal technique was variance analysis, which is a systematic approach to the comparison of the actual and budgeted costs of the raw materials and labour used during a production period.

While some form of variance analysis is still used by most manufacturing firms, it nowadays tends to be used in conjunction with innovative techniques such as life cycle cost analysis and activity-based costing, which are designed with specific aspects of the modern business environment in mind. Lifecycle costing recognizes that managers' ability to influence the cost of manufacturing a product is at its greatest when the product is still at the design stage of its product lifecycle, since small changes to the product design may lead to significant savings in the cost of manufacturing the product. Activity-based costing recognizes that, in modern factories, most manufacturing costs are determined by the amount of 'activities' and that the key to effective cost control is therefore optimizing the efficiency of these activities. Activity-based accounting is also known as Cause and Effect accounting.

Both lifecycle costing and activity-based costing recognize that, in the typical modern factory, the avoidance of disruptive events is of far greater importance than reducing the costs of raw materials. Activity-based costing also de-emphasizes direct labour as a cost driver and concentrates instead on activities that drive costs, such as the provision of a service or the production of a product component.

The most significant recent direction in managerial accounting is throughput accounting, which recognizes the interdependencies of modern production processes and provide managers with a tool that will allow them to measure the contribution per unit of constrained resource for any given product, customer or supplier. A seldom expressed alternative view of management accounting is that it is neither a neutral or benign influence in organizations, rather a mechanism for management control through surveillance. This view locates management accounting specifically in the context of management control theory.

There are several related professional qualifications in the field of accountancy including:

- Management Accountancy Qualifications
 - CIMA
 - MA
 - Institute of Cost and Works Accountants of India
 - AAFM
- Other Professional Accountancy Qualifications
 - Chartered Certified Accountant,
 - Chartered Accountant,
 - Certified Public Accountant,

Accounting Management is the practical application of management techniques to control and report on the financial health of the organization. It involves the analysis, planning, implementation, and control of programmes designed to provide financial data reporting for managerial decision making. This includes the maintenance of bank accounts, developing financial statements, cash flow and financial performance analysis. Accounting management is a mandatory knowledge module of any MBA programme. Accounting is often referred to as billing management. The goal is to gather usage statistics for users. Using the statistics the users can be billed and usage quota can be enforced.

Examples:

- Disk usage
- Link utilisation
- CPU time

For non-billed networks, 'Administration' replaces 'Accounting'. The goals of Administration is to administer the set of authorized users, by establishing users, passwords and permissions; and to administer the operations of the equipment such as by performing software backup and synchronization.

Activity-based Costing

Activity-based costing is a method of allocating costs to products and services. It is generally used as a tool for planning and control. This is a necessary tool for doing value chain analysis. The concepts of ABC were developed in the manufacturing sector of the U.S. during the 1970s and 80s. During this time, the Consortium for Advanced Manufacturing-International, now known simply as CAM-I, provided a formative role for studying and formalizing the principles that have become more formally known as Activity-Based Costing. Robin Cooper and Robert Kaplan, proponent of the Balanced Scorecard, brought notice to these concepts in a number of articles published in Harvard Business Review beginning in 1988.

Cooper and Kaplan described ABC as an approach to solve the problems of traditional cost management systems. These traditional costing systems are often unable to determine accurately the actual costs of production and of the costs of related services. Consequently managers were making decisions based on inaccurate data especially where there are multiple products.

Instead of using broad arbitrary percentages to allocate costs, ABC seeks to identify cause and effect relationships to objectively assign costs. Once costs of the activities have been identified, the cost of each activity is attributed to each product to the extent that the product uses the activity. In this way ABC often identifies areas of high overhead costs per unit and so directs attention to finding ways to reduce the costs or to charge more for costly products. Activity-based costing was first clearly defined in 1987 by Robert S. Kaplan and W. Bruns as a stage in their book Accounting and Management.

They initially focused on manufacturing industry where increasing technology and productivity improvements have reduced the relative proportion of the direct costs of labour and materials, but have increased relative proportion of indirect costs. For example increased automation has reduced labour, which is a direct cost, but has increased depreciation, which is an indirect cost.

Traditionally cost accountants had arbitrarily added a broad percentage onto the direct costs to allow for the indirect costs. However as the percentages of overhead costs had risen, this technique became increasingly inaccurate because the indirect costs were not caused equally by all the products. For example one product might take more time in one expensive machine than another product, but since the amount of direct labour and materials might be the same, the additional cost for the use of the machine would not be recognised when the same broad 'on-cost' percentage is added to all products. Consequently, when multiple products share common costs, there is a danger of one product subsidising another.

Like manufacturing industries, financial institutions also have diverse products which can cause cross-product subsidies. Since personnel expenses represent the largest single component of non-interest expense in financial institutions, these costs must also be attributed more accurately to products and customers. Activity based costing, even though developed for manufacturing, can therefore be a useful tool for doing this. This extended use of ABC to financial institutions was presented in 1990 in an article appearing in the *Journal of Bank Cost and Management Accounting* by Richard Sapp, David Crawford and Steven Rebishcke.

Direct labour and materials are relatively easy to trace directly to products, but it is more difficult to directly allocate indirect costs to products. Where products use common resources differently, some sort of weighting is needed in the cost allocation process. The measure of the use of a shared activity by each of the products is known as the cost driver. For example, the cost of the activity of bank tellers can be ascribed to each product by measuring how long each product's transactions takes at the counter and then by measuring the number of each type of transaction.

Even in activity-based costing, some overhead costs are difficult to assign to products and customers, for example the chief executive's salary. These costs are termed 'business sustaining' and are not assigned to products and customers because there is no meaningful method. This lump of unallocated overhead costs must nevertheless be met by contributions from each of the products, but it is not as large as the overhead costs before ABC is employed.

Although some may argue that costs untraceable to activities should be "arbitrarily allocated" to products, it is important to realise that the only purpose of ABC is to provide information to management. Therefore, there is no reason to assign any cost in an arbitrary manner. Management accountants can be creative in finding other ways to represent these costs on internal reporting statements.

MARKET OF HOSPITALITY AND TOURISM

A market is a social arrangement that allows buyers and sellers to discover information and carry out a voluntary exchange of goods or services. It is one of the two key institutions that organize trade, along with the right to own property. Allowing markets to arrive at a pareto efficient outcome is one of the key components of capitalism. In everyday usage, the word “market” may refer to the location where goods are traded, sometimes known as a marketplace, or to a street market.

The function of a market requires, at a minimum, that both parties expect to become better off as a result of the transaction. Markets generally rely on price adjustments to provide information to parties engaging in a transaction, so that each may accurately gauge the subsequent change of their welfare. In less sophisticated markets, such as those involving barter, individual buyers and sellers must engage in a more lengthy process of haggling in order to gain the same information. Markets are efficient when the price of a good or service attracts exactly as much demand as the market can currently supply.

The chief function of a market, then, is to adjust prices to accommodate fluctuations in supply and demand in order to achieve allocative efficiency. An economic system in which goods and services are exchanged by market functions is called a market economy. An alternative economic system in which non-market forces determine prices are called planned economies or command economies.

The attempt to combine socialist ideals with the incentive system of a market is known as market socialism. Although many markets exist in the traditional sense—such as a flea market—there are various other types of them and various organizational structures to assist their functions. A market can be organized as an auction, as a shopping centre, as a complex institution such as a stock market, and as an informal discussion between two individuals.

In economics, a market that runs under laissez-faire policies is a free market. It is “free” in the sense that the government makes no attempt to intervene through taxes, subsidies, minimum wages, price ceilings, etc. Markets may be distorted by a seller or sellers with monopoly power, or a buyer with monopsony power. Also, the level of organization or negotiation power of buyers, markedly affects the functioning of the market. Markets where price negotiations do not arrive at efficient outcomes for both sides are said to experience market failure.

Most markets are regulated by state wide laws and regulations. While barter markets exist, most markets use currency or some other form of money. Markets of varying types can spontaneously arise whenever a party has interest in a good or service that some other party can provide. Hence there can be a market for cigarettes in correctional facilities, another for chewing gum in a playground, and yet another for contracts for the future delivery of a commodity.

MARKET FAILURE

If advertising is poor, definitely there will be market failure. Market failure is a term used to describe a situation in which markets do not efficiently allocate goods and services. To economists, the term would normally be applied to situations where the inefficiency is particularly dramatic, or when it is suggested that non-market institutions would be more efficient and wealth-producing than their private alternatives.

On the other hand, the term “market failure” is also often used to describe situations where market forces do not serve the perceived public interest. However, the focus is on market failure as defined by mainstream economics. Economists use model-like theorems to explain or understand such cases.

The two main reasons that markets fail are:

- The inadequate expression of costs or benefits in prices and thus into microeconomic decision-making in markets.
- Sub-optimal market structures.

The existence of a market failure in a certain economic activity is often used as an argument that the activity in question should not be directed by market forces. This generally leads to a debate on the question of what - if anything - should be used to replace markets. The most common response to a market failure in the present day is to use the government to produce certain goods and services. However, government intervention may cause nonmarket failure by the intervention itself causing externalities.

TYPES OF MARKET FAILURES

Imperfect Competition

In economic theory, imperfect competition, is the competitive situation in any market where the conditions necessary for perfect competition are not satisfied.

Forms of imperfect competition include:

- Monopoly, in which there is only one seller of a good.
- Oligopoly, in which there is a small number of sellers.
- Monopolistic competition, in which there are many sellers producing highly differentiated goods.
- Monopsony, in which there is only one buyer of a good.
- Oligopsony, in which there is a small number of buyers.

There may also be imperfect competition in markets due to buyers or sellers lacking information about prices and the goods being traded. There may also be imperfect competition due to a time lag in a market. For example, in the 1990s, there was a shortage of computer programmers, but becoming a skilled programmer requires several years of experience. This drove up salaries. Another example is the “jobless recovery”.

There are many growth opportunities available after a recession, but it takes time for employers to react, leading to high unemployment. High unemployment decreases wages, which makes hiring more attractive, but it takes time for new jobs to be created.

Market Power

In economics, market power is the ability of a firm to alter the market price of a good or service. A firm with market power can raise price without losing all customers to competitors. When a firm has market power it faces a downward-sloping demand curve. In perfectly competitive markets, market participants have no market power. A firm with market power has the ability to individually affect either the total quantity or the prevailing price in the market.

If the demand curve is downward sloping then the decrease in supply as a result of the exercise of market power creates an economic deadweight loss in comparison with a situation of perfect competition. This is often viewed as socially undesirable, and as a result, many countries have anti-trust or other legislation with the aim of limiting the ability of firms to accrue market power. Such legislation often regulates mergers and sometimes introduces a judicial power to compel divestiture.

A firm usually has market power by virtue of it controlling a large portion of the market. In extreme cases - monopoly and monopsony - the firm controls the entire market. However, market size alone is not a good indicator of market power. Highly concentrated markets may be contestable if there are no barriers to entry or exit, limiting the incumbent firm's ability to raise its price above competitive levels. Market power gives firms the ability to engage in unilateral anti-competitive behaviour. Some of the behaviours that firms with market power are accused of engaging in include predatory pricing, product tying, and creation of overcapacity or other barriers to entry. If no individual participant in the market has significant market power, then anti-competitive behaviour can take place only through collusion, or the exercise of a group of participants' collective market power.

When several firms control a significant share of market sales, the resulting market structure is called an oligopoly or oligopsony. An oligopoly may engage in collusion, either tacit or overt, and thereby exercise market power. An explicit agreement in an oligopoly to affect market price or output is called a cartel. The behaviour of firms in perfect competition or monopoly can be treated as a simple optimization, but an oligopoly requires game theoretic analysis. Monopoly power is an example of market failure which occurs when one or more of the participants has the ability to influence the price or other outcomes in some general or specialized market. The most commonly discussed form of market power is that of a monopoly, but other forms such as monopsony, and more moderate versions of these two extremes, exist. Market participants that have market power are sometimes referred to as "price makers", while those without are sometimes called "price takers".

A well known example of monopolistic market power is Microsoft's market share in PC operating systems. The United States v. Microsoft case concerned the allegation that Microsoft illegally exercised its market power by bundling its web browser with its operating system. Some have suggested that Wal Mart exercises monopsonistic market power; its size allows it to extract extremely low prices from its suppliers.

Monopoly

In economics, is defined as a persistent market situation where there is only one provider of a product or service. Monopolies are characterized by a lack of economic competition for the good or service that they provide and a lack of viable substitute goods. Monopoly should be distinguished from monopsony, in which there is only one buyer of the product or service; it should also, strictly, be distinguished from the phenomenon of a cartel. In a monopoly a single firm is the sole provider of a product or service; in a cartel a centralized institution is set up to partially coordinate the actions of several independent providers.

STRATEGIES IN THE MARKETPLACE

The three primary strategies followed in the Indian hospitality industry are franchise agreements, marketing alliances, and representations.

Franchise Agreements

The primary motive of a brand franchise agreement is retaining ownership, while receiving a chain advantage. The areas where a company can gain through a franchise agreement is the accessibility of financing, easier start up, existing operating system, business assistance, established customer base, use of nationally recognised name, national marketing, access to discounted vendor relationships, benefit of loyalty programmes worldwide, etc. Alliances in India are with highly experienced and renowned companies who bring with them management expertise and in-depth knowledge of the industry. They help in operating internally as one integrated hotel company while enhancing the distinct characteristics of each brand in the market. This model can be applied across all verticals with a few alterations. Some of the players dominating the market are Cendant Corporation, Choice Hotels India, Carlson Hospitality India, Sarovar Park Hotels and Resorts. Another version of this is the management franchise agreement that is increasingly becoming popular today.

Marketing Alliances

These reciprocal relationships are primarily for cross-promotional purposes. It includes joint marketing activities that include joint participation in trade shows, sales events, culinary promotions and niche marketing programmes and sales leads, mutual

benefits for loyalty members. Explaining the rationale behind this is Ajoy Misra, senior vice president, of Indian Hotels Company, who says, “With continuous support from either sides, alliances can help us make forays into markets that would otherwise be uneconomical for us to move into, at least in the next five years. Singapore features as one of the top 10 source markets for us while India witnessed about 24,000 arrivals from South Korea in 2005 - an increase by 24 per cent over last year. All these indicators reflect that our alliance is a way forward in getting more business from these markets.” He sees global alliances developing in the future with alliance partners having to move towards providing seamless travel and accommodation solution to their customers. “Merging of loyalty programmes and a wider airline route on which the customers can collect loyalty points is the way forward,” he concludes.

Representations

Another visible strategy adopted by hotels is an alliance with a company to represent and market the brand internationally, a strategy followed by the Park Hotels with the Design Hotels, and Taj Hotels with the Leading Hotels of the World. V V Giri, associate vice president and general manager of The Park, Chennai cites, “This affiliation takes our company vision and expands it to the world gateways, giving us a place to market the brand internationally. Our brand mission is to lead by differentiation and Design Hotels fulfills that platform; it helps us reach like-minded travellers who believe in this brand philosophy.”

MARKETING PLAN

There are two major components to your marketing strategy:

- How your enterprise will address the competitive marketplace
- How you will implement and support your day to day operations.

In today's very competitive marketplace a strategy that insures a consistent approach to offering your product or service in a way that will outsell the competition is critical. However, in concert with defining the marketing strategy you must also have a well defined methodology for the day to day process of implementing it. It is of little value to have a strategy if you lack either the resources or the expertise to implement it.

In the process of creating a marketing strategy you must consider many factors. Of those many factors, some are more important than others. Because each strategy must address some unique considerations, it is not reasonable to identify ‘every’ important factor at a generic level. However, many are common to all marketing strategies. Some of the more critical are described below.

You begin the creation of your strategy by deciding what the overall objective of your enterprise should be.

In general this falls into one of four categories:

- If the market is very attractive and your enterprise is one of the strongest in the industry you will want to invest your best resources in support of your offering.
- If the market is very attractive but your enterprise is one of the weaker ones in the industry you must concentrate on strengthening the enterprise, using your offering as a stepping stone towards this objective.
- If the market is not especially attractive, but your enterprise is one of the strongest in the industry then an effective marketing and sales effort for your offering will be good for generating near term profits.
- If the market is not especially attractive and your enterprise is one of the weaker ones in the industry you should promote this offering only if it supports a more profitable part of your business or if it absorbs some of the overhead costs of a more profitable segment. Otherwise, you should determine the most cost effective way to divest your enterprise of this offering.

Having selected the direction most beneficial for the overall interests of the enterprise, the next step is to choose a strategy for the offering that will be most effective in the market.

This means choosing one of the following ‘generic’ strategies.

- A Cost Leadership Strategy is based on the concept that you can produce and market a good quality product or service at a lower cost than your competitors. These low costs should translate to profit margins that are higher than the industry average. Some of the conditions that should exist to support a cost leadership strategy include an on-going availability of operating capital, good process engineering skills, close management of labour, products designed for ease of manufacturing and low cost distribution.
- A Differentiation strategy is one of creating a product or service that is perceived as being unique “throughout the industry”. The emphasis can be on brand image, proprietary technology, special features, superior service, a strong distributor network or other aspects that might be specific to your industry. This uniqueness should also translate to profit margins that are higher than the industry average. In addition, some of the conditions that should exist to support a differentiation strategy include strong marketing abilities, effective product engineering, creative personnel, the ability to perform basic research and a good reputation.
- A Focus Strategy may be the most sophisticated of the generic strategies, in that it is a more ‘intense’ form of either the cost leadership or differentiation strategy. It is designed to address a “focused” segment of the marketplace, product form or cost management process and is usually employed when it isn’t appropriate to attempt an ‘across the board’ application of cost leadership or differentiation. It is based on the concept of serving a particular target in

such an exceptional manner, that others cannot compete. Usually this means addressing a substantially smaller market segment than others in the industry, but because of minimal competition, profit margins can be very high.

PRICING

Having defined the overall offering objective and selecting the generic strategy you must then decide on a variety of closely related operational strategies. One of these is how you will price the offering. A pricing strategy is mostly influenced by your requirement for net income and your objectives for long term market control. There are three basic strategies you can consider. A Skimming Strategy: If your offering has enough differentiation to justify a high price and you desire quick cash and have minimal desires for significant market penetration and control, then you set your prices very high. A Market Penetration Strategy: If near term income is not so critical and rapid market penetration for eventual market control is desired, then you set your prices very low. A Comparable Pricing Strategy: If you are not the market leader in your industry then the leaders will most likely have created a 'price expectation' in the minds of the marketplace. In this case you can price your offering comparably to those of your competitors.

PROMOTION

To sell an offering you must effectively promote and advertise it. There are two basic promotion strategies, PUSH and PULL.

- The Push Strategy maximizes the use of all available channels of distribution to "push" the offering into the marketplace. This usually requires generous discounts to achieve the objective of giving the channels incentive to promote the offering, thus minimizing your need for advertising.
- The Pull Strategy requires direct interface with the end user of the offering. Use of channels of distribution is minimized during the first stages of promotion and a major commitment to advertising is required. The objective is to "pull" the prospects into the various channel outlets creating a demand the channels cannot ignore.

There are many strategies for advertising an offering. Some of these include:

- *Product Comparison advertising:* In a market where your offering is one of several providing similar capabilities, if your offering stacks up well when comparing features then a product comparison ad can be beneficial.
- *Product Benefits advertising:* When you want to promote your offering without comparison to competitors, the product benefits ad is the correct approach. This is especially beneficial when you have introduced a new approach to solving a user need and comparison to the old approaches is inappropriate.
- *Product Family advertising:* If your offering is part of a group or family of offerings that can be of benefit to the customer as a set, then the product family ad can be of benefit.

- *Corporate advertising:* When you have a variety of offerings and your audience is fairly broad, it is often beneficial to promote your enterprise identity rather than a specific offering.

Distribution

You must also select the distribution method you will use to get the offering into the hands of the customer.

These include:

- On-premise Sales involves the sale of your offering using a field sales organization that visits the prospect's facilities to make the sale.
- Direct Sales involves the sale of your offering using a direct, in-house sales organization that does all selling through the Internet, telephone or mail order contact.
- Wholesale Sales involves the sale of your offering using intermediaries or "middle-men" to distribute your product or service to the retailers.
- Self-service Retail Sales involves the sale of your offering using self service retail methods of distribution.
- Full-service Retail Sales involves the sale of your offering through a full service retail distribution channel.

Of course, making a decision about pricing, promotion and distribution is heavily influenced by some key factors in the industry and marketplace.

These factors should be analysed initially to create the strategy and then regularly monitored for changes. If any of them change substantially the strategy should be reevaluated.

The Environment

Environmental factors positively or negatively impact the industry and the market growth potential of your product/service.

Factors to consider include:

- *Government actions:* Government actions can support or detract from your strategy. Consider subsidies, safety, efficacy and operational regulations, licensing requirements, materials access restrictions and price controls.
- *Demographic changes:* Anticipated demographic changes may support or negatively impact the growth potential of your industry and market. This includes factors such as education, age, income and geographic location.
- *Emerging technology:* Technological changes that are occurring may or may not favour the actions of your enterprise.
- *Cultural trends:* Cultural changes such as fashion trends and life style trends may or may not support your offering's penetration of the market

The Prospect

It is essential to understand the market segment as defined by the prospect characteristics you have selected as the target for your offering.

Factors to consider include:

- The potential for market penetration involves whether you are selling to past customers or a new prospect, how aware the prospects are of what you are offering, competition, growth rate of the industry and demographics.
- The prospect's willingness to pay higher price because your offering provides a better solution to their problem.
- The amount of time it will take the prospect to make a purchase decision is affected by the prospects confidence in your offering, the number and quality of competitive offerings, the number of people involved in the decision, the urgency of the need for your offering and the risk involved in making the purchase decision.
- The prospect's willingness to pay for product value is determined by their knowledge of competitive pricing, their ability to pay and their need for characteristics such as quality, durability, reliability, ease of use, uniformity and dependability.
- Likelihood of adoption by the prospect is based on the criticality of the prospect's need, their attitude about change, the significance of the benefits, barriers that exist to incorporating the offering into daily usage and the credibility of the offering.

The Product/Service

You should be thoroughly familiar with the factors that establish products/services as strong contenders in the marketplace.

Factors to consider include:

- Whether some or all of the technology for the offering is proprietary to the enterprise.
- The benefits the prospect will derive from use of the offering.
- The extent to which the offering is differentiated from the competition.
- The extent to which common introduction problems can be avoided such as lack of adherence to industry standards, unavailability of materials, poor quality control, regulatory problems and the inability to explain the benefits of the offering to the prospect.
- The potential for product obsolescence as affected by the enterprise's commitment to product development, the product's proximity to physical limits, the ongoing potential for product improvements, the ability of the enterprise to react to technological change and the likelihood of substitute solutions to the prospect's needs.

- Impact on customer's business as measured by costs of trying out your offering, how quickly the customer can realise a return from their investment in your offering, how disruptive the introduction of your offering is to the customer's operations and the costs to switch to your offering.
- The complexity of your offering as measured by the existence of standard interfaces, difficulty of installation, number of options, requirement for support devices, training and technical support and the requirement for complementary product interface.

The Competition

It is essential to know who the competition is and to understand their strengths and weaknesses.

Factors to consider include:

- Each of your competitor's experience, staying power, market position, strength, predictability and freedom to abandon the market must be evaluated.

Your Enterprise

An honest appraisal of the strength of your enterprise is a critical factor in the development of your strategy.

Factors to consider include:

- Enterprise capacity to be leader in low-cost production considering cost control infrastructure, cost of materials, economies of scale, management skills, availability of personnel and compatibility of manufacturing resources with offering requirements.
- The enterprise's ability to construct entry barriers to competition such as the creation of high switching costs, gaining substantial benefit from economies of scale, exclusive access to or clogging of distribution channels and the ability to clearly differentiate your offering from the competition.
- The enterprise's ability to sustain its market position is determined by the potential for competitive imitation, resistance to inflation, ability to maintain high prices, the potential for product obsolescence and the 'learning curve' faced by the prospect.
- The prominence of the enterprise.
- The competence of the management team.
- The adequacy of the enterprise's infrastructure in terms of organization, recruiting capabilities, employee benefit programmes, customer support facilities and logistical capabilities.
- The freedom of the enterprise to make critical business decisions without undue influence from distributors, suppliers, unions, creditors, investors and other outside influences.
- Freedom from having to deal with legal problems.

Development

A review of the strength and viability of the product/service development Programme will heavily influence the direction of your strategy.

Factors to consider include:

- The strength of the development manager including experience with personnel management, current and new technologies, complex projects and the equipment and tools used by the development personnel.
- Personnel who understand the relevant technologies and are able to perform the tasks necessary to meet the development objectives.
- Adequacy and appropriateness of the development tools and equipment.
- The necessary funding to achieve the development objectives.
- Design specifications that are manageable.

Production

You should review your enterprise's production organization with respect to their ability to cost effectively produce products/services.

The following factors are considered:

- The strength of production manager including experience with personnel management, current and new technologies, complex projects and the equipment and tools used by the manufacturing personnel.
- Economies of scale allowing the sharing of operations, sharing of production and the potential for vertical integration.
- Technology and production experience
- The necessary production personnel skill level and/or the enterprise's ability to hire or train qualified personnel.
- The ability of the enterprise to limit suppliers bargaining power.
- The ability of the enterprise to control the quality of raw materials and production.
- Adequate access to raw materials and sub-assembly production.

Marketing/Sales

The marketing and sales organization is analysed for its strengths and current activities.

Factors to consider include:

- Experience of Marketing/Sales manager including contacts in the industry familiarity with advertising and promotion, personal selling capabilities, general management skills and a history of profit and loss responsibilities.
- The ability to generate good publicity as measured by past successes, contacts in the press, quality of promotional literature and market education capabilities.
- Sales promotion techniques such as trade allowances, special pricing and contests.

- The effectiveness of your distribution channels as measured by history of relations, the extent of channel utilization, financial stability, reputation, access to prospects and familiarity with your offering.
- Advertising capabilities including media relationships, advertising budget, past experience, how easily the offering can be advertised and commitment to advertising.
- Sales capabilities including availability of personnel, quality of personnel, location of sales outlets, ability to generate sales leads, relationship with distributors, ability to demonstrate the benefits of the offering and necessary sales support capabilities.
- The appropriateness of the pricing of your offering as it relates to competition, price sensitivity of the prospect, prospect's familiarity with the offering and the current market life cycle stage.

Customer Services

The strength of the customer service function has a strong influence on long term market success.

Factors to consider include:

- Experience of the Customer Service manager in the areas of similar offerings and customers, quality control, technical support, product documentation, sales and marketing.
- The availability of technical support to service your offering after it is purchased.
- One or more factors that causes your customer support to stand out as unique in the eyes of the customer.
- Accessibility of service outlets for the customer.
- The reputation of the enterprise for customer service.

After defining your strategy you must use the information you have gathered to determine whether this strategy will achieve the objective of making your enterprise competitive in the marketplace. Two of the most important assessments are described below.

Cost to Enter Market

This is an analysis of the factors that will influence your costs to achieve significant market penetration.

Factors to consider include:

- Your marketing strength.
- Access to low cost materials and effective production.
- The experience of your enterprise.
- The complexity of introduction problems such as lack of adherence to industry standards, unavailability of materials, poor quality control, regulatory problems and the inability to explain the benefits of the offering to the prospect.

- The effectiveness of the enterprise infrastructure in terms of organization, recruiting capabilities, employee benefit Programmes, customer support facilities and logistical capabilities.
- Distribution effectiveness as measured by history of relations, the extent of channel utilization, financial stability, reputation, access to prospects and familiarity with your offering.
- Technological efforts likely to be successful as measured by the strength of the development organization.
- The availability of adequate operating capital.

Profit Potential

This is an analysis of the factors that could influence the potential for generating and maintaining profits over an extended period.

Factors to consider include:

- Potential for competitive retaliation is based on the competitors resources, commitment to the industry, cash position and predictability as well as the status of the market.
- The enterprise's ability to construct entry barriers to competition such as the creation of high switching costs, gaining substantial benefit from economies of scale, exclusive access to or clogging of distribution channels and the ability to clearly differentiate your offering from the competition.
- The intensity of competitive rivalry as measured by the size and number of competitors, limitations on exiting the market, differentiation between offerings and the rapidity of market growth.
- The ability of the enterprise to limit suppliers bargaining power.
- The enterprise's ability to sustain its market position is determined by the potential for competitive imitation, resistance to inflation, ability to maintain high prices, the potential for product obsolescence and the 'learning curve' faced by the prospect.
- The availability of substitute solutions to the prospect's need.
- The prospect's bargaining power as measured by the ease of switching to an alternative, the cost to look at alternatives, the cost of the offering, the differentiation between your offering and the competition and the degree of the prospect's need.
- Market potential for new products considering market growth, prospect's need for your offering, the benefits of the offering, the number of barriers to immediate use, the credibility of the offering and the impact on the customer's daily operations.
- The freedom of the enterprise to make critical business decisions without undue influence from distributors, suppliers, unions, investors and other outside influences.

PARTNERS

Fluidly interlocking into the fabric of business, alliances are indispensable drivers of growth in the hospitality industry. “The forces of a powerful ally can be useful and good to those who have recourse to them...but are perilous to those who become dependent on them.” Niccolo Machiavelli, political genius and commentator, penned the aforementioned somewhat sinister version of alliances in his epochal ‘The Prince’. While Machiavellianism alludes to alliances amongst unequals, the end justifying the means, in the realms of commerce it refers to a symbiotic relationship for mutual benefit between likeminded partners, equals in their own stead.

Historically, alliances resulted from spontaneous cooperation between people. The resultant synergies and innate power of a massive, yet heterogeneous body, with a unified objective furthered the interest of its constituent members. This flagged off its initial popularity in tourism, in a fragmented marketplace where resources were limited and the industry - heavily regulated. The composite benefits of these associations weren’t always visible to the end consumer and government. Having been perceived as a threat to a free economy as cartels, they resulted in taking recourse to anti-trust immunity in extreme cases, an attempt to prove them as pro-consumer and pro-competition. The scenario here is now replicating global patterns.

India, since independence, followed the socialist ideal with state control on resources, both natural and manmade. Most tourism policies were grounded in socio-political leanings and macro economic connotations with development restricted by the license-permit Raj. A tourism policy came into the picture as late as 1982 and a national Action Plan for Tourism, just 10 years later. An isolationist approach followed by the democratic government, a crippling paucity of funds to fuel growth, and an absence of infrastructure kept demand to the minimal. This somewhat bleak and regulated landscape drove strategic alliances to the forefront, with partners leveraging benefits of access to additional resources and a strong brand to increase network. This was primarily outward, be it airlines through code-sharing or hotels through marketing and franchise agreements, and much later in the day, through tactical alliances.

The opening of the economy stimulated tourism, which was growing till then in spurts and gasps. Today, the world’s eyes are focused on India, and rightly so. The World Travel and Tourism Council’s projection of travel and tourism growth for 2006-2015 in India is a staggering annualised rate of 8.6 per cent. Logically, the scenario impels one to capitalise on and leverage the strength of a partner, before the dust settles.

THE FUNDAMENTALS OF ALLIANCES

Alliances fall in the category of either strategic alliances at one end of the spectrum or a time-bound tactical promotion at the other end. Each segment has a valid reason for an alliance, objectives being clearly etched out by the partners, benefiting consumers

and bringing economic benefits to the parties. A critical aspect of an alliance is the partner. Most organisations have a diktat to affiliate with the right partner, a brand which is the right fit with their own growth as well as the time frame to meet mutual objectives, taking cognisance of investments. For a successful alliance, you look for a like-minded business for a partner along with a value proposition to the customer, and the speed and readiness for rolling out to retain competitive edge, so that both sides gain, with measurability of the campaign's outcome.

Alliance partners within tourism share a symbiotic relationship with each key player working in tandem with the other, either within the same vertical or outside. No single supplier can be a claimant of success without an alliance, strategic or otherwise due to co-dependency. But were alliances the mainstay of all promotional activities and growth strategies? Not necessarily. They came into the picture only when the perceived success rate and profitability of the venture were compelling factors to cement their position.

Hotels traditionally looked at alliances to leverage a brand name. The examples of this were Holiday Inn franchisees or marketing franchise agreements in India, Taj Hotels and Shilla Hotels based in Korea - one of the oldest alliances being the marketing franchise between ITC-Welcome group with the Sheraton Corporation that lasted 30 years. Each homegrown player strengthened its reach across borders, primed to capture a slice of the high spend market - primarily through the franchise route. This has been effectively employed by brands choosing to enter India, without taking recourse to sizeable investments. This strategy is not only popular with hotels but with other segments as well.

Choice Hotels India franchises its Quality Inn and Comfort Inn brands across India with the benefits of a chain affiliation accruing to partners, leveraging the brand's international reservations and optimising their yields. Vilas Pawar, CEO, Choice Hotels India, says, "Today it is difficult to create a brand. Establishing an identity needs a gestation period of about 50-60 years."

In such a scenario, a strategic brand partnership has found its roots within the segment, a popular recourse followed by many realtors foraying into the segment. But for the established brands, strategic marketing alliances with the additional bait of loyalty programmes are the preferred approach. For instance, Bharat Hotel's marketing alliances with the Intercontinental Hotel Group, such as Priority Club Rewards and the Ambassador Programme has ensured an increase in occupancy F&B revenues.

But it stretches to consumer goods too. Hyatt International has developed a strategic marketing partnership with Porsche that encompasses a range of joint marketing activities, in addition to one with Bang and Olufsen to specially design products and provide expertise to Hyatt, reveals Ratnesh Verma. Such alliances create an inspirational value to customers, and invariably, a brand connect and loyalty.

TYPES OF ALLIANCES

There are different objectives for forging an alliance with another partner, but they could be broadly categorised into the following: Strategic alliances are long-term associations with a higher commitment of resources.

It is essentially forged to build a long-term competitive advantage in the current business environment that is more global than regional, has more discerning and demanding consumers and is more dynamic than ever. Examples of this could be to launch a co-branded product, have a common loyalty programme or have a long-term joint marketing programme due to consonance between two brands in terms of customer demographics and image. Tactical alliances are short-term associations, addressing short term needs. Examples could include sales promotion to boost sales in a lean period, acquire more customers into a loyalty programme or partner an event. It is also pertinent to mention that advances in technology and the evolution of the Internet have opened up new dimensions in this area.

BENEFITS OF AN ALLIANCE

- Leverage of each other's brands through positive brand association
- Reach to a larger slice of their target audience through partner's database
- Gain competitive advantage by offering their customers more choices
- Stretch the marketing rupees
- Increased market share, revenues and incremental revenue earned
- Enhanced image and perception of the alliance partner
- Increased share of mind space with end customers

INDIAN HOSPITALITY

In 2004-05, Visakhapatnam was the market leader in terms of occupancy, registering occupancy of 80.6 per cent. Bangalore achieved the second-highest occupancy at 79.8 per cent. It also had the highest across all categories among the 30 cities, with an ARR of Rs 6,762. New Delhi was the second highest, registering an ARR of Rs 5,498. All India average occupancy was 63.6 per cent, an increase of 3.9 per cent occupancy points the previous year's level, or 6.5 per cent in real terms. All India ARR increased by 26.9 per cent over the previous year.

Star category-wise occupancies ranged between 46.3 per cent to 72.1 per cent. Average rates showed a much greater spread, from Rs 5,499 for five-star deluxe hotels to Rs 643 for one-star hotels, an increase of Rs 1,052 and Rs 140, respectively, from the previous year. The All India average revenue per available room increased substantially, from Rs 1,605 in 2003-04 to Rs 2,170 in 2004-05, reflecting an increase of 35.2 per cent. In the eight years of the survey, this has been the second-highest RevPAR growth.

Rooms revenue, generally considered being the most important source of a hotel's overall profitability, was 57.7 per cent of total revenue for five-star deluxe hotels, 60.1 per cent of total revenue for five-star hotels and 56.6 per cent for four-star hotels. Overall it represented 57.3 per cent of total revenue. Food and Beverage revenue represented 28.3 per cent of total revenue across all hotels, a decrease of 4.6 per cent from last year. The all India average of Rooms department expense as a percentage of Rooms revenue declined further from 17.8 per cent in 2003-04 to 14.7 per cent in 2004-05.

Similarly, the all India average Food and Beverage department expense as a percentage of Food and Beverage revenue declined from 55.9 per cent in 2003-04 to 53.9 per cent in 2004-05. Minor Operated department expense as a percentage of Minor Operated department revenue registered an increase from 53.7 per cent in 2003-04 to 58.8 per cent in 2004-05. Telephone and other department expense, at 64.3 per cent of total revenue, was the highest departmental expense. Total departmental expense as a percentage of total departmental revenue reflected a further decline, from 37.4 per cent in 2002-03 and 33.7 per cent in 2003-04 to 30.9 per cent in 2004-05. This is partly owing to higher ARRs.

Percentage of foreign guests increased to 28.3 per cent in 2004-05, compared to 25.0 per cent in 2003-04, primarily as the percentage of foreign business travellers grew. Of the foreign guests, the UK provided the largest demand, at 16.2 per cent, followed by USA, at 12.8 per cent, and France at 7.2 per cent. Domestic guests continue to be the most important segment for the Indian hotel industry, accounting for 71.7 per cent of all guests in 2004-05, though this has decreased marginally from 75 per cent in 2003-04 and 76.9 per cent in 2002-03.

All India average stay of a business traveller has increased from two days to 2.4 days. There is an increase in foreign business travellers utilising five-star deluxe, five-star, four-star hotels and heritage hotels from 27 per cent, 18.6 per cent, 11.4 per cent and 11.7 per cent, respectively, in 2003-04 to 28.1 per cent, 21.4 per cent, 13.7 per cent and 14.1 per cent, respectively, in 2004-05.

Owing to all India increased occupancy, property operations and maintenance expenses per available room has increased from Rs 69,735 in 2003-04 to Rs 91,981 in 2004-05. Average monthly occupancy was highest in December, followed by November and January, February. Direct enquiry and advance reservations by travel agents and tour operators cumulatively comprise 75.9 per cent of reservation source for the Indian hotel industry.

Five-star deluxe hotels are making the best use of GDS as 8.1 per cent of the total reservations for five-star deluxe hotels come from GDS, against the all India average of 1.7 per cent. GDS reservations generally provide higher room rates compared to the other channels. Print advertising is the most popular medium used by the Indian hotel industry with the all India average at 92.2 per cent of hotels using it, followed by 82.5 per cent using direct mails.

Radio advertising features as the least utilised marketing media at 8.4 per cent, followed by merchandising at 24.5 per cent, by the Indian hotel industry in 2004-05. All five-star deluxe hotels used the hotel web site at 100 per cent as a marketing medium in 2004-05. Credit cards as a mode of transaction increased from 27.7 per cent and 30.4 per cent in 2002-03 and 2003-04, respectively to 32.5 per cent in 2004-05. Credit cards remained the most popular method of payment at five-star deluxe hotels at 47.4 per cent. Visa was the most widely used credit card by hotel guests in 2004-05, followed by Mastercard. American Express charged the highest credit card commission at 2.9 per cent against 1.7 per cent by Visa and Mastercard.

Comparison with the results of the survey in 2004-05 with the previous year, shows that nearly all categories saw an increase in occupancy and a significant increase in average rate. This resulted in a major increase in RevPAR across all categories with the highest RevPAR growth in four-star hotels at 41.9 per cent and an all India RevPAR growth at 35.2 per cent. The demand for rooms has been positive and owing to lack of adequate new supply, hotels in nearly all categories have managed to simultaneously increase the occupancy and average rates.

Among environmental issues, electricity consumption is the most monitored attribute, followed by water consumption. Five-star deluxe and five-star hotels continue to monitor environmental issues most closely. Energy expenses accounted for 8.9 per cent of total revenue in 2004-05 against 10.5 per cent of total revenue in 2003-04 and 12.3 per cent in 2002-03. This may be partly attributed to rising revenues and partly to the increase in efforts made to conserve energy by the industry in India.

OTHER SIGNIFICANT TRENDS

All India average revenue per hotel has grown significantly, from Rs 9.15 crore during 2003-04 to Rs 11.49 crore during 2004-05, and is expected to see further improvement in the next few years owing to an increase in occupancy and average rate.

House Profit as a percentage of revenue increased from 34.8 per cent in 2003-04 to 40.7 per cent in 2004-05. The all India average net income per hotel also increased, from Rs 2.80 crore in 2003-04 to Rs 4.08 crore in 2004-05, reflecting the overall health of the industry. July has the lowest monthly occupancy in the year. However, occupancy for all months was higher in 2004-05 compared to the last five years. The year 2004-05 saw a continuation of the growth momentum experience by the hotel industry in 2003-04. Most cities saw occupancy levels improve over the previous year and, consecutively for two years, both occupancy and average room rates have improved.

City Trends

The following paragraphs detail the expectations of new supply and performance for 19 important hotel markets, based on research undertaken and forecasts made by HVS International.

New Delhi

Occupancy witnessed a growth of 10.82 per cent in 2004-05. Average rates registered an increase of 29.43 per cent. The National Capital Region is expected to see an estimated 27 new hotels, serviced apartments and mixed-use developments with approximately 4,900 rooms in various categories over the next three to four years, with nearly 20 new hotels to be in Gurgaon alone. The new supply will start entering the market in 2007-08. This growth will be supported by significantly improved road and transport infrastructure, privatisation of the Delhi airport and demand induced by the Commonwealth Games, to be held in Delhi in 2010. There will be further increase in hotel activity, especially in the mid-market and budget segment, after the much-awaited auction of sites by the Delhi Development Authority.

Mumbai

Citywide occupancy in Mumbai increased by 13.0 per cent and average rate witnessed an increase of 40.6 per cent in 2004-05. Mumbai is expected to see 19 new hotels, serviced apartments and mixed-use developments with approximately 4,950 rooms in various categories over the next three to four years. The bulk of the new supply will enter the Mumbai market by 2008-09. Most companies setting up operations in Mumbai now prefer to locate to new commercial districts in the suburbs like Andheri, Bandra-Kurla and Malad, and other periphery areas like Navi-Mumbai and Mulund; and, hotel development has shifted to these areas. Now, with availability of commercial space in the mills area, places like Parel, Lower Parel, Worli and Mahalaxmi will see increased hotel development activity. This is more so with the proposed development of Bandra-Worli Sea Link, which will significantly reduce the travel time between Bandra and central Mumbai.

Kolkata

Kolkata is expected to see 12 new hotels, serviced apartments and mixed-use developments with approximately 2,000 rooms entering the market in various categories over the next few years. The city is becoming a preferred location for conferences and seminars due to the relatively easy availability of space and at a lower cost as compared to other metros. It is also the commercial capital of the northeast region, with most companies basing their headquarters in the city.

Pune

Pune is expected to see 11 new hotels, serviced apartments and mixed-use developments with approximately 1,600 rooms in various categories over the next three to four years. The addition to supply, although quite high, is likely to be successfully absorbed, taking into account Pune's low room base of approximately 800 rooms and a continuous growth in the city's IT, ITeS, BPO and manufacturing industries.

Chennai

Chennai witnessed an occupancy increase of 15.7 per cent, following a decline for two consecutive years. The city saw a simultaneous increase in average rate by approximately 15.6 per cent. Chennai is expected to see 14 new hotels, serviced apartments and mixed-use developments with approximately 2,900 rooms in various categories over the next few years. The Old Mahabalipuram Road connecting Chennai with Mahabalipuram is being developed as an IT corridor to house various IT and ITeS companies. As existing tech parks are full to capacity, software companies are also looking at sick industrial unit areas such as Guindy, Taramani, Ambattur and Padi, which are being converted into software technology parks. We see Chennai as a stable market and expect it to continue to show improvements in occupancy and average rate in the next few years.

Bengaluru

Bangalore's hotel market grew marginally in terms of occupancy and by approximately 64.5 per cent in terms of the average room rate. This is on the back of very high demand and lack of new supply. Approximately 7.0 million square feet of commercial space is likely to be absorbed this fiscal year. Bangalore is expected to see, at last count, 27 new hotels, serviced apartments and mixed-use developments with approximately 6,100 rooms in various categories over the next few years. With work on the international airport having commenced the northern areas of the city will see pronounced commercial and hotel development activity. The first phase of the airport is estimated to open by October 2008. Road infrastructure, however, remains the biggest challenge for the city.

Goa

Goa is expected to see development of eight new hotels with approximately 1,200 rooms in various categories over the next 2-3 years. Goa is an extremely promising market with the highest average length of stay by both foreign and domestic guests. The proposed Mopa airport is anticipated to witness much higher traffic flow than the airport at Dabolim. Accompanying the airport project will be a new ground transportation system, which will benefit the whole of Goa.

Agra

Agra has seen an increase in occupancy of 22.9 per cent. Average rates have decreased marginally by 1.4 per cent. This may be partly attributed to a higher base surveyed in 2003-04 and an increase in smaller hotels participating in the survey. Tourists typically make a day trip to Agra from Delhi; the increase in occupancy is owing to the meetings and conference segment, which has seen a significant growth for two consecutive years.

Ahmedabad

The survey indicates an occupancy decline of 7.7 per cent and a decrease in average rate by 8.9 per cent. This may again be due to change in composition of hotels participating in the survey. However, HVS's independent research indicates an estimated 15.0 per cent increase in both occupancy and average rate. Hotel activity will increase in the city owing to expected commercial growth on CG Road, Ashram Road, Satellite Road and SG Highway-particularly from the pharma, financial sector, telecom, retail, textiles, BPO and IT services.

Kochi

The survey indicates a decrease in occupancy of 4.2 per cent and a decrease in average rate by 22.3 per cent. This may be partly attributed to a variation in the hotels participating in the survey and does not reflect the true market condition. The city's hotel demand generators are mainly tourism related, with commercial demand borne out of shipping, Kochi Port, Cochin Shipyard, oil refineries and marine and agro export industries based in the city. Banking, financial services, insurance and the telecom sectors have seen growth over the past two years.

Hyderabad

In Hyderabad, overall occupancy increased by 3.3 per cent. Average rates registered an increase of 13.4 per cent over the previous year. HITEC City, HITEX, Genome Valley and ICICI Knowledge Park demonstrate the state's commitment to create world class infrastructure. The convention centre opening in 2006, with approximately 75,000 square feet of conferencing facility and 55 break-out rooms, is the first of its kind in South Asia. The convention centre will induce substantial demand for rooms in the city. The Hyderabad market will continue to witness a strong increase in occupancy and average rate in the next few years.

Jaipur

Occupancy levels increased by 14.2 per cent in 2004-05 and average rates increased by 10.0 per cent over the previous year. Besides being a preferred tourist and wedding destination, the city of Jaipur is gaining prominence as a commercial destination as well. This is owing to increased travel by buyers for gems, jewellery and textiles. With the proposal for a Jaipur special economic zone, an international airport and an ethnic village, the city will see development of new hotel projects. There is a chance of Jaipur facing an oversupply of rooms in 3-4 years.

Lucknow

Occupancy levels increased marginally by 0.6 per cent in 2004-05 and average rates increased by 10.0 per cent over the previous year. Lucknow has been a very stable

market and is witnessing a rise in average rate for the last two years. Lately, Lucknow has also seen increased retail activity.

Nagpur

Nagpur witnessed a decline in occupancy by 10.1 per cent and a decrease in average rates by 5.5 per cent from the previous year. The Nagpur market has now declined for two years consecutively.

Thiruvananthapuram

The city witnessed a decrease in occupancy of 7.0 per cent, and a growth in average room rate of 38.6 per cent. Being the state capital, the city is a hub of political activity. Moreover, Thiruvananthapuram, with its famous beaches, is among the top tourist destinations in India.

The city has grown as a tourist and commercial centre, with the international airport being one of the gateways into Kerala.

Udagamandalam

Ooty city has seen a decline in occupancy by 9.0 per cent and an increase in average rate by 15.6 per cent. Mainly a tourist destination, Ooty is known for its picturesque locales. The city is unlikely to see any major hotel activity in the next 2-3 years.

Udaipur

Citywide occupancy increased by 19.25 per cent in 2004-05. Average rate showed a steep increase of 53.65 per cent. The increase in the average rate may be partly attributed to the inclusion of luxury/heritage hotels in the survey. Udaipur has lately seen an increase in international events and is attracting many domestic off-site meetings, conferences and weddings as well.

Vadodara

Citywide occupancy increased marginally from 62.5 per cent in 2003-04 to 62.6 per cent in 2004-05. Similarly, the average rate increased from Rs 458 in 2003-04 to Rs 467 in 2004-05.

The Gujarat government has also been promoting the state as a commercial destination and is giving incentives to various companies.

Visakhapatnam

Visakhapatnam witnessed a steep increase in occupancy by 15.0 per cent in 2004-05 and an increase in average rates by 18.4 per cent. In the past, the city experienced rapid industrialization with the onset of major industries: an oil refinery, a large fertilizer factory, the Hindustan Zinc smelter and the Visakhapatnam steel plant.

INDIA LACKS INFRASTRUCTURE

Even as the city of Bangalore witnesses domestic and international visitors in equal measure, much like any other international metropolitan, it is still lacking in the most basic of amenities - infrastructure. We have vehicles that ply the city with registrations from across the country and the city's inhabitants speak more than four or five regional languages. We have the best specialty restaurants. Despite this, the existing facilities don't even meet national standards, forget international proportions. While she admits that there have been new hoteliers in the city most of whom are foreign brands, Marshall feels that all of this is sometimes a huge myth.

"I believe in construction!" She adds, "Sometimes, projects remain on paper, barring a few projects. I do hear from industry sources and read in print that a certain player is in a management tie-up with someone and certain realtors are venturing into the project. But there has not been one stone turned in the name of construction." While the international business travellers and domestic tourists who visit the city come looking for five-star properties, they all need to maneuver through potholes on bumpy roads.

Marshall believes that unless basic infrastructure is not taken care of with immediate effect, things might worsen. She says, "Infrastructure is mandatory. However, it is amazing to see how the city is still thriving with business travellers despite everything. Sadly the supply of quality hospitality services still continues to be in short supply. But hopefully things will improve in future both for the city and the travellers."

RIGHT IN THE ELEVENTH TRY

Hosting five million visitors from abroad has been the tourism industry's dream for well over a decade and a half. In the quest for this magic number a dream paper was drawn up in the early 1990s by the then cabinet secretary - an unusual level of initiative. That paper had envisaged an investment of Rs 36,000 crore from both the public and private sectors and a whole list of actions were listed to build the infrastructure to service that many tourists.

The move caused a lot of excitement among trade associations, a few ripples in the national media and received accolades from travel journals. As is the case with such grandiose ideas, industry leaders stopped talking about it. But the dream of five million arrivals somehow sustained itself as a reference point in any discussion on infrastructural requirements. Then came a new tourism secretary. He revived the 'strategy paper' in his own name with a few changes in the previous draft, and it received the same interest from national and trade media as well as trade conventions as before. The next step of implementation was neither demanded nor taken. But the dream of five million tourists persisted. Then there was a change of government. Tourism success stories from our neighbourhood had already made some dent on the socialism-stung leadership and the

spirit of economic reforms wafted over the tourism sector as well. The prime minister's reference to the importance of tourism from the ramparts of the Red Fort on Independence Day confirmed that the sector was now on the national agenda. The Planning Commission made a five-fold increase in the allocation for tourism in the Tenth Plan. Aviation stepped out from darkness into brilliant sunshine. The rest is history.

This trip down memory lane was caused by the latest arrival statistics circulated by the tourism ministry. In the first nine months of this year, 3.06 million visitors came to India - an increase of 13.1 per cent over the same period in 2005. On the basis of this growth rate we should close the year with a count of 4.40 million, just 6,00,000 short of the coveted five million. And so 2006 will be remembered as the year in which we crossed the four-million mark. But wait; with a sustained growth of some 13 per cent in 2005 and 2006 so far, India can be sure of welcoming the five millionth visitor before 2007. Interestingly, one entity to which the dream coming true will be no surprise is the Planning Commission. In its Tenth Plan projections, it had set a target of raising India's share of the world market from 0.39 per cent to 0.62 which many had thought was ambitious. Translated into numbers, the Commission's target would come to 5.6 million. Arrivals now projected would come pretty close to the Commission's calculations for which it deserves the industry's applause.

The Million Time-line

The country's march towards the five-million mark is also interesting. The first million was achieved in 1980. The second, fifteen years later, in 1995. It took another decade to reach three million in 2004 and only two years to get to four million in 2006. Hopefully, it will just take a year for its fifth million. Tourism ministry mandarins would like us to believe that it is all thanks to the Incredible India campaign. Some analysts would give a fair share of the credit to economic reforms and the burgeoning corporate traffic from abroad. Industry doyens would hasten to remind you that this is all fine. Indian tourism is definitely on the upswing but in the global context it has miles to go. Look at China's 37 million arrivals and well over 10 million counts of smaller countries like Malaysia and Thailand.

Tourism ministry mandarins would like us to believe that it is all thanks to the Incredible India campaign. Some analysts would give a fair share of the credit to economic reforms and the burgeoning corporate traffic from abroad. We are in the final year of the Tenth Plan and the approach to the Eleventh Plan scheduled to begin in April 2007 is now under discussion. Here is what the draft approach paper says on tourism: 'The contribution of tourism services in the GDP for 2002-03 is estimated at 5.83 per cent including direct and indirect effects. Tourism, as the third largest net earner of foreign exchange, earned some US \$6 billion in 2005. Total employment, direct and indirect, generated by the sector is estimated at 38.6 million for 2002-03 constituting 8.27 per cent of the total employment in the country.

During the Eleventh Plan period, there is potential to generate 27 million additional jobs due to tourism. To fully benefit from natural, cultural, business, leisure, spiritual, religious, ecological, adventure and medical tourism, the Eleventh Plan should focus on creation of adequate tourism infrastructure like modernisation and expansion of airports, increase in accommodation facilities under star and budget category and improved road connectivity to tourist destinations.’ Industry’s lobbying for tourism’s needs, it would seem, has reached the right address. A robust economy, growing businesses, greater purchasing power, and surge in business and leisure travel has resulted in a flourishing and booming hospitality industry. But with the opportunity comes difficult challenges. Mounting competition and rising guest expectations are compelling the industry to take a fresh look at their businesses. The emerging technologies, capabilities and supporting infrastructure are ‘must have’ tools to overcome these challenges and ensure a better tomorrow. Integration of the latest technologies in hospitality are fast becoming the cornerstone of delivery for profitability, guest satisfaction, and most importantly, a differentiating factor.

STRATEGIES IN MARKETING

Marketing strategy is a powerful process that gives an organization a competitive advantage in the marketplace. While just defining a marketing strategy will not automatically create a competitive advantage, it will allow the organization to concentrate its resources on the greatest opportunities to increase sales and achieve a sustainable competitive advantage. The word strategy comes from the Greek word strategies meaning general. Strategy is what generals use to win battles. Thus properly understood, marketing strategy is a high-level exercise involving the “generals” of the organization in determining how to build on the firm’s strengths while taking advantage of competitors’ weaknesses. Marketing strategy is most effective when it is a vital component of corporate strategy, defining how the organization will engage customers, prospects and the competition in the market arena for consistent success.

A marketing strategy also serves as the foundation of a marketing plan. A marketing plan contains a set of specific actions required to successfully implement a specific marketing strategy. For example: “Use a low cost product to attract consumers. Once our organization, via our low cost product, has established a relationship with consumers, our organization will sell additional, higher-margin products and services that enhance the consumer’s interaction with the low-cost product or service.”

A strategy is different from a tactic. While it is possible to write a tactical marketing plan without a sound, well-considered strategy, it is not recommended. Without a sound marketing strategy, a marketing plan has no foundation. Marketing strategies serve as the fundamental underpinning of marketing plans designed to reach marketing objectives. It is important that these objectives have measurable results. A good marketing strategy

should integrate an organization's marketing goals, policies, and action sequences into a cohesive whole. The objective of a marketing strategy is to provide a foundation from which a tactical plan is developed. This allows the organization to carry out its mission effectively and efficiently. Marketing strategies are partially derived from broader corporate strategies, corporate missions, and corporate goals. They should flow from the firm's mission statement. They are also influenced by a range of microenvironmental factors. Marketing strategies are dynamic and interactive. They are partially planned and partially unplanned.

COMMERCIAL PLANNING

In the modern world of business, it is useless to be a creative original thinker unless you can also sell what you create. Management cannot be expected to recognize a good idea unless it is presented to them by a good salesman. The success of a new product depends not only on the idea behind the product, but also on the marketing of the new product before, during and after the product launch.

Commercializing a product is commonly known as Commercial Planning. No concrete methods are currently available for New Product Launching. However, to launch a new product. This describes a set of activities and products, that are essential for launching a new product. New Product Launching is part of the New Product Development method.

STRATEGIC MANAGEMENT

An organization's strategy must be appropriate for its resources, environmental circumstances, and core objectives. The process involves matching the company's internal resources and capabilities to the external business environment the organization faces.

Strategy formulation involves:

- Doing a situation analysis: Both internal and external; both micro-environmental and macro-environmental.
- Concurrent with this assessment, objectives are set. This involves crafting vision statements, mission statements, overall corporate objectives, strategic business unit objectives, and tactical objectives.
- These objectives should, in the light of the situation analysis, suggest a strategic plan. The plan provides the details of how to achieve these objectives.

This three-step strategy formulation process is sometimes referred to as determining where you are now, determining where you want to go, and then determining how to get there. These three questions are the essence of strategic planning. SWOT Analysis: I/O Economics for the external factors and RBV for the internal factors.

Strategy implementation involves:

- Allocation of sufficient resources

- Establishing a chain of command or some alternative structure
- Assigning responsibility of specific tasks or processes to specific individuals or groups
- It also involves managing the process. This includes monitoring results, comparing to benchmarks and best practices, evaluating the efficacy and efficiency of the process, controlling for variances, and making adjustments to the process as necessary.
- When implementing specific programmes, this involves acquiring the requisite resources, developing the process, training, process testing, documentation, and integration with legacy processes.

Strategy formulation and implementation is an on-going, never-ending, integrated process requiring continuous reassessment and reformation. Strategic management is dynamic. It involves a complex pattern of actions and reactions.

It is partially planned and partially unplanned. Strategy is both planned and emergent, dynamic, and interactive. Some people feel that there are critical points at which a strategy must take a new direction in order to be in step with a changing business environment. These critical points of change are called strategic inflection points.

Strategic management operates on several time scales. Short term strategies involve planning and managing for the present. Long term strategies involve preparing for and preempting the future. Marketing strategist Derek Abell has suggested that understanding this dual nature of strategic management is the least understood part of the process. He claims that balancing the temporal aspects of strategic planning requires the use of dual strategies simultaneously. Strategic Management is actually a solid foundation or a framework within which all the functioning managerial operations are bundled together. This is the highest level corporate activity that sets the terms and goals for a company that it should follow for prosperity.

Strategic management techniques can be viewed as bottom-up, top-down, or collaborative processes. In the bottom-up approach, employees submit proposals to their managers who, in turn, funnel the best ideas further up the organization. This is often accomplished by a capital budgeting process. Proposals are assessed using financial criteria such as return on investment or cost-benefit analysis.

The proposals that are approved form the substance of a new strategy, all of which is done without a grand strategic design or a strategic architect. The top-down approach is the most common by far. In it, the CEO, possibly with the assistance of a strategic planning team, decides on the overall direction the company should take. Some organizations are starting to experiment with collaborative strategic planning techniques that recognize the emergent nature of strategic decisions.

In most corporations there are several levels of strategy. Strategic management is the highest in the sense that it is the broadest, applying to all parts of the firm. It gives direction to corporate values, corporate culture, corporate goals, and corporate missions.

Under this broad corporate strategy there are often functional or business unit strategies. Functional strategies include marketing strategies, new product development strategies, human resource strategies, financial strategies, legal strategies, and information technology management strategies. The emphasis is on short and medium term plans and is limited to the domain of each department's functional responsibility. Each functional department attempts to do its part in meeting overall corporate objectives, and hence to some extent their strategies are derived from broader corporate strategies. Many companies feel that a functional organizational structure is not an efficient way to organize activities so they have re-engineered according to processes or strategic business units. A strategic business unit is a semi-autonomous unit within an organization. It is usually responsible for its own budgeting, new product decisions, hiring decisions, and price setting. An SBU is treated as an internal profit centre by corporate headquarters. Each SBU is responsible for developing its business strategies, strategies that must be in tune with broader corporate strategies.

The "lowest" level of strategy is operational strategy. It is very narrow in focus and deals with day-to-day operational activities such as scheduling criteria. It must operate within a budget but is not at liberty to adjust or create that budget. Operational level strategy was encouraged by Peter Drucker in his theory of management by objectives. Operational level strategies are informed by business level strategies which, in turn, are informed by corporate level strategies. Business strategy, which refers to the aggregated operational strategies of single business firm or that of an SBU in a diversified corporation refers to the way in which a firm competes in its chosen arenas.

Corporate strategy, then, refers to the overarching strategy of the diversified firm. Such corporate strategy answers the questions of "in which businesses should we compete?" and "how does being in one business add to the competitive advantage of another portfolio firm, as well as the competitive advantage of the corporation as a whole?" Since the turn of the millennium, there has been a tendency in some firms to revert to a simpler strategic structure. This is being driven by information technology.

It is felt that knowledge management systems should be used to share information and create common goals. Strategic divisions are thought to hamper this process. Most recently, this notion of strategy has been captured under the rubric of dynamic strategy, popularized by the strategic management textbook authored by Carpenter and Sanders. This work builds on that of Brown and Eisenhart as well as Christensen and portrays firm strategy, both business and corporate, as necessarily embracing ongoing strategic change, and the seamless integration of strategy formulation and implementation. Such change and implementation are usually built into the strategy through the staging and pacing facets. Management by Objectives is a process of agreeing upon objectives within an organization so that management and employees buy in to the objectives and understand what they are. Management By Objectives term was first popularized by Peter Drucker in 1954 in his book 'The Practice of Management'.

It is all too easy for managers to fail to outline, and agree with their employees, what it is that everyone is trying to achieve. MBO substitutes for good intentions a process that requires rather precise written description of objectives and timelines for their monitoring and achievement. The process requires that the manager and the employee agree to what the employee will attempt to achieve in the period ahead, and that the employee accept and buy into the objectives.

For example, whatever else a manager and employee may discuss and agree in their regular discussions, let us suppose that they feel that it will be sensible to introduce a key performance indicator to show the development of sales revenue in a part of the firm. Then the manager and the employee need to discuss what is being planned, what the time-schedule is and what the indicator might or might not be. Thereafter the two of them should liaise to ensure that the objective is being attended to and will be delivered on time.

Organizations have scarce resources and so it is incumbent on the managers to consider the level of resourcing but also to consider whether the objectives that are jointly agreed within the firm are the right ones and represent the best allocation of effort. Also, reliable Management information systems are needed to establish relevant objectives and monitor their “reach ratio” in an objective way.

MBO is often achieved using set targets. MBO introduced the SMART criteria: Objectives for MBO must be SMART. However, it has been reported in recent years that this style of management receives criticism in that it triggers employees’ unethical behaviour of distorting the system or financial figures to achieve the targets set by their short-term, narrow bottom-line, and completely self-centered thinking.

Marketing Strategy Tools and Models

Ansoffs Matrix

A common tool used within marketing was developed by Igor Ansoff in 1957. His model gives organisation five strategic business options.

1. *Market Penetration*: This involves increasing sales of an existing product and penetrating the market further by either promoting the product heavily or reducing prices to increase sales.
2. *Product Development*: The organisation develops new products to aim within their existing market, in the hope that they will gain more custom and market share. For Example Sony launching the Playstation 2 to replace their existing model.
3. *Market Development*: The organisation here adopts a strategy of selling existing products to new markets. This can be done either by a better understanding of segmentation, *i.e* who else can possibly purchase the product or selling the product to new markets overseas.

4. *Diversification*: Moving away from what you are selling to providing something new *e.g.* Moving over from selling foods to selling cars.
5. *Consolidation*: Where the organisation adopts a strategy of withdrawing from particular markets, scaling back on operations and concentrating on its existing products in existing markets.

Product Life Cycle

The product life cycle concept suggests that a product passes through four stages of evolution. Introduction, growth, maturity and decline. As a product evolves and passes through these four stages profit is affected, and different strategies have to be employed to ensure that the product is a success within its market. As a new product much time will be spent by the organisation to create awareness of its presence amongst its target market. Profits are negative or low because of this reason. Growth: If consumer clearly feels that this product will benefit them in some ways and they accept it, the organisation will see a period of rapid sales growth. Maturity: Rapid sales growth cannot last forever. Sales slow down as the product sales reach peak as it has been accepted by most buyers. Decline: Sales and profits start to decline, the organisation may try to change their pricing strategy to stimulate growth, however the product will either have to be re-modified, or replaced within the market.

Value Chain Analysis

Michael Porter in 1985 introduced in his book 'The competitive advantage' the concept of the Value Chain. He suggested that activities within the organisation add value to the service and products that the organisation produces, and all these activities should be run at optimum level if the organisation is to gain any real competitive advantage. If they are run efficiently the value obtained should exceed the costs of running them *i.e.* customers should return to the organisation and transact freely and willingly. Michael Porter suggested that the organisation is split into 'primary activities' and 'support activities'.

Primary Activities

- *Inbound logistics*: Refers to goods being obtained from the organisations suppliers ready to be used for producing the end product.
- *Operations*: The raw materials and goods obtained are manufactured into the final product. Value is added to the product at this stage as it moves through the production line.
- *Outbound logistics*: Once the products have been manufactured they are ready to be distributed to distribution centres, wholesalers, retailers or customers.
- *Marketing and Sales*: Marketing must make sure that the product is targeted towards the correct customer group. The marketing mix is used to establish an

effective strategy, any competitive advantage is clearly communicated to the target group by the use of the promotional mix.

- *Services:* After the product/service has been sold what support services does the organisation have to offer. This may come in the form of after sales training, guarantees and warranties.

With the above activities, any or a combination of them, maybe essential for the firm to develop the competitive advantage which Porter talks about in his book.

Support Activities

The support activities assist the primary activities in helping the organisation achieve its competitive advantage.

They include:

- *Procurement:* This department must source raw materials for the organisation and obtain the best price for doing so. For the price they must obtain the best possible quality
- *Technology development:* The use of technology to obtain a competitive advantage within the organisation. This is very important in today's technological driven environment. Technology can be used in production to reduce cost thus add value, or in research and development to develop new products, or via the use of the internet so customers have access to online facilities.
- *Human resource management:* The organisation will have to recruit, train and develop the correct people for the organisation if they are to succeed in their objectives. Staff will have to be motivated and paid the 'market rate' if they are to stay with the organisation and add value to it over their duration of employment. Within the service sector *e.g.* airlines it is the 'staff' who may offer the competitive advantage that is needed within the field.
- *Firm infrastructure:* Every organisations needs to ensure that their finances, legal structure and management structure works efficiently and helps drive the organisation forward.

As you can see the value chain encompasses the whole organisation and looks at how primary and support activities can work together effectively and efficiently to help gain the organisation a superior competitive advantage.

SWOT Analysis

A tool used by organisations to help the firm establish its Strengths, Weaknesses, Opportunities and Threats. A SWOT analysis is used as a framework to help the firm develop its overall corporate, marketing, or product strategies. Note: Strengths and Weaknesses are internal factors which are controllable by the organisation. Opportunities and threats are external factors which are uncontrollable by the organisation.

Strength examples could include:

- A strong brand name.
- Market share.
- Good reputation.
- Expertise and skill.
- Weaknesses could include:
- Low or no market share.
- No brand loyalty.
- Lack of experience.
- Opportunities could include:
- A growing market.
- Increased consumer spending.
- Selling internationally.
- Changes in society beneficial to your company.

Threats could include:

- Competitors
- Government policy *e.g.* taxation, laws
- Changes in society not beneficial to your company

A SWOT analysis is an excellent tool to use if the organisation wants to take a step back and assess the situation they are in. Issues raised from the analysis are then used to assist the organisation in developing their marketing mix strategy. A SWOT analysis must form the part of any prudent marketing strategy.

Generic Strategies

For an organisation to obtain a sustainable competitive advantage Michael Porter suggested that they should follow either one of three generic strategies.

Strategy One: Cost Leadership

This strategy involves the organisation aiming to be the lowest cost producer within their industry. The organisation aims to drive cost down through all the elements of the production of the product from sourcing, to labour costs. The cost leader usually aims at a broad market, so sufficient sales can cover costs. Low cost producers include Easyjet airline, Ryan air, Asda and Walmart. Some organisation may aim to drive costs down but will not pass on these cost savings to their customers aiming for increased profits clearly because their brand can command a premium rate.

Strategy 2: Differentiation

To be different, is what organisations strive for. Having a competitive advantage which allows the company and its products ranges to stand out is crucial for their success. With a differentiation strategy the organisation aims to focus its effort on particular

segments and charge for the added differentiated value. If we look at Brompton folding cycles their compact design differentiates them from other folding bike companies. New concepts which allow for differentiation can be patented, however patents have a certain life span and organisation always face the danger that their idea that gives the competitive advantage will be copied in one form or another.

Strategy 3: Niche Strategies

Here the organisation focuses its effort on one particular segment and becomes well known for providing products/services within the segment. They form a competitive advantage for this niche market and either succeed by being a low cost producer or different within that particular segment. Examples include Roll Royce and Bentley.

Are you 'Stuck in the Middle'

The danger some organisation face is that they try to do all three and become what is known as stuck in the middle. They have no clear business strategy, be all to all consumers, which adds to their running costs causing a fall in sales and market share. 'Stuck in the middle' companies are usually subject to a takeover or merger.

Industry Analysis Model

Porters five forces model is an excellent model to use to analyse a particular environment of an industry.

So for example, if we were entering the PC industry, we would use porters model to help us find out about:

- Competitive Rivalry
- Power of suppliers
- Power of buyers
- Threats of substitutes
- Threat of new entrants.

The five main factors are key factors that influence industry performance, hence it is common sense and practical to find out about these factors before you enter the industry.

Competitive Rivalry

A starting point to analysing the industry is to look at competitive rivalry. If entry to an industry is easy then competitive rivalry will likely to be high. If it is easy for customers to move to substitute products for example from coke to water then again rivalry will be high.

Generally competitive rivalry will be high if:

- There is little differentiation between the products sold between customers.
- Competitors are approximately the same size of each other.
- If the competitors all have similar strategies.
- It is costly to leave the industry hence they fight to just stay in

Power of Suppliers

Suppliers are also essential for the success of an organisation. Raw materials are needed to complete the finish product of the organisation. Suppliers do have power.

This power comes from:

- If they are the only supplier or one of few suppliers who supply that particular raw material.
- If it costly for the organisation to move from one supplier to another
- If there is no other substitute for their product.

Power of Buyers

Buyers or customers can exert influence and control over an industry in certain circumstances.

This happens when:

- There is little differentiation over the product and substitutes can be found easily.
- Customers are sensitive to price.
- Switching to another product is not costly.

Threat of Substitutes

Are there alternative products that customers can purchase over your product that offer the same benefit for the same or less price?

The threat of substitute is high when:

- Price of that substitute product falls.
- It is easy for consumers to switch from one substitute product to another.
- Buyers are willing to substitute.

Threat of New Entrant

The threat of a new organisation entering the industry is high when it is easy for an organisation to enter the industry *i.e.* entry barriers are low. An organisation will look at how loyal customers are to existing products, how quickly they can achieve economy of scales, would they have access to suppliers, would government legislation prevent them or encourage them to enter the industry.

So to summaries porters five forces model is essential to carry to help you understand your industry in depth before you enter it.

Diffusion of Innovation

This extension of the product life cycle was developed by Everett M. Rogers in 1962 and simply looks who adopts products at the different stages of the life cycle. Rogers identified five types of purchasers as the product moves through its life cycle stage.

He suggested:

1. Innovator who make up 2.5% of all purchases of the product, purchase the product at the beginning of the life cycle. They are not afraid of trying new products that suit their lifestyle and will also pay a premium for that benefit.
2. Early Adopters make up 13.5% of purchases, they are usually opinion leaders and naturally adopt products after the innovators. This group of purchasers are crucial because adoption by them means the product becomes acceptable, spurring on later purchasers.
3. Early Majority make up 34% of purchases and have been spurred on by the early adopters. They wait to see if the product will be adopted by society and will purchase only when this has happened. They early majority usually have some status in society.
4. Late Majority make up another 34% of sales and usually purchase the product at the late stages of majority within the life cycle.
5. Laggards make up 16% of total sales and usually purchase the product near the end of its life. They are the 'wait and see' group. They wait to see if the product will get cheaper. Usually when they purchase the product a new version is already on the market. Some may call Laggards, bargain hunters!

Boston Consultancy Group

This product portfolio matrix classifies product lines into four categories. The BCG models suggests that organisations should have a healthy balance of products within their range. The Boston Consultancy Group classified these products as following:

Question Mark/Problem Child

These are products with low market share but operate in high market growth rates. The company puts a lot of resources in this product in the hope that it will eventually increase market share and generate cash returns in the future.

Star

Stars have high market shares that operate in growing markets. The product at this stage should be generating positive returns for the company.

Cash Cow

Cash Cow are products at the mature stage of the lifecycle, they generate high amounts of cash for the company, but growth rate is slowing. There are chances that the product may slip into decline, appropriate marketing mix strategies should be employed to try to prevent this from happening.

The Marketing and Sales Division

Marketing continues to be a mystery to those who create it and to those who sponsor it. Often, the ad that generates record-breaking volume for a retail store one month is repeated the following month and bombs. A campaign designed by the best Madison Avenue ad agency may elicit a mediocre response. The same item sells like hotcakes after a 30-word classified ad, with abominable grammar, appears on page 35 of an all-advertising shopper tossed on the front stoops of homes during a rainstorm! The mystery eludes solution but demands attention.

Putting the customer first is probably the most popular phrase used by firms ranging from giant conglomerates to the corner barber shop, but the sloganizing is often just lip service. The business continues to operate under the classic approach — “Come buy this great product we have created or this fantastic service we are offering.” The giveaway, of course, is the word *we*. In other words, most business activities, including advertising, are dedicated to solving the firm’s problems. Success, however, is more likely if you dedicate your activities exclusively to solving your customer’s problems.

Any marketing Programme has a better chance of being productive if it is timed, designed and written to solve a problem for potential customers and is carried out in a way that the customer understands and trusts. The pages that follow will present the marketing concept of putting the customer first. Marketing is a very complex subject; it deals with all the steps between determining customer needs and supplying them at a profit. In addition to some introductory material on marketing, this publication includes practical material on the marketing approaches to budgeting, layout design, headline writing, copywriting and media analysis. You have to spend money on marketing; the

purpose of this publication is to help you get the most for your money, or the most bang for the about the word marketing. Many people, including top executives, use it as a sophisticated term for selling. Marketing representative is commonly used in ads to recruit salespeople. Actually, marketing is a way of managing a business so that each critical business decision is made with full knowledge of the impact it will have on the customer.

Here are some specific ways in which the marketing approach differs from the classic, or sales, approach to managing a business.

1. In the classic approach, engineers and designers create a product, which is then given to salespeople who are told to find customers and sell the product. In the marketing approach, the first step is to determine what the customer needs or wants. That information is given to designers who develop the product and finally to engineers who produce it. Thus, the sales approach only ends with the customer, while the marketing approach begins and ends with the customer.
2. The second major difference between the sales and marketing approaches is the focus of management. The sales approach almost always focuses on volume while the marketing approach focuses on profit.

In short, under the classic (sales) approach the customer exists for the business, while under the marketing approach the business exists for the customer.

The marketing concept is a management plan that views all marketing components as part of a total system that requires effective planning, organization, leadership and control. It is based on the importance of customers to a firm, and states that

- All company policies and activities should be aimed at satisfying customer needs.
- Profitable sales volume is a better company goal than maximum sales volume.

SELF-ASSESSMENT QUESTIONNAIRE

In order to conduct a successful marketing Programme you must be able to answer the following questions:

1. What type of business are you in (manufacturing, merchandising or service)?
2. What is the nature of your product(s) or service(s)?
3. What market segments do you intend to serve? (Describe the age, sex, income level and life-style characteristics of each market segment.)
4. What strategies will you use to attract and keep customers?
 - Product • Price
 - Place • Promotion
 - Persuasion (personal selling)
5. What is your unique selling proposition (USP)?
6. Who is your competition, and what will you do to control your share of the market?

MARKET RESEARCH

To use the marketing concept effectively in a growing business, you should

- Analyze your firm's competitive advantage. What do you do best?
- Identify specific markets you now serve.
- Determine the wants and needs of your present customers.
- Determine what you are now doing to satisfy those wants and needs.
- Prepare a marketing plan that allows you to reach out to new customers or to sell more to your present customers.
- Test the results to see if your new strategies are yielding the desired results.

Market research must be used in each of these six steps to help define your business for your customer's interests, not your own. It is the process of learning what customers want or need and determining how to satisfy those wants or needs. It is also used to confirm whether the customer reacted to a marketing Programme as expected. The benefits of market research include:

- Learning who your customers are and what they want.
- Learning how to reach your customers and how frequently you should try to communicate with them.
- Learning which advertising appeals are most effective and which ones get no response.
- Learning the relative success of different marketing strategies, thus improving return on investment.
- Learning how not to repeat your mistakes.

The dilemma for the small business owner is that, properly done, market research is quite expensive, takes time and requires professional expertise. Acquiring all the necessary data to reduce the risk to your venture may cost so much and take so long that you may go out of business.

The answer is to find a quick and inexpensive way of getting enough data to help you make the right decision most of the time.

Some obvious pitfalls are:

- Using a sample that does not represent the total market.
- Asking the wrong questions.
- Not listening to the responses.
- Building in biases or predispositions that distort the reliability of information.
- Letting arrogance or hostility cut off communication at some point in the marketing process.

If you have a limited budget, develop the skills to hear what your customers and potential customers are telling you. Some techniques worthy of consideration are:

- Advisory board — Occasionally convene a group of local people, whose opinions you respect, to act as a sounding board for new ideas. Choose your group with

extreme care; one or two negative thinkers can distort the thought process of the entire group.

- User group — Gather customers together to discuss new ideas. Their opinions can help you keep your business on track. Pick a neutral setting where the people will talk. Be sure to reward the participants and share the credit for good ideas.
- Informal survey — If you seek feedback from customers by simply asking, How was everything? You can be seriously misled. Most people, even those with legitimate complaints, are reluctant to speak out because they are afraid of appearing foolish. This tendency is probably more widespread in smaller communities, where friendships often stand in the way of critical review. Also, if your attitude is such that customers feel complaining will not do any good, you may be antagonizing customers without even knowing it. One solution is to take a few customers aside and ask them some sincere questions about how your business met their expectations and where it fell short. If the customer appears uneasy, do not press the issue — you will only force him or her to give you pat answers to escape the situation. If you get a good response, take notes. Follow-up letters thanking the customers and telling them what you plan to do with their suggestions will bring you friends for life.
- Suggestion box — A suggestion box is a simple idea that works, but only if you do the following:
 - Read the suggestions on a regular basis.
 - Do something about the suggestions you receive.
 - Reward those who give you good ideas by posting their names, writing letters to them or rewarding them with money or other things of value.

The principle at work is: If you reward good results, you will get more good results. If you do not reward them, you will end up with an empty suggestion box and the mistaken idea that everything is fine.

- Sample survey — Canvass the neighbourhood to gather data. If you wish to remain anonymous, line up some marketing students to perform the survey or engage a local marketing agency. Be sure you establish a technique for getting a random sample as most people naturally attempt to attract respondents with whom they feel comfortable. Be sure to test your questionnaire to see that the questions are easily understood and are meaningful (see Appendix A for a sample survey).
- Focus group interview — Get 10 to 15 people together in a relaxed setting and encourage them to talk about products or services they like or dislike. Use a moderator who can lead the group discussion without inhibiting the thought processes or limiting the expression of ideas and opinions. Tape record the session for later analysis.

- **Brainstorming** — This is a variation of the focus group, in which participants are encouraged to freewheel in their thinking to produce as many suggestions as possible without analyzing them. Again, a trained moderator will obtain the best results.
- **Complaint analysis** — Encourage your customers to contact you directly if they have complaints. Respond to every complaint with a courteous letter assuring that you will correct the situation. A few disgruntled customers can be harmful. If your customers feel that they can work with you to solve their problems, you are sure to be successful.
- **Comparison shopping** — Arrange with someone in a similar business located out of town to come to your town to shop your business and several of your competitors. Then return the favour and compare notes. This will avoid the danger of your becoming complacent about your premises and overlooking things that may be annoying or confusing to your customers.
- **Customer analysis** — Tabulate information about customers regularly to determine such data as:
 - Age.
 - Size of buying group (family, household, etc.).
 - Sex of the decision maker in the group.
 - Geographic location — Sort checks and sales slips by ZIP code, or ask customers to mark their home on a map with a colored pencil. Tabulate visitors versus local residents.
 - Average amount of purchase.
 - Coupon usage.
 - Response to recent advertising.
 - Radio station listened to.
 - Newspapers read.
 - Response to mailings.
 - Full price buyers versus those who respond to sales or specials.
 - Special populations in your area, such as college students, military personnel, senior citizens, hospital visitors, convention attendees, sports spectators, fair attendees, farmers, seasonal workers, car pools, pet owners, home owners, boat or recreational vehicle owners and athletic participants. The more you know about your customers the better you will be able to satisfy and even anticipate their needs.
- **Customer want list** — Keep a notebook at your cash register and write down every request you receive for items you do not carry or have in stock. Periodic review of the list will give valuable clues about sales you are losing or new products and services you should consider carrying. You may learn of fad items, products being heavily advertised or items and services your competitors have

dropped. Your customers may be telling you they are dissatisfied with your competition and would prefer buying from you. You will be able to tell if other businesses in the area are in trouble, even before they know it themselves. You may also discover ways to make additional income by adding new departments or product lines or by developing a special-order business if your customers are willing to pay the added shipping costs and wait for delivery.

- **Industry analysis** — On business trips or vacations, visit businesses similar to yours. Take pictures of signs, storefronts and displays, and talk to the owners to compare notes on new products, services and marketing techniques. Subscribe to trade journals and attend trade shows to keep current on marketing developments in your industry.
- **Sales representatives** — Representatives who call on other similar businesses in your area can provide valuable information on business trends, new items and changes in the industry. Be sure the information is reliable.
- **Advertising notebook** — Each ad that you run represents an investment. To make sure you maximize your investment, cut out each ad and tape it to a page in a three-ring notebook. (For a radio or TV ad, write a short description.) Enter the date, medium and cost of the ad. Record the results of the ad in sales, enquiries or coupons redeemed. Divide the cost by the results to get a cost-per-enquiry factor that you can use to compare your ads and the media in which they appeared.
- **Exit interviews** — When someone leaves your employ, be sure to spend sufficient time to find out exactly why he or she is leaving. Probe deep to learn what may be occurring in your business that causes hard feelings, employee conflict or customer dissatisfaction. It is important that your employees leave with a good feeling about you and your business, so they will not spread unfounded rumors. Also, you may wish to keep them as customers. Employee turnover and training can be expensive to a business, so try to find out what you must do to keep employees and then decide if they are worth the price.

EXPANDING YOUR MARKET

When expanding your business, explore all the strategic alternatives available to you. Select the one that makes the most sense and then prepare a marketing plan on how to implement that strategy. There are at least a dozen common strategies and a variety of strategic combinations or special situations to choose from.

EXPANSION OF PRESENT LOCATION

Learn to spot telltale signs of saturation in your present facilities. Grocery stores, for example, keep track of abandoned carts. When a shopper fills a cart and then leaves because the checkout line is too long, the grocer should realize that there is a

serious problem. If you are experiencing bottlenecks, think about adding to your facilities. Determine how many additional customers you could service by building up or out and compare the additional sales to the cost of construction and temporary inconvenience.

Relocation

If it appears unlikely that you can draw more customers to your present location (at a reasonable cost), consider moving closer to your customers. A location on Main Street, in a shopping mall or an industrial park may cost you more in rent, but if you gain exposure to new customers it may be a sound investment.

Additional Outlets

Reaching the most customers may require opening several outlets at convenient locations throughout your market area. In addition to the added costs of real estate and multiple inventories, carefully analyze the cost and availability of labour and training, and the cost of hiring a manager for each location and installing an efficient monitoring system. Your advertising dollars may become more efficient since your radio, TV and newspaper ads cover your entire market. The multiple locations will make it more convenient for customers to find you.

Downward Vertical Integration

If your profits depend on the prices you pay for raw materials, your most profitable growth strategy may be to buy a farm, mine or processing plant to produce your own materials. This strategy also may make sense if your product quality is based on a consistent supply of goods at an acceptable quality level.

Upward Vertical Integration

Most small manufacturing businesses that start are forced to conform to the existing marketing channels and sell through established manufacturers' representatives, jobbers or dealers who have access to the market. As you grow, however, it makes sense to analyze your distribution system to see when you can improve your situation by hiring your own sales team, contracting with distributors, buying a truck fleet, opening retail stores or factory outlet stores or doing anything else you need to do to get closer to your market. Remember, every time someone gets between you and your customer, it either reduces your revenue or increases your operating costs. Also, it impedes the provider-consumer communication that is essential to a good marketing programme.

Exporting Goods or Services

Literally, there is a world of markets available to you if you are willing to learn how to get started. The U.S. Department of Commerce's U.S. and Foreign Commercial

Service and the U.S. Small Business Administration can help you explore potential foreign markets for your product or service.

Tourists' Business

When you are looking for new customers, don't ignore tourists who could be attracted to your area. Work with your local convention and visitors' bureau to determine the impact if you cooperate with local tourist attractions or hotels and restaurants to get more people to visit and spend money in your community.

Franchises

Franchising as a growth strategy offers advantages if you are short of expansion capital, yet have a concept that can be packaged and taught to people who wish to invest in a business. The legal problems can seem overwhelming, but with a good plan and competent advice, you can develop a franchise system that could prove extremely profitable.

License Agreements

If you have a technical process or service, you may be able to find people in other markets who would be willing to pay you a royalty for the rights to use your process. Perhaps you could sell raw materials, secret ingredients, special tooling or promotional materials to your license holders.

Direct Marketing

Selling directly to your customers is one of the oldest and most effective methods of marketing. Today, there are few door-to-door salespeople; most direct marketing is seen in party plan selling and through mail, TV and magazines. Direct selling requires good selection and training techniques and a commission plan plus liberal incentives.

Telemarketing

If you have a good list of prospective customers, telemarketing may be an effective method of informing them about your business, qualifying them for sales follow-up or selling your product or service to them. Professional firms can be used, or you can set up your own telephone room. Here again, recruiting and training are critical because only a few people can do telemarketing well.

Private Label

One method of reaching out to new markets is to sell your product under the name of your distributor or retailer. However, you cannot build customer or brand loyalty because the consumer does not know you are the producer. Another potential problem is that, should the owner of the label find a cheaper producer, you may be out of the business.

PROBLEM SOLVING PLAN

The marketing plan is a problem-solving document. Skilled problem solvers recognize that a big problem is usually the combination of several smaller problems. The best approach is to solve each of the smaller problems first, thereby dividing the big problem into manageable pieces. Your marketing plan should take the same approach. It should be a guide on which to base decisions and should ensure that everyone in your organization is working together to achieve the same goals. A good marketing plan can prevent your organization from reacting to problems in a piecemeal manner and even help in anticipating problems. Before your marketing plan can be developed, research must give you the basic guidelines: for whom you are designing your product or service (market segmentation), and exactly what that product or service should mean to those in the marketplace (market positioning). Below are some guidelines to help you develop a marketing plan to support the strategy you have selected for your organization.

MARKET SEGMENTATION

Your marketing plan should recognize the various segments of the market for your product or service and indicate how to adjust your product to reach those distinct markets. Instead of marketing a product in one way to everyone, you must recognize that some segments are not only different, but better than others for your product. This approach can be helpful in penetrating markets that would be too broad and undefined without segmentation. No matter what you are making or selling, take the total market and divide it up like a pie chart. The divisions can be based on various criteria such as those listed below.

Demographics

This is the study of the distribution, density and vital statistics of a population, and includes such characteristics as

- Sex
- Age
- Education
- Geographic location.
- Home ownership versus rental.
- Marital status.
- Size of family unit.
- Total income of family unit.
- Ethnic or religious background.
- Job classification — blue collar versus salaried or professional.

Psychographics

This is the study of how the human characteristics of consumers may have a bearing on their response to products, packaging, advertising and public relations efforts.

Behaviour may be measured as it involves an interplay among these broad sets of variables:

- Predisposition — What is there about a person's past culture, heredity or upbringing that may influence his or her ability to consider purchasing one new product or service versus another?
- Influences — What are the roles of social forces such as education, peer pressure or group acceptance in dictating a person's consumption patterns?
- Product Attributes — What the product is or can be made to represent in the minds of consumers has a significant bearing on whether certain segments will accept the concept. These attributes may be suggested by the marketer or perceived by the customer. Some typical ways of describing a product include
 - Price/value perception — Is the item worth the price being asked?
 - Taste: Does it have the right amount of sweetness or lightness?
 - Texture: Does it have the accepted consistency or feel?
 - Quality: What can be said about the quality of the ingredients or lack of artificial ingredients?
 - Benefits: How does the consumer feel after using the product?
 - Trust: Can the consumer rely on this particular brand? What about the reputation of the manufacturer in standing behind the product?

Life-Style

Statements consumers make about themselves through conspicuous consumption can be put to good use by research people who read the signals correctly. By studying behavioural variables, such as a person's use of time, services and products, researchers can identify some common factors that can predict future behaviour.

MARKET POSITIONING

You must realize that your product or service cannot be all things to all people. Very few items on the market today have universal appeal. Even when dealing in basic commodities like table salt or aspirin, marketing people have gone to all sorts of extremes to create brand awareness and product differentiation. If your product or service is properly positioned, prospective purchasers or users should immediately recognize its unique benefits or advantages and be better able to assess it in comparison to your competition's offering. Positioning is how you give your product or service brand identification.

Positioning involves analyzing each market segment as defined by your research activities and developing a distinct position for each segment. Ask yourself how you want to appear to that segment, or what you must do for that segment to ensure that it buys your product or service. This will dictate different media and advertising appeals

for each segment. For example, you may sell the same product in a range of packages or sizes, or make cosmetic changes in the product, producing private labels or selecting separate distribution channels to reach the various segments. Beer, for example, is sold on tap and in seven-ounce bottles, twelve-ounce cans and bottles, six-packs, twelve-packs, cases, and quart bottles and kegs of several sizes. The beer is the same but each package size may appeal to a separate market segment and have to be sold with a totally different appeal and through different retail outlets.

Remember that your marketing position can, and should, change to meet the current conditions of the market for your product. The ability of your company to adjust will be enhanced greatly by an up-to-date knowledge of the marketplace gained through continual monitoring. By having good data about your customers, the segments they fit into and the buying motives of those segments, you can select the position that makes the most sense. While there are many possible marketing positions, most would fit into one of the following categories:

- Positioning on specific product features — A very common approach, especially for industrial products. If your product or service has some unique features that have obvious value this may be the way to go.
- Positioning on benefits — Strongly related to positioning on product features. Generally, this is more effective because you can talk to your customers about what your product or service can do for them. The features may be nice, but unless customers can be made to understand why the product will benefit them, you may not get the sale.
- Positioning for a specific use — Related to benefit positioning. Consider Campbell's positioning of soups for cooking. An interesting extension is mood positioning: Have a Coke and a smile. This works best when you can teach your customers how to use your product or when you use a promotional medium that allows a demonstration.
- Positioning for user category — A few examples: You've Come a Long Way Baby, The Pepsi Generation and Breakfast of Champions. Be sure you show your product being used by models with whom your customers can identify.
- Positioning against another product or a competing business — A strategy that ranges from implicit to explicit comparison. Implicit comparisons can be quite pointed; for example, Avis never mentions Hertz, but the message is clear. Explicit comparisons can take two major forms. The first form makes a comparison with a direct competitor and is aimed at attracting customers from the compared brand, which is usually the category leader. The second type does not attempt to attract the customers of the compared product, but rather uses the comparison as a reference point. Consider, for example, the positioning of the Volkswagen Dasher, which picks up speed faster than a Mercedes and has a bigger trunk than a Rolls Royce. This usually works to the advantage of the smaller business if you can

capitalize on the American tradition of cheering for the underdog. You can gain stature by comparing yourself to a larger competitor just as long as our customers remain convinced that you are trying harder.

- **Product class disassociation** — A less common type of positioning. It is particularly effective when used to introduce a new product that differs from traditional products. Lead-free gasoline and tubeless tires were new product classes positioned against older products. Space-age technology may help you here. People have become accustomed to change and new products and are more willing to experiment than was true ten years ago. Even so, some people are more adventuresome and trusting than others and more apt to try a revolutionary product. The trick is to find out who are the potential brand switchers or experimenters and find out what it would take to get them to try your product. The obvious disadvantage of dealing with those who try new products is that they may move on to another brand just as easily. Brand loyalty is great as long as it is to your brand.
- **Hybrid bases** — Incorporates elements from several types of positioning. Given the variety of possible bases for positioning, small business owners should consider the possibility of a hybrid approach. This is particularly true in smaller towns where there aren't enough customers in any segment to justify the expense of separate marketing approaches.

STRENGTHENING THE ELEMENTS OF ADVERTISEMENT

HEADLINES

Since the headline is the first contact your readers have with your message, it must reach out to them. Promise them a benefit. Tell them how they will be better off if they read the rest of the ad. Use action verbs. Save ten dollars is a stronger heading than Savings of ten dollars because of the verb. Headlines can be classified into the following five basic types; effective headlines frequently combine two or more of these kinds.

News Headlines

This form tells the reader something he or she did not know before. Using the word news does not make it a news headline. Now — a copy machine that copies in colour is an example of this type headline.

Advice and Promise Headline

Here you are promising something if the reader follows the advice in your ad. Switch to Amoco premium, no-lead gasoline, and your car will stop ping.

Selective Headline

This headline limits the audience to a specific group. For example: To all gray-haired men over forty. Caution! Be absolutely sure you do not eliminate potential customers with this type of headline.

Curiosity Headline

The intent here is to arouse the reader's interest enough to make him or her read the ad. The danger is that this headline often appears cute or clever and fails in its mission. An example: Do you have trouble going to sleep at night?

Command or Demand Headline

Watch out for this one as most people resist pushiness, especially in advertising. Do it now! or Buy this today! This headline generally can be improved by changing to less obtrusive wording such as: Call for your key to success!

One common misconception about headlines is that they must be short and easy to understand. This is not always true. Here is a headline that was used extensively in print ads by Ogilvy and Mather for one of their clients: At 60 miles an hour, the loudest noise in this Rolls-Royce comes from the electric clock.

Illustrations

There are three primary reasons for using illustrations in an advertisement.

- To attract attention to the ad.
- To illustrate the item being featured.
- To create a mood in the mind of the reader.

Everyone has heard a picture is worth a thousand words; in advertising, the illustration frequently helps the reader visualize the benefits promised. You can almost feel the warmth of the tropical sun when you see the photos in January travel ads. Cost and practicality may dictate whether your ad uses photographs, artists' drawings or merely canned artwork. Any of these can make the ad more appealing to the reader's eye.

Copy

If you follow the three principles of good copy, your ads will be effective:

- Good copy should be clear.
- Good copy should be crisp.
- Good copy should be concise.

Clear, crisp and concise the three Cs of copywriting suggest that the words in your advertising message merely do a good job of communicating. Do not use big words when small words can make your meaning clear. Use colorful, descriptive terms. Use the number of words necessary to make your meaning clear and no more — but also no

less! Selecting the right words is critical to the success of the ads. Recent research conducted at Yale University found that the following 12 words are the most personal and persuasive words in our language.

You	Discovery	Safety
Money	Proven	Results
Love	Guarantee	Save
New	Easy	Health

Price

Should you or shouldn't you put prices in your ad? Yes! Yes! Yes! Since price is the one factor that allows the consumer to determine whether an item represents an adequate value, an ad without price makes the buying decision difficult if not impossible for the reader.

Can you imagine how uninteresting your daily newspaper would be if there were no prices on the food store ads or the department store offerings? Yes, price belongs, and it belongs whether you are advertising a home for \$175,000 or a ballpoint pen for 49 cents.

Logo

Can you visualize the corporate logos for such firms as Chevrolet, Ford, Playboy, Borden or Levi Strauss? There is an identification advantage in developing a logo design exclusive to your firm. Using a logo also helps give your advertising continuity. Use the logo consistently on all printed pieces, including stationery. Use it in Yellow Page advertising, on the side of your truck or company car, on bags or boxes and anything else your customers or prospects may see.

Type

The typeface you use in advertising plays an important role in how the message comes across. Printers are very knowledgeable about typefaces and happy to help you make choices. A selection of typefaces is illustrated in Appendix I.

Media available to Advertisers

If you understand the concept that advertising is a multiplication of a selling conversation, then the basic ingredients of advertising media are easier to grasp. First, there must be an audience. A newspaper printed as a single copy could not function as an advertising medium unless the single copy were passed from person to person to create a worthwhile audience. (In that case, the advertiser probably could go from one individual to another and be more effective while reaching at least as many prospects in the same amount of time.) A potential advertiser will require evidence that an audience does exist, and will want to know the size and location of the audience, as well as other characteristics.

The second ingredient on which an advertising medium can be evaluated is its acceptance in the marketplace. Acceptance is related not only to the total number of customers in an audience, but also to the composition of that audience as compared to the target audience of the advertiser. Advertising over a closed circuit television Programme received only by occupants of nursing homes would not be very profitable for a real estate firm attempting to sell starter homes.

In addition to an audience's acceptance and size, the medium also must have a usable *frequency of exposure*. Most retailers and other local business establishments rely on their advertisements' reaching potential buyers regularly, some even several times daily. A medium with a once-a-year or even a once-a-month frequency might deserve nothing more than a very small part of a retailer's advertising budget. Remember, one way advertising functions is by repetition; a commercial message increases in audience awareness after more than one exposure.

Various advertising media will be examined from the standpoint of these three basic ingredients: the audience (coverage) each enjoys; the acceptance (impact) of the medium on the audience; and the ability to expand its initial impact by being available more than once or twice in a particular time frame (frequency).

Paid-circulation Newspapers

Almost every community has a newspaper. About 1,700 of the paid-circulation papers in America are daily papers and several thousand additional local papers are published weekly. Paid circulation means the audience reached pays to have the paper delivered to the home or pays a per copy price to pick it up at a newsstand or vending machine. Newspapers are the most popular advertising medium for most local businesses.

Today's newspaper no longer enjoys its former role as the almost exclusive source of news; that privilege applies only in those very few areas not served by radio or television. Newspapers remain, however, a strong factor in their sphere of influence. Below are some characteristics of paid-circulation newspapers that make them appealing to advertisers.

1. Most paid-circulation papers, both daily and weekly, reach the majority of homes in their primary city or town.
2. The size of the audience is easy to determine and verify.
3. The newspaper offers a predictable frequency of publication: once, twice or up to seven times a week.
4. Newspapers generally are bought by people representing all segments of the population. High- and low-income families, urban and suburban residents — all are subscribers to the local newspaper.
5. Newspapers offer several options to advertisers. Large or small ads, words alone or words with graphics, black and white or colour, news or specialized feature page positioning.

6. The printed advertising message has both permanence and desired obsolescence. A reader can refer back to or even clip and save your ad, yet tomorrow's edition is new and fresh and eagerly sought by the same reader.
7. The newspaper is the only medium in which the audience also advertise. The want ad or classified section of most newspapers serves as a local marketplace where individual buyers and sellers gather to trade their treasures and buy and sell each other's services.
8. Newspaper pasteup permits you to request special locations for ads that tie in with your market segments. Sports, business, society, food and news are the most common sections.

There are limitations to the newspaper as an advertising medium.

1. You could possibly miss potential customers who choose not to have the paper delivered.
2. Your advertising message must fight for the reader's attention. There may be hundreds of ads in one paper, as well as dozens of articles and features for the reader to spend time on. If the total time spent with a newspaper is only 20 minutes or so, as some surveys have found, you can see the odds against your one ad reaching a really significant number of subscribers.
3. To some advertisers, another limitation of newspapers is the time required to get the message into the reader's hand. The advertising deadline for some sections of large metropolitan papers may be one week or more in advance of publication date.

Advertising in newspapers is always priced by units of space. Rates for classified advertising may be priced per word or per line while display ads (the bordered ads that frequently contain illustrations as well as words) are usually priced per column inch or agate line. A column inch is a space one column wide by one inch deep. The agate line is 1/14th of a column inch. The cost of newspaper advertising is determined by the size of the circulation, the degree of the paper's dominance in the marketplace, and by the increasing costs of newsprint, ink, labour and transportation. The paid-circulation paper is the oldest of the mass media and continues to be the largest, as measured by volume of advertising dollars. It is used by industry giants as well as the corner drugstore. As a retailer or other small business owner, some of your advertising budget will most likely end up in your local paid-circulation newspaper.

Free-distribution Newspapers

Although far from new (the first newspapers in our country were distributed free), today's free-distribution paper is different from paid-circulation newspapers. Although the shopper type papers contain mostly advertising and little feature material, they remain a highly productive advertising medium in hundreds of cities and towns. Many of the earlier shoppers have grown into full-fledged newspapers with news, comics and

features, and a frequency of delivery that approaches seven days a week. They offer the advertiser most of the advantages of paid-circulation papers, including the permanence of print, the versatility of colour and graphics, and high readership of personal want ads. One advantage over paid-circulation papers is their ability to reach a very high percentage of the market area. Because they are free, they are delivered to every home. If readers like what they read, they soon come to depend on the paper. Studies show penetration and acceptance by more than 90 percent of the residents in the circulation area of free-distribution papers.

To verify the number of papers delivered, publishers of free-distribution papers may employ auditing firms to come into the delivery area and certify the number of copies printed, the number of carriers used and the number of households that regularly report receiving a paper. Many of these papers have audited proof of coverage approaching 100 percent of the homes in their markets.

The phenomenal growth of free-distribution papers in recent years is related to the increased sophistication of marketing and advertising technology. The computer made possible the measurement of sales in market share. Not only do today's merchandise movers target to sell more of their products each year, but also to sell them to ever larger shares of the total population in each area. Since daily and weekly paid newspapers often do not reach a substantial number of consumers, the total coverage concept of the free-distribution papers has proven they have outgrown their reputation as throwaways! Today, Sears, K-Mart, JC Penney and dozens of smaller department, discount, food and apparel chain organizations regularly use the free-distribution papers for total coverage of certain market areas.

Another growing function of the free-distribution papers is their ability to serve as the distribution vehicle for advertisers' own preprinted flyers, sections or merchandise catalogs. Many publishers will custom design for your special promotion a delivery system that will deliver the preprinted section to every home within a specified area, such as the 12 square blocks immediately surrounding your business.

If there is a free-distribution paper in your market area, it deserves an enquiry. Advertisements in it may prove to be the most effective dollar invested in your advertising budget.

Direct Mail

We would be remiss not to mention the U.S. Postal Service and its ability to deliver your advertising message. The direct mail advertising message can be highly personal and powerfully effective. You know how saturated your home mailbox is with nothing to buy contests giving you chances to win new houses, cars, world cruises and big checks for every month as long as you live. While there is no obligation for you to buy anything, there is always something available for sale — subscriptions, books, records, videos, personal products, real estate — usually at discounted prices.

The giveaways are possible only because enough people are tempted by what is available, and what they buy can be traced to direct mail advertising. In almost every business there is an opportunity for increased business through intelligent use of direct mail advertising.

Because the per-piece cost of direct mail is much higher than most forms of print, it must be used carefully, selectively and efficiently. Mailing lists are difficult to prepare, expensive to buy and are partially obsolete the day after they have been completed. Because people die, move away or get mad at you at an alarming pace, keeping an accurate mailing list is not easy.

Still, direct mail can be an efficient way to deliver a sales message to a specific target audience. If your audience is composed of doctors, lawyers, dentists or school teachers, for example, only direct mail offers you the chance to direct your ad to that target audience with no waste circulation. Direct mail also makes couponing and sampling practical. It can help isolate advertising response to one segment or another and compare returns in one area with those in another.

The most critical part of any direct mail Programme is the mailing list. Keep a list of all your customers, either by asking them to fill out a mailing list card or by taking their names off the checks you receive each day. Hold contests to get your customers to fill out an entry form. As your list grows, you may need to buy a computer or hire a mailing firm to keep the list current and to prepare mailing labels.

Magazines

Print media also include magazines. While most national magazines are not practical as an advertising medium for local businesses, some local magazines may be. City magazines are now published in hundreds of cities and towns. They may look as sophisticated as their national counterparts, and they are edited to local tastes. They use colour, photography and professional writing and editing to create high-interest stories about people, places and things. They frequently are distributed free to certain people on special lists restricted to higher income families. In this way they can reach relatively exclusive audiences, but the frequency of publication (usually monthly) restricts their use as a basic medium.

Many regional and national magazines include classified ad sections that may be useful for promoting the availability of a catalogue or for selling individual products. The advantage of magazines is that they have highly defined readerships that allow you to focus on specific market niches. If, for example, you run an ad in a boating magazine, you can be fairly sure the people who subscribe either own a boat or are looking for one.

The Standard Rate and Data Service (SRDS) publishes a complete listing of all the magazines that serve particular market interests; it is available in the business section of most libraries.

Brochures

For many small businesses, a printed brochure may be helpful to establish credibility and tell your story in more detail. Computer typesetting and laser printing have reduced the cost of producing a brochure. Free layout help is available at many copy centers. You can keep your costs down by using standard 8.5x11 inch paper and by using a triple-fold design that will fit into a standard business envelope.

OTHER LOCAL PRINT MEDIA

Don't overlook drop-point media such as booklets available for free pickup in high-traffic areas like convenience stores, banks and motels. These may include guides to local television Programmes, listings currently available from real estate firms, entertainment or sporting events. Evaluate each booklet on its ability to provide enough value to justify using it.

RADIO

In America, 280 million people own more than 300 million radios! Only radio can take your advertising message to people while they ride bicycles, walk in the park, ride in cars or climb mountains. Radio brings a sense of urgency to its listeners that is second to none. Contrary to the predictions of doom during the advent of television, radio is alive and well today, and radio advertising is a major part of the plan for advertisers of every size and description.

In its pre-television days, radio was the national advertisers' most economical way to communicate with millions at a time. Syndicated Programmes of music, drama and news were a common part of the American life-style. With the advent of television, radio moved to the automobile and the beach. Along came the transistor and radio moved to the shirt pocket.

Today radio is everywhere. Millions awake to the sound of clock radios, and for many the radio is the last sound they hear before going to sleep. How can a small business use this sound-only medium for effective advertising? Only by understanding it and capitalizing on its strengths.

Today's radio station is judged on its effectiveness not only by the number of its listeners, but also who those listeners are. Many of today's stations have positioned themselves to reach a selective audience instead of a total market. In one marketplace, one station may play only country-western music, another rock music, a third only religious music, while others feature 24-hour news broadcasts or talk shows. As an advertiser, format programming allows you to buy advertising on stations whose listener characteristics most closely coincide with the profile of your firm's customers. Buying time on a given station also can help you reach audience segments that you may want to target to help expand your firm's total market segment.

Radio advertising is sold on the basis of time. That time can vary from an entire Programme, which includes your commercial announcements, to spot announcements ranging from 10 to 60 seconds. Price ranges are higher during drive time (the hours in the morning and evening when the maximum number of people are in their cars going to or from work, school or other daytime activities) and lower during the time when more people are watching television. Most stations offer package rate plans with a specified number of commercials guaranteed within a particular time slot. Also, consider buying flights of commercials, *i.e.*, an intense saturation of 30-second or 1-minute spots in a relatively short period of two or three weeks. Repeat this flight technique during key promotional times of the year.

The sounds you can employ on radio include not only the monologue of a man's or woman's voice, but dialogue and dramatic conversations, vocal and instrumental music, and sound effects of every imaginable nature, used individually or in combinations. The size of radio's audience, like the circulation of newspapers, is audited by independent organizations and available to advertisers through station sales representatives. Arbitron, one of the auditing firms, conducts its survey by having a sample number of households keep a written diary of the radio listening habits of each occupant during a predetermined period (usually one week). Arbitron then summarizes the various stations' listeners by time of day in 15-minute segments by sex and age of listener. An advertiser can use the Arbitron data to select the station or stations that best cover the desired target audience.

Radio advertising frequency is as high as you can afford. Many stations now broadcast 24 hours a day, seven days a week. The number of commercial minutes any station can air in each segment of programming is limited by the Federal Communications Commission (FCC), but there is still the opportunity to have a message repeated frequently in any given period. It is also possible to have the radio station come to your business for a remote broadcast with customer interviews, prize giveaways and other crowd-drawing techniques.

Television

Watching TV is the most common leisure activity in our country today; many surveys report average daily television viewing time as high as five or six hours. It is no wonder it has grown into a giant advertising medium. Television always has been a popular medium for large retailers, but its effective use by small- and medium-size businesses is becoming more popular because of lowered production costs and the ability of cable TV to reach smaller market areas.

The power of television is its ability to appeal not only to sight and hearing simultaneously, but also to strengthen that appeal by the dimensions of movement and the realism of full colour. If you have invented a new product, TV advertising can show and tell many people about it and actually show them the benefit of ownership. Since they saw how it works and the package it comes in, customers will recognize it when

they are at the store and be psychologically reminded of how it works and how great it would be to have it. If the hammer had never been invented until you came along, just imagine the number of words in print advertising it would take to equal the effectiveness of a 60-second television spot during which a hammer pounded a nail to fasten one piece of wood to another! Television advertising is sold by the time the message takes. There may be additional charges for writing, talent, props, on-location filming, music and editing. Audience loyalty is a disadvantage in TV advertising. The audience tunes to a given channel for entertainment they know they will find at a particular time. If a football game, popular movie or some other preferred form of entertainment appears on another channel, the viewer does not hesitate to change channels without leaving the couch. While viewers are loyal to the entertainment value of television, they show very little loyalty to the station itself, especially as cable can bring 40 to 50 viewing alternatives into the home. Viewers, however, do tend to have favourite news, weather and sports telecasting personalities, which can influence the size of your audience and its consistency during certain time periods.

Other developments that could affect television advertising are the availability of many different stations through cable companies, all-shopper channels, all-sports channels, all-news stations, the use of home television screens as monitors for in-home computer and game systems, and the popularity of video movie cassettes. All of these may reduce the size of the audience a television station can guarantee its advertisers.

Many rating services measure the size of television audiences. National Programmes are measured daily and a station's audience size can be estimated fairly well. Your local television representative can explain television's penetration within the station's area of dominant influence (ADI) and how that area may conform to your firm's trade area.

Outdoor Media

Despite restrictive legislation, billboards and other outdoor display signs still perform a strong advertising task in many areas. Instant communication is the key to successfully using billboards. Directed at drivers with only split seconds to divert their eyes and to passengers who can at best get a fleeting glance, wordy or complex messages are worthless. Photos or striking art combined with a firm name and a one- or two-word headline or slogan are common.

Audience totals are determined by how many sign locations you buy and the total traffic passing each sign. Outdoor advertising is usually sold on a basis of gross rating point (GRP) evaluation. The GRP of any medium is the number of persons exposed to a message compared to the total number of persons that make up the market. One shortcoming is that the same person may drive by the same billboard three or four times a day and be counted as four separate people. Your local outdoor sales representative can explain how many locations are necessary for you to achieve 50, 75 or 100 gross rating points, and what that exposure will cost you over varying time periods.

Other Media for Advertising

We could spend considerable time just trying to complete a list of all the other ways a business can advertise and probably still leave some out. Pencils and pens with your firm's name imprinted, skywriting, business cards and even sandwich boards all can perform an effective advertising role for some advertisers. You must evaluate each one on its ability to get your sales message to the maximum number of prospects in a believable manner and at a reasonable price. No textbook or consultant can do the job for you. After you have read and listened, go to your local media representatives and ask for their help. They have everything to gain and nothing to lose by putting your firm's best interest ahead of their desire to make a sale.

REFINING YOUR ADVERTISING FOR GREATER RESULTS

Every item you advertise and every word and illustration you use becomes a part of your firm's image. Your ability to develop a USP depends on your knowing what you want your image to be and then doing those things and only those things that reinforce that image. A men's clothing store can become the store with fashions for the man who thinks young. A nursery can create the image of the home of the talked-to plants that will respond to you. A car dealer can develop a following and a reputation for his automatic three-year trade-in plan. Once you have arrived at a USP that you think will appeal to your customers, translate the idea into a selling slogan of three to ten words that can be used as the theme of your advertising campaign. Use it consistently until our customers learn to associate your business with the selling slogan.

But be careful. A few years ago Excedrin decided to position itself as the headache remedy for many different kinds of headaches, like headache No. 43 or No. 27. Their TV commercial showed the agony of each headache by the number. What happened? People went to their drugstores and said I think I've got headache No. 43. Give me a package of Anacin. They sold the concept of the headaches beautifully but not the exclusivity of Excedrin as the best relief. If you want to position your business in the marketplace, select your target market. How old are they? What do they have in common? What are their goals and ambitions? When you have learned all you can about them, go back and learn more! Then start talking to them, and only to them, in your advertising. Talk to them about themselves and their desires. Then tell them how the goods or services you sell are perfectly suited to helping them achieve those desires.

TIMING EACH AD FOR IMPACT

While your budget will tell you how much you have to spend each month, you must refine your plan to know how many ads will run each week and on which days. In planning your ad insert schedule, be aware that the best results are obtained by

strengthening already strong sales days, not by trying to make bad days better. If large employers in your area have paydays on the first and fifteenth of the month, time your advertising to coincide. If you use more than one medium, attempt to coordinate your efforts by scheduling a radio blitz to coincide with a big print campaign or special store event.

Using Colour

Adding colour to a black-and-white advertisement not only increases readership, but can substantially increase the sales response. Retailers, however, frequently use too much colour in their ads. Remember, colour works because of its contrast with noncolour areas; use it in one or two strong clustered areas rather than scattering it throughout your ad. Keep in mind that colors also communicate psychologically. Here are a few popular colors and their common associations.

Red — Suggests excitement, heat, strength and is a good colour to use in a sale ad.

Yellow — Conveys brightness, airiness, refreshment. Warning: yellow gets lost on white paper, so always surround areas of yellow with a border of black or another dark tone.

Blue — As a cold colour, can convey formality and haughtiness in its darker shades and fragility, daintiness and youthfulness in the lighter tones.

Orange — A colour of warmth, action, power.

Green — Another cool colour, suggests cheapness and coldness in its darker tones while conveying freshness and crispness in its lighter shades.

Purple — A colour of royalty and stateliness.

Maroon — Suggests luxury, solidity, quietness.

Brown — Implies age, wholesomeness, utility.

White — Means purity, cleanliness, chastity.

Black — Conveys mystery, strength, heaviness.

Research on the productivity of colour in newspaper advertising invariably shows increased readership as well as increased sales from ads that use colour. Adding colour raises the cost of the ad, but the increased results are substantially greater than the increased costs.

Critiquing Your Ads

We can learn great lessons from the past. If your firm has been running ads, dig out a few from a year or so ago and see how many of these common no-no's you can find.

1. Does your ad contain words like *our*, *I* or other personal pronouns? They are poor communicators, try using *you* and *yours*.
2. Is the ad uninteresting to look at overall? It may be balanced too formally. Try using an odd rather than even number of illustrations to help achieve informal balance.
3. Does your firm have a logo? Develop one so the name of the firm is not just set in the same type as the rest of the ad.

4. Has your layout allowed the reader's eye to stray from the preferred gaze-motion path? If your invitation to the eye causes readers to leave your ad, you will not get them back.
5. Is your logo in the upper left corner or the lower right corner of the ad? Those are the two best spots for it.
6. Does your headline promise the reader a benefit?
7. Is your copy clear, crisp and concise? Be sure to use the product points that make the benefits you promised believable.
8. Have you used a headline in capital letters? Don't!
9. Have you told the reader what each item costs? It is very difficult to reach a buying decision until the question "How much is it?" is answered.
10. Does your ad contain any misleading statements? Any attempt to misinform or mislead the reader may lead to a sale, but in all certainty it will lead to lost customers and could lead to court. Honesty is still the best policy.

As you continue to expand your business in the months and years ahead, use the tips presented here. Prepare a budget and review it frequently. Select your items for advertising to help solve consumer problems and then present your advertising message as a form of planned communication. Ask your media representatives for help in understanding their product.

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